Pearl Global Inds. (PGIL)

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Call: May 2023

PEARL GL5BAL ..._,
Exceeding Expectations ... Always
PGIL/SE/2023-24/21
Date: May 22, 2023
THE GENERAL MANAGER,
DEPARTMENT OF CORPORATE SERVICES -
CRD
BSELIMITED
1 ST FLOOR, NEW TRADING RING
ROTUNDA BUILDING, P. J. TOWERS
DALAL STREET, FORT,
MUMBAI-400 001
Reg: Scrip Code: BSE-532808;
Sub: Transcript of Conference Call
Dear Sir/Madam, THE GENERAL MANAGER,
LISTING DEPARTMENT
NATIONAL STOCK EXCHANGE OF INDIA
LTD.
"EXCHANGE PLAZA", PLOT NO. C-1,
G-BLOCK,BANDRA-KURLACOMPLEX,
BANDRA(E),
MUMBAI -400 051
NSE-PGIL
In continuation to our letter dated May 17, 2023 regarding submission of audio recording of the call conference held with Investors/ Analyst on May 17, 2023, to discuss Company's audited financial results for the quarter and year ended March 31, 2023, please find enclosed herewith the transcript of the aforesaid Conference Call.
Submitted for your information & records.
Thanking you,
Yours faithfully,
for Pearl Global Industries Limited
(Shilpa Budhia)
Company Secretary and Compliance Officer
ICSI M. No.: ACS-23564
Pearl Global Industries Limited
Corp. Office: Pearl Tower, Plot No. 51. Sector-32, Gurugram-122001, Haryana {India)
T: +91-124-4651000 I E: info@pearlglobal.com
CIN: L7 4899DL 1989PLC036849
Regd. Office: C-17 /1, Paschimi Marg, Vasant Vihar, New Delhi -110057
-1 www pea 115looaI corr ~

"Pearl Global Industries Limited
Q4 FY '23 Earnings Conference Call"
May 17, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the website of the company on 17th May 2023 will prevail.

MANAGEMENT : M R. PALLAB BANERJEE – MANAGING DIRECTOR – PEARL GLOBAL INDUSTRIES LIMITED
MR. SANJAY GANDHI – GROUP CHIEF FINANCIAL OFFICER – PEARL GLOBAL INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY23 Earning Conference Call of Pearl Global Industries Limited. This conference ca ll may contain forward-looking statements about the company which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen-onl y mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an oper ator by pressing star then zero on your touchnote phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Pallab Banerjee, MD for his opening remarks. Thank you, and over to you, sir.
Pallab Banerjee: Hello everyone, good morning. Welcome to our Q4FY23 and full financial of 2023 Earnings Conference Call. Along with me we have our Group CFO, Sanjay Gandhi and SGA, our Investor Relations Advisors. I hope all of you have had a chance to go through our annual results and the investor presentation uploaded on the exchange and our company website.
The outstanding performance of fiscal 2023 year is a testament to our competitive advantage.
For financial year ’23, the company has declared an interim dividend of INR5 per share at the end of the fiscal year, resulting in a total dividend payout of INR7.5, 75% of our face value for this financial year of 2023. We have skillfully leveraged our core strength of multilateral presence, design team, gift towards the asset light model and strong customer relationships to achieve the sustained growth whic h is primarily driven by incremental orders from our existing customers with better re alizations and the orders for value-added

sales from the customers that we acquired in the last three to four years.
Our presence across the global textile chains -- value chains in Asia, has helped us cater to our global clients effectively, utilizing our global capacities and mitigati ng uncertainties by leveraging our facilities in different markets. While the global operating environment continues to remain challenging, amid the higher interest costs and the inflation rates which are high, especially in the western economies, we expect re venue to be remaining at the same level or to show some growth as of last year during the quarter one of financial year ’24 and throughout the H1 of financial year ’24.
However, we are putting all our effort and we are confident of achieving 15% to 20% revenue CAGR over the next three to four years. Having said this, margins could remain under pressure for the industry and we at PGIL are confident of maintaining our margins between 7% to 8% on a full year basis. Our efforts will be to improv e the same, which we are confident of achieving by once the macro factor stabilizes, then definitely we would be in a very, very healthy position.
That's something we are confident of.

To navigate challenges pertaining to the uncertain business environment, we are setting up very stringent risk governance framework to hedge against the sudden increase in raw materials or poor performance financially of some of our overseas brands and customers. And of course, the rising interest costs that we have seen, hopefully like no more interest costs from the US market, but we never know. This shall help us in keeping our profitability intact. We incurred a total capex of INR48 crores in financial year ’23 and we intend to incur a capex of anywhere between INR50 crores to INR60 crores again in the financial year ’24.
With this, I would like to give you some information of key developments in each country that Pearl Global has its operations in. In India, the management has taken steps to address inefficiencies in partnership factories operating in India during the current quarter. We have ended up the partnership and brought the factory under Pearl's umbrella. So, we are now

completely managing that operation.
Furthermore, the company remain s committed to exploring opportunities for expansion of its capacities in India. Ende avour being supported by various government initiatives such as the PLI scheme, the state incentive schemes for expansion, we are going through all the details, these initiatives incentivize the manufacturing with in this country, within our country of India, making it favorable for this opportunity and for the growth in India.
The company has successfully added two to three new customers in India. The strategic move is expected to contribute to the growth of the company's order book in the coming years. On to Bangladesh, our new factory has started generating positive return in the first year of its commercial operations. You have heard in our last call; it has now generated a healthy ROCE and a cash flow. Other recently acquired company or the factory that we did in the last year has proven to be a valuable asset to our company.
The integration of the Brownfield acquisition with PGIL has been quite seamless in increased revenues and improving our profitability. The positive and the growing ROCE further reinforces the success of this acquisition. In Vietnam, the factories that we have achieved higher levels of productivity, thanks to an improved product mix and an expanded range of offerings for customers. Consequently, this has led to higher realizations and significant enhancement in the operational efficiencies. Our partnership model is successfully evolving in Vietnam and it's giving us good results.
In Indonesia, the company has successfully expanded its op

erations by constructing a new facility on the land acquired in 2021. With the capital expenditure of INR29 crores, new facility replaces the old one and also it offers 35% increase in our total capacity in Indonesia. This enhanced facility enables the management of more complex processes, allowing the company to deliver value-added products to the clients, building an improved per-p iece realization. This higher capacity is expected to drive increased re venues for Indonesia in the next fiscal year of 2024-25.
Other offices like in Europe, our company has opened up an office in Spain, as well. The strategic move positions the company closer to th e European textile value chain, facilitating the acquisition of new customers and strengthens the collaboration with the existing clients, client

and development by next to the operations or their design offices in Spain. With Europe boasting a robust value chain, the company anticipates continued growth through its presence in this region.
In USA, the company has set up a separate division, branding and licensing opportunity. We have hired a new CEO who has a few years of experience to develop similar kind of business in its previous strengths. This opportunity will take time, but we believe this will be another growth engine for us.
For US customers, during the pandemic and post-pandemic when the logistics challenges were there, near shore production became important and so most of our customers are talking to us to explore this near shore opportun ities. That means manufacturing happening in the capital region of the Central America region. We are exploring this near shore manufacturing opportunities and we expect things should be finalized in the next couple of months. The customers' assurance of doing business is a very good opportunity for us.
With this, I think I have given you more or less what's happening within our company. Now I would like to hand over this call to Sanjay Gandhi, Mr. Sanjay Gandhi, our group CFO to run us through the financial performance.
Sanjay Gandhi: Thank you Pallab. Good morning, everyone. It gives me immense pleasure to report another successful year for our company with records breaking financial and operational group level performance. I'm pleased to announce that for FY23 on a consolidated basis, our revenue has increased by 16.4% year-on-year to INR3,158 crores versus INR2,713 crores in FY22. Primarily due to increased order from existing customers and improved realization from newly customers who have been acquired during the year, integration of Alpha acquisition and improved operational efficiency at Bangladesh and Vietnam Unit.
EBITDA for FY23 stood as INR255.5 crores, the growth of 81.8% year-on-year versus INR140.6 crores in FY22, while our margin improved by 290 bps year-on-year from 5.2% in FY22 to 8.1% in FY23. This improvement in margin is a result of better product mix, improving operational efficiencies, consistent improved pr ofitability in Vietnam and Bangladesh operation and integration of new acquisition which is Alpha in Bangladesh.
PAT for the year stood at INR153 crores vers us INR70.1 crores in FY22. EPS isINR68.9 in FY23 versus INR31.46 in FY22. For quarter 4, FY23, our consolidated revenue declined by 18.5% to INR730 crores versus INR896 crores in FY22. EBITDA grew by 55.9% to INR62.8

crores compared to INR39.7 crores in the same quarter last year. Margin improved from 4.4% in FY22 to 8.6% in FY23. On a standalone basis, revenue for the
year stood at INR1103 crores versus INR933 cror es in FY22, the growth of 18.2% year-on-year.
This growth was a result of increasing business from our existing clients and addition of new
strategic clients. Better product mix on account of increase in our product range offered to
customer resulting in an increased realizati

on.
Operational efficiency improved by employing best-in-class businesses.

EBITDA margin improved from 4.4% in FY22 to 6.3% in FY23. PAT for the year stood at
INR53.8 crores in FY23 versus 27.2 crores in FY22. EPS doubled from INR12.54 in FY22 to
INR24.84 in FY23. For the quarter ended -- quarter 4, FY23 revenue declined 21.5% to INR274 crores. Margin improved from 4% in FY22 to 7.8% in FY23. PAT for the quarter grew 119.3%
to INR27.9 crores versus 12.7 crores in FY22. Our strong performance is reflected with our strengthening balance sheets. On a consolidated basis, our network for FY23 stood at INR723
crores versus 599 crores in FY22.
Gross debt declined to INR448 crores in FY23 versus INR564 crores in FY22. Net gearing ratio
improved to 0.21 times from 0.67 times in FY22. Return on capital employed improved from
12.4% in FY22 to 24.2% in FY23. INR42.5 crores of margin money earmarked as LC payment is excluded from capital employed calculation.
Net working capital days improved from 63 days in FY22 to 38 days in FY23. Receivable days
declined to 24 days in FY23 from 49 days in FY22. Inventory days decreased to 59 days in FY23
from 73 days in FY22 and payable days declined to 45 days in FY23 from 59 days in FY22.
Debt service coverage ratio improved from 1.95 times to 2.3 times. Net debt to EBITDA stand
at 0.6 times.
On a standalone basis, our net worth for financ ial year at ’23 stood at INR381 crores versus
INR344 crores in FY22. Gross debt declined to INR206 crores in FY23 versus INR260 crores
in FY22. Net gearing ratio improved to 0.31 times from 0.57 times in FY22. Return on capital
employed improved from 10.3% in FY22 to 16.2% in FY23.
Net working capital days improved from 63 days in FY22 to 40 days in FY23. Receivable days
declined to 37 days in FY23 from 45 days in FY22. Inventory days increased to 87 days in FY23
from 45 days in FY22. Payable days declined to 42 days in FY23 from 70 days in FY22. Debt
service coverage ratio improved from 0.8 times to 2.3 times. Net debt to EBITDA stands at 0.6 times for FY23.
With this, I would like to open the floor for questions.
Moderator: Thank you. Our first question comes from Keshav with RakSan Investors. Please go ahead.
Keshav: Hi, good morning, sir. Sir, this near-shoring opportunity you spoke of in the opening address,
would that be on a partnership basis or ar e we planning to set up our own facilities?
Pallab Banerjee: It is a joint venture. We are looking into the existing factories which are already operating in
that region.
Keshav: Okay, sir. What is your sense on what kind of products can really be near shored to LATAM in
the medium to long term?
Pallab Banerjee: The cost of manufacturing in this region is higher compared to Asia, but there is a duty-free
advantage also because of the capital region. We will be using that benefit. And despite the cost
being high, the raw material cost to a certain exte nt, as you land into th e USA, it is similar to
what is coming from Asia. That is the objective and goal that we are working on. The product

that you asked about, we will be starting with more of a net product because that is where we
are seeing the demand coming back in this region because that is the volume driver, and the
retailers want to keep a leaner inventory on ce rtain products. So that something is discussion
that we are having with most of our customers. Do I answer all your questions?
Keshav: Yes, sir. Just one thing. Is that more of a de -risking strategy from our clients or do we see a
longer-term negative impact in So utheast Asia or India from that?
Pallab Banerjee: I don’t see it will be a long-term negative for Asia in general because this particular re

gion does
not have that much of capacity.

Keshav: Okay. All right. Secondly, the way we built our business, we are playing to the strengths of different countries that have their own differentiators. For instance, high volume, low value, cotton stuff you have in Bangladesh, more value added, India can do, Vietnam would have synthetics. For the past two years, a sizable quantum of growth for us has come from clients less than five years old. This year, 50% of our growth was led by new clients. Now, the macros are ripe for bigger players to see benefits of consolidation. There have been reports of Indian government going for partial shutdowns because of weak Christmas booking. Are we seeing the benefit of having a broad-based manufacturing base and getting more inquiries from our existing clients to transfer more share to us?

Pallab Banerjee: Endeavour would be always to have a better market share of our key clients. That is all the efforts in that direction. In my previous quarterly calls, I always mentioned that we at Pearl believe in having a presence in all the supply chain of our apparel garments, fashion garments in the world. There are about four or five big supply chains that we can talk about. Like I have mentioned earlier also that there is Southeast Asia, South Asia, Mediterranean region. [inaudible 0:20:30] that means Europe buying from Europe and US buying within US. That is how most of our customers and most of these big retailers, either in Europe or in US, they source from all these channels or all these locations.

At Pearl, we always had that endeavour to be present in most of these supply chains. If you look at it, we are already supplying to our customers from Southeast Asia. We are supplying from South Asia. Now we would be supplying to them. We are adding Central America as well, so very close to it. Then the only two areas which are not there would be more I would say Mediterranean region and maybe onshore for some of our clients. These are the two things that will be left behind. When you talk of the complete sourcing for these customers or for these customer partners, so they use all these five channels. We would always try to grab their market share by having our presence in maximum number of these channels. That is the way that we would continue to operate.

Keshav: Sure, sir. I have more questions, but I will come b ack in the queue.

Moderator: Thank you. Our next question comes from Vishal Prasad with VP Capital. Please go ahead.

Vishal Prasad: Hi, good morning. In our industry, usually clients engage in two ways. Either they directly outsource to the manufacturer, or they outsource to a middleman like Li & Fung and some other companies. There are some clients who engage in both these models. Could you please share when does a client directly outsource to a manufacturer and in what cases they go through a middleman?

Pallab Banerjee: My experience, what I have seen is that organizations who are much well organized and much more evolved in their sourcing strategies, they do have their own offices, global offices where they source from. For example, if I speak of companies like Gap, they own sourcing offices. They don't engage any middlemen or any agents in between. Whereas there are other brands who may not have such a matured supply chain organization within their organization. They would like to take the benefit of some of these evolved partners like Li & Fung which has got a very extensive sourcing base across the globe. Similarly, there are other companies like MGF, there are companies like New Times.

These are the agents who are playing a big role. I have also seen like Gap definitely go through some kind of middlemen like Mitsubishi of the world and Stylane that we work with and others. They do definitely have a way or proces

s of working in which they rely quite a lot extensively on this kind of network. It depends on the market; it depends on the customers maturity level in terms of how they are sourcing the garments. Does that answer your question?

Vishal Prasad: Let's say we take Walmart for an example. I don't know if we work with them but that's a general example I'm taking. They take both the routes where they partner with the manufacturer and sometimes, they partner with the middlemen as well. They are very capable in Walmart in terms of their own supply chain, and they are a huge company but what I'm trying to understand is what goes behind taking the decision on this is the part of the business which should go to the manufacturer directly and this is the part of the business which should go to middlemen. Is there something that you have noticed or is that generated?

Pallab Banerjee: When you talk of a middleman, when you talk of a specific agent, the retailers would go to that agency or to that middleman for a host of serv ices. Services like findin g a manufacturer in a particular country, maintainin g the communication, the quality inspections, supervision. Those are the services that this middleman provides. For a company like Walmart and all also work with a lot of direct importers. Most of the big retailers, large format retailers in the US, they source from two, even if they don't go to an agent, they would have vendors who directly do FOB shipment and their company,

for example Walmart, will have their own logist ics team who will be brin ging in the goods. Or they may be buying from suppliers who are based in the USA. That supplier might be going to a manufacturing unit and placing a business there. But in Walmart's record, that's a direct supplier. So they are not acting as a middleman. I'm just giving this example. There are three things.
That means if you're talking about there is an agency business, there is a direct business. Agency business are the people, for example, there are many brands, let's say a middle level brand like J. Crew, Chico's or Antela, who are not very big, but they do rely on this kind of middleman. A

lot of business that happens through this middleman or the agencies, which I mentioned about in our industry. And then there are other people like in the US, a big chunk, I would say, the people who are importer on record, that means they would be buying the goods from China, from India, from Bangladesh and all, and they would warehouse it in the US.
That means they would be the importer on record to bring the goods into the US and then supply to the retailers. So broadly there are three. So if you are mixing in your group the second and third together, so I was trying to say that there is also in that way there are two groups, if I'm making sense to you.
Vishal Prasad: Okay, sure. The second question that I have is, do we engage directly with our clients in all the engagements or sometimes we also go through a middleman?
Pallab Banerjee: Our preference is always to have a direct engagement. So most of our business is through direct engagement. Of course there could be a middleman, like who would be doing a kind of service to the customer. So these services will come th rough. For example, we have a – they do take certain services from Li & Fung, but our engagement with the course management is direct. So we speak to them direct, the business planning, the strategization that happens over a longer period of time, those kinds of conversations would be happening directly with the customer.
But the operationally certain activities are done by the agent. Same thing is for customers like Muji in Japan. Relationship is direct, but they do have certain activities they do through. Your agency business that I think we have would be quite insignifican

t. I think the entire group, less than I would say 10% of the business would be happening which is we are working through an agency or an agent who is dealing with the customer.
Vishal Prasad: Okay. And sir, do we get our orders through a competitive bidding or usually it's through relationships an d negotiations?
Pallab Banerjee: Again that depends on the strategy of the customer. There are certain products which is the core basic items. Most of the customers want to have some kind of bidding process. It may be an open bid, or it may be a bid between only a handful of vendors who do this product for them. So that generally is a practice which is quite prevalent, especially in the western markets.
Vishal Prasad: So bidding would be L1, whoever quotes the least gets the business?
Pallab Banerjee: Not necessarily. They generally look at the price, the delivery speed and also in some cases the design and capability. So maybe like of course the endeavour would be to place it to an L1, but there could be certain other parameters which supe rsedes in the decision making. Now this I am talking more from my experience in the past, but that's generally the trend that I have seen. And even as a manufacturer also we see that sometimes.
Vishal Prasad: So, price is not the only criteria and your relation ship and your ability to deliver definitely comes into picture.
Pallab Banerjee: Yes, delivery performance is definitely important. Very important.

Vishal Prasad: Sir, last question, last call when I asked, you mentioned that 10% to 15% of our revenue comes through partner manufacturing?
Pallab Banerjee: Partner factories, yes. So, if you see the certain matured markets like Vietnam, and to a certain extent, Bangladesh also, we do have partnership factories, where we do source from. So, it helps us mitigating some of our resources. Sometimes the fluctuation of the quantity and some quantities required in a bigger number in a smaller amount of time, where our capacities, along with partnership capacities can be used.
And in certain cases, like, the flexibility that we get by working with the partner factories for certain clients of us also is helpful. So, yes, that remains in our strategy and will continue to be there. A certain percentage may not be a big chunk, would be we do this kind of partnership

factories where we source from.
Moderator: Thank you. Our next question comes from Aditya Sen with Robo Capital. Please go ahead.
Aditya Sen: Hi, good morning. I wanted to understand about the acquisition that we made in Bangladesh. Earlier we were in the partnership model and now we are shifting to the self-owned model. Am I right on this, sir?
Pallab Banerjee: This particular case, like, one of the partner factories that we worked with for some time. And then we made the decision to acquire that company. That's the case of Alpha. It may not be like, the only formula that will work in future. So, there will be cer tain partnership factories which will continue to be partnership factories. And, for example, what we are seeing in Central America, like we are in exploration and close discussions. So, there we haven't worked as yet. But Yes, from the beginning itself, we will be acquiring shareholding.
Aditya Sen: Okay. So, all-in-all, we will proceed with the partnership model if we see a good partnership.
Pallab Banerjee: And as I mentioned, like, it will not be the majority of the percen tage of our busi ness, but it will play a role.
Aditya Sen: Okay. One more. In the initial comments, you mentioned that we are expecting a revenue growth of 15% to 20%. So, what will be the growth driv ers for this? Will it be only macroeconomic or the acquisitions that we are looking forward to make and the capex?
Pallab Banerjee: Yes. Like, we as a company have, I would say, a sight on a con

tinuous growth anywhere between 15% to 20% in a CAGR level year-on-year. Of co urse, there are certain times, certain quarters, where the market is fluctuating, whether because of war or because of inflation or because of interest rates going up, or sometimes, like we saw, like, at least half the year last year was a huge concern on the over-inventory position in markets like US and all. So, ot herwise, like, we will continue on our strategy to have this growth of about 15% to 20%.
So, that's what I can foresee in the near future, over the next five to seven years, if we talk about in that horizon. So, we will be exploring, if you look at our mission vision statement, like, we are working in this particular field of providing fashion and manufacturing and supplying

apparel products to our customers and doing a supply chain service, that means, try to be more end-to-end.
So, in our statement today, like what I mentioned about the licensing part of the business in US, so that's a part of our supply chain. So, that mean s, like, for a particular licensed brand, like, we as a company will do the entire designing, manufacturing and then selling it to the retailers. So, that's done by this new division that we're creating. So, those kind of opportunities we will continue to explore, either various regions of manufacturing, partnerships in manufacturing.
Sanjay Gandhi: And just to add to this point, which Pallab mentioned, if you look at our current capacity utilization, which is a blended capacity utilization, we are now at 65%-plus. I think there is enough headroom for at least a couple of years to really keep on adding within the existing capacity while we are looking for an opportunity for expansion, as Pallab mentioned.
Aditya Sen: Okay, thank you, for this. Next, I would like to know the outlook on tax. Until when are we going to sustain this range and are we expecting 25% of tax in the coming years?
Sanjay Gandhi: Sorry, there was some noise from the backdrop. I could not hear you. Are you talking about the tax rate?
Aditya Sen: Yes, tax rate.
Sanjay Gandhi: So, see the tax, you're talking about the corporate tax rate, just to clarify, right? So, the tax rate is applicable in all the countries at a different rate. You know, the Hong Kong, we have a different combination of nil, 0% of corporate tax and then there is a 16.25%. Bangladesh is a combination of tax on the turnover or 10% of the deemed profit. And Vietnam is 10%. Indonesia has a 22%-plus India is 25%. So, it all depends, which part of the geography the maximum profit is getting generated and our blended tax rate will be applicable.
So, I do not see that, we'll be falling the 25% bracket at all, because the India contribution on the top line is only 35%, for last, if you look at three to four years' time period and the other part of the profit is getting in overseas countries, wh ich will be lesser than 25%. So, the blended rate will be, you know, let's say, within 15% to 18% is something which we can look at.
Aditya Sen: Okay. This was great. Thanks a lot. I'll back in the queue.
Sanjay Gandhi: Thank you.
Moderator: Thank you. Our next question comes from Faisal Hawa with HG Hawa and Company. Please go ahead.
Faisal Hawa: Sir, you mentioned in your initial comments that now the funds as given as margin for LC are not being taken into ROCE calculations. So, what effect does it have on our, ROCE going up? By what percentage does it go up? And what is the reason for doing this?
Sanjay Gandhi: Yes, so it's a 1% impact, the ROCE will improve by 1%. The reason for excluding exclusion

was that, since these funds were really, when you look at the capital employment, employee
point of view, these are earmarked for making the payment against the trade creditors, which are PEARL GLOBAL - Exceeding Expectations ..

spending in books. So, we thought it is appropriate to follow a conservative thing, appropriate that towards the trade waiver rather than sett ing it from the long term and the short-term borrowings per se. So, that's the reason, otherwise, by 1%. So, it will become 25%-plus against 24%. So, we are following ju st a conservative on that.
Faisal Hawa: So, are we saying that the ROCE has gone up from 12% to previous FY, to now 24% in this FY?
Sanjay Gandhi: Yes, you are right.
Faisal Hawa: So, sir, you have almost, you have more than actually fulfilled your promise given in the previous con call that the ROCE will go up.
Sanjay Gandhi: Absolutely. Thank you for reminding. Yes, we were looking at close to 20%. And we were happy that we could deliver on that, much ab ove that time period. Overall, we are always targeting that any new project which is taken in the company, whether it is a brownfield acquisition, and even the capacity enhancement at the existing factory, if any capex is coming from any country -- then everybody has to look at return on capital employed has to be close to 20% to start, in a period of two, three years' tim e period that project has to generate. Initial six or eight months can be lower, but eventually, th is project should have the capability of reaching a 20% gross rate. And that is a yardstick for approval at a board level also. This cadence has actually been set up in the last 12 months or 14 months of multiple deliberations.
Faisal Hawa: But do we still hold on to a target of almo st going 20%-22% every year in volume terms for the next three, four years? It may not happen like every year; I can understand that. But generally, I have a CAGR of 20% for three, four years in volume terms. And also, sir, what is our ROE for
FY '24, FY '23 rather?
Sanjay Gandhi: FY '23. So, see, if you look at our effective tax rate, it is coming to be around 10% because of the distribution of the profit in line with that. So, I think we should be close to 18%-19% of return on equity given this kind of a strength across the countries.
Faisal Hawa: And you feel that this will be now maintained over next three, four years for the ROCE and ROE? Those metrics are now very much in place as a very big foundation. It is not due to any yearly seasonal factors or anything.
Sanjay Gandhi: Yes. You are very right. You know, I do not think there is not any seasonal or one-time impact. It is coming in the ROCE improvement. Now, th e ROCE target, as I mentioned, we are targeting very clearly and all our capex or any other decision, which is financial capital allocation is between 18%b to 20%. So, we should be able to maintain that. There can be a certain period, you are incurring a capex, there is in a particular factory and before it starts generating the incremental return, it may take a while, maybe a couple of quarters before you start generating.
But overall, when we look at it, the incremental capital employment should be able to generate 18% to 20%. So, net-net, we should be always close to 20%.
Faisal Hawa: And sir, on a consolidated basis, what is our capacity utilization in all the factories? PEARL GLOBAL - Exceeding Expectations ... Always

Sanjay Gandhi: So, the blended capacity utilization is around 65%. This is what in response, as an answer to the earlier question I was mentioning that within the existing capacity partnership and our own factory, there is a potential for us to really grow, for at least for th e next couple of years to utilize that and these two years will be also looking at more opportunity for collaboration, whether it is a partnership or the joint venture or ma ybe the brownfield acquisition. So, Yes.
Faisal Hawa: And sir, we are also seeing, the emergence of three or four very big groups in garments li

ke,
Reliance Trends and even Aditya Birla Group. So, are we making any kind of effort to become like a choice contract manufacturer for th em also very early in to their evolution?
Sanjay Gandhi: I do not think so. I will request Pallab if he can just mention about it.
Pallab Banerjee: Yes, our focus has still been in a global manufacturer. Yes, India would be one of the countries, but yes, as of now, current focus is still the opportunities to encash upon.
Faisal Hawa: Okay. Thanks a lot, sir.
Moderator: Thank you. Our next question comes from Pulkit Singhal with Dalmas Capital Management.
Please go ahead.

Pulkit Singhal: Thank you for the opportunity. Congrats on a great set of numbers. First question to Pallab, I mean, if you can just help us understand qualitatively how the discussions are going on with
potential brands or existing customers. I mean, have those conversations, number of such
conversations picked-up versus say last year? And what is the nature of those conversations? How has that changed? What is their focus like versus last year and currently?
Pallab Banerjee: Yes, conversations are happening at a full pace, I would say. In fact, I am taking this call from
US only. So, that is why I think there was a delay because we had some technical snag for
connecting. So, we apologize for that. We are st arting this call a little late. There have been a
huge amount of conversation and interaction with most of the customers.
So, either they are visiting us or they are asking us to visit them. Various strategy conversations
are going on at this point of time. Yes, market is in that influx. What happened in the last 12
months, I think, will have a long-term repercussion on the industry as a whole, how the retailers
would think and build up their strategies. So, that is evolving and undergoing. So, there could be certain risks. We are seeing certain customer s becoming [inaudible 0:43:58] by-the-day and
certain others like, who have a very strong strategic vision and are strengthening themselves quite a lot. So, yes, there is a mover and shaker kind of activities in this market of US especially.
So, yes, like till the holiday season, like another gentleman also mentioned, there were numbers
that were quite low because that is because most of the US retailers had inventory and they have not been buying for those products. So, as we get into spring-summer goods of 2024, so that
means for the retailers of Q1 and Q2 of 2024 when they are buying, how they would be selling.
So, that season, they are still like most of the retailers are conservative.
I am hearing that they would be buying anywhere between 15% to 25% conservatively and keep
some budgets open to see. So, that is why for them, options like near-shore and all would be

more important when they want to see like how the customers are reacting and the consumers
are reacting, what is the kind of buying trend that is coming up in the consumer. So, that wait
and watch also is happening in the market.
Pulkit Singhal: Okay. And the guidance you mentioned of 15% to 20% on a CAGR basis for revenue growth,
what is it that you expect for next year? Will it be in this band or do you expect lower?
Pallab Banerjee: 15% to 20%? Yes. Okay. Compared to their normal sales that was like pre-pandemic or after
pandemic, there was definitely a couple of quarters where there was a lot of pent-up demand. So, from those high levels, if you calculate, then they are projecting almost 25% or 15%.
Pulkit Singhal: No, no. My question is on the revenue guidance for the company. You had mentioned of 15%
to 20% revenue growth CAGR is what you are striving to achieve over the next few years. The
question is, for FY ’24, will our revenue growth be in this band or will it be lower?
Pallab Banerjee: Our strategy and planning and implementation

is more towards the same to have this growth.
And the central, like what we know today is what is the current situation of the market. So, if
the dynamics changes further to the bad or to becoming much worse, then maybe it will be more challenging for us. But with the current challenges that we have in our hand, we have planned
this way.
Pulkit Singhal: Understood. Just last question is on debtordays, it has come down significantly. I mean, you
used to have 48 to 50 days, and it's better than it became 41 last year, and now 33. Is this also
reflecting your cautiousness while dealing with customers and therefore, as things pick up, this better days also goes up or is this sustainable? Is this some level of customer mix which allows
you to operate at 33 days on?
Pallab Banerjee: That's something like Sanjay and me have been mentioning in our earlier calls also, like we
definitely do a huge amount of focus on the risk mitigation. So, our customers are still working with 60 days or 90 days kind of terms. We do organize ourselves in such a manner so we avoid
that risk of 60 to 90 days. And some of our customers are definitely reducing their time. The
people like who have done well, better, their finances as they have they have improved their payment terms. So, it's a combination of both.
But Sanjay's policy has been very clear, like we have not been taking that risk and we have the
various means of either factoring or insuring and taking it earlier. So, that's something like
Sanjay, if you want to add.
Sanjay Gandhi: No, Pallab, you have captured it right. So, our policy remains intact. I mean, I think our strategy
of focusing on getting the, bringing the liquidity into the system and also do the risk mitigation
from the post shipment perspective, it remains intact. Any new customer who is coming in goes through the same scrutiny. And Yes, this is how the process normal ly is. So, we like to liquidate
our receiver at the earliest, whether through supp ly chain financing, it is non-recourse factoring
or from the receivable factoring with the bank offer us without any recourse. Those avenues and efforts will always be

Pulkit Singhal: So, three years out, will it remain at this level or higher? I'm just trying to get aband. I mean, because there's a huge situation?
Sanjay Gandhi: It is on a combination of the customer, which is there. Some customers, you know, the shipment time may take a little longer. So, in May, you know, we may say, you know, 10-15 days can be added depending upon the mix of the customer which is coming in that total revenue or that particular quarter.
Moderator: Thank you. Our next question comes from Chinmay Khabra with MK Global. Please go ahead.
Chinmay Khabra: Yes, hi, sir. I just wanted to understand what percentage of production comes from the partner factories and how much is it from the capacity that we have inbuilt?
Sanjay Gandhi: We have given a break-up between percentage of partnership factory. We said for 13-14% is coming from the partnership and the rest is our manufacturing as we close this financial year.
Chinmay Khabra: And I just wanted to understand what is the impact on the margins when taking the partner's factory route and production being done in our own factory?
Sanjay Gandhi: I mean, we will not be sharing that, you know, in terms of the separation, but it's a part of our strategy. You know, some side will go to the part nership, some will come here. It's a, you know, a way of style which are offered to the client, to the buyer. And accordingly, you know, the rationalization takes place in line with that. So let's look at a blended margin which is existing because both co-exist.
Chinmay Khabra: So we blended a capacity of 65% which is given only for the utilization which is done at our factories, right? Not including

of the partnership factories.
Sanjay Gandhi: Including the partnership.
Chinmay Khabra: Okay. All right. And just another question regarding the demand scenario. You have, I just wanted to confirm that the holiday season is approaching. You are seeing that there is a little conservatism in terms of orders which are being placed by the retailers. Am I right?
Pallab Banerjee: Yes. For the holiday season, definitely the over-inventory situation of U.S. played a significant role. So the retailers have reconsidered it because they had inventory from the earlier years.
That's generally in the market that the situation was. And I think that's why you must have seen in the news also, like, you know, a lot of capacities are open, a lot of vendors are not doing well.
That was the main reason.
Chinmay Khabra: I understand that. Going ahead, like in the month of Jan, Feb, we have seen that the inventories for the retailers have started coming down and new orders have been started. I mean, new orders are being placed by them. So is it that the scenar io currently or are you still facing issues with the retailers placing orders?
Pallab Banerjee: So definitely, as I just mentioned, from spring onwards, that inventory situation will not play any significant role in terms of their booking. So most of the retailers are talking of exhausting that inventory, over-inventory that they had. Now going forward, whether they will buy 100

percent or they will buy conservatively and they're waiting for the market to pick up, that they don't go back into an over-inventory situation.
So as a retailer, like if I had bought 100 pieces last year to sell, so this year my planning would be to go with 85 and then see how the market is, and then buy this balance 10 to 15 close to our season, seeing the consumer's response. That's wh ere, like, near-shoring or off-shoring, that means the lead time…
Moderator: Thank you. Our next question comes from Rishi Gupta with Goldstone Capital. Please go ahead.
Mr. Gupta, we are still not able to hear you. Thank you. We move on to our next question from Vishal Prasad with VP Capital. Please go ahead.
Vishal Prasad: Hi. I have a few more questions. When we think about our industry, usually what comes to our mind is what happened in Bangladesh a few years back. So we as the company, how do we ensure that Rana Plaza doesn't happen to us?
Pallab Banerjee: If I have to answer that question, there are two aspects. One, from what's happening from our own regulations in India and how the vendors are approaching the business. And the second is, there are certain regulations which are followed by the customers also. So there have been now null a few updates where we are looking at all the building structure, the strengths. So that kind of procedure of certifications and all are prevalent in India also now.
And the key customers, the big ones are asking for that. So whether it's a gap or what-nots and all, any big customers or any organized customers when they are working with us. So they are definitely asking for that kind of

certification of the buildings and the infrastructure, the
structural strength and all are being checked.
So yes, there were a lot of focus on Bangladesh. Today, fortunately, Bangladesh is in a very
strong position. Most of the buildings engaged in our industry is following all these protocols.
The same thing has started in India as well, I wo uld say. So any new construction that is going
on, definitely the specifications are very important.
I'm not sure about the domestic market and the domestic brands as yet because from the
government of India also, I think there are a couple of conversations that I had in which they are
trying to formulate this process as of now. But for international clients, it's already existing.
Vishal Prasad: Okay. And so

what percentage of our revenue comes from fast fashion? And given that the
turnaround time is probably three, four weeks or six weeks in fast fashion. So how do we deal with this scenario? Because usually our contracts would be, we have to turn around in three to
six months, but in fast fashion, it's different. So how do we do that?
Pallab Banerjee: Fast fashion, yes, has not been termed in the last decade because it's generating too much to the environment, what's happening to the environment and all. So that's why, if you see most of the
retailers are not using the term fast fashion, like even the biggest ones like Inditex Group, their brands were really into fast fashion product ea rlier and some of the other European retailers.

So they have also taken a different strategic route. So they have become much more sustainable.
They are definitely talking about renewable energy or recycling of their products. So that
definitely is a new trend. In te rms of quick reaction to the demand situation, so that's various
solutions are being looked into and various strategies are there among the retailers.
So just like from concept to design, if they have to do in three weeks or four weeks, so that's
where like near shore and onshore is playing a very important role where they don't have the
transportation timeline. So yes, European retailers are buying a lot of goods within Europe and
so is the trend that I'm seeing in the American market as well. So how you produce that good, whether it's a quick lead time or a long lead time.
So there the supply chain has to be established. So whether it's the raw material part as well as
the manufacturing part. So that's being now looked into by most of the retailers so that it
continues to be sustainable even with a short duration of time. With us, yes, we are looking at
that both. We do a significant amount of production for Inditex Group out of Bangladesh. So
their initial orders where we are talking about establishing the raw material design and
everything.
So that would give us at least about three mo nths kind of time. But when they need the
replenishment, once that the mi ll, the raw material, fabric an d how the garment has to be
manufactured and all the approvals, that once that is in place, then they look for a quicker
turnaround, which is maybe like five weeks in place of 12 weeks. So that's something is in place.
But Yes, whatever is happening now is very, very sustainable approach has been taken by all the retailers.
So Yes, when you are asking the question about quick turnaround versus a long turnaround, if
it's from sustainability point of view, it is definitely being taken about, taken care of. So the
planning is also much more clearer now. So the customers who are looking for quick turnaround book their capacity way in advance with us. So that means our planning can take that into
consideration and then do it.
Vishal Prasad: So when we look at our partner factories, and they would be having some capacity. So have we put a cap on from our side that we will not book more than certain percentage of their capacity
available so that they are not 100% depending on us? Is there a number that we have thought of?
Pallab Banerjee: We will always be a manufacturer of our processes because see, like we take pride in that
process, how we are sourcing our raw material and how we are manufacturing the goods, the
proper good manufacturing processes or ethical pr actices. So that's someth ing is our USP to our
customer. Naturally, like the kind of customers that we are being strategic to and how we are
coming across to them, it cannot be 100% on sourcing model.
So it will be always a manufacturing. Now within that a certain percentage, we can say like
partner factories can be there where we set it up as per the requirement of the customer

and our
own SOPs. So like whatever is the Pearl SOP, so whether you are taking the goods from our
100% own factory or the dedicated lines and the dedicated capacity that I have in a partner's
factory. So for a customer, it will be the same service and the same appr oach. So that is our

endeavor. I'm not saying that we are 100% out there, but we are whatever, 70% to 90% we are in that journey. The capacity percentage to our overall turnover will always be limited to this lower number that you have been hearing consistently from us now.

Vishal Prasad: Let me say briefly, probably I was not clear. So what I was asking is we have partner factories and they would be having some capacity with them. So do we go and say, okay, we will take your 100% capacity or have we put a cap that we will not take more than 50, 60% of the capacity from the partner so that they are not fully dependent on us? That's from risk management perspective?

Pallab Banerjee: Yes. So yes, certain factories, we have an arrangement of learning their X percentage of their lines. So like if the factory or the partnership factory may have 30 lines factory. So if our commitment is for the 10 lines, so we would take care of the 10 lines. Generally, we are not in 100%.

So maybe like only one or two in some cases, like for example, the Alpha acquisition, when we were very clear that we will go in that path. So we started taking 100% capacity management of theirs. Otherwise, it's a part only. We don't want to be in 100%. Want to be way more specific? Yes. I would say in cases that what we are aware of is not more than 30 to 50% of our partner factory that we're using.

Moderator: Thank you. Our next question comes from Rishi Gupta with Goldstone Capital. Please go ahead.

Rishi Gupta: Yes. Congratulations on an excellent set of numbers. And you guys have made a very formidable business model. And I understand that you're giving that you'll be growing 15% to 20% every year in the top line. So what will be the profitability means your emphasis is on the profitability part also, like we could see in this quarter. So at the same time, you will be maintaining the profitability, or will it be higher since you're in a great mix right now and your product line event into the blended and high-end projects, products right now?

Pallab Banerjee: Our decision making is definitely the basis of the profits. So we definitely want to take the decision where we are more confident of the range of 7% to 8% at least to start with, or as soon as possible in some new projects, maybe take a couple of quarters to achieve there. But unless until we see that very clearly, as a minimum, we are...

Rishi Gupta: What about -- you will be taking some debt also, like you have decreased the debt level, or like Sanjay said, about that the current capacity is you can go for four, five years, three, four years in the current capacity only.

Pallab Banerjee: Because the infrastructure that we have with minimum investment, we can grow this is of our capacity. That means the factory, the locations, the area that we have, maybe we may add a couple of additional production lines, do a lit tle bit more automation, maybe add an extra working shed for us. So that's with that kind of thing, we can definitely do a capacity growth from 54 million pieces to almost 74 million pieces. That much runway we do have in front of us.

Of course, that doesn't mean that we will not go for a greenfield project, because with the Indian government, the initiative that th ey're talking about, we are also closely watching and looking into the opportunity. If something comes up, we will go for that as well. So which may be a greenfield project where

we would be needing capital to do something. But yes, not majorly looking into only greenfield or big projects.

Sanjay Gandhi: Just to add, Mr. Gupta, to be on your three things. One is that the 15%-20% CAGR is in three-to-four-year time periods. So we'll have as Pall ab mentioned, there will be some quarterly volatility could be there. But eventually, you know, this is what we should be able to, we are targeting it. On the margin side, we definitely would be heading towards a double-digit EBITDA. That's our target. Once the macroeconomic environment, Pall ab mentioned in his earlier speech also said, I think we should be heading towards a double-digit EBITDA kind of margin in, depending on the mixing the higher FOB, customer and the product side, we should be targeting there. On the debt side, there will be some debt taken for the, but even more of a capacity augmentation, it's a deep bottlenecking of existi ng, like, say, in one of the fact ory, we have a land which is available, and there is already a factory already es tablished. So if you have to extend it, and to make it, add 35%-40% of more ca pacity by making an extension there, we will be looking at those opportunities, which Pallab me ntioned about those things. So yes, there will be a mix of debt and equity. But as I mentioned, the overall return on capital employed has to meet a certain level, what we have said.

Rishi Gupta: Definitely. What is the dividend policy? Because I saw some document that 25% of the

Moderator: Sir, please join the queue for follow-up questions. We move on to our next question, which is from the line of Naitik Mohta with Sequent Investment. Please go ahead.

Naitik Mota: Congratulations on good set of numbers. Sir, just two questions from my side, both from the Bangladesh unit. So since the last two quarters, we have been doing low double-digit margins in Bangladesh so what do you see, are these margins sustainable and some picture on margin that we expect in FY '24. Also, what are the po wer costs like in Bangladesh in quarter four and quarter one right now?
Pallab Banerjee: Sanjay do you want to take that?
Sanjay Gandhi: Yes. So you're mentioning about the first question is about the margin in Bangladesh and its sustainability, right? So the marg in in Bangladesh, yes, it has been a double digit for us. If I look at return on capital employed for all the three fa ctories, which we have one the greenfield, which commenced, and then the brownfield, and then there is a existing factory which we're running over there, have been a good healthy margin. With efficiency and operating leverage, I think we should be able to continue to maintain those he althy margins.
As I mentioned, Pallab has also highlighted that given the uncertainty around the little bit of the demand side, inflation and interest factor, there may be a one or two quarter which is showing a challenging, but overall, as a company, we are well set in terms of achieving those set of margins,

which we have already achieved. so in a way, that's sustainable, barring macroeconomic environment, which may impact the situation for a one or two quarter at the most. That was one.
Second, you mentioned about the -- sorry, if you can...
Chinmay Khabra: Yes, so some color on EBITDA margins for FY '24 and the power cost scenario in Bangladesh?
Sanjay Gandhi: Yes, so EBITDA margin, I think in speech Pallab has covered that we are looking for sure to maintain the margin what we have achieved in this year. Of course, we always like to, as I mentioned, that our target is to reach to a double-digit EBITDA. Now, we all understand the macroeconomic environment, there is interest cost, the inflationary challenges which are there in the near term. So despite that, we feel that we should be able to ma intain the margin. Once the situa

tion stabilizes and things are really normalizing on the interest and inflation eases, I think we should be able to improve the margin on a sustainable basis from there on.
But first, foremost, is that what we have achieved, we should be able to sustain it and improve from there on. It can happen in this year, it can happen in the next year, early next year also, as the situation is on the demand side.
Third is on the power cost. The power cost in Bangladesh has definitely gone up. Now, the exact number and all I can give it to you later, you can connect with me. But yes, power cost has gone up and accordingly, we have done the costing of the product in line with that. But, as I was mentioning, so it's linked to the margin and everyt hing what the cost is going up. So inflation is impacting it, some part of the inflation we are ab le to build in the costing. However, considering the demand scenario, you have to give a certain portion and bear those costs with us. So that may have a little bit of influence on the margin in the short term.
Chinmay Khabra: Thank you. That's it from my side.
Moderator: Thank you. Our next question comes from Amit Kumar with India Capital Fund. Please go ahead.
Amit Kumar: Hello, many thanks for the opportunity and great set of numbers, sir. I just wanted to learn two things. First, basically, your debtor days have gone down drastically to 45 days. Is it a one-time affair? Or and what kind of means demand trends are there, especially from Europe and the US? And what are the cost competitive advantage your factories have got in Bangladesh and Vietnam and Indonesia? Because the tax structure is just 3% margin, what I understand. So anything additional, you can put a light on that in detail, or we can do it offline also, if you can explain.
Sanjay Gandhi: On the debtor days, I would just like to mention that, as I was replying to earlier queries as well, the debtor days has been achiev ed with a combination of getting this financing from the bank supply chain financing and the factory financing and that will continue to have it. However, as for the number of days and particular year end, it is a function of customer mix in that particular month, number of shipments which have taken place in the last month of the year, and how evenly they are distributed in the last quarter.

But overall, we look at, we should be within the range of plus, minus, plus 10 days, not 25 days to 35 days kind of debtor we should be here. So it's not a one-off phenomenon, it's a result of the earlier exercise of ensuring the liquidity and the risk management, which is really reflecting in

the number right now.
And for detailed questions on the other part of, I think we can have a one-on-one discussion also,
as may be comfortable or convenient time.
Amit Kumar: Okay. Thank you.
Moderator: Thank you. Our next question comes from the line of Rishi Gupta with Goldstone Capital. Please go ahead.
Rishi Gupta: Yes. Just one question. A document that 25% of the net profits will be given as dividend
somewhere. What will be th e future policy on that?
Sanjay Gandhi: So dividend, Mr. Gupta, we have policy which is very clearly defined that, we will be -- after
doing a careful evaluation of the growth opportunity, the working capital requirement in the
business, the dividend will be given, we definitely have a consistent policy of sharing certain percentage of profit as a dividend. However, as we're evaluating it, there are two, three factors
which we have to look at, every geography has their own expansion plan. And they may or may not have been fructified. But as long as they're working progress, we would like to just evaluate
them carefully before, going for a dividend. However, we are given the profit getting increased,
we definitely have a policy of increasing the di

vidend rate also as we go in coming financial year.
Rishi Gupta: So will there be final dividend in this?
Sanjay Gandhi: So as I said, we are evaluating, the various oppo rtunity in each country, that decision will take
two, three months' time period, by the time the AGM happens, we'll be knowing what is the opportunity and how do we want to go for an internal approval funding, or what is the best of
you know, in the interest of the shareholder and what maximize the return for the shareholder.
Rishi Gupta: Definitely. Congratulations once again. Best of luck you, sir.
Pallab Banerjee: I can say that. Definitely an important part of Pearl. So it's not that it will be only growth. So it
will be a balance always.
Rishi Gupta: Okay. That finishes my question.
Moderator: Thank you. Ladies and gentlemen, we have reached to the end of the question-and-answer-
session. I would now like to hand the conference over to the management for closing comments.
Sanjay Gandhi: Thank you, everyone. I hope we have been able to answer all your questions satisfactorily.
However, should you need any further clarification or would like to know more about the company, please feel free to contact our team or SGA, our investor relations advisor. Thank you
once again for taking the time to join us on the call. PEARL GLOBAL - Exceeding Expectations ... Always

Moderator: Thank you. On behalf of Pearl Global Industries Limited that concludes this conference. Thank
you for joining us and you may now disconnect your lines. PEARL GLOBAL - Exceeding Expectations ... Always

Call: Aug 2023

PEARL GLOBAL ....,
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PGIL/SE /2023-24/51
Date: August 19, 2023
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DEPARTMENT OF CORPORATE SERVICES
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DALAL STREET, FORT,
MUMBAI -400 001
Reg: Scrip Code: BSE-532808;
Sub: Transcript of Conference Call
Dear Sir/Madam, THE GENERAL MANAGER,
LISTING DEPARTMENT
NATIONAL STOCK EXCHANGE OF INDIA
LTD.
"EXCHANGE PLAZA", PLOT NO. C-1,
G-BLOCK, BANDRA -KURLA COMPLEX,
BANDRA (E),
MUMBAI -400 051
NSE-PGIL
In continuation to our letter dated August 14, 2023 regarding submission of audio recording of the call conference held with Investors / Analyst on August 14, 2023, to discuss Company's Un-audited financial results for the quarter ended June 30, 2023, please find enclosed herewith the transcript of the aforesaid Conference Call.
You are requested to take the same on your records.
Thanking you,
Yours faithfully,
for Pearl Global Industries Limited
(Shilpa Budhia)
Company Secretary
ICSI Mem. No. ACS-23564
Encl.: As above
Pearl Global Industries Limited
Corp. Office: Pearl Tower, Plot No. 51, Sector-32, Gurugra:m-122001 , Haryana (India)
T: +91-124-4651000 I E: info@pearlglobal.com
CIN: L74899DL1989PLC036849
Regd. Office: C-17 /1, Paschimi Marg, Vasant Vihar, New Delhi -110057
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“Pearl Global Industries Limited
Q1 FY '24 Earnings Conference Call”
August 14, 2023

MANAGEMENT : M R. PALLAB BANERJEE – MANAGING DIRECTOR –
PEARL GLOBAL INDUSTRIES LIMITED
MR. SANJAY GANDHI – GROUP CHIEF FINANCIAL
OFFICER – PEARL GLOBAL INDUSTRIES LIMITED

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the website of the company on 14th
August 2023 will prevail.

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY24 Earnings Conference Call of Pearl Global Industries Limited. This conferen ce call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen-onl y mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr.
Pallab Banerjee. Thank you and over to you, sir.
Pallab Banerjee: Thank you. Hi, good morning everyone and I welcome you all to our quarter one financial year 2024 earnings conference call. Along with me on the call we have Group CFO Mr. Sanjay Gandhi and SGA, our investor relations advisors. I hope all of you have gone through the investor presentation uploaded on the exchange and our company website. So the global macro environment is sluggish and continues to remain a challenge. Although the excess inventory situation of the big US brands and retailers is coming to an end, their sales numbers continues to be conservative.
And PGIL sales have risen marginally for this quarter. Order booking looks positive as the retailers prepare for the upcoming seasons. Our next few months sales is conservative. This is mainly because the global retailers continued their efforts to reduce their excess inventory.
Global retailers witnessed a decline in their excess inventory during Q1 of 2023 and expect the inventory position to further reduce significant

ly by current year of 2023. As an example, Gap Inc. saw an inventory decline of 27% year-on-year in the latest quarter and expects the inventory to be balanced significantly as compared to the financial year 22.
Large retailers like Walmart, Target, Costco have also lowered and controlled their inventory much better this year. This means order books for the industry will be close to normal going forward. As you know, with the backdrop of Chin a plus one strategy, it is increasing its market share along with other competing nations. There is a high likelihood of India signing a free trade agreement with Europe and th e UK, while already benefiting from the India-Australia FTA.
We maintain a confident outlook on the continued growth and traction of Indian exports in the medium to long term. The Indian government is actually working to – is actively working to promote the growth and development of the country's textile sector, implementing a range of effective and meaningful schemes over the years. Amidst the challenging economic landscape, marked by inflationary pressures and macroeconomic hurdles on the global scale, we are rapidly emerging as the preferred choice within the ecosystem of our esteemed global clientele.
This can be attributed to our distinguished glob al competitive advantage with positions as on par with our global peers. Our multinational presence, diverse portfolio of our product, robust design teams, strong parentage with a professional team and exceptional customer relationship collectively establish a strong global standing, thus making us a preferred vendor among our

customers. Our company has successfully expanded its reach to various regions worldwide with a notable presence of 23 manufacturing facilitie s situated across five different countries.
There are four big supply chains, as I have mentioned in my earlier calls. These include Southeast Asia, South Asia, the Mediterranean region, and Central America. Most of our customers and the big global

retailers do source from all of these locations. Pearl Global has been running its manufacturing plants in two of these supply chains, namely the Southeast Asia,
our plants are in Indonesia and Vietnam, and in South Asia, where we are having our operations in India and Bangladesh.
Now in COVID-19, pandemic did expose the vulne rabilities for the long tr ansits from Asian and African countries as a sourcing base for markets like US. And this has prompted US retailers to prioritize sourcing from near shore countries. This year, most of them have been in lookout for capabilities and capacities that emphasize speed and inventor y control. I'm ha ppy to announce that Pearl has started a manufacturing in Central America that is a third you know supply chain that we speak about via a stra tegic expansion in Guatemala.
Pearl is now fully equipped for this need of th e US retailers and will continue to add advantage to our customers. Pearl Global has acquired a 55% equity stake in Pearl Guatemala Holdco Limited. The existing factory, earlier owned by a Guatemalan resident and a U.S. resident, and was generating an annual revenue of $3.8 million, it was operating three production lines. Post
this acquisition, Pearl GT Holdco Ltd. will incur a capex of up to US$2 million in the subsidiary to expand the capacity up to 12 lines and which shall generate an annual revenue of US$20 million by manufacturing for our prestigious customers.
With its stable business environment and membership in the Central America Free Trade Agreement, Guatemala allows us to tap into the duty-free benefits standing out as one of the
most stable environments in the near-shore region. Having established relationships with our clients for over the last two decades, approximately 60% of our revenues are contributed by
clients

who have trusted Pearl as their apparel manufacturer for over 10 years, indicating our focus on delivering the best results for our clients at the best cost, quality, and minimal lead times.
These strategic partnerships continue to prosper as we grow while on board new customers. Last year around 70% of our revenue was from US while the rest of the contributions came from Europeans, English, Japanese and Australian retailers. The share of our non-US business is on the rise this year. As I mentioned before, our business revenue in the next quarters continues to be tight. However, we do maintain our focus for the year to be flat or slight growth. Our primary objective is to reach higher levels of success by surpassing previous revenue growth records,
which will positively impact our bottom line.
This will be accomplished through various means, such as introducing new product categories, strengthening our existing customer relationships, and to increase the wallet share, their wallet share, the existing customer's wallet share. At tracting new customers and assembling a resilient, agile and creative team dedicated to the realizing of Pearl Global's vision. With this, I hand over

this call to Mr. Sanjay Gandhi, our Group CFO, to run you down with some of the financials of Q1 Financial year ’24. Over to Sanjay.
Sanjay Gandhi: Thank you Pallab. Good morning everybody and welcome to our earnings call Q1 FY24.
Coming to the financial and operating performance of the company on a consolidated basis total income for quarter 1 FY24 increased by 5% year on year to INR894 crores. EBITDA for Q1 FY24 expanded by 140 bps year on year to 9.3% from 7.9% in Q1 FY23. PAT for the quarter
stood at INR47.4 crores versus a profit of IN R36.4 crores in Q1 FY23. Partnership factory contribution to the overall revenue stood at 16% for Q1 FY24.
Revenue for this quarter increased on account of higher realizations per unit and improved capacity utilization level as we continue to gain traction from existing customers. Margin
expanded because of an improved product mix and improved profitability from our overseas operations and on account of operating leverage kicking in. Despite the sluggish macroeconomic environment for our business, we continue to remain confident on our long-term goal of
achieving a target revenue target of 15% to 20% over the next three to four years.
With strategic allocation of capital, efficient cas h flow management and robust internal control, we are confident of delivering the best result to not only our clients but also our stakeholders.
With this, I would like to open the floor for questions. Thank you.
Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Keshav from RakSan Investors. Please go ahead.
Keshav: Hi, good morning, sir. Congrats for a very good performance this quarter. Firstly, sir, year-on-year there is a near 20% volume correction, but the ASPs have gone up to make up for it. So, can you help understand what's driving this ASP growth and how sustainable is it?
Pallab Banerjee: Yes, if you see like we do declare the results in two formats. One is the India standalone and then the consolidated result. So, I think what you ar e asking for is that India there is a decline in the number, but overall the number has gone up. Correct.

So, what has happened is we had last year, when the demands were high, we had taken certain orders in India which were supposed to be like in the long term should be produced in countries like Bangladesh. So, very co mpetitive and bulk orders whic h are much more Bangladesh friendly compared to India.
So, this year we didn't have that pressure. So, we had capacities in Bangladesh where our efficiency and everything went up. So, those

orders we had shifted back to Bangladesh for this year. So, that extra pressure that we had in India is not there this particular year and the second is that we had also undertaken another plant of ours in India to do some renovation. So, that's why like we had operated one plant less in India, a smaller plant.
So, these are two things that contributed to be a lesser revenue in India portion and overall our business that means from the customer wallet shar e it did not decrease. So, in fact, it increased and we shifted the place of production manufacturing looking at where the best benefit could be achieved.

Keshav: And sir secondly so a bit more light on how the demand scenario might affect us, so the global textile demand is just seeing some of the other headwinds for a while and any projections are getting difficult to understand. But slowdown is being seen now in multiple industries. So, what we said about conservative growth for the next few months, taking that into account and whatever visibility we have with our clients, do we still expect to do 10% to 15% PAT growth this year?
Pallab Banerjee: Sanjay, I can take that. In terms of the overall revenue number, that we are projecting to be similar to last year or maybe a minor growth. So, that's what we have been forecasting and we still stand to that forecast. In terms of PAT or the PBT bar portion, so we have been working on that to -- as our the scalability of our factories and the efficiencies that we have been achieving in some of our factories that is generating that extra benefit so that's something and plus other disciplines of financial management is giving us the growth in our PBT and PAT. So, that again like whatever focus that we have been talking about that we will maintain.
Moderator: Thank you. Our next question is from the line of Pulkit Singhal from Dalmus Capital Management. Please go ahead.
Pulkit Singhal: Thank you for the opportunity and congrats on a very good set of numbers. First question is just to understand a bit more on the seasonality aspect of the business. If my understanding is correct, second half typically in a financial year is bette r for you in terms of revenues than the first half.
Is my understanding corr ect in a normal year?
Pallab Banerjee: Depends on the region. So yes, for the India region, definitely it is the second half gets better.
Pulkit Singhal: I meant on a consolidated basis, but when you look at the consolidated revenues.
Pallab Banerjee: Yeah, to a certain extent, yes.
Pulkit Singhal: Overall, that's what we called out in the last.
Pallab Banerjee: Yeah.
Pulkit Singhal: Now in that context, and given that second half of last year was also a very soft base for you where you were knocking INR700 crores out of revenues. And lastly, given that even one of the competitors has called out the seco nd half will be much better. You can already see that in the order books in terms of growth rates and given your opening commentary as well. Given that you've delivered already 5% revenue growth in 1Q, which was the most challenging quarter, why would the full year be anything sort of double digit revenue growth?
Pallab Banerjee: I would say that what I'm seeing at this point of time from the U.S market is still has not kicked in the growth that we are talking about or we are expecting. Most of the retailers have been balancing out their excess inventory. So, that part is becoming better. But so far, still they're very conservative in terms of their buying.
So yes, we continue to project that there will be a growth, but may not be a big amount of growth.
So, that's why we have been saying that, okay, it will be flat to a little growth. What we're seeing

is that like for us, the Q1 revenue has been good, Q2 overall revenue again soft or similar to last year. But then from Q3 and Q4 we will see a little bit more bouncing.

Pulkit Singhal: Yes, exactly. I mean Q3 and Q4 because your current order book would be for Q3, if my understanding is correct already. Have you filled up your Q3 revenues, I mean your order book?
Pallab Banerjee: Yes. So you see, that's what I'm saying. If you l ook at the full continue full year, so from that, we are still positive. We will be definitely s howing some growth. But to what extent, I would like to go conservative because of what I'm se eing in the current market scenario. So, I'm not over-elated to say that, okay, we should be having a double digit growth and all as of now. But as the number comes in, as the number picks up, definitely we'll keep the market informed.
Pulkit Singhal: Thanks. And secondly, if you could just call out what is the forex loss for the quarter in the other expense?
Sanjay Gandhi: So, let me just explain. So the forex this loss is actually, this is always the translation loss. We have the accounts which are maintained in Vietnam currency, Bangladesh currency and then they get translated into Hong Kong in U.S doll er and then U.S dollar to INR finally. So, there are multi-layer of consolidation. So, it is all unrealized currency translation loss which is on the balance sheet item which is sitting that really is there otherwise on a currency basis we don't have any situation for loss as such.
Pulkit Singhal: Right, but you account for that in other expenses my understanding?
Sanjay Gandhi: Yes, yes, you are right. So, there is a hedge accounting principle which is supposed to be followed. It goes into three heads so I mean if you look at I just give for the sake of time I I'll give you three components. Some part of it goes and gets clubbed with the sales. As long as the hedge contract, what you take is linked to the sales contract. There is a certain portion which goes to other expense, and there is some portion which goes to OCI. So, depending upon the nature of the forex gain or loss, it gets categorized accordingly.
Pulkit Singhal: Understood because last year, there was a huge loss setting for the full year in the other expense. And I was just wondering what is the repeatability of that expense on an annual basis, I mean let alone from a quarterly basis. But if I look at things annually, this year, next year, etcetera, do you expect that quantum of loss to continue?
Sanjay Gandhi: I don't think there will be any loss given the fact that the currency is depreciating overall. As I mentioned that the loss which arises is on ac count of the currency translation because of the multi-layer currency which we operate and multi-layer consolidation which takes place on the balance sheet item. On the P&L side, on the real transaction basis, there has never been a loss because we have a currency which is depreciating and all our revenues are denominated in US dollars.
Pulkit Singhal: I will try to take this a bit offline, but thank you for answering my question.
Moderator: Thank you. Our next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: Congratulations, sir, on a very strong set of numbers in a difficult environment and thank you for the opportunity. Sir, I was going through your geographic al split that you have given segmental. So, what I observed is last two quarters, Bangladesh was in around 10% PBIT margins and now it has come back to its 5%, 6% margin whereas Hong Kong and Vietnam has seen significant growth and profitability. Is there a seasonality to this sp ecific geography running the business or we are seeing a more consistent lev

el of margins from here on?
Sanjay Gandhi: So I'd just like to mention that you're referring to the segment re sult. In segment result, there are lot of intercompany elimination which takes place and it vary quarter-on-quarter basis. So, that may not be clear true reflection of the profitabil ity which is there in that particular country.
Reason being that you know there is some invoicing which we have to do from Pearl Global Hong Kong and then Pearl Global Hong Kong and the respective country will have the inter-company elimination there.
In some quarter it may be more, some quarter it may be less and it varies from the customer-to-customer basis. So, that may not be true reflective of what profitability is there to compare on a quarter-on-quarter basis. So, it is a bit longest concept to explain in terms of the segmental reporting. I can take up your ques tion later in detail if you woul d like to understand a little more about how does the overall revenue transaction of the Pearl is structured for a better understanding and appreciation of the segmental accounting.
Vignesh Iyer: Okay. I will surely contact you post this call to understand it. Bu t just to understa nd is this every geography a profit center in itself or it is more about profitability at a company level?
Sanjay Gandhi: So, yeah we have a profit center for every geography like Bangladesh is a different profit center and there is a separate legal entity which operates in there. Vietnam is separate, Indonesia is separate and India is separate. So, every country has a separate profit center and the tracking and MIS and management information and evaluation of those countries happen on that basis only.

Vignesh Iyer: Yeah, but they don't invoice, I mean between geographies on cost value it is invoiced at market
value only, right. I mean to ensure that that geography is making th e profit as if it is selling in
the open market.
Sanjay Gandhi: That's why I mentioned there is some technicality around that, about the intercompany and then
customer requirement also comes into play and th at all is combination is put together and of
course as you rightly mentioned there are transfer pricing regulations which require a
compliance and that are adhered to and thereafte r this entire transaction is given effect.
So, for better understanding I think it will require a little more on discussion about how the transaction structure is there given
the particul ar requirement of the customer and therefore
looking at a segmental result, it may not be cl ear indicative of the profit potential of that
geography itself.
Vignesh Iyer: Okay, I will probably contact the IR and I mean set up something. Okay, sir second question is
just to understand what would be our tax rate for this year at consolidated level?

Sanjay Gandhi: So, effective tax rate you know given so that's another point which is pertinent to the first
question also which I wanted to elaborate later. But I just give you the effective tax rate
percentage which is on a consolidated basis for us given that Vietnam has a different tax slab which is on to lower tax regime
and then there is a separate taxation rate in Hong Kong,
Bangladesh, Indonesia and India.
The blended rate changes as per the profit percentage which is accruing in the different country.
However, we feel that 16% to 18% is something which should be the effective rate for the
company as a whole. In some year it may change depending upon how much the profit is lying
in overseas but on an average basis when we look at it when we prepare our budget and forecast
the blended rate comes to around 16% to 18%.
Vignesh Iyer: Okay, I understood. Sir one last question, our Guatemala facility, I mean, when would When
would the capex start and expected to have a full facility ready fo

r production?
Sanjay Gandhi: Pallab would you like to take this?
Pallab Banerjee: This investment has started already. So we are at this point of time in process of expanding the
lines. We will do it in phases and as our clie nts like the bigger clients, would be placing the
order. In fact, the first order has already started manufacturing there as I speak. So, this will see
that growth, both in terms of the capacity and that's how the capex has been planned over this
one year.
Vignesh Iyer: I mean if you could just give a timeline to this phase, if possible quarter wise a rough number
will do, I mean about the quarter.
Sanjay Gandhi: If you're asking about the capex amount sorry, you are asking about the capex amount?
Vignesh Iyer: On phase wise, when it will be spent just to get an idea.
Sanjay Gandhi: Yeah, sure, sure. So, this year when we are talking in August 23, I think by the end of March 24,
we would have incurred at least 25% of the capex on this facility and going into next year, FY24-
25, we expect within 6 mo nths of next financial ye ar, this quarter 1 and quarter 2, as the facility
scale up, we will be starting incurring and I think completion should happen around quarter 2 or
quarter 3 of next financial year.
It is all about how quickly and how fast the fa cility or the existing phase wise capex start
generating the return which we are looking at it and it can be accelerated also depending upon
the traction which comes from the customer. It is all in our hand in that sense.
Vignesh Iyer: Okay, okay. Thank you, sir. That's all from my side. All the best.
Sanjay Gandhi: Thank you.
Moderator: Thank you. Our next question is from the line of Narendra from Robo Capital. Please go ahead.
Narendra: Yes, thanks for the opportunity and congratulations on a good set of numbers.

Moderator: Sorry to interrupt. Mr. Narendra, may we request you to use your handset please?
Narendra: Yeah, so my first question would be regarding th e situation in the overseas market. So, when is
it expected to normalize like you have a medium term revenue guidance of 15-20% so when
could we see that coming up?
Pallab Banerjee: So, situation across the globe is conservative at this point of time, but if I have to break it down
region-wise, till last year, the markets like Europe, Japan, Australia were much, much more conservative compared to U.S.

So, U.S. was really very, very highly charged and they were really in high demand and because of that happened because of the logistical delay that was
happening in 2021.
So, that's that resulted in a excess demand from U.S and we saw a lot of high demand situation
whereas the other countries other regions that means your UK or Europe continued to be
conservative. They were just starting the war so th at definitely they were very, very conservative
at that point of time. Even Aust ralia and Japan, post-pandemic, have been conservative in the
whole period of 2022 if I have to look back.
What I'm seeing now is that these other markets are normalized. They are like Australia or Japan,
Europe and UK. So, they are much more normal at this point of time, whereas U.S landed up with a huge amount of extra inventory because they were so bullish in 2021-22 period. So, when
they placed so much of business and then the market became slow for them when the goods arrived. So that generated extraordinary, I would say, negative demand for the US. So there most of the retailers were buying almost like 30%, 35% less compared to what they would buy, even
more than that.
So for them to come back to normalcy, we expected that from spring to summer season, they
should be coming back into normalcy. But you see, what was happening is that they had two
things. One, extra inventory, that excess inventory that they were carryin

g. And second, the market continued to be slow. So those markets have yet started buying aggressively, or buying,
I would say, not 100% normal. So from a 30% to 40% dip, they are now coming back into about
10% to 15% dip.
The other thing that happened in US market was a conscious shift towards near-shoring. Most
of these retailers have kept a budget of at least about 5%, 7%, 10% of their total sourcing. They
try to source now from the near shoring. So this two reason would be responsible for some
amount of glut in the Asia market from the US. So you see like, if I look at overall where US is
going conservative for Asia, the other markets are coming back to normal.
Now if all the markets fire in the same pace or come back to a normalcy, then we will see, a
growth further in India as a whole that we experienced in 2021-22. So that's something I think
might take another two seasons, but it is going in that direction.
Narendra: So the Guatemala acquisition that you have done so that that should help us all part of the
problem in the US, right? PEARL GLOBAL ....

Pallab Banerjee: Yes, see Guatemala is a new acquisition for us. We have taken a very small unit as you have it's
ever running only about three Production lines and we are ramping up to 12 production lines.
Guatemala is a small country, compared to the Asia, the kind of factories that we have in India, Bangladesh or Vietnam, this is a smaller operation. And for us also, it's a new country. As we
go in, as we establish ourself and then we grow. Yes, from the US customers, there's a huge push initially and there're a huge attraction for them.
In fact, all my US retailers have already visited the Guatemala plant. All of them, I think 50%
of them, has already placed me confirmed orders, but not to the comparison of your India and Bangladesh or Vietnam numbers that we do out here, but the capacity that we have built up that
we are seeing a good traction out there. And yes, we will be growing that as we get more-and-
more hold in the near shore country of Guatemala.
Narendra: Okay, so there is scope for more expansion than what you have budgeted right now, right? If I
am not wrong, you mentioned…
Pallab Banerjee: There are two ways the expansion can happen. One is by direct capex and the other one is also by outsourcing. So as you know the Pearl, we do have an expertise of doing both. So, we don't do 100% like in countries where it allows us, where the ecosystem ex ists to do more outsourcing.
So, we'll capitalize on bo th. So, yes, it's more to come. It's a new start as of now. So, we will be
going carefully. We'll not make any mistakes. That's the first goal. And then ramp it up, grow it
up.
Narendra: Okay. So just a clarification, you said the revenue potential of that facility is $20 million, right?
Pallab Banerjee: Yes, as of now we have planned up to that much.
Narendra: Okay, and any idea when could we see that coming up in our profits?
Sanjay Gandhi: We have mentioned in the press release that we are expecting post our complete capex is done in the next two years to three years we should be able to reach to that level.
Narendra: Okay, and the first year utilization, if you could say, something for next year maybe?
Sanjay Gandhi: So let the first the capex will happen, I think we can keep on updating in our quarterly call as
the progress happens in Guatemala as to what's the capacity utilization we are looking at because it's also a function of the product mix, customer mix and acceleration which takes place. We'll
keep you updated on that.
Narendra: Okay. And just one last question regarding the margin. So, is the current margin number

sustainable?
Sanjay Gandhi: The margin, which, see the comb ination, the mix of the revenu e with that kind of a mix
continuing, yes, it is sustainable in that sense. We have given

in this year of challenges which Pallab has already mentioned about the conservative. We have initia lly said in this year we will
be able to maintain the EBITDA ma rgin what we had last year despite all the challenges. We are

maintaining that guidance till now. Our endeavour is always to make an improvement on the top
of it.
Narendra: Okay. Thank you so much and all the best.
Sanjay Gandhi: Thank you so much.
Moderator: Thank you. Our next question is from the line of Rishabh Shah from Global Securities. Please go ahead.
Rishabh Shah: Yeah, hi. So thanks for the opportunity and congrats on a good set of numbers. So I have two questions. First is, what are our average turnaround times for our current factories in different
value chains, if you can give some, like put some light on that?
Pallab Banerjee: Average turnaround time of manufacturing, or setting up a unit?
Rishabh Shah: Manufacturing.
Pallab Banerjee: So, we do seasonal, like you know, most of our in the apparel manufacturing, the orders come in seasonally, that means you can say four quarters. So, each quarter will have, although like the quarter time period may not exactly match to the financial quarter that we publish, but yes, 4x
inimum most of the US customers do place the business. The Europeans try to do it maybe 5x
to 6x in a year, and there are certain fast fashion retailers like the Inditex Group which has got
Bershka and Zara, or like S. Oliver and Mango. So these kind of customers do take more than
that. They go up to eight to 10 cycles of buying as well.
And for us, we have to produce within that timeline. So depending on the customer, we do have
a timeline which ranges from 140 days to even as less as 50 days, or 40 days also.
Rishabh Shah: But for blended it is somewhat if you can...
Pallab Banerjee: Blended you can say best is best is about anywhere between 4 to 5 times in a year.
Rishabh Shah: Understood. Thank you. Thank you for the detailed answer. Next question is how is the company planning to reduce its environmental impact? So co nsidering a lot of major apparel retailers have
turned to sustainable practices and what is ou r company doing to adhere to these strict ESG
norms?
Pallab Banerjee: So definitely, we had and always continue to evolve our plans on the sustainability front. So, I am proud to say that today, like you know, one of the measures that most of these Western retailers keep track on is, they call it as Higgs index. So, our score in the Higgs index is much
better than the global average of the manufa cturers of apparel. So that continues.
We continue to invest. Some of our units use solar power and more are going in that direction. So at various phases, whether it is the sustainable energy or the conservation of water or
recycling. Most of the water that we use across all our plants, we have STP and ETP where we recycle that water. And that has been continuing.

Yes, to the accuracy of what kind of recycling, how less is a discharge, that has been improving
every year. In fact this year we are doing our little bit of investment in the washing units of
Bangladesh where we want to conserve almost about 85% of the water. So that those kind of
exercises we continue to do and that's the advantage that we always have from our customers
which who appreciate this and we work very closely with their goals and in fact help them to achieve their goals by being completely sustainable at our end.
Rishabh Shah: Understood. Thank you so much.
Pallab Banerjee: I think detail-wise, we should be publishing in our annual reports, like we continue to update
what we're doing.
Rishabh Shah: Understood. Thank you so much and all the best.
Pa

llab Banerjee: Thank you.
Moderator: Thank you. Our next question is from the line of Navneet Bhaiya, who's an individual investor. Please go ahead.
Navneet Bhaiya: Hi, Pallab and congrats for a great set of numbers. I wanted to know what's the revenue split between your

large format stores and the higher fashion speciality retailers as of now?
Pallab Banerjee: We do have both. In fact, we do supply to the large format retailers, we do supply to the brands, which are national brands in the US, and then we have specialty retailers. So we have, you can say that the combination is all th ree. So example, the large format retailers would be like Kohl's or a Walmart, so that kind of customer that we have. Those are like large format retailers. Then we have brands like Tommy Hilfiger, Calvin Klein or Polo Ralph Lauren, this is the brands who have their own retailer also specialty retail plus they supply big volumes to all these large retailers. And then the third one is the specialty re tailers, like Gap, Old Navy , or Aritzia, or this kind of brands like American Eagle. So all three combinations are there. Now in terms of percentage breakout, I would say large retailer would be, large format retailer of US and Europe combined should be about 50% of ours.
Navneet Bhaiya: Okay, and the have been 50 to 60 split?
Pallab Banerjee: Roughly Yes, approximately I may not be 100% correct because these numbers fluctuate season on season. But my rough estimate would be about 50%, yes.
Navneet Bhaiya: Okay, so any progress that we've had as a company over the last three, six odd months in terms of developing, new high fashion retailers as our customers?
Pallab Banerjee: Yes, we continue to do that. We have been at it. So many new customers, we have been trying to develop and have developed also, in this last couple of years and that share continues to improve and increase.
Navneet Bhaiya: Okay, so any specific name that you could call out that you've added maybe in the last six odd months?

Pallab Banerjee: Over the last two years, if you talk of, there are players like Chico's, then we have players like the S. Oliver's or some of the Gary Webbers and other many few others like which we're continuously in discussion with and starting to work with. So there are various brands like even we have started our own operation as a licensee and branding.
So that also has is taking off at this point of time. So there will be higher end brands that you'll see more and more. And when I'm talking about large form retailers, I'm talking about the global. When I talk of 50% is not only US, so we have in US like people like Macy's and Walmart and the Kohl's. Similarly, we have in Europe.
We have the George at Asda or the Primark and in Japan, I have Muji, they're also a grocery and become big store, big format store and same in Australia, like I work with, but you see like no, I have tried to split the risk across the globe. So not only exposure having purely, when I talk of 50% exposure to the la rge format retailer, it's not in US only.
And so, if you want to say that okay, Muji or a Japanese customer can be a specialty retailer because they have dealt like that, that can be done. But yes, either how you want to do the classification more from the financial point of vi ew or from the product, the inventory we are sending to them.
Navneet Bhaiya: No, I would suspect, last when you organized the plant visit, you had mentioned that developing your brand customers is obviously more difficult , but it's more sticky and may offer a better margin for your products as well. So I was just trying to understand from that perspective?
Pallab Banerjee: Yes, so there are customers like you know Next, there are customers like the speciality ones, I just mentioned like Chico's or Red Sea or

some of the others. Like we are continuously in discussion with and are either we are starting, we had just started and some of them like we have increased our percentage here. So that continues to happen.
Navneet Bhaiya: So roughly as you mentioned, the split is about 50-50 right now, roughly?
Pallab Banerjee: If you talk of large format store across the globe, yes.
Navneet Bhaiya: Understood and in again high-specialty retailers, how are the progress b een in getting to the higher-end like, may be I don't know, I am just taking an example, like Hugo Boss or Karl Lagerfeld, the ones which are more premium? How has the progress been in that?
Pallab Banerjee: We do that. We supply to Hugo Boss or Brook s Brothers and those kind of customers. We are supplying but they are buying and the numbers are smaller. The production runs are smaller, the efficiency goes down, margins are better but it's al ways risky because if you see over these years, like they are much more vulnerable like, when something happens like pandemic or anything happens, the vulnerability of these brands is the highest. So that also, like, always we keep a check on that, on their financials and how they are doing.
Navneet Bhaiya: On those calls?

Pallab Banerjee: So yes, there is a whole set of, we have our Indonesia plant is very, needle specifically high or the Vietnam, some of the customers, we have are very high needle. So these are all full of this kind of brands as well. So yes, so we do cater to that. Even in India also, we have started some of these high-end retailers, specialty brands as of now. And so is in Bangladesh. Like we do ship to, we did ship to Everlands and other customers like that at higher end from our Bangladesh as well. So that continues but the percentage would be always smaller because that's how we continue to get and as me and Sanjay have mentioned repeatedly in this calls like we ta ke pride that in terms of how we manage the business is almost like 98%- 99% of our revenues are always insured in terms of either factored or insured. So that te lls us the financials of our customers always. So depending on that, like when it is really grow with those kind of brands , we will do. As of now, we definitely maintain a balance.

Navneet Bhaiya: Okay, so do you have a target in mind, the medium term where you would want this company to be or do you think 50%- 50% is a good percentage split to have or do you think, it should go higher in one vertical?

Pallab Banerjee: Our business share will be split across the regions because what I have seen in this last couple of years is that, even the region-wise, we see a variety of the variation and demand. And also, the way they are functioning or the risks that they are taking. So I definitely want to split, like I said like, till last year after th e pandemic the US share went up so high, we were almost 70% exposure was in the US. So definitely this year like the first of all the balance has to happen between US and the rest of the world and then comes this kind of format of retailing and I would always like to have a balance between the large format and the specialty retail and also the brands. Because that's like how you control. Some of the time, the national brands do really well in the US. When the retailers don't want to take th eir own risk, they would rely on these national brands. And the other time, they would, when things go fine for them, when their inventory is in control, they really push for their private brands. So then my share in this format retailers would go up at that point of time. So that's the variables that we have in our business. And we like to control them as much as possible for our strategy and our benefits or other goals like I told you the risk goals that we have.

Navneet Bhaiya:

Understood. Thank you so much for your resp onses, sir, and all the best for your future.

Pallab Banerjee: Thank you.

Moderator: Thank you. Our next question is from the line of Himanshu Bisani from Niveshaay. Please go ahead.

Himanshu Bisani: Thank you, sir, and congratulations for the good set of numbers. Sir, on the business segments of large fashion stores, large format stores and high fashion retail, is it possible to give a margin difference between these segments?

Pallab Banerjee: No, we don't do that because you see, I don't know, most of our facilities do multiple brands and multiple segments. So I would like to track the performance of my individual manufacturing units and the individual businesses. That means, as Sanjay explained earlier, we have these five regions. So, five regions are profit centers. So, there will be mix in each one of them, which will be ideal for them, for particular.

So, yes, we have an exposure, we have these customers, and ideally like I should have a control over how much percentage of the mix would be ther e within those. So that my profitability goal is there. So you may have one particular customer , let's say at a very high end, where the margins are high, but the volumes would be less and the risk could be high again. So that's something, I don't think worth mentioning or going into that kind of detail. Unless until like, I don't know, like what was the objective of going there?

Unless until, I think my first prio rity would be to make sure that each of my business units or SBUs are profitable and tracking us by the goal. So that's how we use that. Sanjay, you want to add?

Sanjay Gandhi: No, Pallab, you are very right. We are tracking every business-wise profitability at the profit center and there is always a combination of the flexibility, fungibility which is lost and it's all a blended return which we are looking at from the asset which are invested across geographies.

Himanshu Bisani: How are the business dynamics between them currently? I'm assuming that large format stores are much more economical and with high inflation they must be better with the demand than compared to the high fashion reta ilers. Am I assuming correctly?

Pallab Banerjee: See, large format retailers are definitely they drive the volume and the turnovers for many companies. So, when we do compete with the large format retailers to book our business, then we compete with the biggest of the world. So that means the biggest companies from China or

Taiwan or Korea or Vietnam and Bangladesh. So we have to compete with them.
So naturally the competition is high and the ma rgins get much more competitive. But when you go for a small retailer, a small hi gh fashion brand, so then the competition is less at that point of time and we are looking for a particular look or a particular fashion or a particular fabric. So they are very nit-picky, they can be really like slow in their decision making and really going trying to do something different. So it's a mix. So definitely you need both to run effective operation or a large-scale operation. You need the large retailers also and for the smaller ones or the specialty ones as well.
So that's how we look at it as these are various levers that we have in our business which we use to generate the maximum return for our invest ors and profitability for each of our units.
Moderator: Our next question is from the line of Pulkit Singhal from Dalmus Capital Management. Please go ahead.
Pulkit Singhal: Thank you for the follow-up. My first question is on margins itself. I mean, we have now done eight and a half to 10% kind of margins in the last three quarters, whic h honestly, I mean, in

such a demand environment, in a low demand environment, that there will be higher competition intensity and you're opera ting at 60%, 65% utilization is quite commendable.
But whenever the demand rise, and let's say next two, three years, and you scale up the business from INR3,000 crores to whatever it be, INR4,000 crores, INR5,000 crores, shouldn't this only go up because of higher utilizations and lower competition intensity or do you anticipate a scenario where a very significant adverse product mix can also impact it?
I'm just trying to see what would be the determinants over the next two, three years. And can it easily be into well into double digits margin?
Pallab Banerjee: Pulkit, I think all the conversation that we ha d and thank you for asking these probing questions.
I told you, like, you know, we are trying to create a very healthy business model. It's not skewed to only one or two or customers or one kind of customers or one kind of region or one region.
So the business model that we are adopting at Pearl has to be very healthy and robust and definitely the first objective was to mitigate al l kinds of risk and then use these levers to maximize both the volume and the profitability. So I think that's the journey that we have undertaken and that's the kind of you know the processes that we are putting across.
So yes if the market opens up if like you know all the markets are firing at the same rate then definitely Pearl will have a very good time I think with this kind of business model that we have been able to set up even in this tough co nditions. That's how I would like to see it.
Pulkit Singhal: I understand, yeah. And in terms of the hiring plans, typically, I mean, even if you have to fill in capacity, you have to hire up front and train up front before the actual demand comes in, with capacities in place. So, when I, if I look at the hiring plans, how have that changed? Are you starting to, because there's a general rate of attrition that anyways happens every quarter, are you now starting to hire more aggressively or how has your hiring plan changed in the last three-four quarters?
Pallab Banerjee: Two aspects to it. One is the executives and the decision makers and the middle level and upper level management. So that across all our locations is stable and we are hiring more and we are continuing to grow because we have a growth plan as we have discussed. So the other part is in the factory, the number of workers.
I think that we are quite stable in all locations apart from India. India as a country has got a high turnover. I think also because most of our factories are also in the region where it's like the oldest region like Gurgaon or Bangalore and Chennai and all. So where there are a lot of industry is there. So the turnover is high. We are almost having an attrition of I would say plus 6% plus this month of time.
So that's giving us also you know a benefit when it happens of this kind of slowdown that happens. Then I don't have to retrench people, I just have to wait for two months and already I have lost 12% of my workforce. But that's those are the things that we are seeing and observing.
In other regions where if I also look at from economy part or the ecosystem that we have in a Vietnam or Bangladesh, when this comes down , my facilities have be en very vulnerable.

It's in India like we have to be careful and as I told you repeatedly like India is growing at this point of time. The system is still under de velopment not as developed as Vietnam and Bangladesh as of yet.

So that's where we have to be much more careful in particular. Many as -- I don't see much of challenge as of now to ramp up in a short notice.
Pulkit Singhal: Okay. And given that the second half, as you said, I mean, is a be

tter season, seasonality aspect
INR880 crores, INR900 crores kind of fund rate that you have done already delivered in Q1, can one expect that rate to continue or there can be significant changes in that?
Pallab Banerjee: As of now, the indications look like it should be in that direction, unless and until something happens globally, something that we can't foresee as of now, but it looks like it's in that direction.
Pulkit Singhal: Lastly, this is the capex. If yo u can call out what will be capex for this year and where all will that be going, if you can split it up?
Pallab Banerjee: So we have a normal budget of capex that continues to grow in terms of upgrading our machinery or upgrading our sustainability e ffort. You know, one of our facility where we ha d land, so we are growing, we will be adding new machines. So those are the things that we have undertaken.
So no major capex as of now. We might go for one of these schemes that Indian government is coming up with, but that's still under discussion.
Moderator: Thank you. Ladies and gentlemen, that brings us to the end of our question and answer session.
I would now like to hand the conference over to Mr. Pallab Banerjee for closing comments.
Pallab Banerjee: Hello. Yes, Sanjay. Yo u want to take that?
Sanjay Gandhi: Yes. Thank you, everyone. I hope we have been able to answer all your questions satisfactorily.
However, should you need any further clarification or would like to know more about the company, please feel free to contact our team or SGA, our investor relations advisor. Thank you once again for taking the time to join us on the call.
Moderator: Thank you. On behalf of Pearl Global Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. PEARL GLOBAL ....
Exceeding Expectations ... Always

Call: Nov 2023

www.pearlglobal.com Pearl Global Industries Limited
Corp. O■ce: Pearl Tower, Plot No. 51, Sector-32, Gurugram – 122001, Haryana (India)
Tel: +91-124-4615000 l E: info@pearlglobal.com
CIN: L74899DL1989PLC036849
Regd. O■ce: C-17/1, Paschimi Marg, Vasant Vihar, New Delhi - 110057PEARL GL§BAL
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In continuation to our letter dated November 9, 2023 regarding submission of audio recording of the call conference held with Investors / Analyst on November 9, 2023, to discuss Company's financial results for the quarter and half year ended September 30, 2023, please find enclosed herewith the transcript of the aforesaid Conference Call.
You are requested to take the same on your records.
Thanking you,
Yours faithfully,
for Pearl Global Industries Limited
(Shilpa Budhia)
Company Secretary and Compliance Officer
ICSI M. No.: ACS-23564
Encl: as above

“Pearl Global Industries Limited Q2 FY-24 Earnings
Conference Call”

November 09, 2023

M
ANAGEMENT : MR. PALLAB BANERJEE – MANAGING DIRECTOR –
PEARL GLOBAL INDUSTRIES LIMITED
MR. SANJAY GANDHI – GROUP CHIEF FINANCIAL
OFFICER – PEARL GLOBAL INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good morning and welcome to Pearl Global Industries Limited Q2 & H1 FY24 Earnings Conference Call.
This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involves risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the confer ence call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Pallab Banerjee – Managing Director, Pearl Global Industries Limited . Thank you and over to you, sir.
Pallab Banerjee: Thank you. Good morning. I welcome everyone to our Q2 and H 1 of Financial Year '24 Earnings Conference Call.
Along with me, we have our group CFO – Mr. Sanjay Gandhi and SGA, our Investor Relations Advisors . I hope all of you have gone through our Investor Presentations uploaded on the Exchange and our company website.
I'm happy to state that our H 1 Financial Year '24 revenue is better and has seen a formidable growth as compared to the previous years. This growth is attributed to the improved performance in Bangladesh and Vietnam operations. The demand scenario in the US still remains muted, with the lead to retailers liquidating their inventory during this holiday ' 23 season and controlling their new purchases for spring summer of 202 4 season at this moment. This could pose a short -term dent in the demand, thus leading a comparatively muted growth in the second half of our year. However, our multinational presence both for the manufacturing and sales, our diversified product offering , robust design, and our strong customer relationships has put us in a better position globally, making us a preferred vendor to most of these customers .
Our new manufacturing setup in the Central America and relationships with the existing and prospective strategy customers will help further in our growth trajectory. The overall long term industry prospects looks positive with the possibility of UK and EU , European Union FTA with India and the extension of the ROCTL scheme for the post March 2024 period. This should boost the Indian exports for the garment and textile industry. Overall, Pearl Global has also been able to offset the impact of this demand slowdown because of the business, which has been rerouted from China under the China Plus One policy , followed by the large brands and retailers across the globe .
Our company has finalized a dividend policy where when, we will be declaring a dividend of at least 20% of the consolidated profit after tax in a given year to our shareholders. The B oard of Directors of the company have declared a second interim dividend, which is also a special

dividend of Rs. 12.50 per equity share for Financial Year '24 considering the continuous improvement in the business of entire group over the last few quarters.
On the other hand, ICRA has upgraded our long term and short -term credit rating from ICRA BBB+ to ICRA A - and from ICRA A2 to ICRA A2+. The rating upgrade factors in the consistent healthy performance of Pearl Global over the last two years, despite the evolving demand slowdown in the US market or other key markets . And also, amongst the , in between the inflationary pressure which is affecting the discretionary spending of our customers.
With this backdrop of global macro challenges, we are focused on the geographical diversity in our custom

er base. And we feel that this should help us to maintain our overall business share and the operational efficiencies that we strive for . Bangladesh as a country has their wage revision, their wage board has proposed an increase in their minimum wage. This happens once in five years. The country is due for elections in January 2024. So, there is a condition of protests, which is creating some disruptions at various locations of Dhaka . While three of our factories had no disruption, and working smoothly, one of the locations where one of our factory is located, we are seeing some protests . It continues to work , but we did let go of our workers on certain days or declare a closure on a few days if there is a concern of safety of our workers .
So, that's the update from my side, I would now like to hand over the call to Mr. Sanjay Gandhi – our Group CFO who will run us through the financial performance of the company . Over to you Sanjay.
Sanjay Gandhi: Thank you, Pallab . Good morning, everybody and welcome to our quarter two and H1 FY24 Earning Conference Call .
Coming to the Financial and Operational Performance of the Company , we have reported the

highest ever H 1 performance, like Pallab had already mentioned that to mark our continuous improvement in performance, we have announced a special dividend of Rs.12.50 per share, which is 1 25% of the face value. This will amount to a total cash payout of approximately Rs. 27 crore s. We have received a total dividend of approximately 10 crores from our overseas subsidiaries, which is being used to pay out this special dividend as well.

On a consolidated basis H1 FY24 revenue grew 8% year -on-year to Rs.1,854.8 crores on account of better product mix owing to strong order book for outwear products products improved capacity utilization in Vietnam and Bangladesh. H1 FY24 includes revenue of Rs.72 crores from integration of A lpha, which was not part of consolidation in H1 FY 23. Adjusted EBITDA margin excluding the ESOP expenses stood at 8.8% for H1 FY24, which was 180 bps higher year-on-year. ESOP expenses for H1 FY 24 stood at Rs. 2.9 crores , H1, FY 23 had no ESOP expenses. Finance cost for H1 FY 24 increased from Rs.31.3 crores in H1 FY 23 to Rs. 43.5 crores in H1 FY24 on account of increase in factoring cost for receivable financing . PAT for H1 FY24 stood at Rs. 86.3 crores versus Rs.62.3 in H1 FY 23. EPS was Rs. 40.5 in H1 FY 24 versus Rs. 27.5 in H1 FY23 .

For quarter two FY 24 our consolidated revenue grew 12% year -on-year to Rs. 960.6 crores from Rs.860.3 crores in quarter t wo FY 23. Adjusted EBITDA margin stood at 8 .3% which was 2 20 bps higher year-on-year. PAT grew 51% from Rs.2 5.9 crores in quarter t wo FY 23 to Rs. 39 crores in quarter t wo FY24.

On a standalone basis , revenue for H1 FY 24 stood at Rs. 476 crores versus 628.4 crores in H1 FY23, a decline of 24% year-on-year. This was on account of shifting of sale s for customer to competitive location like Bangladesh . This helps us increase our revenue in Bangladesh owing to our multinational presence . Hence the overall impact is neutral from the group revenue perspective. The revenue was also impacted by reduced demand from a few customers owing to meet demand environment. We are in discussion to add 2-3 strategy customers in India. A djusted EBITDA margin for H1 FY2 4 stood at 6.2% versus 6.1% in H1 FY23. PAT stood at Rs. 12.8 crores versus Rs.23.6 crores . For quarter t wo FY 24 revenue dropped 23% year-on-year to Rs.218.5 crores versus Rs.300.5 crores . Adjusted EBITDA margin stood at 4.2% and PAT was at Rs. 1.2 crores .

Our strong performance is reflected with our strengthening balance sheet . On a consolidated basis our net worth as of September 23 stood at Rs. 753 crores , gross debt declined to Rs.3 74 crores versus Rs.448 crores as on March 23

. Next year it should improve to 0.04 times from 0.21 times as on FY 23. Return on capital employed calculated on T TM basis stood at 30.8% . Margin money earmarked at LC payment is excluded from c apital employed calculation . Net working capital days on T TM basis , trailing 12-month basis stood at 13 days, receivables stood at 30 days, inventory days were 33, payable days were 50 as on September 23.

On the capital expenditure side, our CAPEX plan across geographies for FY24 is approximately (+120) crores , out of this (+ 120) crores 50% is for capacity enhancement , 40% is for upgradation and 10 % is towards the maintenance. Already incurred CAPEX is around 60 crores where the capacity is 45% , upgradation 45% and maintenance 10%.

Thank you, we shall now open the floor for questions -and-answers.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question-and -answer session. The first question is from the line of Keshav from RakSan Investors. Please go ahead.

Keshav: Sir, firstly what has led to the inventory correcting so much between March and in this quarter ?

Sanjay Gandhi: Sure, I would like to take up this question Pallab. So, inventory has reduced, so if you look at outwear segment for Vietnam largely , most of the shipments are for fall and winter order which gets completed by September end, by June we start building the inventory from April and May onwards . All the inventory gets liquidated by the end of September. For our overseas operation like Vietnam a nd also in Bangladesh t here have been a shipment which were really expedited at the behest of the customer. And that has resulted in inventory liquidation overseas operations. In India, there has been a, there is a lower inventory in line with the revenue reduction, which has been there around 25% quarter -on-quarter .

Keshav: So, is it in anyway indicative of a slowdown in the coming quarters ?

Pallab Banerjee: No, what Sanjay just explained is that , the seasonality of the business that we have specially for the outerwear, which is a high value item. And that 's what is produced most of the production of outerwear starts in our Vietnam operation, we have seen that it starts building up from February end onwards slowly and most of the major shipment is shipped out in the first quarter

and the second quarter of the year. So, that's one of the impact that we will see every year from
that part of the business. And the second one again which what happened last year, we were holding certain inventory and the request of the customer to be shipped out this year, because
there was an over inventory situation with the customers last year. So, that also is something that you have seen that has moved out from the Bangladesh . The se are two examples which he just mentioned, we are not seeing this inventory coming down because of the slowdown of the business. Ther e have been a few months in the country like we 're faced a little bit of slow in terms of our sales and production in the month of, at the end of this quarter like September was a little affected , but that 's not resulting in a big drop in the inventory, I would say.

Keshav: Okay . And sir lastly the growth we have spoken of in the coming quarters. Can you talk a bit more about what kind of a hit we are foreseei ng in H2?

Pallab Banerjee: We as a company built up all the strategies for year-on-year growth of at least 15% to 20%. And the trajectory that we will have to follow , but what happened this last year this is the kind of major macro factor that we have seen, whether because of war , slowing down of the economies in certain parts, the high inflation resulting in the discretionary spending getting reduced. So, those are the things that we are seeing an impact because of which we are not able to grow at that rate. So, far for H1, we are still m

aintaining almost about 7% to 8% of growth that you've
seen, which we would like to maintain in the second half as well. But yes, the situation is not that good that we can cover up in the next part of the year and get to our target of + 15%. So, that's what we are seeing at a macro level. Strategy wise, what we have done is , we have looked into the various diversification of our customer base and whatever th is strateg ic customers who give us some kind of forecast on long term. So, when we see sudden drop in that numbers we immediately work on the second tier or the third tier of the customer segmentation that we have created in our pyramid and start approaching them to push for that extra growth of the business that is required for our growth. This also included some new inclusion of customers. And this particular year, my focus has been outside of USA as well. That means Japan, Australia, or European market, which where our exposure was low. So, we are definitely increasing exposure
in those markets as well. So, in a way that compensates for the decline that we would see from our existing customers of US, but I can compensate with the numbers from the other locations. So, that has so far worked pretty well for us. And I foresee that same would continue for the second half of the year. Once again, I don 't expect to get back to the 15% , but mostly probably we will end the year either flat or a little bit of up, as we have said between 5% to 8% l et's see how we can close this year.

Moderator: Thank you. The next question is from the line of Pulkit Singhal from Dalmus Capital Management. Please go ahead.

Pulkit Singhal: Congrats on a great first half numbers, where most of the other listed players had shown some decline. I 'm kind of surprised by the commentary because, now we are hearing most of the people saying that inventories at the larger retailers have already been depleted and they are seeing much better demand going ahead second half. So, why is our commentary different from the other two or three listed players?

Pallab Banerjee: So, how we are seeing the market especially like if I talk of US where there was an inventory situation. So, most of the retailers were placing almost 30 % or +30 % less business i n the last couple of quarters. Now what we are seeing is that they are definitely increasing from that, I would say from a minus 30, 35 range, they are coming out to a minus 10 , minus 15 range . Why this is happening one, everybody is conservative at this point of time, they are not going gung - ho and ordering more or compensating like the drop in inventory and immediately going for a higher inventory n o, they are not doing that . They are keeping a certain part of their margin or certain part of the money budget for reacting in the season, how the market would be, and what inventory that they would be bringing in. A certain budget have been relocated to the near shoring as well. So, these is the two definite trends that we have seen in most of our US retailers. So, that's one of the reasons that we are when we say this, this is what we consider I am saying .

Pulkit Singhal: Correct. So, when they were ordering 30% lesser, or previously you had delivered revenues in the first half broadly, 900 to 950 crores on a quarterly basis in that range. Now they are ordering
from less than 30% s o you are saying now 15%. So, it's a better situation relatively. Therefore, maintaining the range that you have already delivered in the first half on a quarterly basis. Is that something that will be tough for you in the second half?

Pallab Banerjee: No, I think what we have, if you see from a growth target that we had of + 15%, we are less. So, that's where like, my benchmark is more from there. When I say that, we will be maintaining the kind of numbers that we are doing now. That 's si

milarity or parity between the last year H 2
and this year H2 , that 's something we are confident of maintaining.
Pulkit Singhal: No, sir why I'm checking that is because last year H2 is a much softer base, you had H 2 was hardly 750 to 800 crores of top line. Now, if you were to maintain your first half quarterly base of 90 0, 950 crores , there 's a significant growth in the second half implied of 20 %, 25%. So, unless you are saying that there's a certain seasonality which is adverse in the business in second half, because my understanding was second half is usually better for us, then I 'm just a bit confused on this, what is the range that you're talking about in terms of revenues ?
Pallab Banerjee: Compared to last year, if you see one was what were the total base of last year compared to that if I have to mention a number, then I am at this point of time forecasting a similar number for this current year , with a ny very minor upward, which will be maybe like, 5% to 7%. So, that is something that we are still maintaining . Yes, the first-year benefit, first half benefit that you have seen, second half like the first three months we have already at this point of time, we have all the numbers, and we are seeing that. And the second, that is quarter four booking is currently happening. So, yes, maybe it's a posit ive to what we ha ve seen earlier. But just to share this time confidently that we are going to get +15% , I don 't see that confidence in the market as of yet.

Pulkit Singhal: Okay . And in terms of margins, there 's been a substantial difference in first quarter versus second quarter. Last three quarters, you 've delivered gross margins of 49 % to 51% odd sometimes even 53 %. But there 's a sharp drop to 44% on gross margins this quarter, what has led to that?
Pallab Banerjee: One of the thing is that as soon as the market becomes soft there is definitely an overcapacity situation. So, the price s definitely , it becomes the buyers can negotiate much more. So, that one effect definitely comes in and the other would be the various other macro factors that we are continuing to see , how the inflation and other things that will continue to affect us both some of the region like for example Bangladesh, the wage revision would be happening or is happening at this point of time. In India also, like we are seeing the dollar advantag e that normally would come year -after -year at this point of time we had seen a slowdown on that. So, those are the effects of macro factors that will continue to happen.
Sanjay Gandhi: Just to add on the margin front, just to add on quarter t wo FY23 was 45.8% and quarter t wo FY24 is 44.6% , the comparison which we have been always mentioning is that has to be on year -on-year, the sequential quarter is not something to compare because the product mix, the customer mix gets changed . And with that, therefore the quarter -on-quarter, year -on-year is a much better comparison than other thing if you look at EBITDA also, the last year quarter t wo FY23 was 6.1%. And now we are at 8.3 % so almost 50% improvement in EBITDA margin. So, we are maintaining that what Pallab just mentioned about the , year -on-year quarter comparison, even this year we will continue to show the improvement for the rest of the year as well. Overall, what we have given the guidance in the beginning of the financial year that our revenue will be neutral or 5% we are saying now the revenue may be increase in 5% to 10%. And the bottom line what we have achieved, we said 8.1% what we achieved last year full year will improve on that. But we definitely said despite the macro challenges, we will maintain at least and will improve on . The trend as of now shows that we will improve it a nd we will continue to improve on that , as we head into the H2 and the next year.
Pulkit Singhal:

Understood. Just the last question on the finance cost, we ha ve Rs.374 crores of debt, but we are also holding some Rs. 330 odd crores of cash. I am just trying to understand your cash management policy, why are we giving almost 8 8 crores of finance cost which is a sizable amount of your PBT , when you can pay back the debt ?
Sanjay Gandhi : Sure, absolutely. There are two or three aspects of t his question what you mentioned about first is on the finance, firstly finance comprises of three components, one is the interest on term loan, then interest on working capital and then there is a factoring cost. Now, interest we know across the board, across geography the interest on term loan has increased , long term loan when I say is long term loan has increased and that has impacted the finance cost because geography and across industries also . The second part is the working capital , in short -term working capital there's also interest increase however, because of our cash realization we have kept the debt level to a significantly low, overall debt has come down short term by Rs. 88 odd crores in line with our liquidi ty which has come in so, we have kept the debt at a low level. So, the increase in interest cost to some extent has been offset by a reduction in the debt level. So, that has been

the secondary aspect . Third is on the factoring cost , now in line with our strategy of de -risking ourselves from the credit exposure, we know very well there are challenges which retailer in US are facing. A nd then we are able to get a non -recourse financing to de-risk us from the receivable risk and also to add to the liquidity we are not stopping any loan recourse financing program, despite the cost increase by 3%, 3.5% . So, that is a major chunk, which is sitting in our finance cost and leading to an inc rease in cost. So, despite our , even if w e bring the debt to zero levels, the finance cost on the receivable will keep on increasing there because we would like to have the receivable kept at a low level to maintain our working capital position. The fourth, you mentioned about the cash management policy, we have a plan about capital expenditure which I just mentioned in my opening commentary and these CAPEX plans are ongoing and then there are evaluation also which keeps happening towards the growth of the company. Third, we have also framed the dividend policy, which mentioned very clearly 20% of the PAT will be declared as dividend in line with that there is a dividend which is getting declared. So, we are all ocating cash and capital in-line with the dividend policy and the growth policy and also looking at an opportunity for the inorganic as and when it materializes. We were looking at all those options as well.

Moderator: Thank you . The next question is from the line of Prerna Jhunjhunwala from Elara Capital . Please go ahead.

Prerna Jhunjhunwala: Sir my question was related to the geograph ical mix of revenue. With respect to manufacturing locations, your India exposure is coming down do you see why is it coming down , why did you mention that you have moved some orders to more competitive locations than India , just trying to understand that comment.

Pallab Banerjee: So, you see, if we talk of how our business is , we are in five different locations of manufacturing and depending on the customers need and on certain product, like where we can produce much more competitively , so we took that decision . Last year, we had certain product that we had made in India, where this year we found that if we do out of another location like Bangladesh, we could get a benefit. So, those are the decisions that we'll continue to take in future as well.

So, that's the advantage that the infrastructure at Pearl that we have, it does benefit our customers as well as our own strategies as well. But that doesn '

t mean that India numbers would continue to go down or India business is not in priority. We do have plans for India. And we are marching ahead quite solidly on that path, I would say.

Prerna Jhunjhunwala: That's helpful sir. S econd question on your customer mix. Today, how much would be top five customers contribute to your top line a nd how has the new client addition ramped up over the last one , one and a half years for you . And do we see this slowdown that you' ve mentioned largely because of existing customers or something and new customers are making up for it o r is it that new and old customers are relatively facing hiccups on inventory management across the board?

Pallab Banerjee: The fluctuation of demand or the inventory situation that happened , it majorly affected the US market in the last one year. Of course during the pandemic all the markets were affected. But

immediately after the pandemic the US had definitely been very aggressive in terms of their buying. Because the consumer trend was definitely higher immediately after the pandemic, now that has slowed down since 2022, I would say and that resulted in some kind of over inventory situation in th e US. So, which I think is now getting corrected most of the extra inventory that the US retailers had would be consumed in this holiday season, which is this October, November December of sales. So, going forward, I don't see much of an over inventory situation in any of the US retailers. Compared to that , the other markets that is what we have seen in 2022 and 20 23. that markets like Japan, Australia they were like absolutely slow earlier. So, that picked up momentum. Europe has been stable immediately after the war definitely there was a decline of about 20%, 25%, but now they have been more or less stable . Year -on-year if you look at the imports that most of these countries have done, over the month of July, August, September, we see a decline. So, that shows the conservatism that is there in terms of their buying plans. So, that led us to correct our own strategies, and whatever declines that we could forecast or receive the forecast from our existing top clients. We are trying to compensate that by going into other regions or pushing, certain other regions where our exposure has been low. So, that's how like we are compensating in terms of our own strategy. One part of the question you had asked is ?

Prerna Jhunjhunwala: Top f ive customers contribution?

Pallab Banerjee: Top five customers contribution continues to be more than 70% in our organization as of now. But you see the top five customers means like much more strategic relationship for us. And that 's where like we continue to get some kind of visibility of their buying patterns, or there buying budgets over the next few quarters. So, that helps us to plan our strategies accordingly.

Prerna Jhunjhunwala: Okay . And how is the FTA country to India sign FTA with the Australia and UAE . So, how is our exposure improving in declining, how is our exposure to those countries and how is the demand that you're facing from those particular regions ?

Pallab Banerjee: Sure. Australia is definitely a focus but compared to US it is much smaller market. So, even if a customer who we had added last year, if the customer even it grows by 200% or 300% the number would be quite insignificant compared to when we talk about the US market. But yes, we are seeing considerable growth and a lot of energy and focus in the Australia market , in Japan also we have seen the same. Europe also we are seeing some increase, UK where like we have an FTA which might come in way sooner than later. So, that market we are seeing a good traction at this point of time. We have been doing a lot of business of Europe and UK through our Bangladesh operation. So, now we can see that there’s a renewed inte

rest from those customers
for India production. So, that definitely is benefiting us.
Prerna Jhunjhunwala: Okay, that’s helpful sir. And just asking the last question on receivable days, we ’ve seen receivable days increasing for you this half , what would be the key reason for the same a nd will it normalize back to lower levels?
Sanjay Gandhi : Receivable days are 30 days in H1, if you look at historical it has been around 49, 50 days. So, it will remain around 30 , 25, 30, 35 days.

Prerna Jhunjhunwala: Okay, this is normal days , there is no customer saying that we would want to be a little later with this?
Sanjay Gandhi : No.
Prerna Jhunjhunwala: No challenges at the customer end?
Sanjay Gandhi : Yes, it is normally done, between 25 to 35 days i s we expect to get over it .
Pallab Banerjee: So, that’s because of also the factoring that we are doing , because most of our receivables are definitely factored.
Moderator: Thank you. The next question is from the line of Varun Gajaria from Omkara C apital. Please go ahead.
Varun Gajaria: I will come back in the queue.
Moderator: Thank you. We ’ll move on to the next question. That is from the line of Nishid Shah from Ambika Fincap . Please go ahead.
Dhruv: This is Dhruv here. My first question is on your capacity in Guatemala, when is that you guys plan to commission?
Pallab Banerjee: No, we ’re shipping from Guatemala already. W e have already shipped to our customers.
Dhruv: We were putting a new line there ?
Pallab Banerjee: We took over a small plant, which was running a few lines and we are adding more capacity to that. So, that we are doing in three stages. So, that commissioning part , commissioning already like premium customers that we have bought in. So, that we have started shipping from Guatemala, yes, like to break even and to generate more revenue over a period of next one to two years. So, we have that plan, we are increasing the number of rooms in phases, that we need grow .
Dhruv: Right. My second question is, what kind of margin hit do you envisage because of the wage hike in Bangladesh, because what we hear is, probably there will be a 40% hike and considering Bangladesh is your , you ship almost 45 million pieces per annum which is your largest in terms of capacity, what kind of margin hit do you envisage because of that ?
Pallab Banerjee: So, impact would be definitely more than 40 %, the wage board has recommended about a 56 % hike as recent as yesterday, and there is the election is happening this particular by January, we ’ll see the election in Bangladesh. So, at this point of time, it’s a perfect condition for protests happening, where the workers or certain unions are saying that we need much more. And of course, like what we are seeing is about 56% a s of now, which has been talked about . That would also get some kind of compensation from other advantages, like the dollar rate has been

advantageous for us that something will compensate to a certain extent, we are definitely modernizing and putting more automation and other things to compensate even further. And as you see, the kind of factories that we are running there, talking or servicing the clients that are in our portfolio. We do pay wages which are much higher than the minimum wage. So, the impact of minimum wage may not in that certain percentage will impact us. But yes, there would be a net impact in terms of wage portion . We forecast it to go up around 15% definitely , now this 15% how does it get compensated one would be dollar advantage efficiency and productivity , through automation and other benefits, we would like to bring in into the production. And net impact in terms of numbers , Sanjay what would be the right number which can see as of now, between 1% to

2% ?

Sanjay Gandhi: Yes, you are right Pallab, you mentioned clearly that though, the increase which is pronounced by the wage department in Bangladesh is around 56% to 12,5 00 Taka as against existing 8 ,000 for all the entry even the new entry level , for us many of the tailors , skill laborer are already in range of that or slightly exceeding. So, the wage bill per se may increase 15 % to 20%, as a percentage of the turnover, it will have around 1%, 1.25% which will get mitigated with the devaluation of Bangladesh startup which is already expected around 8% to 10% more from where we are right now. And then the productivity and automation process which we have done to really cope will also compensate part of it and there will be certain renewable sustainable initiatives which have been, the CAPEX has already been incurred, that will bring in saving and energy consumption. And that should help us in offsetting this increase. And plus, of course there will be negotiation and discussion with the vendor , with the buyer to really look at that. So, as of now these are the mitigation measure, we have, we see that challenges, we see that disruption. But, yes the overall , the strategy to counter that is also in place to ensure that our margins in absolute terms are really not impacted t o a great extent, ther e may be small impact, but we don't see, we think we have a strategy in place to really address that. And we should be able to implement that.

Dhruv: Sanjay, we had a vision to reach the double -digit margin. So, when do we achieve that , is it delayed by a couple of quarters because of this , can we say that?

Sanjay Gandhi: So, Dhruv if you see the current quarter performance as well from a 6.1 % we reached 8.3%, so first our point was that we should, once we have achieved last year 8.1%, our endeavors was to make it sustainable in excess of 8%. To large extent this year we are on course to achieve that , we should end the year in more than + 8.1% now that definitely the target is to reach to a double digit EBITDA, with as a next year coming in , with all the demand macroeconomic environment getting stabilize , it sh ould be possible for us to reach that number sooner. So, I don 't say which quarter onward, but definitely we are o ptimistic of achieving it in FY 24-25 and let 's see how quarter four of this year goes, the quarter four normally is when the demand really picks up and we should have the really good summer and spring season a nd that should also define our trajectory or approach towards double digit EBITDA.

Dhruv: And Pallab, just to emphasize on this Bangladesh issue, is your muted guidance for the second half particularly Q3 coming from the extent that there is some disruption in Bangladesh ?

Pallab Banerjee: This Bangladesh disruption may continue for November , December period because of the election. But let 's see, like so far like we don 't have any backlog or any backup that is needed. So, far things have been quite under control , but yes what we are hearing is that , their protest as they have , some workers got killed during these protests, and also so that I think as a third world country, and what we have seen in the earlier years of wage revision and elections, so not very unusual as of yet. But yes, I won't say that my conservative approach is only because of Bangladesh, I would say that these are things that something like which we can forecast , in our business certain things that we should be able to, when we foresee something then the whole approach is to what are the strategies that we have to put in place so that we can mitigate those risks or those thing that we can forecast .

The major thing is what 's happening in the macro world I would say, we had an earlier like one war which was going on. Now the second war has started. That definitely gives certain amoun

t of conservatism, when we speak to our customers and the consumer sentiment also, it 's quite contradictory at this point of time, the last quarter, US underwent a 4.9% jump in the GDP, which was unprecedented , nobody expected that. Still, if you look at most of the CEOs, or other management of the compan ies, nobody is very, very upbeat with that kind of number , people should be in a very high posi tion at this point of time, I would say. So, that's something that we are not seeing as of yet. I have been interacting with the customers very, very closely a nd in fact, this particular year, I have put in that extra effort to be really close to all our customers' top management so that we know exactly what 's happening. So, my conservative is more from that angle .

So, yes, definitely things like what we discussed with Pulkit that, things have improved in terms of inventory. People are looking for growth in business at this point of time. But yes, like whether we are completely in the green areas of now, like we had in some part of 21- 22, I'm not seeing that positivity in the market as of yet. So, naturally we have to make sure that our strategy is securely in place. And we continue to march our objectives that we have, and something like which we can control very well. So, that's why the kind of numbers that we are showing as of now.

Dhruv: Right . And just my last question on Guatemala in terms of productivity, how do you compare them with the like's of Vietnam, Bangladesh and India ?

Pallab Banerjee: Very similar to Vietnam . Because if you talk of productivity and the wage both, but it 's not a cheap country, the wages of the workers are similar to Vietnam, the productivity and skill, what

I'm seeing is compared to Vietnam, the scale is not as big as Vietnam . The total sales of the country, our total exports is in the range of $ 2 billion to $2.5 billion. So, otherwise, it's very similar , at a smaller scale.

Moderator: Thank you. The next question is from the line of Varun Gajaria from Omkara C apital. Please go ahead.

Varun Gajaria: Just wanted to track back what are our CAPEX plans right now, in case I 've missed it so far , is there or do we have any CAPEX lined up now, now that we will be executing our Guatemala lines in the next few quarters ?

Sanjay Gandhi: So, at a group level, we are looking at a CAPEX in excess of + 120 crores plus which is planned for Financial Year '24 across geographies, like in Indonesia we have already incurred the 100% of the CAPEX, Guatemala 40% of the CAPEX has already been incurred . In Bangladesh, around 70% of the CAPEX has been incurred, in India there is a facility expansion , capacity expansion which is happening in Chennai factory that is also undergoing, there is only 15 % 20% we have done so far. So, this is about the CAPEX plan we have , so CAPEX will have three component which I mentioned earlier, one is for the capacity expansion almost 50 %, 55% of this amount is for the capacity expansion, which should start generating revenue from next financial year . Gradually it will calibrate by the end of the next financial year so it should reach a good capacity utilization level. Then there is a upgradation facility, now upgradation also includes the CAPEX which is incurred for the sustainability and automation of the machinery at different location a different factory. Third is on the maintenance CAPEX which is like machines are getting old and they need to be replaced and some repair and maintenance which has to be carried out and leasehold improvement in various location s. So, these three parts are there on the CAPEX part .

Varun Gajaria: Okay . So, can I get a split of the CAPEX in each of the regions at least ?

Pallab Banerjee: Sorry, I didn't .

Varun Gajaria: That is pending.

Pallab Banerjee: CAPEX which is pending?

Varun Ga

jaria: Yes, Rs.120 crores of CAPEX in FY24, and in each of the regions around 40%, in Guatemala, 70% done in Bangladesh, so can I get a split of how much we are doing in every region or how much is pending every region?

Sanjay Gandhi : I would like to just mention that out of this around 55 %, 60% CAPEX has already been incurred, 40%, 45% will be incurred in the rest of the year. And different geographies will have a different stage of completion, Indonesia is already done. Guatemala is 50% , Bangladesh, there are one factory which everything is done, another factory has 30% c ompletion which is more of a capacity expansion by 25%, 30%. In India, also there is a capacity expansion which is taking place and then plus there is a automation of the machinery and maintenance CAPEX. So, automation and maintenance is already incurred , on the capacity expansion is what I mentioned about 20% is what we have already incurred , 80% will be incurred in the rest of the year.

Varun Gajaria: Okay. And which quarter are we expecting US to come back in FY 25, what is the order book or at least the revenue that we are expecting from the Guatemala facility , now that there 's a shift in near shoring also, so how is that panning out?

Sanjay Gandhi : Yes, in our filing when we declared this acquisition joint venture in Guatemala, we mentioned in two-to-three -year time period, it has the potential to reach $ 20 to $25 million, we are on course to in that trajectory only, we are still maintaining those guidelines, and we should be able to achieve that.

Varun Gajaria: Okay. And any challenges that you are facing in Vietnam right now or that still strong that's to look at, in terms of the demand, or wages for that ?

Pallab Banerjee: For us , we have strategized for every location, in terms of our capacity fulfillment, and that we are strongly marching. So, when I 'm talking about a conservative approach of the global market, we are not saying that we are under booked, or we have a dearth of orders at this point of time. What we are talking about is the growth we had in recent past we have shown that in the year - on-year growth has been like as high as 70 % to 80% also. So, this is not that year, that we are talking about a s of now, our growth would be limited to maybe between 5% and 7% o n an annual basis . From each region , we are strongly on path in terms of the strategy that we have, and the capacity that we have, we are quite confident of fulfilling those capacities. Whether it 's Vietnam, Bangladesh, India, and Guatemala. Guatemala is still insignificant, as you can understand from Sanjay's numbers. So, it's still small, but it will be over the next two years, it will become more and more important, as you will see.

Moderator: Thank you. The next question is from the line of V ignesh Iyer from Sequent Investments. The current participant has placed the call on hold. Ladies and gentlemen, due to time constraint, we'll take that as the last question. I now hand the conference over to the management for the closing comments.
Sanjay Gandhi: Thank you, everyone. I hope we have been able to answer all your questions satisfactorily. However, should you need any further clarification or would like to know more about the company, please feel free to contact our team or SGA, our i nvestor relations advisors . Thank you once again for taking the time to join us on the call.
Moderator: Thank you, members of the management team . Ladies and gentlemen, on behalf of Pearl Global Industries, t hat concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2024

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Dear Sir/Madam , THE GENERAL MANAGER,
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In continuation to our letter dated February 13, 2024, regarding submission of audio recording of the call conference held with Investors/ Analyst on February 13, 2024, to discuss Company's Un-audited financial results for the quarter and period ended December 31, 2023, please find enclosed herewith the transcript of the aforesaid Conference Call.
You are requested to take the same on your records.
Thanking you,
Yours faithfully ,
for Pearl Global Industries Limited
(Shilpa Budhia)
Company Secretary
ICSI Mem. No. ACS-23564
Encl.: As above
Pearl Global Industries Limited
Corp. Office: Pearl Tower, Plot No. 51, Sector-32, Gurugram-122001, Haryana (India)
T: +91-124-4651000 I E: info@pearlglobal.com
CIN: L74899DL1989PLC036849
Regd. Office: C-17 /1. Paschimi Marg, Vasant Vihar, New Delhi-110057
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"Pearl Global Industries Limited
Q3 FY '24 Earnings Conference Call"
February 13, 2024

MANAGEMENT : M R. PALLAB BANERJEE – MANAGING DIRECTOR
MR. SANJAY GANDHI – GROUP CHIEF FINANCIAL OFFICER

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the

audio recordings uploaded on the stock exchange on 13
th February 2024 will prevail.

Moderator: Ladies and gentlemen, good day and welcome to Pearl Global Industries Limited Q3 and 9 months FY24 Earnings Conference Call. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncerta inties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pallab Banerjee, Managing Director of Pearl Global Industries Limited. Thank you and over to you, sir.

Pallab Banerjee: Thank you. Hello, good evening, everyone. I welcome you all to our Q3 and 9 months of Financial Year 24 earnings conference call.

Along with me, we have the Group CFO, Mr. Sanjay Gandhi and SGA, our Investor Relations Advisors. I hope all of you have gone through the investor presentation uploaded on the exchange and our company website. We are happy to report highest ever 9-month performance since the inception, demonstrating a promising growth.

This growth is primarily driven by 20% increas e in our overseas revenue, particularly from the sales in Bangladesh and Vietnam. However, the revenue from India was negatively affected. This was due to an overall less order and we could relocate some of our production to competitive locations like Bangladesh while maintaining our mark et share with our customers in a conservative environment.

Now, with the holiday sales in the US being over, all retailers and brands have successfully recovered from the over-inventory situation of last year. Looking ahead, we anticipate a gradual improvement in consumer sentiment, showcasing a resilience and strength of the US and other economies. There are some concerns in the US with uncertainties of election this year and the ongoing wars.

However, on the positive side, we are looking forward to interest cuts by Fed and also across other developed economies. With the expected decrease in the inflationary pressure, we anticipate an overall improvement in textile and manufacturing trade. Despite the challenges, our multinational presence in manufacturing and sales, diversified product offerings, robust design and strong customer relationships have solidified our positions globally, making us the preferred vendor for increasing number of customers.

While amongst all of our export business to the reputed Western customers, this is regarding the Red Sea situation, I must say that while all the export business of the reputed Western customers is done on freight on board terms, that is why the increase of freight costs does not affect the business. And for the customers who are paying these freights have long-term rates negotiated with the carriers, so it is not even affecting them either. However, this

increases the transit time for goods going to Europe and US from India and Bangladesh by one week.

Some US retailers and European retailers are cautious of their inventory and what they are asking the factories to prepone their shipments by one week that’s the effect we have seen due to red sea situation. Our manufacturing setup in Guatemala, where transit time is just over a week, is getting more queries and lots of interest from these customers. However, capacity in Central America is limited and would be just a fraction of that of Asia as on date.

Vietnam and Indonesia, is not affected as their vessels, travels through the Pacif

ic Ocean for the West Coast of US, so there is no effect at all. Pearl's diverse location is a huge strength to tackle such global logistics challenges that come up from time to time. In terms of global textiles and apparel exports, China's share has been on the decline and due to various geopolitical factors and rising ma nufacturing costs, apart from that business from Myanmar shifted to the geopolitics.I will speak once again from the logistics point of view. This is regarding some disturbance that happened in the Red Sea for shipping. In that regard, while most of our export business to all the reputed Western customers is done on freight or FOB terms.

That is why the increase of freight costs does not affect the business. And for the customers who are paying for this freight, they also have long-term rates negotiated with the carriers, so it is not even affecting them either. Howe ver, this increases the transit time for goods going to Europe and US from India and Bangladesh by one week.
And some of the US retailers and European retailers are cautious of their inventory and what they are asking the factories is to prepone by one week. That is the effect that we are seeing because of this Red Sea situation. Our manufacturing set up in Guatemala, from where to US the transit time is just over a week, is getting more queries and lots of interest from these customers. However, as you know, the capacity all across Central America is limited and
would just be a fraction of that of Asia as on date. Vietnam and Indonesia is not affected as their vessels travels through the Pacific Ocean for the West Coast of US and Pearl's diverse location is a huge strength to tackle such global logistics challenges that comes up time to time.
Okay hello everyone once again. Apologies for the technical incomings that we had. As I was saying, in terms of global textile and apparel exports China's share has been on decline due to various geopolitical factors and also th e rising manufacturing costs. Apart from that, business from Myanmar shifted out due to the geopolitics again. For us, our presence in Bangladesh and Vietnam has become more advantageous. So is Indonesia. These countries
have seen a boost in their global apparel trade share. Bangladesh in particular has become a leader in the garment factories.
Thanks to substantial investments in green growth, meeting the demands of the consumers of the West. This shift has greatly benefited us, allowing us for more effective factory utilization and improved efficiencies. In regards to the Bangladesh wage revision, as we had

discussed in our last quarter's call, that increase in Bangladesh wages would create an impact between 12 to 15% in our wage bills.
And overall, if I look at Bangladesh's P&L perspective, it changes by approximately 1 to 1.5% compared to the top line. If we continue to operate as is, however, if we have strategies in place to mitigate this increa se, which entails more automation , bringing in mo re efficiency with increase in business and by adding better profile of customers. Okay. So as I mentioned, we have a solid connection with our top five, six customers for over a decade now. These partnerships have really thrived over the years while we have expanded and welcomed new customers on board.
With offices, staff and design teams in USA, UK and Spain, we are able to serve our customers even more effectively and keep our supply chain running smoothly. Our asset light model approach continues to help us to enhance their performance metrics. Looking ahead, we are focused on further boosting our metrics in a similar way.
Our primary objective is to elevate our success to even greater heights by surpassing our previous revenue growth reco rds, which will directly impact our bottom line. We are committed to achieving this goal through a manifested

approach. This includes the
introduction of new product categories, fortifying our existing customer relationships and expanding their share of wallet.
Moreover, our objective extends to drawing the fresh clientele while nurturing a dynamic, adaptable and inventive workforce committed to bringing Pearl Global's vision to success.
We are pleased to announce we are strengthening the Pearl Global leadership team at the Board level with introduction of Dr. Rajiv Kumar, Mr. Sanjay Kapoor and Mr. Ashwini
Agarwal. The profiles and a portion of the deck has been uploaded into the exchange.
Their arrival promises to introduce unmatched experience, driving both innovation and success. With their vast expertise, they are set to strengthen the company's strategic objectives, guaranteeing ongoing success in this sector. Their forward-thinking leadership harmonizes effortlessly with our dedication to innovation, bolstering our preparedness for the continual growth within our ecosystem.
Furthermore, we wish to inform that Pearl Global will be hosting an Investor/Analyst meet on 26th of February in Mumbai at Jio Convention Centre to discuss various growth opportunities and way forward of the company over the next three to five years. The formal invitation, consisting of all details, will be uploaded on the Stock Ex change soon and we would be happy to meet everyone and discuss our strategy for the future growth.
Now, I would like to hand over the call to Mr. Sanjay Gandhi, our Group CFO, who will provide you with the insights of financial performance. Sanjay, over to you.
Sanjay Gandhi: Thank you, Pallab. Good evening, everybody, and welcome to our Q3 and 9-Month FY'24 Earning Conference Call. Coming to the financial and operational performance of the company, we have reported the highest ever nine-month performance.

On a consolidated basis, nine-month FY'24 revenue increased by 5.4% year-on-year to
INR2,558.8 crores on account of improved capacity utilization from Bangladesh and
Vietnam factories and our multi-vessels. Our India revenue saw an adverse impact due to shifting of sales from turnover to competitive lo cation like Bangladesh.
On a consolidated basis, adjusted EBITDA, excluding the ESOP expenses, showed that
INR2,32.5 crores for nine-month FY'24 as compared to INR192.7 crores for nine-month
FY'23, a growth of 21% year-on-year, while margin improved by 120 bps year-on-year from
7.9% in nine-month FY'23 to 9.1% in nine-month FY'24.
ESOP expenses for nine-month FY'24 stood at INR6.1 crores. Nine-month FY'23 had no
ESOP expenses. The factor contributing to the margin enhancement was enhanced
operational efficiency and increased profitabilit y due to improving efficiency in Bangladesh
and Vietnam units.
Finance costs increased from INR48.9 crores in nine-month FY'23 to INR60.9 crores in nine-
month FY'24 on account of increase in Factoring costs for receivable financing, increase in
interest costs on short-term and long-term borrowing, and interest for lease amortization.
Our return on capital employed improved from 21.9% in nine-month FY'23 to 26.3% in nine-
month FY'24 due to improved asset turn and improvement in profitability. This is calculated
on a 12-month trading basis.
Reported PBT for nine-month FY'24 was INR 137.7 crores and was INR190.9 crores for
nine-month FY'23, a growth of 15% year-on-ye ar basis. PAT stood at INR120.1 crores, a
growth of 20.5% year-on-year basis.
Revenue for the quarter stood at INR704 crores, adjusted EBITDA for quarter three FY'24
stood at INR68.6 crores compared to INR73.2 crores in quarter three FY'23. Quarter three
FY'24 margins stood at 9.7% versus 10.2% in quarter three FY'23.
Effective tax rate was lower on a group basis due to high concentration of profit in overseas
entities. PAT for quarter three FY'24 stood at INR33.8 crores compared to INR37.4 crores i

n quarter three FY'23.
Coming to standalone performance, revenue for nine-month FY'24 saw a dip of 24% year-
on-year to INR633.6 crores. Our adjusted EBITDA saw a dip of 40% year-on-year for nine-
month FY'24 from INR48.2 crores to INR2 8.7 crores in nine-month FY'24.
PAT for nine-month FY'24 stood at INR16.3 crores, a drop of 37% year-on-year basis.
Quarter three FY'24 revenue stood at INR157.6 crores, adjusted EBITDA stood at minus INR-0.8 crores. PAT grew by 52% to INR3.5 crores. This was because the tax rate had
decreased due to non-taxable pass-through dividend income.
The stand-alone business saw an impact due to shifting of order to BD and slack in demand.
However, we believe the worst quarter is behind us and going ahead we are confident on the

industry growth and we believe that our company is best placed to capture the largest high
of this opportunity.
Regarding Bangladesh wage increase impact on earnings, which we have already mentioned
by Pallab that it is approximately 1% to 1.5% of Bangladesh top line in their P&L. However,
from the risk mitigation perspective, there are many measures which have been taken. As such, we don't see any adverse impact on earnings in the coming quarter.
Furthermore, KPMG has been designated as our statutory Auditor in Bangladesh as a
strategic step towards fostering good corporate governance practices in overseas operations.
At this moment, overseas operations contribute more than 80% of our profit. This commitment reinforces our dedication to fortify our corporate governance framework.
Thank you. We shall now open the floor for questions and answers.
Moderator: Thank you very much. We will now begin the question-and-answer session. We have our
first question from the line of Prerna Jhunjh unwala from Elara Capital. Please go ahead.
Prerna Jhunjhunwala: Thank you for the opportunity and detailed presentation and outlook. I would still want to
understand how is your order book stacking up given that you are saying that we should
expect gradual improvement in demand scenario. So, could you just help us understand what kind of growth should we expect or how muted the scenario is for the next two to three
quarters?
Pallab Banerjee: Thank you. When I spoke about the conservative approach in terms of the demand, that's
because of the macro factors that is prevailing all over the world, whether the elections across
so many democracies of the world and also especially USA and the war situation that we are

seeing.
In terms of order book, yes, we are exercising all our strategies that are in place. So, in the
short term, for the next two quarters, we are not seeing any dearth of orders at this point of
time to fill up our order book.
But, yes, in the long term, these are the risks that the market still has. I would say, as we are
seeing in the U.S., Trump's presidency option is becoming more and more clear. So, there are certain companies which are going to go conservative at this point of time.
So, those ups and downs will continue to be there in the market. And that's why we said, on
the other hand, if the interest rates starts going down, that should definitely help the market
to go up in terms of the consumer behavior.
Prerna Jhunjhunwala: Okay. Understood, sir. So, sir, what kind of capacity utilization shou ld we be operating in
for the next two quarters? I am still not very clear on the near-term scenario. I missed your
voice.
Pallab Banerjee: See, like what we had in the last three quarters, two to three quarters, where most of the
manufacturers had to take a slow approach because the demand in the USA has especially

gone down because most of the retailers had a lot of over inventory. And they bought in the
earlier year, but were selling ti ll this holiday season this y ear

. What I am saying is, the
problem that we had over the last three quarters where not only us, I think you must have heard from others as well, like the order book scenario was not so good because they had a
lot of inventory, especially in the U.S. market.
So order book that were coming from the U.S. market was slow and muted because most of
the retailers had inventory from the earlier year. So that particular problem is now behind us.
In their holiday season, which ended in December, most of this inventory or over inventory position that they had has been cleared.
So now it is that how robust did they see the market or the consumer demand? So when I
speak of a conservative approach in terms of consumer demand, that is being more of a
normal term compared to last year's situation that we are facing. So yes, compared to last year, the order books are much better.
Our capacities are filled. Our order book is full at this point of time for the next couple of
quarters. So we do not see any problem in order books in the short term. But yes, whether the market would go a gung-ho and or full force at this point of time, there I feel this when I
speak to our customers in all the -- especially in the U.S. and all, we see that there is still a conservative approach for them.
But remember one thing, like when they had an inventory situation, they were buying almost
30% to 40% less. compared to any conservative approach that they would be doing. They
might be buying only 5%, 7% less. So as a market, we do have a play of more than 25% from year-on-year in terms of US markets, especially other markets continue to be normal
and we are not seeing a big change, either negative or positive at this point of time.
Prerna Jhunjhunwala: This is very helpful.
Pallab Banerjee: Did I answer your question? Yes. Thank you.
Prerna Jhunjhunwala: And second, how are the margins now given that demand is picking up? So are we in a better
position to command some pricing and improve our margins further or is pricing pressure
prevails in current scenario?
Pallab Banerjee: So the pricing pressure that happens because of raw material prices and the capacity, like
open capacities or unfilled capacities across the gl obe. So that situation is definitely getting
better, which was there earlier. So that is definite ly getting better. But it is not to that extent
as of now that you can see a huge rise in the raw material prices or any other things.
So as of now, I would say it's much better than last year. But if you talk of 2021-22, when
really like the raw material prices went to the roof because there was a huge demand, that
situation is not foreseen as of now.
Prerna Jhunjhunwala: Understood, sir. Thank you for the detailed answers. I'll come back to the question to you
for any further questions. Thank you.

Pallab Banerjee: Thank you so much.
Moderator: Thank you. The next question is from the line of Dhruv Shah from Ambika Fincap. Please
go ahead.
Dhruv Shah: Hi. Thank you for the opportunity. My first question, Pallab, is on your current quarter. So

will you attribute the de-growth mainly due to Bangladesh problems the industry is facing in Bangladesh?
Pallab Banerjee: No. As we mentioned that you -- what would ha ppen in this particul ar quarter, we had a situation in which our order books were less and because the US market was not placing their business. Like I'm sure like you have hear d it early as well. When the US had an over inventory situation, they were placing almost 25%, 30%, 40%, even certain customers were placing less compared to what they normally buy.
So that resulted in the preference of the country that goes in is Vietnam and Bangladesh for us because their capacity and the cost compe titiveness that we could ge t there is much better than what we had in India. So as a result, some of the orders that we prefe

r to service from Bangladesh compared to India on that last quarter.
So our dip, if you can see, is more in India compared to the other places like Bangladesh and Vietnam, where our order books actually went up. That's a strategic decision that we took to make sure that we hold to the wallet share of our customers. Does that answer your question?
Dhruv Shah: So can we see a current quarter, are we seeing business as usual in Bangladesh?
Pallab Banerjee: Yes, yes. Bangladesh, we don't see any disruption. So before the election, there were some kind of disturbance, I think, which you must have read in the media. But for example, our factories, we have four big, large factories out there and some other partner factories. So, only one of the factories was affected for about two and a half or three days. Apart from that, we never had any kind of problem.
So as a result, Bangladesh, before election, th ere were a lot of what you call stoppages and all that we could see in the media was to make sure that they were the opposition or maybe the workforce was trying to make sure that the wage increase happens in time. So once that had happened, after that, work has been quite normal. We haven't seen any kind of disruptions.
Dhruv Shah: Right. Right now, we have 44% of our capacity in Bangladesh. So in three years down the line, what kind of percentage will Bangladesh contribute to your top line? I just wanted to have a rough figure of Bangladesh in your overall scheme of things?
Pallab Banerjee: So our strategy is to have -- in any location, we are not going like overboard. So we should continue to see about anywhere between 30% to 40% from Bangladesh. Let's say 35% is our goal. But in that range, we'll continue. So you'll see similar kind of growth will be happening in India and Vietnam and other places also. But yes, there are a lot of opportunities at this point of time in Bangladesh because they had recently had a wage increase.

So naturally, the factories wh ich were inefficient or which are not fully, not well managed, there are some people like who will be slowing down or getting out of business. So there is definitely a lot of shake will happen in Bangladesh, which is happening as we speak. And that is an advantage that we'll be having.
Dhruv Shah: Right. Right. And on the growth per se, can we expect you guys to clock in 15% to 20% what you have been guiding for next year on the current year base?
Pallab Banerjee: As of now, that we think in the world, yes, we should be clocking that. -- The challenges comes up. I think both the wars th at is happening in Ukraine and a lot of effort is being done to contain those wars and put back the economy of the world economy on track. So as with what we are seeing as of now, we don't see any challenge to get to our target.
Dhruv Shah: Right. Right. And one bookkeeping question for Sanjay. What kind of tax rate should we model in our -- should we model because it's been up and down?
Sanjay Gandhi: Yes. Yes, the tax rate should be taken anywhere between 16% to 18% on a steady state basis.
And this year, the India contribution to the profit pool is less. So larger part of the profit is in overseas entity, which has a lower tax rate. And therefore you're seeing this fluctuation coming up. But on a steady state basis, we believe that between 16% to 18% should be our effective tax rate.
Dhruv Shah: Fair enough. Great. Thank you so much for the opportunity.
Sanjay Gandhi: Thank you.
Pallab Banerjee: Thank you.
Moderator: Thank you. The next question is from the line of Dhyey from Niveshaay Investment Advisors. Please go ahead.
Dhyey: Good evening, sir. Congratulations on the good set of numbers. I wanted to ask that in one of the previous calls, you ment ioned that the US market has started procuring from the near areas only. And that is the reason why we set up a central

America plant. So is this change a long term thing? Or would it be the US procur ing material from othe r markets as well? So like India, Vietnam, etcetera?
Pallab Banerjee: See, the sourcing ability that is there in the central American market is only a small fraction

of compared to when you compare to the USA, sorry, the Asia, Asia sourcing. That means like Asian countries like Vietnam, Banglade sh, India, Sri Lanka, Pakistan. So all these
countries, the kind of large capacity that we have the numbers. So I can give you an example like even India, like our export is about $18 billion, $16 billion. Between $16 and $18, we're
moving, I think hopefully we'll touch $18 soon.
So that compared to that, Guatemala ships only $2 billion as a country. So naturally, it's a
very small fraction of what Bangladesh and Vietnam and India and Indonesia can do. So
there are some investments that is going on there. The costs are high. Their minimum wage

and everything like you have to plan for at least about $400 to $500. That kind of wage is
there.
So even like some of the players like us and some of our other colleagues have definitely
opened up some kind of production unit there. Also, the limitation would be in terms of raw
material. They don't have as many mills or as much of cotton or other growth that is happening in this part of Asia is not there. So, yes, for the US retailers, they want to mitigate
risk.
They might move about whatever 3%, 4%, 5% kind of sourcing into Central America. Some
people might go a little higher percentage, mayb e going up to 10% to 12%. But they cannot
shift a very large chunk of their manufacturing into that market. So Asia will continue to be
important.
And as we are seeing geopolitically, as China and Myanmar is going like it's reducing in
terms of apparel manufacturing and trading internationally. So that's a very huge chunk of
business that will be flowing into the other countries of Asia. So for now, it's not a big
concern. But yes, we went strategically to the central market because Central America market because our key customers, where we are very closely working with.
So they wanted that we have a presence there and they were guaranteeing certain amount of
business. It will not be a large, it will be much smaller fracti on of a total business. But yes,
it definitely helps in terms of our presence in that area and customer servicing that we want to do. And it's not that it's not profitable . So it's definitely so mething smart to do.
Dhyey: So like right now, the Guatemala plant is so urcing just to the North America, right?
Pallab Banerjee: Yes. Guatemala plant would be supplying to only North America market.
Dhyey: I also wanted to understand this, that geographical EBITDA are very fluctuating in nature.
So why is that? So the geographical EBITDA wh ich we have is very fluctuating in nature.
So can you explain why is that so?
Pallab Banerjee: Sanjay will take the geographical EBITDA.
Sanjay Gandhi: Fluctuation in EBITDA for the group level. So group level, I think we are consistently
improving EBITDA. There is a fluctuation in EBITDA in the standalone entity for the reason
the top line is really gone down in this quarter, which has impacted adversely because our
fixed cost remaining the same, that could not be leveraged with the lower turnover, which we hope that in coming quarter it will get addressed.
Otherwise, if you look at our EBITDA trajectory, I think it has been in upward direction,
plus minus 0.5 bps only. And we believe that we should continue to improve the EBITDA
as we go into the next financial year as well.
Dhyey: Correct, sir. Sir, I also wanted to understand this thing, that if we get an order from a
particular geography, so just for example, let's say we got an order from North America. And

is it any correlation between the plants which will supply from like the Bangladesh plant or
the Indian plant, or it can go from any of the plants?
Pallab Banerjee: So normally for every location, we have certain products which we develop from each of
these locations, which are like as Pearl, we do about six different categories of product. So
that means like pants, t-shirts, woven tops, outerwear, swimwear, sleepwear. So every plant is like, you know, have got some kind of specialization which we utilize.
For this particular quarter, Q3, which may be like, you know, giving rise to this question that
you're asking, is where we had some quality product, which was originally made in India,
and we took a decision because of the pressure that we could get still better margin out of
Bangladesh, which was a quite extraordinary situation, I would say, that was happening
because of the less or over-inventory situation in USA, which resulted in much lesser order.

And the market was super competitive a nd the margins were hit all across.
So in that period, we took some smart decision, which we, so that we can maximize our
return to all of you. So that's , that's something like was an exceptional situation that Pearl as
a company is ready to execute like that. But in general, like our strategy and our infrastructure
exists in a way so that each category is being serviced from a location which has got its
specialty.
Dhyey: Correct, sir. Thanks a lot. That was really helpful.
Pallab Banerjee: I hope it explains or should I explain more?
Dhyey: No, no. I'm clear with my doubts, sir. Thank you.
Pallab Banerjee: Thank you.
Moderator: Thank you. The next question is from the line of Rohit Mehra from SK Securities. Please go
ahead.
Rohit Mehra: Yes. Thank you for the opportunity. So my first question is, what are we doing to improve
our Indian operations and performance?
Pallab Banerjee: So India, I think we are in strong wicket. Like we are seeing definitely a lot of demand. Like
you see, like India, we had specialized, for example, Pearl specializes in the items like
women's blouses, shirts, sleepwear, and those kind of products, which are lighter weight
fabrics. So we are seeing good demand and good order book situation on that.
So there was a situation, as I mentioned, in the last quarter, which was the drag end of our
over-inventory situation of US. And we could see and we could foresee that situation that was coming up. So we had worked with our customers to ensure that we can give them a
better price or hold on to their better wallet share and also generate better return for our
investors.

So that's something with a deci sion that we are taking. But in general, India is in a strong
wicket and we are experiencing growth in the coming year as we are seeing the demand and
the responses from our customers.
We would be exploring more options in India, like to expand into other states as a lot of
initiatives are coming from the government of Indi a. So that growth plan and that strategy is
we will continue to update you about how we plan it up for the next few years. So I think we
are on track from India.
Rohit Mehra: Okay, understood, understood. And can you share the expected top line and bottom line
based on the target sets of FY25? And what is our capex plan for FY25?
Sanjay Gandhi: So I just want to say that, you know, we have already stated that we are looking at a 15% to
20% top line growth for the next three years. An d that guidance still re mains there. We, with
the kind of capacity what we have, we are in the customer relationship, which is getting developed and the demand scenario, which is changing.
We are confident of achieving 15% to 20% top line growth in the next three to four year
time. As far as the capex is concerned, this year we have done INR120 crores of capex. We
ha

ve committed a capex of INR120 crores, out of which INR90 crores has been incurred, which is a mix of automation, which is a mix of capacity enhancement and certain
replacement.
I have given the percentage in my last earning call, I can mention that out of INR90 crores,
INR50 crores has gone in capacity enhancement and INR30 crores has gone in automation
and modern laundry equipment, which we wanted to have in Bangladesh. And INR10 crores is towards replacement of machinery. Going forward in next financial year, I think every
geography will have their capex requirement.
We are compiling the capacity requirement. I think we should be in the similar range of
INR80 crores to INR100 crores capex across geography. But at the same time, every capex
is looked at its merit of return on capital employed. But looking at the opportunity which lies ahead, I think we should be having this kind of capex as a first cut number to start
with.
Rohit Mehra: Yes, got it. Thank you for your detailed answer. So that answers my question and all the very
best. Thank you.
Sanjay Gandhi: Thank you.
Moderator: Thank you. The next question is from the line of Anurag Agarwal from Agarwal Analytical
Investments. Plea se go ahead.
Anurag Agarwal: Hi, sir. Thank you for the opportunity. It was very heartening to listen that we've hired
KPMG as an auditor in Bangladesh. Could you throw some light? Are we going to hire big
four auditors for Vietnam a nd other locations as well?

Sanjay Gandhi: Okay, I just would like to upda te. I think in the previous call, we did that. So in Vietnam, we have a Deloitte as statutory auditor. In Hong Kong, we have Ernst & Young as a statutory auditor. In Indonesia, there is a tier two firm which is Topper in tier two. That's an auditor.
In Bangladesh, we have now KPMG. So overseas location, we already have the big four working as statutory auditor. The reason is our profit and the revenue and the capacity is also overseas maximum at this point in time.
So the need of centering the governance framework was felt in those overseas locations and that's how we have been making a change of the auditor once the terms are getting over to strengthen our gove rnance framework.
Anurag Agarwal: Got it. Another thing, sir, you mentioned that in Bangladesh, the wage hike will have an impact of about 1%-1.5% on our EBITDA, but we are planning to negate them through automation or through getting more premium clients. So are we close to adding any new client out there?
Sanjay Gandhi: Sorry, I just want to clarify before Pallab can go ahead. It is 1%-1.5% of top line of Bangladesh country. It's not a group turnover, only Bangladesh country.
Pallab Banerjee: So yes, we are going through all the three strategies. That means better efficiency and dedicated production lines. Second would be to increase the top line to have more volume so that our overheads can be distributed over more.
And the third would be to have customers like who are with better margins or better service level to provide and get a margin as well. So all these strategies in place, yes, we are in close communication with new customers, which we are starting soon.
Anurag Agarwal: Sorry, I didn't get the last part. Could you repeat the last part?
Pallab Banerjee: Yes, I said like, you know, your question specifically was that addition of new customers happening or not. So yes, we are close to that, definitely.
Anurag Agarwal: Okay, that's great to hear. And the last question is…
Moderator: I'm sorry to interrupt. May I request that you return to the question queue?
Anurag Agarwal: It's a very small question. Last one, if you may allow. Like there's going to be a Bharat Tech Expo in Feb only. So is your company going to participate in that?
Sanjay Gandhi: Yes, sure, definitely.
Moderator: Thank you. The next question is from the line of Pulkit

Singhal from Dalmus Capital
Management. Please go ahead.
Pulkit Singhal: Hi, thank you for the opportunity. At the outset, we would like to congratulate the management for significantly turning around the operations in the last two years, despite challenging times. And also, particularly for strengthening the corporate governance

initiatives when it comes to independent directors, as well as having big four auditors in the subsidiary.
We hope you would also consider the big four auditors for the stand-alone entity and India entity as well in the future . Secondly, just, you know, given, I mean, you sound more optimistic now in terms of the potential demand going ahead. How do we understand what would be the peak revenue potential from your current capacities, assuming the current level of raw material prices and some reasonable mi x, whatever you think is right? What would be that figure?
Pallab Banerjee: So, as we mentioned that our goal or what we are working for definitely in that 15% to 20% range of growth. And compared to what happened two years back, where there was a lot of inflation in the raw material pr ices, which was also increasing or inflating th e top line. So, compared to that, like even in our current price range, we are talking about this kind of growth that we have targeted for ourselves. So , that we continue and we are confident of achieving that.
Pulkit Singhal: What I meant, Pallab, was when does the capacities get to wo rk? So, if you achieve 15%, 20% growth for the next year, does that mean you're operating at 90% utilization at that point? Or do you still have room to grow?
Pallab Banerjee: Yes, definitely we have room to grow. If you had seen like originally the kind of infrastructure that we have across all the region, we have with minimum capital expenditure, we can grow to almost up to about another about 10 million pieces plus. We are currently I think in the range of about 60 million pieces.
And with some investment, for example, certain growth that we are having in our factories, where we are increasing the number of machines , the number of lines, with that kind of

minimal capital expenditure, we can grow up to about 80 millio n, 84 million pieces annually.
So, that's the current infrastructure that we have. But that doesn't mean that we are not
looking for more opportunities and options So, that we continue to have. We may start a
couple of additional factories over this year or so, both in the countries where we are present
very strongly. So, that will continue to happen as we see.
In fact, if we go more than that, this current 15% I think should be workable. But even if we
see that, okay, there's more potential and we'r e bringing in additional customers, they've
come out strong with us. So, we can quickly go and have additional factories also with us.
Today, we have that plan and options ready for us.
Pulkit Singhal: Right. I mean, currently, you're closer to 50 million pieces, I think, in terms of shift capacity.
So, that 50 can kind of go till 80, 84 with smaller capacity.
Pallab Banerjee: Yes. So, last year, we saw that we were around 54. Compared to that, I think we should be
because the raw material prices have really gone down compared to the year before.

So, even the kind of growth th at we will be achieving this pa rticular year, you will see that
number of pieces has definitely gone. And I think that will continue to go up again in the
coming year. So, yes, currently, what we're talking about is on the current raw material prices, which we don't see
immediately to go either way down or up.
So, with that thing, assuming that remains constant, we're still on path to the regular growth
that we are promising you.
Pulkit Singhal: Okay. And are you looking at any M&A in th

e fu ture? Is that somethin g you're working on?
Pallab Banerjee: So, we took that, today's capital as we took that option approval from our board. So, we are
ready for that. So, if some good opportunity comes up, why not?
But as of now, I would say, like, more of the kind of infrastructure that we have, we are
planning more on that basis. But yes, we are always on the lookout for good options.
Pulkit Singhal: And in terms of the margin profile, which is th e potential margin profil e, let's say, as you
scale up two years, three years, four years ou t, I understand there's an element of product
mix as well. You're already at closer to 9% kind of margin and you are guided to double digits. But I'm just trying to
understand, is this business, and given Pearl Global model, which
is different from other governing companies in India, I mean, is this, is the band more like a 13 to 15 kind of percentage
margin business that is possible? Or is it more on the lower end
in terms of double digits that is there?
Pallab Banerjee: Sanjay, would you like to answer that or?
Sanjay Gandhi: Let me just take this question.
Pallab Banerjee: Yes okay.
Sanjay Gandhi: So in terms of the margin trajectory, I think one is that, with the, your question was whether
three years down the line, when we achieve those kind of a growth in top line as to where
the margin can go. So let's say that we are achieving that 15% to 20% growth, I think we
should be looking at definitely 3%to 4% improvement from where we are right now.
Given the leverage, it will play out over a period of time, the given that, the infrastructure,
which is already built in terms of design, marketing, and group structure we have to facilitate
that growth. Now going to 13%, 14%, 15%, I think it's, I mean, some of our factories are
already generating that kind of a margin. So as you mentioned in your question itself, it's a question of product mix, which
prevails.
I think it is always a combination of which product prevails and how do you really capture
the wallets here. So once you try to balance it out, maybe there is some averaging happens.
But yes, there are certain styles which already generate 13% to 15%.
And a few factory, couple of factories are already working on that parameters. So I hope I
am able to give you, so there is no clear direction in the sense of 13% to 15%. But yes, there

is an opportunity exists in certain pockets in the given segment where you can achieve that
number.
And on a blended one, 12%, 13% can be achievable if three years down the line when we
are looking at, or when we keep on achieving 15% to 20% growth year on year basis.
Pulkit Singhal: Understood. Very clear. Thank you and all the best.
Sanjay Gandhi: Thank you.
Moderator: Thank you. The next question is from the line of Pulavarthi Saikiran, an individual investor.

Please go ahead.
Pulavarthi Saikiran: Yes. So just one quick question. Your business seems to have a very high fixed turnovers, probably in the range of six currently, but even if I look at in the last 10 years, we hovered between four to six times.
Looks like reasonably higher when compared with other peers, more so in the textile industry. What explains this and how do you see this going forward so that we can just get a handle on what kind of capex you might be needing? Thank you very much.
Sanjay Gandhi: Thank you for your question. Asset turn in our business normally is 4 to 4.5, when the factories are operating at their peak level, it means the operation has stabilized post the start of the new operation. And as the, as the operation keeps on going, let's say 570 down the line, the assets start increasing naturally because the depreciatio n set will keep on generating.
The life of the asset is already 10 years, 12 years plus. So which means that your asset goes on the higher side as the assets k

eep on aging in that sense. And there is a very nominal repair and maintenance expenses one incurs towards that.
Now, the second asset turn component is, the combination of own capex plus the partnership factory. To give you an example that, if we have four, our own factory in Bangladesh, one in Vietnam, we have a similar amount, similar number of factories, which are working on a partnership model, which means that, with the same amount of infrastructure, you're able to actually finance your turnover. So that's why, the asset turn will always be with our focus on the asset light business model.
The asset turn will be sustainable in, within five to six levels in years to come also. And in India also, our strategy is to work in a model where the investment is not very heavy in the figure set, where we are able to generate easily four to five kind of asset turns. So on a steady state basis, I think when the operations start in the initial period, when the new operations stabilize it, anywhere between four to five should be the norm we expect our milk factory to generate.
Pulavarthi Saikiran: Thanks for this. Just one thing, if you can just elaborate further, you said regarding the partnership model, is my understa nding right that they will put in or they will share the capex and hence asset turns will be higher? That's what you were suggesting?

Sanjay Gandhi: Yes. So currently the structure is that there are many factories which are already operating, but they lack marketing design capabilities. So that's where the pearl joint hand with them, use their infrastructure and get a marketing order to them to provide the quality inspection and everything.
And we also provide a working capital arraignment in terms of sourcing of fabric to control the quality of raw material which goes into government. And that helps us in terms of improving an overall asset utilization.
Pulavarthi Saikiran: Do you find this more scalable, sir? So you would, if you have to think for the next few years, you will be in a position to identify more opportunities like this, hence you will be able to scale it up further across the geographies, or is it this model is more specific to any specific geography as such?
Pallab Banerjee: Yes. So wherever the market, the production manufacturing market is more matured, this particular model exists more cohesively out there. In India, it's still less.
But if I look at Bangladesh and Vietnam, where who does a substantial contribution to the world trade or world manufacturing. So there, this model is much more prevalent. So, at Pearl, you will see that almost about, about 10%, 15 %, 20% of our business would always be in this model, where capital expenditure may not be asked fully.
Pulavarthi Saikiran: Thanks a lot. This is really helpful. Thank you. Highly appreciate this. Thank you.
Pallab Banerjee: Thank you.
Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Sanjay Gandhi: Thank you, everyone. I hope we have been able to answer all your questions satisfactorily. However, should you need any further clarification, or would like to know more about the company, please feel free to contact our team or SGA, Investor Relations Advisor.
Thank you once again for taking the time to join us on the call.
Moderator: On behalf of Pearl Global Industries Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Mar 2024

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Sub: Transcript oflnvestor & Analyst Meet 2024
Dear Sir/Madam,
In continuation to our letter dated February 26, 2024, regarding submission of audio recording of Investor & Analyst Meet 2024 held on February 26, 2024, please find enclosed herewith the transcript of the aforesaid Investor & Analyst Meet 2024.
You are requested to take the same on your records.
Thanking you,
Yours faithfully,
for Pearl Global Industries Limited
(Shilpa Budhia)
Company Secretary
ICSI Mem. No. ACS-23564
Encl.: As above
Pearl Global Industries Limited
Corp. Office: Pearl Tower, Plot No. 51. Sector-32, Gurugram -122001, Haryana (India)
T: +91-124-4651000 I E: info@pearlglobal.com
CIN: L74899DL1989PLC036849
Regd. Office: C-17 /1, Paschimi Marg, Vasant Vihar. New Delhi -110057
www pearlglobal .com ~

“Pearl Global Industries Limited
Investor and Analyst Meet 2024 ”
February 26, 202 4

MANAGEMENT : MR. PALLAB BANERJEE – MANAGING DIRECTOR –
PEARL GLOBAL INDUSTRIES LIMITED
MR. SANJAY GANDHI – GROUP CHIEF FINANCIAL
OFFICER – PEARL GLOBAL INDUSTRIES LIMITED
MR. VIKAS MEHRA – CHIEF EXECUTIVE OFFICER ,
BANGLADESH – PEARL GLOBAL INDUSTRIES LIMITED
MR. GURUSANKAR GURUMOORTHY – CHIEF
EXECUTIVE OFFICER, VIETNAM AND HONG KONG --
PEARL GLOBAL INDUSTRIES LIMITED
MR. KARAN THAK KAR -- STRATEGIC GROWTH
ADVISORS

Karan Thakkar : Good evening and a very warm welcome to the Investor and Analyst Meet 2024 of Pearl Global Industries Limited. I am Karan Thakkar from Strategic Growth Advisors. Today, we have with us the management represented by Mr. Pallab Banerjee, Managing Director, Mr. Sanjay Gandhi, Group Chief Financial Officer, Mr. Vikas Mehra, CEO, Bangladesh, present virtually with us, Mr. Gurusankar Gurumoorthy, CEO, Vietnam a nd Hong Kong, present virtually.

I would like to start with a brief about the management present today. Mr. Pallab Banerjee is the Managing Director of Pearl Global Industries Limited. He completed his bachelor's from Delhi University in 1990 and a Diploma Holder in Apparel Marketing and Merchandising from NIFT and he did his financial management from Cornell.

He has been in the apparel industry for three decades out of which 20 years were in gap. In his last assignment before joining Pearl, he was Vice President of Global Sourcing and Managing Director of Gap India Operation. With world -class experience in supp ly chain strategic solutions, he is able to devise competitive long -term strategies with the unique ability to identify trends that the brands pick on and develop.

Mr. Pallab Banerjee in his discussion today will be giving us a brief overview of the company, the growth drivers and the way forward for the company. Mr. Sanjay Gandhi, he is the Group CFO at Pearl Global and he began his journey with the company in 2019. He graduated from Shriram College of Commerce in 1997 and is a Certified Chartered Accountant from the Institute of Chartered Accountants of India.

He leads and drives the strategic relationships with Pearl Global business partners, financial institutions and investors. He has more than 22 years of experience working with companies like Olam International, Kalyani Group of Companies and Toshiba Group. Mr. Sanjay today will be discussing on the financial position of the company and its trend, risk and governance framework developed and further join Mr. Pallab in discussing the strategic outlook and the way forward of the company.

Mr. Vikas Mehra is the CEO of Bangladesh Operation of Pearl Global. His journey with the company began in October 2021 and he is responsible for handling the overall operations of both Vietnam and of both woven and knit s business. His role is to align and integrate processes for a seamless system that can cater to fashion requirements in the US, UK, Europe and Australia.

Mr. Vikas will help us with an overview of the business environment of respective geographies, the macro factors favoring the region and the way forward. Mr. Gurusankar Gurumoo rthy heads the Vietnam and Hong Kong unit of Pearl Global. He has varied experience of all aspects of the supply chain from manufacturing, sourcing to retail which gives him unique ability to lead a sustained profitable growth, deliver strategies that offe rs critical solutions to customers, mentor talent and build a sustainability foc used that offers critical solutions to customers and the manufacturing operations known for excellence.

Mr. Gurusankar in today's discussion will help us with an overview of the business environment in Vietnam and Hong Kong, the macro factors favoring the region and the way ahead. I would now request Mr. Pallab Banerjee to address the audience. Thank you and over to you, sir.

Pallab Banerjee: First of all, thank you so much for taking out time and joining us out here. I hope like over this next 90 minutes or so, we should be walking you through what we are doing and then of course we will answer your questions and any other discussion that we may need to have. So I will start with the journey of Pearl Global.

So we have, the company has been existing for long, since 1987 and

has undergone a lot of changes. As on date today, what we do is can be defined by these three things that you are seeing on the left hand side of the slide which is our vision, our mission and the goal that we are trying to achieve. So we want to be one of the leaders in this fashion industry and what we want to bring in is the supply chain solutions to most of these global retailers and definitely how we are going to do it .

That is our mission in which we are talking about the best talent that we will have along with us and then do this journey of how to provide all the supply chain solutions through the technology, through the fashion, what the requirements of each brands are. Th ose are the things that we are excelling in our, within ourselves and that is something like we are taking to all our customers.

If you see today what we are in terms of our diversified product offering that we have, the multiple locations out of which we are operating, So we do offer today a diversified product, multinational geographies that we are operating out of, very robust d esign team that we have in

terms of our manufacturing. We do have across the world 24 manufacturing units which are operating, strong operations rigor and very sustainable in whatever we are doing.
We are trying to bring some customized solutions to big retailers of the world and that is how we are building up a very strong relationships with them and some of these marke qee clients that you will see are quite strong in their own performance. So, as you know in the meantime I can talk about our industry, so there are, so all over the globe there are some big retailer s and big international brands.
Now, we as manufacturer exporter out of Indians that you have already interacted with some of the other companies or our competition, so we cater to those customers and how we do is definitely one is just pure contract manufacturing and the second part tha t we are trying to bring in is what in addition we can do apart from manufacturing, that means what kind of designs that they should be buying, what is their market, like when they are selling some product into their, in their retail stores, what is the p roduct that they should be actually selling to get a better market share in their own markets.
So, that's one of the value addition that we can as an organization can provide to them, that means the complete design support, product development support, sometimes the supply chain that means how the product has to be delivered to their stores, those a re the kind of solutions that is needed as a supply chain solution provider and there are many companies across the globe who are doing it very successfully. Now, in our industry
So, there could be somebody who is just giving them the logistic solution, some people do only the sourcing solution and then there are manufacturing solutions. So, when we talk of Pearl Global, is primarily a manufacturer and we bring in the other solutio ns as well, that means the

product development, the supply chain in terms of the logistics, couple of other solution s that we can bring on to them.
Here is a brief journey of the last 36 years, we started in 1987, by 2002 our first overseas operation started in Indonesia, by 2004 we had an operation in Bangladesh, these are manufacturing operations, then by 2017 we started Vietnam and 2023 we have als o expanded into Guatemala.
So, this is something what we are talking about, a global manufacturing because if you talk of our industry, the four big supply chains that is I would say responsible for 99% of the trading that happens in apparels are based out of four regions. One would be, the biggest would be the Southeast Asia which contains countries like China, Philippines, Indonesia, Vietnam, then there is South Asia which is our India, Bangladesh, Pakistan,

Sri Lanka and then we have got the
Mediterranean region which would be li ke Egypt, Turkey, Morocco, Tunisia, those kind of countries .
They produce quite a lot of garments and then the fourth one would be the Central America which would be a Guatemala, Nicaragua, Haiti, all those countries that manufacture garments and supplies to the markets like US which are very near shore to US, the Medite rranean region is near shore to the European market and then of course Asia as it goes bigger, the nation would be always near shore to the Asian market.
And here is the team, like the whole operation or this vision that started with Deepak Seth, who started in 1987, he is semi -retired now, he is our Group Chairman and then we have got Vice Chairman as Pulkit Seth, he is based out of New York as he handed over most of the day -to-day management to us and then we have our team in which Sanjay Gandhi who is in the room with me and then we have got Ratna who is the C HRO. Now Sanjay, as you heard briefly about his background, my background you have heard, Ratna has come from McKinsey and Flipkart and then Guru Shankar is out here, he has also had a lot of experience in the US retail, he was in fact, before joining Gap, he was running a US retail company.
Vikas was in one of the sourcing company called Jones New York and then Pankaj, Sandeep, Rajesh, Paresh, these are the people who have been hardcore in manufacturing entire career of theirs. Matt is one of our colleague in US who is doing the licensee bran d. Sebastian has joined us in Guatemala as we started the operation and David, Joe Hills and Jonathan, they are also coming from retail background.
David was in Walmart and Macy's and before that in Gap. Joe Hills have worked 20 plus years in Marks and Spencer, she was the Head Buyer . David was the Creative Director out there and Jonathan is again a Head Buyer in Zara and before that in Mango .
So, we as a team as of now have a good combination of manufacturer and retailer who are the customers that we are working with. This is our board of directors, you have seen them before and of course like we have added three recently and here's the locatio n that we have. The blue dots are the places where we have our manufacturing factories. In India, we have in Gurgaon,

Chennai and Bangalore. In Bangladesh, we are in Dhaka. Vietnam, we are in Hanoi.

Indonesia, we are in Semarang. Guatemala City is the other one and the orange boxes are on the map are the places where we have our design, where we do our market intel and where we work very closely with the customers design teams so that we believe in co -creating the product along with our customers. So, that's happening in New York, in London, in Madrid and Barcelona and La Corona in Spain.

We have an office in Hong Kong although like that's becoming more and more less important now and then of course at each location we have a battery of designers who are continuously working on the development of product. Talking about the products, like th is is a product that we do out of India. A lot of value additions, a lot of handwork, a lot of you know detailed working that happens in India.

Some flowy dress, lace insertions, lighter fabrics, double gauze kind of fabrics which are very typical to India that definitely we do out of India manufacturing but India manufacturing does need a lot of automation and modernization at this point of time for when we service customers at a higher end or especially like the Japan market, they are very particular about the quality which has to be absolute zero defect.

In terms of Dhaka manufacturing, as soon as you go out of India, India has been known in the market for a lot of fashion products but if you go to other countries like Dhaka and Vietnam and all they still have the majority of the core basic items that mean s

something always is there in
your cupboard.

So that's something we make out of Bangladesh. As you can see a lot of polos, a lot of hoodies, a lot of fleece, track pants, track bottoms, track tops. We do a lot of some women's product in Bangladesh as well but these are comparatively much basic compar ed to what you saw in India but Bangladesh also is known for denim.

So we do huge amount of denim production out there and this is something like you can see brands which are mentioned out here that we do Bershka is an Inditex brand, Zara the younger version of younger generation of customers they cater to and then we do a lot of sleepwear as a product. We do a lot of you know active sport look kind of product and then children's. Now as you can see like when I'm showing the product these are different categories of product, different category of items which are there.

So as an organization we do cater to six different category of product that we're supplying to our customers. This is Vietnam. In Vietnam we do a lot of outerwear, a lot of technical outerwear, a lot of athletic garments and then a lot of this high -end whi ch is very technical where you do heat quilting or seam sealing, flat lock.

So those are the kind of items that we produce out of Vietnam. In Indonesia we cater to the upmarket brands specifically like which are normally detailed maybe around $100 plus, $100 to $400. So if you can see the Talbert, Midwell, Vineyard Wines that kind of brand we do out of Indonesia and also apart from technical outerwear we do a lot of these dresses, blouses which are like on synthetic fabrics where needlework is to be much higher compared to the normal quality standard that's there in the industry.

In terms of Guatemala which we recently started in 2023, this is the near shore to the US with all these problems of inventory and delay in the logistics and all. The US customers nowadays prefer to buy a certain percentage, anywhere between 5 % to 10 % of their inventory they are sourcing from the near shore markets. So Guatemala is an important market for us out there and we are developing it in terms of basic knits as of now, the jersey fabrics that means the polos, the hoodies and some of the other k nitted bottoms that you are seeing in this picture.

And Pearl like you know we always have both a combination of 100% owned factories as well as partnership factories where we do and this is because of the mature markets that we are dealing with, countries like Vietnam and Bangladesh. That's the way like y ou have a lot of these ecosystem has been built up in such a manner that I can produce out of my factories as well as some of my partner factories, very professionally run. So we do have about 16% of our sourcing happens from these partnership factories.

84% of our production as of date is through our own factories. In terms of clientele, this is the brands that we are at this point of time our large key customers. On the upper half you can see the specialty brands, these are like well -known brands in the Western markets and at the bottom

are the department stores and the large format, large box, what you call big box stores and some groceries also who deal with a lot of apparel.
Only exception that I put is Muji. Muji because we handle very carefully. We deal with them like also a specialty brand. That's being Japan which takes absolutely zero defects. So that's how like the customer base is as of now and mind you one thing like you know the bottom two rows that you are seeing of the customers, each one of them would be having, these are like large format stores which would have their private brands. That means Kohl's for example would have about seven brands on their own.
So we cater to all those seven brands. So if you talk of brand there will be many more but because we work through

these large big names so we don't, separately showing you the brand names out there. Going back and over these last couple of years, like las t five years, what happened in Pearl is that I joined in 2018 -19 and after that we bring in, we brought in a lot of other professionals from various part of the industry and we built up a strategy in which our goal is to go definitely much bigger and be o ne of those major global player of this sector.
And in the last five years the kind of customers that we have brought in, normally in our industry the entry barrier is very high. Normally a customer won't just, if you today, if I have to open up a company and open up the best of the factories, customers won't just walk in just like that. Just by looking at a facility and all.
So there are certain things which takes a lot of time and that's where the way to grow is either to build up the strategic relationship over a long period of time with these customers or you do acquisitions where somebody else is maybe having couple of bra nds which I don't have and I acquire them and then we can grow. So in our case like you know if you do the organic growth then the kind of customers that we have brought in in this last five years, you can see that that already has about 42% of our total pie that we have today and it has grown significantly. The CAGR you are seeing is almost about 60%.

That has happened. So I will take a pause at this point of time and give it to Vikas. Vikas is online technically? So Vikas heads our Bangladesh operation. He will give you a brief about our operations in Bangladesh and what is the competitiveness in Bangladesh for all of you. I could take the questions much later but let's hear to him.
Vikas Mehra: Yeah good evening everyone. I am not sure if you can see me and if you can hear me clearly. Okay great. So let me start with a brief introduction of myself. I head the Pearl Bangladesh Global Operations as the designated CEO. Before joining Pearl around four years back, I had the pleasure of learning and holding key positions in the apparel industry on both sides, the manufacturing as well as the buying side based in South Asia, Middle East, North Africa, Southeast Asia. So that gave me a very good bandwidth to understand and to see how the industry has evolved in various reasons.
Coming to a few specifics with regards to Bangladesh as a country and Pearl's role in Bangladesh, I will just pass you through some facts and figures. I hope everybody can see the presentation clearly. Okay so Bangladesh today is a country of 174 million p eople across 147,000 plus square kilometers of land.
The GDP today sits at about $1.13 trillion and in terms of the apparel industry, it contributes about 60% of the total industrial development this country has, employing about 4.5 million people countrywide. Major share of that happens to be women and as per official figures, the coun try is today the largest, second largest exporter of apparel to the world after China. In specific figures, the slide at the right shows on the bottom financial year figures.
You can see the significant contribution the garment sector has been making to the country's ready -made garment sector exports. We are ending the financial year 2022 -23 country figures at $56 billion, where garments is contributing to about 47 billion, which is 82% of the total exports of Bangladesh. There is a lot of extensive investments going on, both in manpower training, hardware, software, collaborations, which is setting this country on course to do a targeted ready -made garment export turnover of 100 billion by 2030.
Financial year 23 sector -wise exports, a very interesting analogy where the RMG sector was the only sector, which despite of all the headwinds across the world and also in South Asia, as well as in Bangladesh, excee

ded the targeted figures, which are shown in the slide here. As you can also see, the exports, as I mentioned earlier, in the RMG sector play a significant role on the total export of the country. The other sectors did struggle, which were primarily because of the international trade situation.
Product -wise, casual trousers, t -shirts and knitted shirts, denims, and sweaters form to be the

four leading categories of RMG export out of Bangladesh. I am happy to share with the forum that Pearl Bangladesh today manufactures and proudly exports the thr ee top categories, which is trousers, t -shirts and knitted shirts, and denim and other categories in the denim segment. A few important figures in terms of competing countries, China, of course, we all know has been a significant contributor, but with a t rend change, we see Bangladesh and Vietnam catching up.

My colleague Guru from Hanoi will give you facts about the country and about our operation there. A few more facts about the export earnings in goods for Bangladesh. And at the bottom, I'm showing you the five top buying countries from Bangladesh for the p eriod of July to October. The US happens to be the biggest customer, but you can see that over this period, there was a drop. Germany happens to be number two. Also, there was a drop because of headwinds in their own economy. UK happens to be number three. It grew year on year. Spain, number four, also grew year on year.

And France also grew year on year. Pearl Bangladesh ships clothing to all these countries, USA, Germany, UK, Spain, and France. A f ew specifics in regard to this SWOT analysis related to the RMG sector in Bangladesh.

We see the strengths of this country being the competitive cost of labor compared to competing countries. We also see the industry experience over the last couple of decades, making a big difference in terms of technology and automation being brought in. S trong trade agreements, wherein the country was on an LDC status, a least developed country status, and it still is as the last leg, which allows it to gain subsidy on exports to EU and UK.

There are duty -free benefits for export to Canada. And there are strong bilateral, including duty - free agreements to ASEAN countries, which this country benefits from. The industry growing trend in particular has been a significant contributor. And this is what makes Bangladesh different from many other countries. The steady growth of the industry in this country has empowered it with technological advancement and a lot of logistics advancements, which helps in a time -bound trade.

Adaptability and versatility. This country today manufactures and exports all kinds of clothing and sweaters. And very soon, we see an evolution taking us towards man -made fiber clothing also, which is all related to the industrial experience and the train ing of the workforce here. Again, another strength is the middle -aged population, which is extensively adding employment opportunities.

It's a win -win model where investments being brought in are putting up good facilities in the country. And the young population of this country not only incorporates the working class but is also forming the middle management and the senior management in the ready -made garment sector here.

Investments, as I mentioned already, significantly growing year -on-year. A very progressive model. At the same time, like any other South Asian country in a progressive economy, this country is not immune to weaknesses or threats. Weaknesses we see on grou nd that the environmental monitoring policies still have a long way to go. But the good news is that there is a lot of step -up, both at the state level and at the investors level.

Pearl, very consciously from the inception stage in this country, has been investing and making sure that we manufacture c

lothing in a sustainable fashion. And it meets all parameters of product safety and industrial and environmental safety. And as I spea k, we are continuing to put in more investments on this front.

The second weakness that we perceive today as a manufacturer in this country is a high dependence in terms of raw material import. We do have India as a stalwart and a strong neighbor which does provide good support, which facilitates our manufacturing str ength with the strong in -region raw material sourcing capability the group has.

Opportunities in this country are immense, taking the strengths into account which I just spoke of. Diversification, we are on the threshold of adding new product and new technology, which is also helping us to become a bigger player in the speed to market , which is a very, very important constituent in today's industry.

Technological integration, a learning curve for all growing economies and manufacturing countries in the world. As we see a major increase in manufacturing costs with energy and basic minimum wages going up, it becomes even more relevant for us as a manufa cturer to adopt

advanced technologies and enhance our efficiencies and productivity with the best in class equipment and manpower training.
We also see an opportunity in e -commerce growth, where within the ASEAN region or in overseas markets, we are in a position today to label the merchandise that we export with virtually zero handling at the destination, which can be sent out on the e -commer ce distribution platforms. We are aware, I mean, I'm sure all of you are buying online in India and you can see in the last few years how this sales platform has grown.
The apparel industry and us in Bangladesh are also in tune with this and we are matching the requirements of the consumer and the brands. Sustainability, for us at Bangladesh, the Pearl Global Industry Team believes in a very simple world called habit. Eve ry day when we start our operation, the sustainability measures and initiatives that we take are a habit in our operation. That's the only way we continue to raise the bar and improve our sustainability scores and win business over our competitors.
Global market expansion, as Pallab briefly touched, showing you the mapping of our consumers, Bangladesh is also trending up to adding new countries, new product and new regions under its horizon and Pearl has been shipping to Australia, Europe, UK, Canada , North America, as well as South America and very soon we will be opening up the Japanese market also.
ASEAN trade is perceived as a big opportunity because of the lead times and because of the consumption in the ASEAN countries. We are in strategic discussions with various Indian brands and we see our business growing with them in the coming years. Threats , as I briefly also touched earlier, on a micro level.
On a macro level, we see the global economic uncertainty definitely being something that we have to all look out for. Pearl Global Bangladesh is no different. We monitor these parameters very closely. Intense competition, this in our industry particularly and in Bangladesh, I would say is even more fierce because of the sheer volume and the sheer market share the industry holds.
Supply chain disruptions, we've all gone through the nightmare of COVID where the virtual supply chains across the globe failed. We do see often on situations where there could be either

shipping line loops breaking up like of the current situation which is going on with the shipping routes around Africa. But as these situations arise, the countries that are involved and the trade monitoring agencies are taking necessary corrective measure s.
We are in regular contact with the key decision -makers and we do provide a strong so

lution to
all our brands by readjusting the lead times, by speeding up the deliveries to them and by holding higher level of inventories to make sure there is no disruption in flow of inventory to them.
Labor issues, again, this is nothing new to the region or to the world. It is something which is related to an inbuilt vice in the manufacturing industry. But I must happily and proudly announce that Pearl Bangladesh today maintains an average turnaround p ercentage of less than 4%. Our average absenteeism across all our factories range in the range of 2% to 3%, 3.5% maximum, which are indicators of the mindset that we have been able to create amongst our team, where everybody comes in to work with a sense o f pride and belonging.
We do see a threat in terms of the migration of Bangladesh as a country, graduating from an LDC status to a developed country status. However, because of the importance of this agreement, the country has already negotiated Phase 1 where the status and the related benefits have been extended till 2026. And the country on the state level and association level is already in key discussions with WTO and other members to take this agreement further.
Mid-term outlook, if we look at what Bangladesh is heading for, as I briefly mentioned, we are looking to evolve towards the man -made fiber product in addition to the growth of the cotton -based apparel product. There is a very strong outlook coming in as a combination of this as well as a strategic flow of investments coming from a lot of manufacturers and brands looking at Bangladesh and other regions of South Asia and Southeast Asia to digress their dependence on China. I am sure all of you have been foll owing the media and this does reflect as a very frequent news across all the sectors.
What does this mean operating for us as a country? As we evolve to man -made fiber, we see the unit prices getting slightly higher, which gives us more room to try and build up our margins.
And this also opens up non -traditional markets to consolidate and s trengthen our market share further.
In the long -term outlook, we have seen that there have been unprecedented growing figures in the current year and the past years. We think with the infrastructure growth and with the performance this country has shown, these figures will look better and st ronger. In terms of the sustainability and trade agreements as well as the global supply chain strength the country has,

the benefits will continue.
A least developed country, as I said, this is just a few details in terms of what is currently happening. It can be shared on a need basis and it will be figuring in the news. Coming specifically to our operation in this country, we started with our flagsh ip factory called Norp Knit Industries Unit -1 in 2004, which today manufactures close to 575,000 pieces of clothing every month.

We added the second unit in 2010, which is almost a little more than double the capacity of the first unit. In 2014, we added the dry and wet process. In the interim period, 2010, parallelly to expanding our in -house manufacturing, as Pallab said, because of the fashion and supply chain models that our business partners and brands need, we had to create an outsourcing model, which gives complete solutions to the brands in terms of product co -creation, in terms of multiple styles and washes being shipped to them at the same delivery window.
We enhanced our investments in design to evolve from a pure manufacturer to a one -stop shop in apparel to all our brands, giving them complete solutions, which has helped us to take complete responsibilities and grow our business. Prudent Fashion was the t hird owned manufacturing facility set up in 2019, which today manufactures a little more than 700,000 pieces of clothing, including automation and woven bottoms, which was star

ted in the third
quarter of last year. Alpha Clothing has been our latest additi on, with a capacity of a little more than 0.5 million pieces a month and growing.
Certifications are complete manufacturing, be it raw material, be it labor practices, be it our processes, are certified with world -renowned agencies, and they are labelled for us to be able to give strength and value for money to the brands and the consum er. So, this was a little bit from my side in terms of Bangladesh, and we look forward to growing and being a more significant player. In summary, Pearl Global Bangladesh is today ready, as part of the Pearl Global Group, to take it to the next level.
Thank you. Pallab, I'll pass it back to you.
Pallab Banerjee: Yes. And now we'll have Mr. Gurusankar from Hanoi, Vietnam. He is the operation of Vietnam and Hong Kong, and also now overseeing the operations that we have started in Guatemala. So, over to Guru.
Gurusankar Gurumoorthy: Hi, good evening. Very nice to meet you all, albeit virtually. We do hope to welcome you all in person at some point of time to Vietnam or near -shore production. I'm Guru. I'm the CEO of Vietnam, Hong Kong for Pearl, and I'm also the Board's representative to oversee near -shore production. Again, a very good evening to you all, and a warm welcome to the meet, and thanks for letting us share the ideas.
Vietnam is a fairly new kid on the block, as is Guatemala. Vietnam, in particular, Pearl got into this market in 2017. So, whatever we do, there is a reason behind it, which is, of course, the value to the shareholders and the stakeholders. So, as you can see from my screen here, just to place things in perspective, the top 10 garment exporters in 2022 and 2023, we have unofficial figures, but it's broadly the same. We have not published it. The governments have not published it.
It's going to be published in the first, second week of April, but this will sort of follow the trend in general. China is the biggest, followed by EU as a garment production place, which is surprising, right? It's 146 billion. Vietnam, as we'll see, and n ext to Bangladesh was about $30 billion. Again, to place things in perspective, Vietnam's population is only 98 million people.
So, it is a manufacturing powerhouse in terms of the country in itself.

There is a lot of electronics manufacturing here, computer parts. Samsung runs factories, which are like 50,000, 100,000 people. There's a big apparel business here, has been in existence for a long time. It's a very strong layer in the apparel field. And the numbers sort of tell you all compared to the population.
Now, if you look at the same thing in terms of if you sort of make the entire market of apparel, and see who commands what in terms of percentages, Vietnam is about 6% of the total garment business in the world. China is about 30%. EU is about 26%. Banglad esh, as you heard from my colleague Vikas is about 10%. India is 3%. And so there is a very compelling reason as to why we should be in these markets in order to capitalize.
Now, how does Vietnam in itself look? 2023, Vietnam is expected to be at about $40 billion of

exports. This figure is not small. There is a lot of talk and conversation about many countries trying to get to this $40 billion, $20 billion, $30 billion. But the number in itself is huge. And as I again have to go back to remind the population base is s maller in spite of that this is the figure.
Pallab Banerjee: Guru, can you hear me?
Gurusankar Gurumoorthy: Yeah, I can hear you.
Pallab Banerjee: Can I just make it full screen?
Gurusankar Gurumoorthy: Expand it to full screen.
Pallab Banerjee: Thank you.
Gurusankar Gurumoorthy: You see it better? Okay, all right. Got it. Okay. So what does Vietnam do? In order to achieve this $40 billion, they should be doing something, right? If you

analyze the components of the
garments, which is being made here, it is a high value item, the sk ill level is very high in this country, as is the productivity levels. And as is the discipline behind the manufacturing workforce, which is extremely key to achieve certain levels of output, even given the cost.
Jackets is sort of outerwear. When I'm talking about outerwear, of course, simple jackets come to our mind. I'm talking about extremely complicated outerwear, which has got different types of fillings, which go into , which protect you when you climb the mountains, which will protect you from the wind, which will protect you from rain, which will protect you from all sorts of weather parameters apart from giving you style and comfort. And on top of it to be retailed at an extremely high price. So the outerwe ar, the pants and you know value -added garments are significant to be produced in Vietnam.
What does the market look like as to where Vietnam ships? Vietnam, of course, ships 37% to the United States. At the moment, EU is about 10%. But it's significantly expected to grow higher because of the free trade agreement that Vietnam is stuck with ASEA N in itself, because it's in the center of this whole Southeast Asia growth is about 5%, which basically means that even international brands produce and ship within ASEAN countries. And Japan is, of course, a significant market as is Korea.

Now, how does the competitiveness of Vietnam look here? And this is from a World Trade Organization importer survey, it sort of ranks across various countries, the various parameters. Vietnam ranks pretty high for quality, for value -added products, it sort of competes head to head with China. And it has also benefited immensely from this China Plus One kind of strategy, which most customers have.
And with our reading of the situation, even the outlook of the markets, the customer markets towards manufacturing countries, this benefit will continue to happen. And Pearl is in the northern part of Vietnam, which is basically Hanoi, which is also closer to China, which basically means that a significant reduction in terms of lead time for shipping raw materials from China into Vietnam. So, if you look at all these parameters, it's very favorably placed.
The market in spite of, I mean, Pearl and Vietnam have of course grown in spite of COVID, we grew, because we did have a change in management strategy. As you heard from Pallab, a lot of us joined the group and we have different strategies come into play. As far as my background is concerned, I started my career with leading Japanese and Italian manufacturers. Then I went into manufacturing in Southeast Asia before I handled sourcing from Southeast Asia, South Asia and Middle East for a major North American company after which I ran a retail chain in the United States.
So, it's kind of a 360 degree experience, which we can bring to the table, both from a buyer's perspective, both from what they are looking for from a manufacturing point of view, and the skill associated with being able to deliver great value to our custo mers. This has sort of given us the strength and the firepower and horsepower to deliver sustained profitable growth in an albeit in a conservative manner, where we watch a lot of things that we do very well, and which has given us a strong position with b etter than best in class brands.
And when I mentioned that I do talk about brands like Polo Ralph Lauren, Tommy Hilfiger, Calvin Klein and the likes of those brands, which are better than best in class. And in order to be able to service them and Pearl is a strategic vendor to all of them within a short period of time, we are what they call a Tier 1 vendor or a strategic vendor or a growth vendor, whatever is irrespective of the jargon that is being used, we are a key strategic partner.

That is what it
means.
In order to be key strategic partner, we got to be able to deliver that kind of value in terms of service, in terms of manufacturing quality, in terms of value addition, in terms of our ability to partner with them as they craft their strategies navigating the market, which of course, they are

quite strong at. So, we do see even coming out of sort of a slower pace to growth, but we still grew as I said, we still see a strong sign of recovery for the market in general, which is always good.

Free trade agreements, Vietnam is extremely aggressive as a country, as they have a free trade agreement already with the EU, which is sort of aiding still the macro factors like, you know, ships from Myanmar, ships from China, so on and so forth. Now, one of the challenges that we have, of course, no country is a perfect, perfect place, it is not a utopia, so as to speak, right. There is inflation in the key markets. Interest rates continue to be high in the key markets.

And the cost of manufacturing, because the skill level of the labor is also pretty high, which basically means that the focusing on productivity and related aspects is significant. And of course, we are invested and are continuously investing in innovation , digitization, modernization. And as I keep telling, and our passionate team here believes that our competition in Vietnam is not a fellow manufacturer, but maybe something from electronics, maybe something from all over the world.

And some of the solutions that we offer to the customers have come from out of the industry, the best practices. So, it is not a very traditional old way, back trade way of working, it is an industrialized way of approaching manufacturing. At the same time , tailor made to offer significant solutions to the customer, which of course, they love.

So, of course, the government continues to favor this industry, which is good. And inflation interest rates within Vietnam are sort of decreasing. And exchange rates and political climate in general are pretty stable. And it is a very sort of a disciplined market overall to operate with, right? And what is the way ahead for us? We do try to keep very complex things very simple. We understand the complexities of the business.

And the more we understand the complexities, the more we try to look for simplified solutions, cutting through all the refresh associated with it. Our goal is very simple to deliver value. And that is all there is to it. And we are focused on our competiti veness, we are focused on consolidating our propositions with our customers, which we have been successful and we hope to be at it on the ball all the time in order to be able to do it. And, of course, we have a diversified source.

All the products that you saw are being done in Vietnam, Pearl Vietnam does. All the markets that you saw is Vietnam market is also Pearl Vietnam's markets. And out of those markets and out of those products, we do skim the cream, so as to speak, right, we play in the upper end of the game. We are not a run of the mill kind of supplier.

We do believe in technology as a group, and particularly so here in terms of extremely high value -added garments. And that is pretty much it from my side. And as I said, it is an absolute pleasure to have seen you all virtually. And I do hope at some poin t of time, we'll have the opportunity of welcoming you all in person to share and partake in the journey that we have. Thank you very much.

Pallab Banerjee : Thank you, Guru. Thank you, Vikas. Thank you, Pallab. We'll sign off.

Pallab Banerjee: So I think, I hope that was useful. And I think I would give you some good insights about both these countries. As you know, today, if after China, who lost from $182 billion that they were doing around 2017 -18, that was their exports of garment apparels to the

world market, it has
dropped down to about 153 now. So that 30 billion, most of it has gone into these two countries, which is Bangladesh and Vietnam.

So now coming back to our Pearl, what's happening is, as we have seen the operations across the globe, we have also modernized our factory in this last couple of years, in which all our factories are now completely digitized. Every garment that we manufact ure have got this QR

code. If you see, like this particular QR code is attached to every individual garment. And this is a unique code.

Even if one particular style I'm making for 10,000 pieces or 20,000 pieces, each of those garments would have a separate different QR code. And this actually tracks complete information from where the fabric is coming, how it has been made, from which cott on, which location.

And then after that, as it goes into our factory at various levels, various stages, it is getting scanned and all the information is kept. That means which individual has touched, which

individual is making that garment. So it's basically one of our readin ess for 100% traceability of the garment, 100% inventory control, and 100% quality control.
That means also like if one person has seen the garment and has moved on to the next, and if he has missed one particular thing of quality, let's say, that feedback can be given back to that individual. So that's the kind of readiness today we have in our factories. And some of the U.S. retailers, especially the U.S. government, is very particular about the traceability.
Where the cotton has come from, there should not be any wiggle, there should not be any cotton from any other place where the garment has been made with the forced labor. So they want this traceability. So that means for every stage, we keep this informati on through our SAP system. And through that QR code on that garment, as soon as we scan it, we get complete information of the history of that garment.
Another initiative, as Vikas had briefly mentioned, that definitely we had spent about a huge sum of money this year to reduce the water intake for all kinds of washes of denim. Now we are making denim almost practically without any water. 85% of water red uction has happened. We are not using any kind of hazardous chemical anymore.
Every garment, as it is getting designed, is getting an EIM score, which is basically the environment impact score. And that's always in the green region. So this is some of the, technically, we are getting that response from a customer very well, because this is something which not many companies has at this point of time globally.
Other industry updates, if I have to give you, this market, this particular year, 2023, was not a very healthy year for the US imports or anywhere. If you talk about the import in the various regions, USA as a market has been quite flat. In fact, it had gr own a little bit, the sales, the retail sales.
But they had imported almost 15% less compared to the earlier year. That's because they had a huge inventory that was lying with them. And that created a lot of situation with all the manufacturers across the globe, that they were buying almost 15% to 20% less in terms of the order.
I think that particular period has just ended. They had inventory till the sales of December month of last year. So I think this year, all the goods that you are seeing in the store, and going forward,

there would be fresh inventory that they are placing. That means the orders would be coming in better compared to last year.
If you talk of Europe, Europe, there was no inventory situation. But as a general, they have been conservative because of the war that is going on. First the Ukraine war and now definitely the other problem that has started in the Middl

e East. So they have been conservative. They bought
almost 20% lower in the last month.
But overall in a year, they have bought about 13% less inventory. UK, again, we all heard that going into the decision at this point of time, like Germany. And there we are seeing they have been buying almost 17% less imports that has happened in the last year in the UK market.
Compared to that, Japan has been better. Japan has been conservative. After pandemic, they have been keeping a very low profile. So this particular year of 2023, we saw that they bought about 4% less than 2022. And this is something like as a company like we were very much aware when this US thing was happening.
So our strategy for the 2023 has been to diversify to this other market. Because we knew that US won't be buying. Our retailers, who we are supplying, all of them had already projected to us that they would be buying less. So we, for our own strategy to ma intain this growth that we had promised to all of you, we have been diversifying into these other markets.
Here is a snapshot of how these markets are and what kind of market share each of the country has. If you look at it, like USA, for example, which buys about $78 or $79 billion, bought last year $99 billion. This year it was $78 billion. So going forward, the year of 2024, we can expect at least about $90 billion plus.
Even if they are going about, let's say, minus 1%, minus 2%, most probably they will be feeling conservative in terms of sales. This is an election year. I hope no other further complication comes in the US market. So in that case, they should be buying ab out $90 billion plus this particular year. And that would be a significant jump from what they bought last year.
Europe has been more or less consistent. If you can see, they are in the 1998, and then when they became conservative, it was 86.1. That is not because of the inventory, but because of the war conservatism that they have been having. UK is a different thin g altogether. They were definitely shrinking in terms of the decision they were preparing for.
And then Japan, you are seeing again, is more or less consistent, 24, 23. In that range, they would be. And if you now look at the supplying country, like India has got almost 5% share in all the

three countries like US, Europe, and UK. And compared to tha t, if you go to Bangladesh or Vietnam, especially for US market, you can see Bangladesh is double than India.
In fact, more than double. And Vietnam is more than triple. And these are the two countries which has benefited from China as it decreased the market share. And same for European Union, like Vietnam's position has been taken over by Bangladesh because of t he duty -free or the GSP status that they have.

And same for UK. UK and Europe, definitely it is Bangladesh which gets the preference. Japan as a market have been very heavily invested in China. They used to source almost about, I think, 60% plus, 65%, 70% of the goods where it used to come from China. And in this last four or five years, they have been very steadily and very steeply losing that market share. China has been losing that market share.
Now, that has been, so far has gone to Vietnam in a major way. And this is where I think, I personally feel that India should play a very important role. And India already has an FTA. But the difficulty of Japanese market is that they don't take any kind of quality issues. So, that means, like for example, European market or any Western market, we call it something called AQL. That's a statistical error how much it can go.
But for Japan, Japanese, they go for absolute zero. Zero means zero. There is no defect. Or in the number terms, it is 180 defects for million. So, per million, 180 defects allowed. That's how some of the retailers talk about that. So, that I think, as in India, we

need to get ready. And we
are definitely investing in that market.
Here is a snapshot of who we do compare ourselves with. Now, these are some of the big companies or manufacturers in the globe. Most of them are from China, Taiwan and Korea. And these are listed companies. You can see that the biggest one is a Chinese co mpany which has got a turnover of $3.9 billion as of now. They do make their fabric as well as garments. Then there is another Chinese peer that we have compared ourselves with which is $2.5 billion at this point of time. And they are purely manufacturer.
Another Taiwanese, which is again, has invested in both mills as well as factories. They are at about 1.3 billion. Second Taiwanese company is about a $1 billion. This one is almost exactly same as our footprint. That means they have also gone into all the three supply chains that where we are. And garments also, the product that they supply is also very similar to us.
And then we have this South Korean vendor, which is about $1.7 billion. So, if you see, like the one thing common, most of these manufacturing locations, they're not limited to one country. They're always across various countries. And that's how they provi de that flexibility to the customers of the product and how they deliver it.
So, as Pearl, we do have this multinational presence and we will continue to grow that. We think that our growth will be happening in all these regions where we are present as of now. And as I mentioned earlier, let me remind you once again, that 99% of t he apparel manufacturing and trading happens from these four different supply chains. And that's where we have to be. And today we are in three of those four supply chains.
Design part, like how we are co -creating that product. That means the person who is going to sell it, what is their need, how much I understand that and how I design and develop those products for them. So, continuous improvement on that. Yes, definitely a ll these 3D software's and other technical upgrades have been there. And now latest, of course, all of us are investing into artificial intelligence to forecast. So, the computer also tells us what are the things to be made and how it has to be made.

Definitely, we continue to progress on the asset light model. And because of our presence in some of these locations, which allows us to do it more, so we continue to do that. And what we believe in, this is the most important part, is to have a strategic customer relationship. That means, if we are important to them, then they are important to us. So, talking about next four years, five years, what is to be done together is very important.
So, we would continue to acquire some more customers. We do spend a lot of time, energy and strategy on this. We will continue to have geographical expansion. We will continue to automate our facilities and our processes. We will be using the optimum way o ur capacities that we have built up and are building up. And there will be some partnership facilities also, which we will be continuing to grow with In India specifically, the PLI and other government initiatives that

we are seeing off late in the last co uple of years, that's very encouraging. And that will give a growth engine to India also. We strongly believe that.
Now, for the list next few slides, I will hand over to Sanjay, who can walk you through the key financial highlights. And then I will walk you through about the future.
Sanjay Gandhi: Thank you, Pallab . Good evening, all the shareholders, stakeholders. I'm very happy to share all the efforts which have been done in the last two, three years have yielded improved financial performance, which I'll be taking next 10, 15 minutes to explain how it has improv ed what all actions have directly yielded this performance.
First, on the revenue side, as you can se

e from FY'21, the revenue has almost doubled. And when we started this journey of looking at bringing a transformation within Perl Group, we were looking at 8% to 10% growth. But we said we will achieve 12% to 14% g rowth in the coming three years. And within three years, the turnover has doubled. We are looking at INR3,000 crores plus turnover in FY'23. And going forward, this year also, we'll be doing more than what we did last year.
In terms of EBITDA, from a 4%, we have almost reached 9%. And our journey is going towards a double -digit EBITDA. We said we will make an improvement. There is an operating leverage which has helped in terms of the improvement. There is a product mix, cust omer mix. All those strategies which are really implemented across vertical, across geographies, have really helped in terms of overall EBITDA improvement.
PBT, as we can see, we were barely making profit, loss in FY'21. I don't want to see the loss number. So we are at INR162 crores . I think we'll do better than this year. And PAT is also at INR120 crores for nine -month performance compared to INR153 in FY'23. In FY'23, INR153 include INR13 crores of non -exceptional gain item which was there. So if you look at operational profit for the full year was INR140 crores for FY'23. Against that, operational profit for nine - month is INR120 crores . So that also shows a significant improvement. Given that we have a quarter four, we are quite confident of exceeding that operational profit number this year.
In terms of the working capital, there have been three factor we really deep areas where we focus specifically. On the inventory days, it has come down from 70, 65, 60 days to 30 days time period. And one of the reason which has really, one of the importan t action which we took

towards the digitization which was narrated in the previous slide, which help us in identifying the turnaround time from raw material to WIP, WIP to finished goods.
And basis that lot of improvement action have been implemented in across geographies, India, Vietnam, Bangladesh. And that really helped in unlocking the working capital which has resulted in a better performance in terms of lower debt services and also in the lower working capital risk. And inventory risk is also reduced significantly.
On the debtor side receivables -- 95% of our receivables are completely secured financing. We do go for factoring arrangement s. There are three ways to resort to the factoring arrangement s. One is to make a direct contact with the factoring company which is based in US, Singapore, Hong Kong. You take an insurance coverage in India, ECGC, and then you go for a post - shipment financing in India. Or you go for receivable financing arrangement w ith international bank like HSBC or Hang Seng Bank with whom we have a relationship at a Hong Kong level. Or there is a third method which is a supply chain financing run by the buyer. We have opted the best in terms of wherever we see the cost optimization is possible, we opt for that, at the same time ensuring that we get our money well on time. That has rea lly helped in optimizing our receivables. So it is liquidity management and the risk mitigation strategy, both of them really played very well for us. Creditors are 45 to 50 days, that is based on the LC which is being issued to the creditors and the credi t terms which have been negotiated with them.
So all this put together has yielded an excellent result in terms of bringing the working capital days down. H1 FY'24 looks 13 days, but we believe that on a normal business scenario, we should be around 30 days' time working capital.
Analyst: That's why , can you -- coming back what has brought to write inventory days going down significantly?
Sanjay Gandhi: As I mentioned, the turnaround time of each process has been brought down. So th

ere were inefficiencies. So it is all linked to each other. As we said, there were inefficiencies existing in some of the operations which were really leading to the working ca pital pile -up and also other costs which were going up.
So by the digitization which has happened across the group, we could trace very clearly which time, which process, which line yield to take more number of days for conversion from WIP to

FG. And then all the actions were taken around that. And over a perio d of time, it has become a habit whereby we see that it has become a consistent delivery of 30 -35 days time period.
Analyst: Sorry. This will be sustainable, right?
Sanjay Gandhi: So this is sustainable. This has been achieved after a long period of digitization and the consistent practice. And there is a very rigorous process of monitoring that which has been in place in the company for now almost eight -nine quarters. So definitely, it is sustainable. Secondly, on the fabric side, the order is placed specific to the style only. There is no fabric inventory we build in the system.

Analyst: Yeah. So why did you said that 13 net working capital has to go back in 13?
Sanjay Gandhi: So this 13, when you say that the working capital is always in relation to the sales, this is a September end. September end, our inventory level was low. So normal inventory level will go high and that will result in the higher number of days. That's the reason.
Analyst: Thank you.
Sanjay Gandhi: The action improvement in the financial performance and the liquidity has led to much improved debt position and the debt service coverage ratio, both in the numerator as well as the denominator. So we can see the debt service our ratio is 2.5. And with th e debt level in control and improvement in the EBITDA level, we foresee that it should continue to maintain and improve from here on as well.
Interest coverage ratio, again, a function of how much EBITDA improvement is there, how you control your debt, how efficiently working capital is done, how efficiently your capital allocation policy is there. All that combination of that, with the discipli ne what we have tried to bring in and brought in to some extent, and we will continue to do that, will definitely help us in keeping both this financial ratio in check, which are very key for us to improvement in the credit rating also, which lead to the l ower interest cost. So it's a virtual cycle which has to be really sustained.
Net debt at the gross rate level is there. We are looking at a 374. So 374 is lower. Largely, the working capital level has come down, which I mentioned that inventory level was low on September end, and that's the reason it is on the lower side. So gross debt and net debt always remain in control, very much in that position.
The cash flow operation is a direct result of the improved profitability and improved working capital position, which has released a lot of cash and which has helped in terms of improving the free cash flow position. And the cash and cash bank balance has been on the higher side. Just wanted to mention always, we have declared that INR341 crores include, there are INR75 crores which is earmarked for the LC payment. So normally we don't include that in our calculation and add it back to the working capital so that the capital implied is correctly reflected.
This was declared just to mention of that. And there was a dividend which is planned after this H1. So if you look at that, there's INR110 crores . We subtract 341, 110. We look at one and a half month of expenses at the group level. I think that will be around INR160, INR170 crores . And INR60, INR70 crores is something which is there in the company. We have multiple plans of looking at expansion and opportunity and the growth capex, maintenance capex within the company.
So it

looks high at that looking at a 341 number, but the real what is available to the company is around 250 or so. And out of 250, there are one and a half, two months of expenses that are barely covered. We are highly labor -intensive. Employee expenses are high. So that's the kind of balance we like to maintain in that.
Return on capital employed has improved from 12% to 26%. Again, I would like to mention that, our endeavor will be to have somewhere between 23% to 25% return on capital employed.

And as the business grows, the volume grows, there will be definitely the working capital in line with the growth of the business. But on a steady state basis, going forward, we are looking at definitely 20% plus, which is 22%, 25%.
On the risk mitigation part, we are very conscious about this and what risk we are taking. And to the extent it, we have identified the risk, we got to take the mitigation strategy. So there are six factors which has really impacted the performance in the past for many other players where they could not manage those risks and that has resulted in a, that has impacted the financial positions. So what we do on the raw material side, raw material is a complete pass -through as far as the pricing is concerned. On the inventory management, we just discussed that, how we

are managing the inventory level. So that is very clearly monitored and kept, always kept in check.
Currency, we do not have currency exposure in the sense that we have a natural hedge on all our overseas operations. In India, we are buying 99% fabric domestically, so there is no risk on that side. Export side, we do follow a calibrated hedging policy, just to make sure that as soon as the order is shipped, then whatever profit it is looki ng like should get materialized there. At the same time, given the scenario that the currency is depreciating in most of the developing country, we do keep certain, ver y small portion open also, our receivables, so that we can get a benefit of that depreciation as well.
On the product and social ethic compliances we have seen in the previous slide, all the buyers are very demanding and all our compliances are the first most priority in all the operations, in all the factories, all geographies we are operating. Otherwise also, in company law, statutory law, income tax, other the compliances, the topmost priority, and there are many governance framework, we will see what we have done to ensure that the compliances at the financial and various regulatory environment is kept i n control and under check all the time.
Customer relationship, Pallab talked about. Cash flow, we just mentioned about that on the capital allocation policy, on the working capital management, on the asset light. We are very clear about what capex we want to do. Before any capex is incurred in any geography, the return on capital employed is something which every CEO has started talking about. I think this is a continuous engagement with all the CEOs across the geo graphy.
Now any proposal, whether it's a $1 million or $500,000, $2 million, they do come up with a return on capital employed criteria, which is very heartening to see as change which is across geography has happened. And I'm very sure that in time to come it wil l become a DNA of the finance and every new and the profit center head also.
Governance part, which I was mentioning, we have strengthened the governance in overseas position to begin with. As 85% of our profit rest in overseas location, the first priority was to really get the system process set in there so that the business can b ecome much more scalable and there is a value protection is there for all the shareholder and the stakeholder. And with that we appointed E&Y as a statutory auditor in Hong Kong. There is a lot of good practice they have brought in the company, which

we ha ve implemented in the HK level.

Then to strengthen the internal audit operation, because India and Bangladesh represent the largest chunk of the revenue portion, so we thought, you know, let's get our processes, operational processes also strengthened from the big firm. So E&Y came in a s an internal auditor in India and Bangladesh, because these are the operational processes which will yield to us to bring the scalability at the end of the day. So that was the reason for getting them as an internal auditor first.
In this quarter three we appointed KPMG as a statutory auditor in Bangladesh. Deloitte is already as an auditor in Vietnam. We have automated many processes around group consolidation, the MIS review, the internal review, the various factory MIS review whi ch happens on a monthly basis, the cash flow, receivable inventory.
A lot of work has happened around all those in terms of, you know, strengthening the governance mechanism, the review mechanism, and bringing much more transparency within the organization and also to share that with all the stakeholders.
We have also strengthened the Board and very happy to announce the induction of three very prominent professionals in their field. Dr. Rajiv Kumar, Mr. Sanjay Kapoor, Mr. Ashwini Agrawal. They bring in rich experience in their respective field and their gu idance will surely help the Board and the company in achieving the goal what we have set forward for the next three to four year time period.
All this action and the financial has resulted in improved rating of the company for the last two years, consistent improvement rating has helped in attraction of the lower interest rate. We have been able, despite the hike in the interest rate in India, w e were able to reduce the interest rate and our interest rate reduction may not reflect, but it has not increased, despite increase in the interest rate.
So our interest rate for the banking limits in India remain what it was, let's say, one and a half year ago. That is the result of, you know, improvement in rating. And this also helped in terms of getting a sanction letter from the bank for any expansion we are taking place, so that really facilitated the entire process.
We have defined a capital allocation policy very clearly. We are a regular dividend -paying company and we have stated for dividend policy we said that 20% of the profit should be given as a dividend to the shareholder. We need to strike a balance between t he growth and also the

return to the shareholder and our endeavour is to really make sure that growth is not compromised and money is not compromised at the course of another one. So that's the balance we'd like to maintain while doing a capital allocation policy.
Thank you very much. I'll request Pallab to take us forward.
Pallab Banerjee: Thanks, Sanjay. So now, I hope all of you are still with us. More than one hour has gone. So quickly, like, I'll go through a couple of slides in terms of what's the next steps, what's our plan going forward. So if you see, like, we have a company which is multinational presence. We had diversified product, robust design and strong customer relationship.

But now what happens to next is that from multiple presence we are going into smart factories, digitization and very strong process and systems that will take us to the next level. Product offering is becoming more and more sustainable as I just said. With out water, how can you wash a garment and the kind of chemical that we're using and all that improvement is going on.
A robust design, we are definitely involving much more technology including the AI which will be going forward. And then, of course, strategic relationship or strategic partnership with the customer. That means

we know what they want and they know how they get it from us. And we can invest together or we can go to a new region together or a new factory together. That's the kind of relationship that we believe in. And, yes, we will continue to explore that asset light model as we grow.
So that's where we are talking about Pearl going forward from 1.0 to the 2.0. And what we have done so far, we definitely started communicating with all of you since '19, sorry, 2021. That means, like, after we all joined as a new management team in Pearl. And since then, like, we have been talking about 12% to 15% CAGR.
And we said that we will achieve that INR3,000 plus turnover, INR3,000 crores plus. That has happened. We talked about the expansion that will be there, the four supply chain of the globe. And we want to be present there from two to three. We have already achieved. We'll go towards the four soon.
And then EBITDA, that's something like we have been hearing from all of you has been low. And then that's something we have been working upon. So from 4.1%, the journey now we are striking data at 9.1%. Definitely, our goal is to get to the double digit. A nd then in terms of ROCE, so there we are talking about we have to be healthy remaining around 18% to 20% or just about 20%. Of course, like you saw, 26% in this nine months. But we are talking about anywhere between 20 to 24. I think that range will conti nue to be. So that's what we have delivered so far.
If you talk about like to the next four years, like if we have to double again from 200 to 400, we have achieved and now 400 million to 800 million if you're talking about. So in that path, like we are at this point of time doing around say 53, 51 million pieces that we have shipped. This year, most probably we will do about 56, 57.
So from there to go to 100 million number of pieces that we will be shipping. And that is a CAGR of 12% to 14%. In terms of top line, it will result into a 15% to 20% CAGR to achieve our INR6,000 plus, INR6,000 crores plus turnover top line.
Product mix we believe will be similar. Woven and knits, it might vary 5% to 10% plus minus depending on what the trend is globally. And then the EBITDA margin, definitely we are talking about a CAGR of 18% to 23% there as well.
Now to do this, we expect, I think to do this, what we have to do is if you talk about today's capacity, we have about 80 million pieces kind of installed capacity that more or less we have. And we have been running at about 65%. Mind you, out of this 80 m illion, there is certain production which is through the partnership factories, which we use when and as needed.

So that, if we have to go towards that 100 million pieces that we have to ship, then we have to grow this capacity to about 120 to 140 million kind of capacity we would be needing and operating at about 75% efficiency or capacity utilization. So if I do th at, that means within this next four years, we are looking for a forecasted amount of capex of between INNR450 crores to INR550 crores. That means the 14 factories today that we own 100% and one factory that is a joint venture, we would be needing another almost 9 to 10 factories of the large size ones.
For us, that size is about 1,200 machine factory that we have. So we believe that the source of funding will be a mix of internal accrual, some debt, and some growth capital. In terms of

expansion, we will be expanding across all the region, and this is I' m talking about only the organic growth at this point of time.
So we in India, for example, we have already acquired land in Indore where we will be building up a factory. We are exploring and close to do another deal in another particular state of India. India definitely, Government is very robust at this point of ti me and the PM Mitra is coming up, that whole incentive, the PLI incentive i

s there, and all the states are very actively pushing us or pulling us at this point of time to open up factories with them.
Overseas, Guatemala, JV already executed. That's not in this 80 million. That would be the addition to the 80 million already is happening through Guatemala, and we are in close discussions with a couple of other locations in this Bangladesh and Vietnam an d other places where we can expand by doing an acquisition of a factory.
We may not at this point of time acquire another company for brands and other things because that's something we do have quite a lot, specialty brands and all that we are supplying to. So what for us would be to grow the capacity by acquiring some factorie s. Greenfield or Brownfield project is much faster for us. So that's something we will be going for.
And while planning this top line, as I just said, like today, if you look at our customer profile, I think top three customer is giving us almost about 50% of our revenue. Top five customers would be about close to 66%, 67% of our revenue. And if I talk of top 10 customers, that is like giving us 80% of the revenue.
Now, how we classify ourselves is that those big three that will be there, like each one of them should be contributing around close to $100 million. So that will give us $300 million of turnover. The next 10 customers in the bracket, the bench that we cal l, would be contributing to about $350 million to $400 million. So that's the strategy that we are executing at this point of time. Those numbers of those 10 customers, if it goes, then we get around the $400 million out there.
And then the new ones, or the smaller ones that we have, that will continue to be the tail, will continue to give us about $50 million to $90 million. So that's how we have our path charted out. So capacity of 120 to 140, so that we can execute 100 million pieces, giving that kind of customer focus that we have to achieve our next goal of INR6,000 crores.
And yes, like as we do this journey, definitely objective is very clear, maximizing return to our stakeholders. So there will be growth in EBIT. We're talking about borrowing leverage, capital

allocation, governance framework. We have talked about fixed assets for optimum utilization is the objective and working capital optimization. So we'll be using each one of those blocks.
So with that, I think I would end this presentation for now. And then should we do some kind of small break and do question and answer, or how do you want to do it? Okay, we can start with the question and answer also.
Karan Thakkar: In case of any questions, I would request you can raise your hand and mention your company name and your name, and then start the question, please.
Priyank: Hi, Priyank here from Vallum Capital. So the question is on, of course, we have talked about current utilizations at 65%. Are you planning for a capacity expansion as well as utilizations going up? What we miss out is, so that there are, we are fairly div ersified across the geographies. And Vietnam, as well as Indonesia, sorry, yes, Vietnam and Indonesia are running at less than 50% utilizations, right?
Pallab Banerjee: So when you talk of less than 50% utilization, is that the potential that we have in Vietnam and Bangladesh? Not in Indonesia. Indonesia, we are close to, Indonesia, actually, we just created a new factory. So that's where you saw a dip in that. But genera lly, in all other locations, like specifically Bangladesh and Vietnam, where we do have maximum number of partnership factories. So if we go for the full utilization of those factories, then that will be a big number. So that's where we ha ve to increase our efficiency more.
Priyank: Exactly. My question was, in Vietnam, we have 80% of our capacity, which is into a partnership. And despite that, what explains less than 50%

utilizations over there?
Pallab Banerjee: So, for example, the factory that we own 100%, that's utilized more than 100% at this point of time. Then we have another factory, which we have got a small stake, a very small percentage that we have invested in. So that again, we are utilizing 100%.
The balanced four factories that we have in partnership, so they have offered us like up to a full factory that we can run for them. We have taken a single, limited number of lines at this point of time, and that we are running. So that if I go and take the full capacity, that will be that when you talk about the number of minutes or the number of established capacity that we have in

Vietnam. So that's why we say that the utilization is still less. There's a lot of op portunity out there.

Sanjay Gandhi: So let's say the factory has 100 machines, just for an example. So they are -- Partnership factory they're talking about. So they have, let's say 100 machines. So entire 100 is available for us. Whereas our commitment in terms of the minimum commitment rem ains at a threshold level, which gets utilized.

The rest of the thing is available to us and it will be utilized as the orders start coming in and as we have the visibility on that. So that's what it means. Utilization level looks on the lower side in a partnership.

Pallab Banerjee: Is that clear to you now?

Priyank: So exactly what leads to the uniqueness of these partnerships, revenue coming up, the partnership that we have, does it lead to a better balance sheet? Does it lead to better conversion costs? Because the utilization suddenly doesn't seem to be picking up.

Pallab Banerjee: So you see, when we talk of utilization of that capacity, then we have planned at this point of time only a certain percentage. So as we grow in size, because it's not that we are making a commodity item and selling to the customer. Making it first and the n selling it to the customer. What we do is that we are going to our customers, more of a premium customers in Vietnam, and then designing for them, developing the product for them and then executing it. So as this number grows, so we already have charted out that path where my capacit y would be. So these are like, we are not giving any financial commitment.

It is more of a commitment that, okay, we are going to start, we'll take at some point of time the entire factory. For this year, we have taken X number of lines. Next year, we take Y number of lines. Like that.

Sanjay Gandhi: And yes, it does help in terms of improvement in return parameters. So for the same asset, let's say you make the fixed asset of $5 million, you are able to generate with that infrastructure being physically present there. Partnership, return on capital em ployed goes high. Because your asset turn is largely there.

Your capital investment in a partnership factory is not on the fixed infrastructure, which is there. It's merely the working capital which goes there. So that in a way really helps in asset turn. And the EBITDA which is generated is much, also get added to the overall EBITDA Vietnam is generating. So overall return ratios improve.

Pallab Banerjee: So if you go into the history of Vietnam, they had these big facilities that the government at some point of time helped them to build up. Communist country, employment generation and all. And then these foreign companies like the Chinese or the Vietnam, K oreans, Taiwanese, they started coming in and took this factory.

And as their business grew, they started taking more and more lines and more and more employees they could hire into those facilities, we should be run by one of the local, some Politburo member or somebody who had been allocated these factories. That's the history of Vietnam. So today when we have walked into them 17 onwards, some of these have been alre

ady
privatized.

So they have this beautiful infrastructure, big infrastructure, but not fully utilized. So we have taken like four of them, which is working for us at this point of time. So again, no capex from our side.

Priyank: Sure. The second question is on the employee cost, which seems to be slightly higher in if in case, if I have to do a weighted average capacities that you have into India, Bangladesh and then non-India Bangladesh, where you know, the minimum wage, minimum wages are fairly higher, say in Vietnam, Indonesia versus India, Bangladesh, right?

So, so what, so why such strategy where, you know, India where it's so strategically advantaged in terms of the availability of labor as well as the minimum wages, which are fairly, fairly half versus what would be for Vietnam. So yeah, just a strategic qu estion on, on the total employee cost, which is around INR200 crores, sorry, INR500 crores, right? So, so just your thoughts on that.

Pallab Banerjee: See, first part of the question, like India has everything on paper at this point of time, but you have to convert into a good manufacturing base. So if you today look at it, Vietnam has proven a much better manufacturing base, especially for the sector th at we are talking about. So is

Bangladesh.
So definitely they were much more ready to grab the business from China as it's exiting. So India definitely has got the potential, has got the people, has got everything, but we need to make it happen as of yet. I think the government policies and the sup port that we need, I think is coming now.
So in future, I think there is definitely an opportunity for India, but it has not happened as yet. So if you look at it, India's contribution about $15 billion, $16 billion or $17 billion, we have been in that range for a very long time. And whatever busi ness, the $30 plus, billion that has exited from China, we could not grab it at this point of time as India.
Now coming back to Pearl as a company, so we didn't miss that opportunity. So we were present in both these locations, although despite, like if you talk of China today, their minimum wages in certain provinces are as high as $600 or $500 plus. If you go t o Vietnam, Hanoi factory that we have is $400 plus. There are other locations where 300 and 250 is also there. But then compared to that, India is way below. Bangladesh is even less.
But the kind of efficiency that has happened in those countries like Vietnam or China is far superior to what happened in India or to Bangladesh till about five years back. Fortunately for Bangladesh in the last four, five years, they have really done it w ell and they could successfully gain the maximum benefit as this China shift happened. So India is now getting ready for it. I think over the next four to five years we might see a big change in India as well.
Priyank: Just a last question from my side. Over the last five years, our volume growth has been at around 6%, CAGR. We shipped around 41 million units in FY '19. We are at 51 million units in FY '23. Maybe the run rate that we would end FY '24 also slightly around 51, 52. 38 was nine months. So the question is two aspects. What gives us the confidence on the guidance of volume growth of 10% over the next five years given such a volatile macro scenario that we have? That is part A to the question. And part B, despite volumes remaining flat over the last two years, we have still seen a significant growth in the employee cost which is almost up by 20%. So just part A and part B of both the questions.
Pallab Banerjee: So first of all, let me talk about the units. So units definitely is, there are two things. One is the unit and the per unit value also. So as we developed certain business in Vietnam and in Indonesia and all, where we targeted the customers for a higher v alue item. So that's w

hat you have seen

in '22,' 23. Although like the unit didn't go up, it actually came down from 53 to 51, but still our top line went up.
This year, I think it will be a combination. We'll see even the number of units also will go because as we expanded more in the European markets and Australia market there, the UVR was less, Unit Value Realization was lesser compared to the premium brands that we cater to in US and some other markets. So that will be, I think both will go hand -in-hand.
So yes, maybe like 51, 52, we'll see a much bigger number compared to that. But what we are doing is this average. We keep an average of that over this last five years, if you look at it, and then we are extrapolating it forward. So that's what I'm saying that, okay, this, whatever 50 million to 60 million range that we are in at this point of time, that need to go to a 100 million. So that's how we have done that part. And in terms of...
Sanjay Gandhi: You know, the garment , every style has standard available minutes. So the 50 may look 55 or maybe 50, but you know, the number of minutes which are going to produce that garments are increasing. So there is two, three variables which goes into it, which means you are able to g et a higher sales realization for per unit which you are selling it.
So maybe you are producing, let's say shirt, tomorrow you produce an outerwear. It's one unit, right? But then you may spend 20 minutes here and 40 minutes there and 40 minutes will yield to much higher sale. And that's the result of higher sale realizatio n, which is coming in double sales getting doubled in two years.
And we are very confident that, you know, as we grow in the journey, 15% to 20% growth is something with the capacity to some extent already available to cater to the growth for the immediate next 16 to 18 months' time period. And with all the initiatives which have been really planned out, the capacity for the next two years also will get built up by the time we reach that, you know, 18 to 20 months' time period.
Pallab Banerjee: And wage, I think, will depend on the minutes. So if you see our minutes are always growing up and that's what is the currency that we internally look into.
Priyank: Got it . I understand the conversion cost of all that average, we are around INR50 per unit as an EBITDA conversion cost that we get, would it be very significant versus India and Bangladesh, I mean, Vietnam…
Pallab Banerjee: India -Bangladesh should be something similar. But if you talk of Indonesia and Vietnam, they

would be significantly higher.
Bhavesh Shreyas: Hi, this is Bhavesh Shreyas. We have the family office and I'm handling the family portfolio. I have a question regarding the revenue share. See, since the FY '23 revenue was INR3,158 crores, so it would be better if you can give the split of the, since w e have the global presence, which countries have a good ROCE?

And the EBITDA, total EBITDA is INR255 crores. So it would be better if you give them some split. I was waiting for the slide where we have the , seven, eight countries, we have the presence in the office factories. So revenue break up.
Sanjay Gandhi: Yeah, it's there. I mean, you see the segment report it already has the said information.
Bhavesh Shreyas: ROCE, everything is there.
Sanjay Gandhi: ROCE is not there. The segment asset is there. Segment liability is there. We can discuss offline again, you know.
Palash: Hi, Palash here from Nuvama. So my question is, so in terms of capital allocation, which geography excites you the most? So out of INR450 crores, INR550 crores that you're going to invest, out of the three or four geographies that you mentioned, which wou ld be getting the most capital allocation?
Pallab Banerjee: So I would

say that more than geography, as Sanjay just mentioned, the ROCE, that return would be very important for us. So wherever we see the more opportunity, that would get a priority. Of course, like, you know, each of the geographies, we do consider them as their own individual strategy, as you know, each of the CEOs are there.
So they're always pushing for, okay, this is the project that I can do, and this can give us this kind of return. So that's the kind of, you know, culture that we're trying to build up in the organization. And that's how we will do the investment.
Sanjay Gandhi: And just to add to Pallab, actually, if you look at the, we have shown regional peers slide, they are present in Vietnam, Bangladesh, Indonesia, Guatemala, everywhere. So there is a potential to grow there also. And it excites us with respect to the produc t mix productivity, which is there. Bangladesh is excited in terms of the asset also. So all these are exciting. India, there are so much of things happening with the, you know, new announcement and the long term intent, which is being reflected by the government in whether it's extension of interest subvention scheme, RoSCTL, or, you know, various state subsidy.
I mean, there is excitement around that as well, you know. So we'll have to see which is strategic and which ROCE and long term point of view, which country. So every geography has its own attractiveness at this point in time.
The criteria will be that what fits in the long term criteria and maximize the value for the shareholders. So there is no specific geography specific, we are immune. It's all about return on capital employed as a long term strategic in uni -purpose itself.
Pallab Banerjee: So we are regularly evaluating all the potential projects that we have in our hand. So the priority will give on basis of this RoSCTL.
Palash: So my next question is, so there are different players like KPR, which is focusing on a single geography in terms of the manufacturing footprint. Then there is Gokaldas, which are expanding to different geographies now. And there is Pearl now, who has presence in thr ee or four

geographies. So do you think that players who have not diversified would have disadvantage in the longer term?
Pallab Banerjee: So in terms of customer point of view, like if I am today a WalMart, or a GAP, or let's say Inditex Group. So they're like if a supplier is coming to me and giving me variety of product from variety of world. So of course, like as a person, like, you know, we'll not nobody puts all the eggs in one basket.
So that something is always there in their mind. And then we are bringing in also the intelligence of what's happening in like Spain, which is one of the fashion center of the world, and then US and UK. So these are three locations like we have really inve sted in in terms of understanding the market very well.
So that's an added advantage that we're bringing on to the customer. So if you look at the peer that we talked about those five peers, so there are some of them may be better than us in doing the same thing. So that's what we would say what are the best pr actices that they have already succeeded.

And if you look at it in the world map, nobody is like that from India in that size. So India has the largest exporter manufacturer today, which is non -listed company called Shahi, which is they're close to about a $1 billion almost in terms of revenue. An d again, they're also completely invested, and they work very closely with the government policies and all.
Apart from that, very few people have really gone outside of India. Best Corporation is trying to do something or I think JJ has there, who else? Ambattur again, non -listed company has gone like that.
But if you talk if you really study this industry, what has happened over the last 100 years, before

100 years, the garments were made in New York. In 1922, there was the biggest fire in a garment company. So naturally, if you see the world, how this trade has diversified to the low cost centers, and today, who are ruling this?
Because initially the Jews had full control over this trade, the global trade. From there, China, Chinese and Koreans have taken a lot of control. And then the next strong country would be Taiwan.
So these are the three countries which are ahead of India. So my purpose is that today, or in my life would be to bring India into that map. So yes, Pearl Global would be a good example over the next five years to be a success story in this format.
Maybe after that other people will also follow from India, because India money power is definitely coming. A lot of attention is coming. But people are not thinking like that, as of yet. That's the only difference, I would say.
Sanjay Gandhi: So not speaking about the competition, Pearl is well -positioned to take advantage across geographies.

Palash: And sir, last question from my side. So recently there was a lot of news about wage rate hikes in Bangladesh. So does that narrow the gap in terms of ROC and margins between India and Bangladesh now?
Pallab Banerjee: So what happened in Bangladesh, the minimum wage after this 56% increase is now equivalent to about INR9,500 approximately. So India, the lowest wage that we can see potentially in a state where we should like to operate would be 10,400. So that's the kind of comparison.
Bangladesh over the last five, six years has really improved in terms of professionalism of this industry. So there the workers today are highly productive. Not as highly maybe the Chinese and the Vietnamese, but much higher than India as of now.
So that's the struggle that India has to go through at this point of time. Highly productive labor that we need. India definitely, as we develop, definitely our government is looking into increasing the minimum wage rates, definitely good for the workers.
But then they have to be productive. So the goal has been left to us, the industry, to make these workers productive. Because they're automatically getting the DA increase and other increases like every month.
So that's the challenge that India has. But we are ready for it, because we are going through this smart route, digitization route, the whole training part. So hopefully we will be definitely catching up to Bangladesh very soon.
Ramesh Tojwani: Sir, [Ramesh Tojwani from Me hta and Vakil. You have made an all -encompassing presentation. You have virtually highlighted in the format we study, that is strength, weakness, opportunity and threat. And you have brought to the notice that it is Bangladesh and Vietnam who have taken away the fall in the Chinese export from 182 billion to 152 billion. The entire fall has been eaten away by these two countries.
Pallab Banerjee: Majority of it, yes.
Ramesh Tojwani: And my observation is many a very good brand in India, they send the fabrics to Bangladesh, get the garment manufactured, apparel manufactured and bring it back to India and sell it with their labels. If we can bring to the notice of the government, which is now proactive, has Make in India theory or import substitution or export elimination, to create an atmosphere, create a policy or create a taxation and duty structure, which as you rightly mentioned on the wage in Bangladesh is 9,500 whe reas India is 10,400.
Pallab Banerjee: Cheapest one, cheapest state.
Ramesh Tojwani: Cheapest, yes. We keep that but we do something into the input cost. Like you mentioned digitization, smart factories, digitization processes has increased your EBITDA from 4.1 to 9.1.
Going forward, I see it going to be, this itself will give you a doubl e digit in the next year or so and you have given a conse

rvative estimate of 3,000 to 6,000 in the next four years. I see you will be a $1 billion company four years down the line.

Pallab Banerjee: Thank you.
Ramesh Tojwani: But to further accelerate, we need the government to recognize when companies like you or others, like you mentioned a few unlisted companies which are already a $1 billion, when we are wanting to grow, we are wanting to grow and compete in the global mark et, not in the domestic market. We have to take cognizance of this, the way the Chinese government is doing and the Chinese exporters are able to deliver the product like anything. So, if it is a combined effort from the Apparel Export Prom otion Council, the larger exporters, we can have an accelerated government policy.
Pallab Banerjee: In fact, as we speak, I think the ministers, Prime Minister and the Textile Minister is meating some of us in Delhi. The Bharat Tax is happening, I think afternoon 4 o'clock was the meeting. I hope there should be some good development. I think this is a topic that as an export company…
Ramesh Tojwani: India basically is a very, very fertile ground for the raw material be it yarn and fabric …
Pallab Banerjee: So, you see like globally…
Ramesh Tojwani: We have hands which are jobless but not useless. We can synergize and synthesize our strengths, overcome our weakness. We can fix the competition straight into the head.
Pallab Banerjee: See, one interesting…
Ramesh Tojwani: We are stagnant at 16 billion. Is it not a shame that we cannot go to a 40 billion and a 50 billion export -oriented country?
Pallab Banerjee: Should be. Because, see, interestingly, you brought in a very important point. Like, today, in fact, I was discussing with someone that if you look at the global trade of textile and garments, so the major trade that happens, like, you know, there is yarn, raw material like cotton fibre, then yarn, then made -ups, fabrics and all, and then you have got the apparel.
So, between all of these, the trade, normally the biggest chunk of trade, almost about 60% -61% happens in the garment apparel. But if you look at India's textile and garment, the whole basket, then this portion of apparel comes down to below 40%.
So, that's where one of the big gap is. So, if we can really focus on the apparel and really grow it up, because that's where the value addition happens, and that's completely human -- workers are needed.
So, that's where, like, a big unlock is there. So, when Arvind Panagriha also in the planning commission had spoken about it, he wrote that article, the famous article in which he said that INR20 crores, if we invest, then you can generate almost 2,000 emp loyees, employment. Thank you.
Manoj Alimchandani: Thank you, sir. Very good presentation. Only two very specific questions on strategy on two slides. My name is Manoj Alimchandani , [Environment Family Offices. Now , slide number 61.

If you remember, to put context, a very important slide on strategy on how you allocate your capacity among different countries, right? India, Bangladesh, Vietnam, the main…
Pallab Banerjee: The current capacity, what is there, and what we want to do.
Manoj Alimchandani: Yeah. Today and tomorrow, fantastic. And in this case, recently, Ministry of Industry officials had a meeting with topmost industry people, including me, and they wanted to shift huge business from Bangladesh and Vietnam to India. And one thing is, strateg ically, how do you allocate capital and mindshare on various countries, including India? Your thoughts on that, particularly? And considering -- and also would like you to share the incentives, government incentives of India, PLI, etcet era, and other countries, how do they compare?
Next question, on another slide. It's stand

ing in the board. I think you can just go on that. So people can see the context. Our friend, Ashwini's name was mentioned there, Demeter's. Now, standing in the board, I remember [Shripal Molkar] mentioned to me about Ashwini in 1992 as analyst interacting at FI I. Now, as a strategy, our investor profile, what is the FI component currently today in February about them and your strategy to have high -quality foreign investors, FII, FPI, PE investors through expansio n plans, QRP, etcetera?
I'm sure people like Ashwini would be, expectations would be very high for them, independent directors to contribute in that. Specific answers and rest we can take offline and thank you very much. Much better presentation than what we expected, and thanks to Strategic Growth for arranging this. Thank you.
Pallab Banerjee: Thank you for observation and the good questions. First of all, like you talked about the capacity

allocation, yes, rather than country, we should be looking at Indian states. That could be a good future. I would love to do that. But yes, at this point of time, our strategy is more to give better returns to all of you and to our shareholders and bigger stakeholders that we have. So in that, definitely, I think we have to be patient, like as India is in the cusp of, you know, that change. So we are observing. We are definitely talking to most of the state officials at this point of time and very pleasantly surprised the approach that they have. One gentleman actually told me, he is Principal Secretary of a particular state, he says to gener ate one government job, I have to budget at least about INR30,000 to INR35,000 per month.

If I give you a subsidy of INR4,000, you can generate that job, and which is what I'm asking for because of the efficiency difference that is there between Bangladesh and India. So if that's the kind of outlook that these government officials have, then I think we are ready. It will happen like immediately.

In the next five, six years, that would be great. But this, I hope this thought process is not of that one individual. It should be across all the states. Because you see, like most of the particularly populated states where this industry can really flouri sh would be that belt of UP, Bihar, Bengal, and Odisha. This is where today are providing the maximum workforce, which is now either migrating to a Gurgaon region, Bangalore region, Tirupur region, and they're working out there. So that's where the problem comes in.

So they work for four, five months, then they go back for a month, again they come back. So that's not resulting in a very efficient way of working. So yes, if we are opening up those industries near to them, and of course, like we have to be patient becau se the first generation of workforce from farming or from other work, as they come into the factory, they have to be professional enough to be present 300 days in a year to really get that productivity.

So that's still India is the challenge. The second generation or third generation where they used to go to the factory, it is easier for them to understand that. But the soft skill that is needed as the first time the worker comes in that you have to be pr esent every day at 8 o'clock or 9 o'clock, maybe five minutes before, because that first hour of productivity is important for us.

So those kind of things that we are going through as of now in India, which if you open up a factory in Vietnam, Indonesia, Guatemala, it's given. Very professional, the workforce will come and right at the time, they will start exactly at 9 o'clock or 8 o 'clock, whatever is the starting time of the factory. And they will do a perfect quality job when they see a garment, they look at it, if there's a problem, they would again restructure it, you know, do it.

Manoj Alimchandani: There is where the controversy a

re we saying work ethic is very in auto component sector and the electronic component sector then in the textile sector?

Pallab Banerjee: Yes.

Manoj Alimchandani: I am glad you hit the nail on that.

Pallab Banerjee: So yes, automation would be important. That's why like we have gone into that.

Manoj Alimchandani: If you can succeed in the auto component sector, right Ashwini? And it can succeed in the electronic component sector, where we are going to do, we are doing now, month to month massive exports, you know...

Pallab Banerjee: Yes, it's growing, yeah.

Manoj Alimchandani: And UP and South also, textile thing there, work ethics is much better than most other states…

Pallab Banerjee: Yes, South definitely is better. South definitely is better. South is definitely doing better. But yes, South, you have to see like, you know, 50% of the component of that is from coming from North as migration. And at least in our trade, in our sector, de finitely. And the second part of the question was in terms of the expansion of board. So if you see like, we have got somebody who is expert on the government policies. We have somebody who is very good expert in terms of the brands, inter national brands.

Manoj Alimchandani: Who is on policies on board ?

Pallab Banerjee: Dr. Kapoor. So he was the NITI Aayog Vice Chairman. So, Rajiv Kumar or Kapoor? I think, Rajiv Kumar, sorry, Rajiv Kumar. Yeah, yeah. So he is very strong in that. And of course, like, you know, Mr. Sanjay Kapoor is very strong in terms of international bra nding, brands. And of course, he brings in a lot of, Ashwini brings in a lot of, you know, know -how in the market as of now.

Manoj Alimchandani: You know, I have got long -term foreign high -quality investors.

Pallab Banerjee: So yes, we are definitely, like, we will have much more inputs now in that. And because, as we started the journey in early 2021, so yes, definitely long way to go for us in terms of getting the best of the investors. Thank you.
Manoj Alimchandani: Thank you and all the best.
Akshay: Hi, sir.
Pallab Banerjee: Thank you.
Akshay: This side. Akshay here from JHP. Sir, just a clarification. Are all our orders made to order or do we have some bit of inventory wherein we make the designs and then sell?
Pallab Banerjee: It is all made to order.
Akshay: Okay. So currently, what is the order book, if you can share that?
Pallab Banerjee: Order book means? So normally we, this particular industry works in about, the longest lead time that you get is about six months, visibility, and the maximum order comes in in three months visibility.
Akshay: What is the current realization for garment, if you can share that, at the company level?
Pallab Banerjee: You need value realization, you are talking about?
Akshay: Yeah, yeah.
Pallab Banerjee: That should be close to six.
Pallab Banerjee : 625 plus something.
Akshay: Okay. And what is the reason? Because if I look, Arvind I know is 514 because they have a lot of denim. Gokex does around 1 ,000. I am not aware about Shahi, but what is the reason that we are trading behind in unit price realizations?
Pallab Banerjee: No, I didn't understand the question. So you've got Arvind and Gokaldas as a higher unit value realization.
Akshay: Arvind is lower, I know that, but Gokex does something around 950,000.
Pallab Banerjee: 950,000 is what? Per unit, per unit realization. So yeah, Gokaldas has got some of the factory which is like making outerwear and some workwear. So you see like they are doing 100% in India as of now, and their factories, traditionally if you go back to th e Gokaldas history before it was sold to Blackstone, it was completely into outerwear and this kind of garments. So that's why like their turnover is on that item. So if you compare that with Pearl Global, we do a whole

mix of six differen t categories.

So we do outerwear where our realization would be much, much higher than Gokaldas because we do much more specialized outerwear as you heard from Gurusankar of our Vietnam. But then we also do a Primark tees which could be like $1 or $1.5 as well. So it's a huge band and then we do the sleepwear, where we are very big in sleepwear globally.
Gokaldas does some sleepwear for Old Navy. We do sleepwear for many variety of brands and a very big business for us. So there also if you talk of the average prices would be in the range of $3, $4. So you've got a whole mix of thing. So when you're talkin g about an overall company average, that's what we're hearing from us.
Karan Thakkar: Sorry to interrupt. Sir, if you can take one last question due to time constraints?
Pallab Banerjee: Yeah, yeah, please.
Akshay: I have a question. Can I ask?
Pallab Banerjee: Okay, go ahead.
Akshay: So currently at this point of time, say you have to produce one garment, which is the country you would be looking, which is the cheapest cost conversion country? I know you did mention Bangladesh, then India, then Vietnam and then Indonesia. Would it be i n that order only?
Pallab Banerjee: Yeah, like if you're talking about only from cheapest production cost, yes, could be.
Akshay: Thanks a lot.
Pallab Banerjee: Thank you. Hi, just a moment.
Analyst: You spoke about those five year comparison on the Chinese companies. Chinese, Taiwanese and Korean. In terms of their ratio, profitability or operating performance, where do they stand vis - à-vis our company?
Pallab Banerjee: So at this point of time…
Sanjay Gandhi: You mean the EBITDA level? So I mean, you see the Chinese company and the one Taiwan company, they have a mill also in their portfolio. So their margin profile will be slightly different than pure garment. So there is a one or two company which are into si milar business, similar manufacturing set up the way Pearl is. And their EBITDA margin will be around 12% to 13%. That's what we look at it.
Their working capital days are more than Pearl. So on one parameters, we are better. And other parameters, they are better. Of course, their top line is also a $1 billion plus. We are at right now 3,200. And if we, as we are targeting to achieve that, and I'm sure we'll be...
Pallab Banerjee: We need to reduce our overhead cost at this point of time, which is a high percentage. Thank

you.

Analyst: Hi, thank you. Can you share what your performance measurement and compensation systems are for the leadership team? Because you're talking about, you know, ROCs to be improving on a regular basis. You have a slightly longer term goal between three years, five years. And you have certain operational challenges like work culture in India or whatever. How are your overall compensation systems aligned to these objectives, especially for the top management? And if possible, you can share with the other s also.
Pallab Banerjee: So Pearl believes in a much more incentive oriented compensation. So all of us, as we join, we agree for a lower fixed salary, higher performance based. And everything is on the basis of PAT, FCF, and the top line.
Analyst: So the question was, if your focus is on ROC and shareholder value creation, what proportion of your compensation is aligned towards those measures? Or if at all, it is aligned to those measures?
Sanjay Gandhi: I may just like to add, there is a good portion which is associated towards a free cash flow generation. The CEO and the CFO of each country, including the group level, a good portion is connected to the free cash flow generation by the business. And that will lead to all other parameters to function.
At the plant level, there is operatio

nal efficiency metrics, which is defined in man -machine ratio, rejection ratio, PCD. We can run through the 10, 15 parameters. Eventually, the incentive is linked to the unit profitability, what they are able to generat e. Then there are the structure. We have ESOP scheme also for everybody. I mean, for being every state, all the critical employees. There's a good number of managers, senior managers, and we are covered there.
Pallab Banerjee: Yeah, we have gone into the people like also, who have been in the organization for a very long time. We have given them also a lot of ESOPs.
Karan Thakkar: So thank you.
Pallab Banerjee: Thank you.
Karan Thakkar: Thank you.
Pallab Banerjee: Okay, we can have some.
Karan Thakkar: Sir, just a closing comment and then we can proceed.
Pallab Banerjee: Okay, first of all, thank you again, once again, for patiently hearing, spending these two hours with us. We would definitely like to interact more with you. We are open as a management team. Like we were open to your suggestions. We want to hear from you and definitely work together to create a common goal. Thank you so much.
Sanjay Gandhi: Thank you so much. We, thanks for engaging evening. We look forward to more participation. Thank you very much.
Karan Thakkar: Thank you everyone for joining. And we would request if you can join us for the high tea, please.

Call: Jun 2024

PEARL GLQBAL
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PGIL/SE/2024-25/016
Date: May 27, 2024
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ROTUNDA BUILDING , P. J. TOWERS
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Reg: Scrip Code: BSE-532808;
Sub: Transcript of Conference Call
Dear Sir/Madam , THE GENERAL MANAGER,
LISTING DEPARTMENT
NATIONAL STOCK EXCHANGE OF INDIA
LTD.
"EXCHANGE PLAZA", PLOT NO. C-1,
G-BLOCK, BANDRA -KURLA COMPLEX ,
BANDRA(E),
MUMBAI -400 051
NSE-PGIL

In continuation to our letter dated May 22, 2024, regarding submission of audio recording of the call conference held with Investors/ Analyst on May 22, 2024, to discuss Company's audited financial results for the Efuarter-and year ended March 31, 2024, please find enelesed herewith the transcript of the aforesaid Conference Call.

You are requested to take the same on your records.

Thanking you,
Yours faithfully ,
for Pearl Global Industries Limited
(Shilpa Bud-hia)
Company Secretary and Compliance Officer
ICSI Mem. No. ACS-23564
Encl.: As above

Pearl Global Industries Limited
corp. Office: Pearl Tower, Plot No. 51. Sector-32, Gurugram -122001. Haryana (India)
T: +91-124-4651000 I E: info@pearlglobal.com
CIN: L7 4899DL1989PLC036849
Regd. Office: C-17 /1. Paschimi Marg, Vasant Vihar. New Delhi -110057
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“Pearl Global Industries Limited
Q4 and FY '24 Earnings Conference Call ”
May 22 , 202 4

MANAGEMENT : MR. PALLAB BANERJEE – MANAGING DIRECTOR
MR. SANJAY GANDHI – GROUP CHIEF FINANCIAL
OFFICER

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 22nd May 2024 will prevail.

Pearl Global Industries Limited
May 22, 2024

Moderator : Ladies and gentlemen, good day and welcome to Pearl Global Industries Limited Q4 and FY '24 Earnings Conference Call . This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve ris ks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pallab Banerjee, Managing Director of Pearl Global Industries Limited. Thank you and over to you, sir.

Pallab Banerjee: Thank you. Hello, this is Pallab Banerjee. Hello, everyone. Good morning. Welcome to our Q4 and Financial year '24 Earnings Conference Call . Along with me, we have our Group CFO, Sanjay Gandhi and SGA, our Investor Relations Advisors.

I hope all of you have had a chance to go through our annual results and the investor presentations uploaded on the exchange and our company website. Our outstanding performance for fiscal year 2024 is a proof that our strategies are working and a testamen t to our competitive advantage as a global manufacturer. Our sustained growth, despite being one of the difficult years, is driven by leveraging our core strengths of multi -country products in market design expertise and strategic customer relationships.

This growth primarily stemmed from increased orders from our existing customers, yielding better relationships, as well as value -added sales from the customers which we acquired over the last five years. Let me start with an overview of the industry. The global textile and the apparel market is projected to be relatively flat this coming year, due to various macro factors, uncertainties, and volatile geopolitical reasons.

Western country major players are being cautious due to the various elections which are scheduled this particular year, while the Asian economies continue to march ahead a little bit more sustainably. However, these developing Asian economies are also conf ronted with challenges, such as escalating labor and production expenses in major manufacturing nations, prompting companies to relocate their production to more cost -effective locations.

Additionally, the volatility in raw material prices poses some certain certainty challenges for us, but nonetheless, there are enough opportunities in meeting and overcoming and with this evolving consumer preferences for eco -friendly, sustainable, and org anic materials, as well as in capitalizing on the rapid expansion of e -commerce, which broadens the accessible marketplaces for apparel brands and retailers.

Now, the Asia -Pacific region dominates the global textile and the apparel market, primarily due to the significant presence of key manufacturing nations. Among these, China remains the

largest textile producer and consumer, while India is emerging as a rapidly growing economy for both export as well as consumption. Other notable performers include Vietnam, Bangladesh, and Indonesia, where our operations are very well established.

Throughout the previous year, the industry encountered several challenges. These included persistent geopolitical tensions globally, which impacted industry operations, particularly in global trades, where demand saw fluctuations, significant fluctuations, and this disrupted the international trade as well. These circumstances have been notable, have had a notable influence on the Indian textile sector as well, particularly those segments which are heavily dependent on the exports.

Now , if I talk about U S. All the retailers and brands have effectively bounced back from the excess inventory situation which they experienced last year. Moving forward, we expect to see a gradual enhancement in the consumer confidence as well, highlighting the resilience and the robustness of not only the US economy, but also other worldwide economies as well. However, the industry captains are playing very cautiously optimistic approach.

Due to the upcoming elections, end of this particular year, they want to be close, they actually want to buy close to the selling season to avoid over -inventory situation once again. Thus, they are preferring the near shore and the faster transit options. For us, now, faster transit options from the manufacturing countries, I mean. Now, the Red Sea adverse situation is not in favor of this particular strategy.

However, for us, there is no effect of cost for the Red Sea situation that we are facing since last one year because all our shipping are in FOB terms. As long as we can deliver the goods faster, they need actually one week early so that the extra time tha t is needed if they have to go through around the African continent. So, that one week is definitely expected from us that we deliver faster.

Now, our manufacturing setup in Guatemala, where transit time to USA is just over a week, is getting more and more queries and lots of interest from these customers. However, the capacity in Central America is limited and would be just a fraction of what w e have in Asia till date.

Other markets like United Kingdom and European Union are still going conservative.

However, I must say that the successful retailers and the strong players are strategizing themselves to achieve better results than the forecasted macros. If I talk about Australia, Asia and Japan, these markets are relatively upbeat. Most of them have com e out of the COVID lockdowns only in 2023, especially like if you talk of China and the Australia and Japan market also we saw the momentum started coming up only in 2023.

And these may be relatively distanced from the geopolitical tensions that we see causing a direct impact for the Western economies. Now, if we continue, for us, we will continue to increase our Bangladesh operations, looking at several advantages that we h ave there. It has readily available a very stable, skilled workforce, experienced middle management, and a very strong ecosystem of banking support, improving logistical infrastructure that is happening in that country.

And above all, we have some favorable trade agreements. This enables us and our manufacturing operations to uphold the high production standards and meeting of the service levels that is demanded by our customers internationally. And we can do it with ease .

With regards to the wage hike in Bangladesh that we experienced end of last year, which we discussed also in our last quarter call, the increase in Bangladesh wages, if you remember, would create an impact between 12% to 15% of our wage bills. Overall, fro m a profit and loss perspective, it changes by approximately 1% to 1.5% when we compare to the top line. Now, we had already planned to overcome this challenge through automation and efficiency improvements. The current devaluation that happened in the Ban gladeshi Taka , which took place recently, is an additional help to us .

In Vietnam, we will continue to grow. However, at a relatively steadier pace, like whatever you have seen in the last three to four years, the kind of pace that we had, we will continue to grow there, but with a relatively steadier pace and continue to service our higher -end customers.

Indonesia will gain back its numbers. These were down over the last two years when we were building and shifting to our new facility away from the seashore. If you remember, right now we had – because of global warming, definitely the seashore is not a saf e place to run a factory.

In India, we enhanced our existing capacities in the states of Haryana, Karnataka, and Tamil Nadu over the last year. And going forward, you will see us investing and starting production in other states as well, where we find the availability of trained la bor force and is relatively less expensive than our existing production locations. We will plan to further automate all our facilities and all our processes, maximize the use of existing capacities and expanding them.

We will continue to invest in improving our operations, implementing stronger governance processes, digitization of all our factories, and improving our financial rating. We are already aware of our dividend and capital allocation policies. We already have announced our strategic plans and objectives for 2028, and we feel that we are marching solidly on track.

We will continue to add and grow with customers who are getting stronger in the world market. We will stay away and decrease our exposure for anyone which is becoming financially weak or we feel they are risky. We will see us continuing to enhance our achievements by exceeding our past records of revenue, capacity, efficiencies, and thereby directly enhancing our bottom line profits.

We are dedicated to each of these objectives through the strategies that we shared with you in February meeting in Mumbai, which involves expansion plans, marketing and designing focused product categories, strengthening our strategies with the current cus tomer relationships, and increasing the wallet share, how much they're spending with us. So in nutshell , this is what we have for you. Now I would like to hand over the call to Mr. Sanjay Gandhi, our group CFO, who will provide you with the insights on the financial performance. Sanjay, over to you.

Sanjay Gandhi: Thank you, Palla b. Good morning, everyone. I am delighted to announce yet another strong year for our company, marked by remarkable financial and operational achievement at the group level .

Starting with consolidated financial highlights ,
I am pleased to announce that for financial year 2024, on a consolidated basis, our revenue has increased by 8.8% year -on-year to INR3,436.2 crores versus INR3,158.4 crores in FY23. This growth was achieved on the back of our overseas revenue, which witnessed a growth of 21% year-on-year. For Q4FY24, revenue grew by 20.2% year -on-year and stood at INR877.4 crores .
For FY24, we are happy to share that we have crossed INR300 crores mark with respect to consolidated adjusted EBITDA and reached INR316.4 crores , which is a growth of 22.5% year - on-year compared to INR258.2 crores in FY23. Please note that adjusted EBITDA excludes ESOP expenses of INR8.6 crores in FY24 and INR2.7 crores in FY23. Going ahead, considering same allotment, ESOP expenses for next year will be in the range of INR4.5 crores to INR5 crores . For Q4 FY24, adjusted EBITDA witnessed a growth of 30.8% year -on-year and stood at INR83.9 crores compared to INR64.2 crores in Q4 FY23. This excludes ESOP expenses of INR2.5 crores and INR1.4 crores in Q4 FY24 and Q4 FY23, respectively. Furthermore, our adjusted EBITDA margins saw a year -on-year improvement of 100 basis points, rising fro m 8.2% in FY23 to 9.2% in FY24.
The enhancement of operational efficiency notably contributed to increased revenue in Bangladesh, fostering economies of scale and subsequently boosting the EBITDA margin for our international operations. For Q4 FY24, we have witnessed 80 bps improvement in adjusted EBITDA margins, which grew from 8.8% in Q4 FY23 to 9.6% in Q4 FY24 .
PAT for the year stood at INR169.1 crores versus INR153 crores in FY23, which is

a growth of
10.5% year -on-year. However, if we look after PAT after minority interest, it stood at INR174.8 crores in FY24 compared to INR149.3 crores in FY23.
For Q4 FY24, PAT after minority interest stood at INR51.3 crores in Q4 compared to INR51.9 crores in Q4 FY23, which shows a degrowth of 1%. However, there was an exceptional gain of INR17.8 crores in Q4 FY23 and INR13.5 crores in FY23. Excluding that, we have seen a good profitability both for Q4 FY24 as well as FY24. EPS for FY24 grew to INR40.26 per share in FY24 versus INR34.45 per share in FY23 .
Coming to standalone financials ,
Revenue for the year stood at INR953.7 crores versus INR1,103.8 crores in FY23, a degrowth of 13.6% year -on-year. The decline is mainly because of low sale volume in knit business. One major reason for such decline is the business transition to Bangladesh. For Q4 FY24, revenue stood at INR320 crores , which is a growth of 16.6% year -on-year compared to INR274.6 in Q4 FY23. The growth witnessed was due to increase in the woven business .
Adjusted EBITDA stood at INR49.3 crores . Adjusted EBITDA margin stood at 5.2% in FY24 compared to 6.4% in FY23. The margin pressure was due to employee expenses and other expenses being fixed in nature, thus negatively affecting EBITDA with decline in revenue.
For Q4 FY24, adjusted EBITDA stood at INR20.6 crores with adjusted EBITDA margin at 6.4%. PA T for FY24 stood at INR28.2 crores whereas Q4 FY24 PA T stood at INR11.9 crores .

While numbers for current FY23 -24 for standalone have shown degrowth and drop in profitability, we continue to work on capacity expansion in existing factories and also look for suitable opportunities in other states in India on the backdrop of customer ac quisition, increase in wallet share, the strategy which put in place in FY23 -24.
We are confident of improved performance on a standalone basis as we start FY24 -25. Our strong performance at a group level is reflected with our strengthening balance sheet. On a consolidated basis, our gross debt is similar to last year level of INR445 crores in FY24 versus INR448 crores in FY23.
Net debt to EBITDA stand at 0.25 times for FY24. Return on capital employed improved from 24.2% in FY23 to 28.2% in FY24, which is a growth of 400 basis point year on year. The return on capital employed has improved due to profitability in overseas market , prudent capital allocation policy and efficient working capital management. Margin money earm arked LC payment is excluded from capital employed calculation . We have used net debt to arrive at above stated return on capital employed .
Net working capital days decreased from 38 days in FY23 to 30 days in FY24. Debtor increased to 28 days in FY24 from 24 days in FY23. Inventory days decreased to 53 days in FY24 from 59 days in FY23. Creditor days increased to 52 days in FY24 from 45 days in FY23. On a steady state basis with the growth in the business and the customer mix, we believe that net working capital days around 35 days should be a stable state fo r us going forward.
To add to point of BD wages , Bangladesh wages and its impact on profitability, to update the recent development in the month of May, Bangladesh Bank has unveiled the Crawling Peg

Exchange Rate System and an odd bank to buy and sell US dollars freely nearly Taka 117. A Crawling Peg System is a method of exchange rate adjustment that allows a currency with a fixed exchange rate to fluctuate within a band of rates. It is a hybrid of fixed and floating exchange rate system.
Central Bank in Bangladesh has also dispended the smart formula to make interest rates in the banking system fully market -based linked thereafter. Central Bank's announcement was in light of the conditions set by the IMF .
During the year, we have incurred a property plant and equipment capex of INR115 crores

and
additional INR1.25 crores approximately towards other IT related capex.
Capex of PPE, property plant and equipment was incurred across geographies for growth, upgradation, automation and leasehold improvements and also replacement. In India, we have incurred a capex of INR42 crore s where 50% was towards the growth capex and 50% towards maintenance and leasehold improvement . In Bangladesh, the total capex was incurred INR40 crore s where 55% was towards upgradation and automation and 45% towards maintenance and leasehold improvement. In Indonesia, we have incurred a total capex o f INR16 crore s towards capitalization of the building from CWIP. And so, in fact this is also a growth capex . In Vietnam, we have incurred a total capex of INR13 crore s of which INR5 crore s was towards automation

and INR8 crore s was building improvement. In Guatemala, we have incurred INR4 crores towards growth capex.
As you are all aware, we have a dividend policy in place wherein the company will declare dividend of at least 20% of consolidated profit after tax in a given year to the shareholder. We are happy to share that in the fiscal year of FY’24, we distributed a dividend amounting to INR38.1 crores which is 22.5% of our consolidated profit after tax.
Going ahead, with a robust performance in FY’24 coupled with a strong and diverse customer base and geographical presence, we are well positioned for a strong performance in the coming years and are well on track to achieve our stated guidance for FY’28.
Thank you. We shall now open the floor for questions and answers.
Moderator: Thank you very much. The first question is from the line of Hemant Shah from Seven Islands PMS. Please go ahead.
Hemant Shah: Hi, good morning and thank you for this opportunity and congratulations Pallab and team for the fantastic numbers. I have two broad questions, Pallab. I think February's FY’24 presentation says that we are on track to achieve almost INR6,000 crores to INR6,200 crore s of top line by FY’28, as even the CFO reiterated in his comment.
So just wanted to check and considering the slowdown we face this year and some futuristic, inorganic or organic growth is in mind. I'm just trying to gauge how we are planning to achieve this INR6,000 crore s top line by FY’28 and are we on the track to achieve it and how? And just a broad view overview about it.
Pallab Banerjee: Thank you Mr. Hemant Shah. Very valid question. And I was just mentioning in my speech that we are solidly on track on this strategy that we presented to all of you in the month of February.
The strategy remains exactly the same. We are focusing on the customers who will give us the top tier customers like who will give us the maximum revenue and the second tier customers who will continue to grow with us and then the other tiers like where we are adding continuously our new customers and executing the business of the current that we have.
Of course, like you know with all the things that is happening in the world we continue to always very closely watch the performance of our customers as well. Like anywhere we find risk then we start decreasing the volume there and wherever like we find th e strength, our focus and energy is more towards those guys like you know , who are performing well.
In terms of the numbers that we have talked about, we are , as I mentioned solidly on track. We were confident that this particular year 2024 we will be ending up with the growth. May not be like the 15% or 20% that we talk ed about at the CAGR level but this was an exceptional year. That's why there is a little bit of drop but still we have closed around 9% and I think if you can see, do some comparison with some of the other industry peers like we are definitely can't say that we are going weak. We are beco ming stronger only .

And naturally like the play that we have in terms of both growing the capacity, growing the wallet share with the customers. I think all of the strategies that we have discussed and highlighted in February, we are each on each one of them I would say we ar e solidly on track.
Hemant Shah: Great, great to hear that Pallab. So basically barring FY'24, I mean we can comfortably expect at least 15% to 18% CAGR growth right. So with that I mean for FY'27 we can definitely expect almost over INR5,500 crores of sales and as you mentioned EBITDA should be in the region of 10% or so, correct?
Pallab Banerjee: Yes, because you see like you know , as the number goes up we are not in this whole plan we have not talked about any acquisition of a new business. This is the organic growth that we are doing with the kind of infrastructure that we have. Only thing that we are adding are the new facilities to this plan. Of course like we will always be open if some other opportunity comes up we will look into that.
But this particular plan that we have we are I think solidly on track and as the number goes up, always there are operational efficiency that builds up. So that gives us that you know the confidence also in terms of the bottom line performance that we have been promising all of you. So that number continues to improve.
Hemant Shah: Great, great Pallab, fantastic to hear that. Lastly with this respect to this only with this existing infrastructure, what kind of revenues, optimum revenues we can generate I mean as of today, barring the expansion which we are planning in the next two, three years or so to reach almost INR6,000 crores I think we need to invest something but with the existing infrastructure what kind of revenues and what kind of sales we can generate?
Pallab Banerjee: Yes, so if you see like , if you go back one year, one and half year, we had the kind of infrastructure that we had, we could maximize it towards 80 million pieces of production. Now as I speak to you today, this is enhanced already to about 84 million pieces approximately. So this number so even the year was tough but we didn't change the plan because you see like we are continuously in touch with our strategic customers, how they are thinking, what are their planning for the next two to th ree years, so that conversation is always solidly on.
So, with that we have not stopped in the background. Our enhancement capacities with the existing infrastructure that we have had and then this particular year, as I mentioned like in India, wherever we had the factories, so we are definitely maximizing those capacities and building up to be ready if the business – as the business goes up, we should be able to service it well because in India, we don't have so much of partner factor y, but yes like we are continuing to try and get some partnerships as well. So that is happening in India .
Now going forward, we are seeing a good opportunity because of the government initiatives and all, we can open up some facilities in the other states, where the availability of the workforce as well as the cost is better. Similarly, like if you talk of all other regions in Bangladesh, we have strengthened the current capacity utilization and also the partnerships that we have already out there, at the same time we continue to look for opportunities to grow and acquire more factories. So that will continue t o happen.

Vietnam, we already have a good capacity because of our own factory as well as the partnership factories. We continue to grow that number on basis of the capacity already we have as we utilize more and more. In Indonesia, we had the change like in fact we had shut down one of the factory and we built up a new factory more inland.
So that has now complete like numbers will just go up t

here so that capacity no change out there.
But Guatemala, the capacity has added in this last one year. So if you see like that's how like we have got from 80 to 84 already or towards our path to becom e 120 million to 140 million kind of capacity that we should be having for 2028 how we are planning.
Hemant Shah: Wonderful. And lastly with respect to this only, will there be any per unit improvement in realization going forward? Because I think we are adding the good value added products in Vietnam and I think even Indonesia right? The high value high margin products.
Pallab Banerjee: Yes.
Hemant Shah: Like that's something --
Pallab Banerjee: Yes. Always our endeavor would be to get to a better UVR, but when we do the projections like what we have shared with you in February in Mumbai that's something that we are not even adding those benefits if that comes those benefit comes it will be additional. So, we are still taking like because you see like in our industry always there is a variability in terms of raw material cost, in terms of other fluctuating macro factors.
So, yes, our endeavor always, always at every moment is to get to a better UVR get a better efficiency and better realization , better bottom -line. So UVR is an important part in that. We'll definitely will continue to try to get more and more better UVRs, but that's something which is

to some extent we have a control if we are exposing ourselves more to the customers who are giving us a higher value and decreasing ourselves with the customers who are very competitive. So I don't want to restrict that to us . So that is why all our strategy we have made is on the basis of a similar kind of UVR, but yes if that comes in as we clock better and better you will see a better advantage from our side.

Hemant Shah: Right . Thank you. And secondly lastly just one more question , I mean the company Pearl Group has done fantastic over the last three years once it started all this expansion. I think FY '22 EBITDA is now even more -- the PAT level is even more today actually the FY '22 EBITDA was INR150 crores odd. And today the PAT is INR170 crores and FY '24 and that's a fantastic growth. The ROC E, ROE is amazingly strong.

So my question with respect to this is the peer comparison -- if I compare Pearl Global with directly with Gokaldas because this is the largest company actually in fact in terms of , I mean , the size of Pearl is even bigger than Gokaldas per se, but as a valuation wise Gokaldas is the largest peer comparison. I mean , I'll be very honest to compare directly with one -on-one. What is the difference between us and Gok aldas in terms of the products as well as , what do you think where we are lagging in terms of v aluation.

Because we have , I mean , as per my view we are present across the globe where the garment industry is penetrated quite well . We have also penetrated in Vietnam, Indonesia, Sri Lanka including India, Gok aldas has just started , I mean , they are more focused on India . We are also almost now INR3,500 crores companies Gok aldas is also talking of 15% CAGR and today they are almost INR2,300 crores companies so by '28 there will be almost say almost INR4,500 crores company we will be almost INR6,000 crores company . So what is there , what we are missing in terms of valuation , according to you ?

Pallab Banerjee: And that's a difficult one . I would say , see what when we took over in 2019 , the way that we have strategized ourselves in terms of the governance , in terms of all the parameters all the ratios that we are coming back to you quarter after quarter telling that , okay like , this is our plan and we are achieving that . So I think that journey maybe Gok aldas started before us somehow , like today Gok aldas has got a much better confidence of the , I would say, the street compared

to us,

but I think we have also started our communication and conversation with all of you since 2021 end and I can only think of that like , most of the investors are still watching us, have seen us. But I don't see in terms of our performance in terms of our parameters that we have defined ourselves and the kind of EBITDA that we are targeting we have already improved quite a lot , we have already said that between by 2028 we should be anywhere between 10 to 12 , even if you talk of 11 % then we should be very close and yes , our numbers would be more and so far , we are only talking about organic growth . We have not done any acquisition of business that doesn't mean that , we don't want to do it but that i s not the way that we are trying to increasing the value at this point of time of Pe arl. So there is enough opportunity and I would say the kind of infrastructure that we had in Pe arl, I want to maximize that definitely and I think you are seeing it, I think all of you are noticing that , okay , this is the infrastructure that we had and this is the kind of result that we can deliver and today like we had INR300 crores plus in terms of EBITDA . And if you do 10% to 11% that we are talking about easily , as we g row our revenue top line so that number will continue to grow and I think it's easy calculation for all of you to see that and I think that's something the market has to realize and give a proper valuation to Pe arl as well.

And any other thing , like I am very open we are open to listen , we will adapt ourselves to if anything that we are doing wrong or if we think that something has to be corrected in our approach . So that's something like I think we are very open and communicative at this point of time with the market . So we are listening , whatever you're telling us we will be talking to you, we'll be communicating with you, we'll be understanding the needs and we definitely want to increase the valuation because a proper valuation is something that all of us would like to have.

Hemant Shah: Yes. I understand. And I appreciate your thought process also because even now the dividend payout is also amazingly investor friendly EBITDA is now stabilizing and what you said INR300 crores EBITDA maybe in FY '25 with 15% CAGR growth the INR400 crores EBITDA will become INR400 crores PAT the way it has become 22 EBITDA has become a PAT of 24 I think 25 EBITDA can become PAT of 28 . So that's an amazing journey Pallab . I think, ye s, market will take its own course, I'm sure and all the best Pallab, thank you for this opportunity, all the best.

Pallab Banerjee: Thank you.
Moderator: Thank you. The next question is from the line of Ashya Jain from Jain Capital . Please go ahead.
Ashya Jain: Yes, hi. A couple of questions from my end. So firstly, how's Q1 FY '25 show up so far, so how do you see the demand going forward as well, so globally many players are bullish on the demand outlook, so how are we looking at it and do we anticipate any slowdown at an industrial level?
Pallab Banerjee: Mr. Jain , thank you for your question. I think the demand is at this point of time healthy. I think the biggest factor that we had in 2023 was the over inventory situation that we are facing in the US retailer. So that I think , now we are completely over with, so naturally the numbers, I think we have discussed this enough in the last few quarters, the numbers I was expecting it to jump up by the depth whatever the decrease that that happened, because of the over investigation th at I think is back. So that definitely you will see playing in the market, so I don't think anybody will complain in terms of or the order book at this point of time.
But if you talk about the US market specifically then what I find is most of the industry captains are still a little conservative and they're v

ery cautious, I would say , they are doing a very cautiously optimistic kind of approach towards the business and that's mainly because of the elections, because of some of the geopolitics that is going on at this point of time and the inflation interest rates still continues to be h igh, these are the things, I think is still affecting the decision making of some of these big retailers and all.
Now but at the same time, they have plans and they are planning for the expansion maybe like low single digit number for this particular financial year. If you talk of Europe and UK definitely went into some kind of official recession as they said and Euro pe also some of the countries are very slow, but still I think most of the retailers have been very conservative for some time, but the better ones , like, if you talk , think people like Inditex or some of them, they continue to be aggressive, they continu e to grow despite any challenges that is thrown by the market to them.
So that's something like , there are players who have a strong strategy will continue to grow and they will be against the macro factors like , even if it is slowing them down, they would have some means or ways or strategies to overcome that. If you talk of the Australia market that's relatively much more bullish, Japanese market is much more confident at this point of time compared to the last couple of years, if you talk of China market, they had just come out of the pandemic restrictions in 2023, end of that particular year, so they are quite bullish.
So I think overall global and that's why , as a company Pearl Global, we are not only in terms of global in terms of our manufacturing, but also we want to supply our customers globally. So for example a brand, which could be an American brand but may be retailing in Asia in some of these countries like China and other places or like a Japanese brand, which could be globally supplying.
So we do supply to them globally from all our manufacturing hubs, so that's the objective, that's the intention that Pearl continues to march upon and we think we are solidly on track on that. So yes, a long answer to your small question of how the demand would be. I think demand is back

on track at this point of time. Although, it will be conservative, it will be low -single digit growth globally that I personally foresee, but yes, like if I am with the right partners, if I am with -- if I have the attention of the right players, who are definitely going to meet the market macro factors so then I can do the same with them. So that's the approach that we have.
Ashya Jain: Understood. Thank you for the detailed answers. Sir , lastly just can you provide some information on our company's capex plan for this financial year FY '25?
Pallab Banerjee: Sanjay, you're going to take that?
Sanjay Gandhi: Sure. I'd j ust to add here on the capex plan for FY '25 and going forward . So as a part of our four - year plan we said we'll be investing anywhere between INR500 crores to INR550 crores in next four year s. Coming specific to FY '24-'25, in India, we are looking at a capex between -- commitment to the capex around INR70 crore s to INR90 crore s of capex in India for the capacity expansion in other states which we just mentioned in our earlier commentary, plus there will be IT-related capex which wi ll be incurred which is towards automation and digitization across factories, newly factory and also some of the existing factory. That's in India capex plan.
And then, in Bangladesh, we will be looking for some kind of an opportunity of capacity expansion. The amount as such is not really confirmed, but yes, we will be looking to add maybe 1,000 to 1,500 machine capacity in our overall journey, as we have mentio ned very clearly that how do we want to build on the capacity, I think that's the plan. So we

are evaluating , we
continue to evaluate the existing facility. And as and when the opportunity is there, we'll be definitely looking at that.

In Vietnam and Indonesia, we don't have any plan of capex as of now. Indonesia, already we have done this year , last year. In Vietnam also there is not much capex. Guatemala, we have already completed the capitalization on 31st of March. So this is a broad capex bifurcation, which is primarily towards the growth. In addition, there may be a maintenance capex which may be there in India and Bangladesh considering the factories have been operating for a number of years which can be around INR8 crore s to INR10 crore s in India and likewise same number for Bangladesh.

Pallab Banerjee: Yes. Thank you, Sanjay sir.

Sanjay Gandhi: Thank you.

Pallab Banerjee: Sorry, I have a little bit of throat issue today. But again, like you know very clear, there are opportunities at this point of time especially in countries like India and Bangladesh I think there is a significant growth that can happen. So we do have an e ye continuously in terms of any opportunity that is coming our way. So in India , like as you said, like we will be opening up some factories in the other states. So that might need some capex, so that we will be incurring. And then in Bangladesh also same . Bangladesh maybe like will not go for any kind of a new facility to build up in the short run. There are very good infrastructures that is available in Bangladesh and because of all these ups and downs that happens in the market , there are some good infrastructures always available for us to look at seriously. So that's something like we

continue to look at, if something is good, we will go for it. So those are the things like, as Sanjay mentioned, number wise in our direction. And this is the thought behind it, as I said.

Ashya Jain: Understood sir. Thank you so much. That's all.

Moderator: Thank you. The next question is from the line of Sanchit Chawla from Subhkam Ventures. Please go ahead.

Sanchit Chawla: So couple of questions from my side. Am I audible?

Moderator : Yes, you are audible.

Sanchit Chawla: Yes. So I wanted to understand , could you just help me understand how has the margin journey happened from 4% to 9% over the last few years, what were the low -hanging fruits that you've been able to capture? And part B of the same question is now that you've guided for 300 to 400 bps margin expansion over the next three, four y ears, wanted to understand how those margins will come?

Sanjay Gandhi: So, Pallab , shall I take this?

Pallab Banerjee: You start first, yes.

Sanjay Gandhi: So in terms of the margin improvement, first, we said there were combination of three we have highlighted in our earning calls and we mentioned in the report also , basically the expansion in margin s is three or four factor s, one is the operating leverage which was there in some of the factories, which we commenced operation but were in the stage of getting stabilized . That really helped in terms of improvement in margin.

The second is the change in the customer mix . Then third is a product, along with them comes a higher margin product and that is the second reason for us to really bring an improvement in the margin. Third is the leveraging of our overseas infrastructure, so we have marketing design offices in U.S., UK, Spain. Now this infrastructure is capable of handling -- generating let's say X number of volume . Earlier it was X by 2, so that helps in overall leveraging of the situation and still we believe there is an opportunity for us to leverage it even further this international infrastructure what we already have.

We stated our journey is from 10% to 12% of EBITDA in next three to four year s and Pallab also mentioned in his commentary that with the scale what we are targeting

to really grow our
number of pieces as we mentioned in February from 51 million pieces of FY '23 based to somewhere close to 90 million to 100 million pieces. I think those scales will give us enough room to really expand our margin and reach that band which we just mentioned on the EBITDA side. Pallab, you may please add in case I missed somethi ng.

Pallab Banerjee: Yes, I think this is exactly what you mentioned all the three points. So, yes, first is that now we have a very robust governance in terms of how we are investing , what kind of capital allocation, which new factory that is coming up , by how soon it can break even ? So those are the strategies that we have a very, very strong robust governance on that. So that's something is definitely helping us .

Before that if you look at my history and whatever I studied like was a problem that was restricting this margin was this kind of very rigor may not have been done before the expansion because yes , the company was in a very, very high exclusive rate of expansion earlier also but yes, it was not synchronized the top line and the other expansion that was happening.

So that I think we have plugged that one problem . That definitely helped us in a big way. And the infrastructure that always Pearl had being in the international market and have some kind of representation in the countries like England or Spain or U.S. , like we built it up much more on it, much more professionalized it , had the right team , right people who can interact with the customers very well. So definitely it was and initially a cost was definitely hitting our bottom line because the volumes were stil l low.

Now as this volume continues to grow up, we'll continue to see that advantage . Any kind of overhead that you built up in the organization , because if the number goes up, then definitely it helps . So there were two or three things . And any expansion that now we are doing , as Sanjay just mentioned, like it's very, very well planned, what kind of ROI, how soon we can hit it, where is the customer lined up for it, what kind of volume will start with, what kind of product that we'll be making ? So those two kind of things are much more well -disciplined. I think we can see broadly the three reasons because of which you are seeing this change.

Sanchit Chawla: Perfect, got that. And my second question was on how is the pricing of the garment decided ? So if you give the design to the retailer, can the retailer in turn give those designs to other manufacturers, just wanted to understand what percentage of overall garments you r supply h ave your designs… ?

Pallab Banerjee: So there are two things. Normally for a retailer, they have to work always through the retail price points . There 's a certain product at a certain location in the store if you walk in on day one or day 360 of the year, you'll see that the price point is very similar at that same location, so it's very difficult for a retailer to change the price. If you're selling a certa in product on a particular hangar, on a particular location of the store, let's say of $19 , that will not change if you g o back after maybe a couple of years also you might find that the price point remains the same.

So naturally , what they do is always design into that price point. What is the new thing that the customer is looking for, what the fashion trends are so that they can still give attractive interesting product to the consumer but at the same kind of price points. This is the retailers' challenge. Now for us , manufacturers, we also have to take care of other things to get to that what should be the buying price of that. now when we are designing something or when we are talking together with the customer to create a prod uct and then do it we have a better control becaus e we know it from beginning okay this is the

price point for which this product is getting designed and this is how this product will be sold at this particular price point.

So whatever I do I can plan much better and then there is the other option is that the certain retailers they have designed something in -house and then they go to maybe 10 different

manufacturers and say like who gives me the best price , get the order. S o in that case definitely it's a competitive price in that place. S o it doesn't mean that we in the first option when I'm creating a design that I will be getting maybe couple of do llars extra maybe like those 10 cents, 15 cents, 20 cents, 30 cents, 40 cents better than the other one, but yes we get a better control we get a better visibility so that's what is important and matters to us.

Sanchit Chawla: Okay so I'm not very clear with this I just wanted to try to understand what is your pricing power here. S o if you could just help me with one data point w hat percentage of your overall garments you supply where you have your own design ?

Pallab Banerjee: So when we are supplying to the customers today where we have some kind of design input maybe a partial one or a complete one so that number today offhand from top of my head I would be say close to about 50 % in wh ich we had certain role to play. So that means like you get an insurance again this is the kind of product that will be booking at the end of the day .

Sanchit Chawla: 50%?

Pallab Banerjee: Of a total ye s.

Sanchit Chawla: Perfect. Thank you so much, th anks a lot.

Moderator: Thank you. T he next que stion is from the line of Pulkit Singhal from Dalmus Capital Management. P lease go ahead .

Pulkit Singhal: Thank you for the opportunity and congrats to the management team for an exceptional performance during tough times with good r eturn on capital matrix as well. My first question is on the debtor days when I look at it like 4 years, 5 years ago it used to be in the 45 days-50 day s range and I think last year FY24 you've gone it down to 25 days. S o can you help us understand what has driven that has there been some substitution of mar gins to be able to bring down debtor data days and also whether this 25 is sustainable as you scale up in the next 3 years?

Pallab Banerjee: So I can start and then Sanjay you can add definitely thank you first of all Mr. Singhal for the question and I think very good inputs always I get from you. Now this particular one like we had done certain policies and strategies at our end in terms of both risk mitigation as well as to ease the working capital. S o that particular factoring part is continuing to bring down the number of days that you are seeing and yes like going forward if I have to look at it as I expose myself more in terms of other geographies like let's say to Japan market or to Australia market and all. Now certain like US market or European market they work more in terms of buy is much more shorter and much more frequent compared to some of the retailers in other these markets which could be they do longer lead time or maybe like they buy twice a year some of them. S o those are things will alter a little bit I would say, but we don't see a huge variati on. I really like if I look at it if you ask me I think the best would be around 35 to 40 in that range 30 to 40 range maybe maximum 45, b ut I think that's where like we would continue to retain contain it in the 30s Sanjay why don’t you detail it much better.

Sanjay Gandhi: Yes. S o basically the total working capital days we are we I mean as we keep growing a nd in the scale what we have envisage or vision to reach is by FY28 with a mix of the customer from Japan, Australi a, UK and USA. I think overall net working capital days could be around 35 to 40 days

however for the debtors days our target will remain to be hovering around 30 days time period plus minus two three days that's what the target is.

And I think with all the non-recourse financing we have in place for existing one and focus to bring that same kind of a method of realization or mechanics of realization for the new customer we should be continuing to maintain on a debtor days, what Palla b just mentioned about the longer period a little bit inventory that may have elo ngate the inventory days by 4 to 5 days time period but overall we are looking at net working capital days anywhere between 35 days, 37 days.

Pulkit Singhal: And this is compared to 35 for FY24?

Sanjay Gandhi: Yes, so FY23 we were 38 days, FY24 we have 30 days. So I'm saying we can be anywhere in the range of 35 days to 40 days for a network working capital days.

Pulkit Singhal: Secondly on the capacity front I mean you have 84 million capacity you' re doing 57 million sales I mean your capacity addition is going ahead of the utilization. S o I'm just trying to understand that why is that necessarily the case that we have to constantly add capacities to utilize rather than increase the utilizat ion in the existing. I understand different facto ries have different utilization, but what is the challenge you're facing there because India I know that some of your factories are not very efficiently utilized , but can we not like relocate some of them or utilize them better?

Pallab Banerjee: Now in terms of in our industry like when we're supplying to some of these international clients to get a factory approved region approved is the biggest hurdle. T he entry hurdle is the biggest hurdle like if you look at it. So the compliance norms, the confidence that the teams of the customers would like to have on a fa ctory it takes time , it takes anywhere between 6 months to 18 months if you if you look at to certain customers.

So that's something is I woul d say a reality of our industry. S o wherever we are finding that you know to build an infrastructure and be ready because the good thing is that our factory or the cost that goes on into the factory is somethin g that we can control very well. O ne is the workers cost like that is something in India especially you're talking about like India has a particular challenge I think.

I'm sure like all other manufacturers must be also facing like it cannot be only us, but we find the attrition and absenteeism rate is a little out of control in India whereas globally we find globally means like if I talk about very other strong regions like Indonesia, Bangladesh and Vietnam and all. We are able to control below 4 %.

Whereas India we are still not able to bring down to that level at all. W e are almost like double than th at number at this point of time. S o that's that also is one good thing like if we need to - if we're seeing that the demand is going soft then it doesn't , we don't have to lay off people because

already there is an attrition every month we s ee that this kind of average 78% people are returning is happening in some of these pla ces where we have the factories.

So definitely two wa ys we are trying to tackle that. W e are going more i nto the interiors where we don't have t o depend on the migratory labor, but on the local level where at least at least this attrition factor will come down , absenteeism we will be experiencing as we start th e facilities in these locations, but in terms o f capacity the good thing that P earl has is a combination of our own facilities as well as partnership facilities.
Now if you look at the kind of existing capacity that I had in 2024 and the adjustment that I could do very easily without any cost and still utilize that it's a very healthy number so that doesn't worry me at all. S ame thing is for the other locatio

ns as well. S o that is why we don't see
this as a big concern, but yes to be ready to develop a facility to make sure that it is of the highest global standard and some of the retailers like to go through their rigorous process of ev aluation and be ready with th em. S o that that is something like we cont inue to be always upfront about.
Pulkit Singhal: Understood. My third question is just on the guidance itself I know you've talked about the 4 year guidance can you just very specifically quantify for FY 25 what is the kind of revenue growth band and margin band that you're expecting because I think you have visibility at least for the first half or next 4 months, 5 months of growth, so if you would give some sense?
Sanjay Gandhi: Thank you, Mr. Singhal. That's a question that you always are very direct about in all our calls.
So yes, definitely the m arket is has come out of that U S inventory issue that that we had earlier so definitely we are back on track on in terms of what we have always said that all our strategies are towards having C AGR of 15% to 18% to even as high as 20 % that will continue to thrive on that direction so if you're asking me for this particular year I'm seeing that okay we are solidly on track a t least in that direction as of now.
Pulkit Singhal: Okay. And for the margins?
Sanjay Gandhi: Margins, yes, the international , locations that we have definitely a very solid control, and we have as you can see in our results that is coming through. In India, the challenges that we are doing like we are definitely learning every day and we are also having a lot of solutions that digital solutions, the digitization of our factory the processes the governance.
So it is this always evolving and we are getting more and more confident on that so we'll see a good margin from all the locations going forward. So, in general, in our internally like we every location has to generate that margin so that's something like we internally always strive for but yes one place may have a bit of more challenges compared to the others so that's something that we have to always overcome.
Pulkit Singhal: Just, last quick question is on finan ce cost , it has gone up from INR47 crores to INR 83 crores in two years whereas your gross debt has actually come down a bit and I understand there's some element of leasing aspect as well but still the cost has gone up quite sizably, how should we look at this line item over the next two years , three years because you are generating quite a big good amount of cash flows, although they're not really paying down the debt for some reason.

Pallab Banerjee: But yes , this is high on our list as well so we are working on this. So , Sanjay maybe that you can add.
Sanjay Gandhi: So, finance c osts you mentioned there is an interest on lease liability almost INR 13.6 crores and that has risen from INR 8 crores so you see the almost INR5 crores to INR6 crores increase is on account of interest on lease liability , otherwise if you look at there is inc rease also. But in terms of INR 83 crores of total finance cost the interest on term loan and th e working capital is around INR46.8 crores , the rest w e have the other borrowing cost , which we have a factoring and plus the LC charges largely and other, the processing fees which is to be paid to the bank for renewal of all our facility across the location. With the reduction in the interest rate there will be definitely optimization and w ith the cash accrual also there is a definitely an opportunity to keep the interest cost under control.
Also we are looking at – we'll keep looking at some of the prepayment of long -term loan, which the cost is interest cost is high at this point in time. Having said that the leverage is something which we are very conscious of it and leverage will go in lin e with

the growth strategy, keeping
a, optimum combination, we as a company has been a conservative in terms of taking a too much loan. But at the same time when there will be some growth opportunity, growth capex will be incurred there will be some loan which also be taken but at the same time we are cognizant, we are conscious of this high interest, we are monitoring it and taking all steps wh ich are required to control it. I think our rating improvement has also helped up in keeping the interest cost under control as far as India operation is concerned and overseas also we are looking at improvement reduction in the cost and also using internal accrual to bring it down wherever there is an opportunity to do that .

Pulkit Singhal: Thank you. And all the best.
Moderator: Thank you. The next question is from the line of Varun Gajaria from Omkara Capital . Please go ahead .
Varun Gajaria : Hi sir, congratulations on a good set of numbers…
Moderator : May I request that you use your handset. Your audio is not clear, sir.
Varun Gajaria : Now .
Moderator : No sir, we are unable to hear you .
Varun Gajaria : Okay , I will get back to you .
Moderator : If you could use your handset sir .
Varun Gajaria : Yes, I am using my handset actually if you get some problem at my end. I'll take it offline.
Moderator : Yes, thank you, sir. Ladies and gentlemen, as there are no further questions I now hand the conference over to the management for closing comments .
Pallab Banerjee : Is Varun able to speak Mr. Varun can you…

Moderator : Sir, he said, he will take it offline. He h as an audio issues from his end.
Pallab Banerjee : Okay .
Sanjay Gandhi: Thank you everyone for joining on the call. I hope we have been able to address all your queries. For any further information kindly get in touch with , Strategic Growth advisor o ur Investor Relations advisor.
Pallab Banerjee : Thank You.
Moderator : Thank you. On behalf of Pearl Global Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

PGIL/SE/2024-25/52

Date: August 20, 2024

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Sub: Transcript of Conference Call

Dear Sir/Madam,

In continuation to our letter dated August 13, 2024, regarding submission of audio recording of the call conference held with Investors/ Analyst on August 13, 2024, to discuss Company's un-audited financial results for the quarter ended June 30, 2024, please find enclosed herewith the transcript of the aforesaid Conference Call.

You are requested to take the same on your records.

Thanking you,

Yours faithfully,
for Pearl Global Industries Limited

(Shilpa Budhia)
Company Secretary & Compliance Officer
ICSI Mem. No. ACS-23564

“Pearl Global Industries Limited
Q1 FY '25 Earnings Conference Call ”
August 13, 202 4

“E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 13th August 2024 will prevail.”

MANAGEMENT : MR. PALLAB BANERJEE – MANAGING DIRECTOR
MR. SANJAY GANDHI – GROUP CHIEF FINANCIAL
OFFICER

Moderator : Ladies and gentlemen, good day and welcome to the Pearl Global Industries Limited Q1 FY25 earnings conference call. This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of fu ture performance and involve risk and uncertainties that are difficult to predict.
As a reminder, all participant line will be in listen -only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star the n zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Pallab Banerjee , Managing Director of Pearl Global Industries Ltd. Thank you and over to you sir.
Pallab Banerjee: Thank you. Good morning everyone. I welcome you all to our Q1 FY25 Earnings Conference Call. Along with me we have our Group CFO, Mr. Sanjay Gandhi and SGA, our Investor Relations Advisors. I hope all of you have gone through the investor presentation uploaded on the exchange and our company website .
I am pleased to announce that our growth momentum persisted for Q1 FY25, resulting in our highest ever Q1 and quarterly revenue, adjusted EBITDA and the profitability. For the first time, we surpassed INR1,000 crores in quarterly revenue and INR100 crores in quarterly adjusted EBITDA on a consolidated basis. During this quarter, we saw a 17.7% increase in revenue. Overseas revenue increased by almost 22% and India revenue increased by 7.3%. Once again, this is a proof that our strategies are working well and a testament to our competitive advantage as a global manufacturer.
Our sustained growth, despite challenges at the industry level, is driven by the leveraging of core strengths of multi -country presence, multi -category products, in -market design expertise and strategic customer relationships. This growth primarily stemmed from increased orders from our existing customers yielding better relationships as well as better wallet shares from the customers whi ch we have added over the last five years.
Let me start with an overview of the industry. The textile and specifically the apparel retail and its supply chain is currently undergoing some significant challenges. This includes shipping delays, increased costs, higher container costs, higher energy prices and inflationary pressures affecting global economies a nd hence the consumer spending.
Overall, the raw material prices remain stable for now with exception of the linen fibre which continues to be an inflationary trend .
The US retail market showed resilience in 2024 with the retailers clocking almost 2% of year -on-year growth January to May period but June sales are up by almost 4.3% and most of the prominent retailers have already optimised inventory levels.
So, we are estimating that their buying numbers will continue to be healthier for the rest of the year. On the contrary, we have the recent data on inflation, unemployment rate and the consumer

confidence index of US. These have not been favourable. These add to the already rollercoaster experience as we move closer to the US election. So, most of the US retail industry leaders are maintaining a cautiously optimistic stance. Year -to-date apparel imports into the USA are down by almost 7% year -on-year for the first six months. Now, this is expected to improve in the second half of the year .
Moving on to the UK retail situation, this market grew last year by almost 5% and has shown a further growth of 2 %-3% for the first six months of this year. However, if we look at the import number

s of apparel for January to May, that is showing a downtrend of 12% year -on-year.
So, this is estimated to improve over the next month s second half of the year . Similarly, we noticed the imports by the European Union is down by almost 7% and Japan down by 9%. Now, again, both of these cases like what we are seeing, the retail is flat or improving. So, both these

again, these numbers of imports should improve for the rest of the year.
Now, the Red Sea situation, the closure has increased the cost of transportation for the retailers of US and UK and the Western countries, but it has not impacted our costs as all our shipments operate under FOB terms. The key for us is to deliver goods fa ster. Customers are now expecting shipments at least a week earlier to account for this additional time required to reroute their vessels around the African continent.
Further challenge in recent months is also the cost and availability of containers. Our manufacturing facility in Guatemala with a transit time to the USA with just over a week is attracting increasing interest and inquiries from our customers. However, the capacity of my Central America remains limited and is only a fraction of what we have in Asia.
Now, moving on to Bangladesh, the recent curfew did cause a closure of our factories for a total of six days. There was a loss of productivity during these closures. We plan to recover this loss in the coming days and weeks. There has been no damage to any of our property and our focus remains on minimizing the impact to our customers.
We have already cleared all imports from the seaports and trucked out all export cargo to the ICDs with more goods on the way as we share this update to you. All our factories are working at full strength with high attendance. The textile industry in Bangladesh do have some advantages compared to other geographies, which will further keep them ahead of the competition. The textile industry has become a major se ctor of Bangladesh's economy.
It represents 84% of their total export and 15% of their GDP. It is still lower in terms of cost and reasonably good efficiencies and productivity if I compare it with other geographies. The skilled workforce and well -experienced middle and lower level man agement staff is easily available.
Bangladesh has been improving their logistical infrastructure by leaps and bounds in the recent months and years and it has got favorable trade agreements.
We believe that whichever government is formed in the country, they will take adequate and fruitful steps towards maintaining their edge of the garment and textile industry. Thus, looking at a high weightage of the industry has an overall economic performa nce.

Moving over to Vietnam, we will maintain our growth trajectory. However, at a more consistent pace, we will continue to expand this market for us while focusing on delivering exceptional service to our high -end customers. Indonesia is set to regain its per formance levels after a decline over the past two years.
India this quarter experienced a higher percentage of absenteeism and attrition at our factory levels and this has been due to the prolonged election and the very high temperatures that India experienced this summer. We also experienced the increase in wag es and DA across all our states. All this resulted in additional manufacturing costs and some potential delays. We have managed to avoid an y major delays and air freight s.
Now, long term, Indian government is prioritizing garment manufacturing as an important contributor of employment growth through various initiatives. We enhanced our existing capacities in the states of Haryana, Karnataka and Tamil Nadu over the last year. And g oing forward, you will see us investing and starting production in other states like Bihar, Orissa and Madhya Pradesh, where there is a

n availability of labour force and is relatively less expensive
than our existing production locations.
Also, recently we successfully completed our Qualified Institutional Placement. We raised INR149.5 crores. This QIP attracted a range of prominent investors. We remain committed to investing in operational improvements, enhancing the governing process, digitization of all our factories and improving our financial rating. Our dividend and capital allocation policies are already very well defined. Having announced our strategic plans and objectives for 2028, we believe we are progressing steadily and solidly towards our goals.
We will continue to expand our relationships with our customers, who are strengthening their position in the global market. Our focus will be on consistently surpassing our previous records in revenue, capacity and efficiency, which will directly contribute to enhancing our bottom line profits.
Now, I will hand over to Mr. Sanjay Gandhi, our Group CFO, who will walk you through the Quarter 1 financials for the Fiscal Year 2025. Sanjay, over to you.
Sanjay Gandhi: Thank you, Pallab. Good morning, everybody and welcome to our earning calls for Quarter 1, FY25. I would like to start by sharing our financials and operational performance for the quarter.
Starting with the consolidated financials, we are happy to report the best -ever Quarter 1 and quarterly performance in terms of consolidated revenue, adjusted EBITDA and profitability for Q1 FY25. Our consolidated revenue reached INR1052.8 crores , a notable increase from INR894.2 crores in Q1 FY24. Revenue for this quarter increased due to increase in overseas

revenue by 22%, led by growth in sales in Bangladesh due to healthy growth in business for most of the customers. This represents a growth of 17.7% growth in consolidated revenue, marking our highest -ever revenue for a first quarter trend setting records for quarterly revenue.
For the first time in our history, since we have achieved quarterly adjusted EBITDA, surpassing INR100 crores mark and stood at INR100.4 crores , which is a growth of 18.8% year -on-year.
Adjusted EBITDA growth year -on-year is in line with the revenue growth.

Adjusted EBITDA excludes ESOP expenses of INR2.1 crores in Q1 FY25 and INR1 crores in Q1 FY24. PAT for the quarter stood at INR61.9 crores versus a PAT of INR47.4 crores in Q1 FY24, which is a growth of 30.8% year -on-year. However, if we look at PAT after minority interest, it stood at INR65.3 crores in Q1 FY25 compared to INR48.1 crores in Q1 FY24, a growth of 36% year -on-year.
During the quarter gone by, volume increase is led by increase in the knit business and the average realisation is lowered due to the change in product mix. Woven 58%, knit 42% in Quarter 1 FY25 compared to woven 73%, knit 27% in Quarter 1 FY24 .
Coming to the standalone financial s, in standalone performance for Q uarter 1 FY25, revenue increased to INR276.2 crore s compared to INR257.5 crore s in Quarter 1 FY24, representing a 7.2% year -on-year increase due to growth in business with new customers.
Adjusted EBITDA witnessed a decline of 34.3% year -on-year to INR13.3 crores in Quarter 1 FY25 with adjusted EBITDA margin at 4.8%. This was impacted due to low productivity in a couple of our factories .
PAT for Q uarter 1 FY25 rose to INR15.9 crore s reflecting an increase of 37.1%. Please note we had an exceptional gain of INR5.5 crore s due to sale of non -core assets during the quarter.
Furthermore, we would like to inform that Pearl Global Hong Kong Limited, Hong Kong is a material subsidiary of the company, has appointed M /s. Deloitte Touche Tohmatsu as its statutory auditor for the year ending 31st March 2025. Our focus continues to have robust governance control.
As highlighted earlier, we had completed our QIP and rais

ed INR149.5 crores from marquee
investor and we deeply value the confidence our investors have placed in us .
I am now happy to take any questions you may have. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.
Vignesh Iyer: Thank you, sir, for the opportunity and congratulations on a solid set of numbers. So, just to understand, I mean, I understand we have lost some few days in Bangladesh due to the unrest.
So, I just wanted to understand what is the growth going ahead and h ow -- so we would have got a reasonable idea of how orders for the winter w ears that would come from US, UK. So, if you could just give us an idea, how would the winter pan out this time around?
Pallab Banerjee: Specifically, you are talking about Bangladesh or in general for all regions?
Vignesh Iyer: Yes. So, firstly, immediate basis, how our performance, how our volumes might get impacted due to Bangladesh and on more from a medium -term perspective, how the January, February, March quarter will pan out because if I understand right, we get it like six mo nths before we

have a reasonable idea how the orders are and how the demand is from U S and UK. So, both perspectives?
Pallab Banerjee: Got it. So, as I just mentioned, let me just -- second part of the question I'm replying f irst, which is the general market trend that we are seeing. Definitely, like last year was extremely tight because of the over inventory situation that we saw in a couple of countries, especially the US.
And I think that part is behind us. So, in general, what we are seeing is definitely the order flow is much greater compared to last year. In fact, we have planned a growth and we are solidly on track with that growth plan.
So, I don't see a big reason of concern at this point of time unless until something, some other surprises sprung up across the world. So, that's something I think what we're looking at across most of the regions. I'm talking on behalf of US, UK, Europe, Australia, Japan. So, I think its business is at this point of time quit e normal compared to what we have seen last year.
The first question that you had about what's happening in Bangladesh. So, Bangladesh, we had a disruption. So, for example, five complete days we lost of production. We had to shut down

because of curfew and then one day we could only run partially. So, that's why we consider that six days of production loss.

But I think over the next few weeks with additional overtime and working on a holiday kind of thing situation that we do normally in such extreme situations, we are confident of making up this production loss. To our customers, what we have given the plan, there are very few delays that we're experiencing. So, we are well in control.

There could be a little bit of over expense that might happen to make sure that we are doing this kind of overtime or maybe a little bit of an adjustment in the shipments and all but not a very big impact at this point of time. In terms of what is happening currently, I think what we are seeing is very good turnout of people in the factory. So, in fact, normally we see about 2% to 3% of absenteeism in our factories.

But since the time that we opened up after the curfew, the attendance has been even better. So, that's something encouraging. People do want to work. The workers are quite serious , in terms of all our factories are running at full strength at this point of time. We haven't seen any problem in terms of any logistics or any movement of material or movement of personnel.

Most of our staff, like a lot of people from India are staying in Bangladesh also. Some of them did come back because there were a lot of concerns when this curfew and when this chang

e of government happened. But most of them are now back and things are quite normal. And some of them continue to stay in Bangladesh because we immediately started our factory as soon as we could.

So, that way, like we haven't seen much of problem in Bangladesh as of now. Does that answer both of your questions?

Vignesh Iyer: Just one more question from my side. So, we have seen almost an 18 % growth on Y-o-Y basis on a volume plus realization that is value part of it. So, if you could tell me what is that volume

growth that we have seen on Y-o-Y basis and is this number su stainable going forward on a Y -o-Y basis?

Sanjay Gandhi: So, volume growth is 35% is what we have seen here, and I think we mentioned that as a part of our three -year strategy, much of the growth in revenue will be driven largely from the volume growth. And the realization is a function of the product mix which is in that particular year. And if you look at our February '24 Analyst Meet, we have mentioned clearly the product mix which will be likely to be 60 -40, 60 woven -40 knits business .

And our all pr ojections till FY28 was based on the volume growth driven and definitely, since it is in line with our strategy, it is sustainable in that way towards our objective what we have set forward.

Vignesh Iyer: Okay, got it. That's all from my side. I'll get back in queue. So, then all the best.

Sanjay Gandhi: Thank you.

Moderator: Thank you. The next question is from the line of Palash Kawale from Nuvama Wealth Management . Please go ahead.

Palash Kawale: Thank you for the opportunity sir and congratulations on good set of numbers. Sir, my first question is on Bangladesh again. So, do you see any change in plans in terms of your capital allocation or are clients pushing us to like get out, like supply them from other countries because of the recent civil unrest or do you see things to be as we had planned earlier?

Pallab Banerjee: As of now, we haven't faced any pushback from any of our clients. But yes, in general, I think that's the sentiment that you expect when this kind of disturbance happens. The kind of strategic relationship that we have, we got immediately supporting messag es from our customers and we had the dialogue like if anything becomes prolonged in Bangladesh, then we can shift some of our business from Bangladesh to our other regions.

So, that dialogue we were ready with. Our planning and our backup was always there, but we didn't have to go that route. Things became quickly very normal and the productivity and everything is quite smooth and I think totally as per our plan. In terms of future capital allocation, like what we had in terms of before this revolution or before the change of this government. So, we are not changing big time any of our capital allocation across all the regions as of yet, including Bangladesh.

So, although like, we were not very aggressive in one region at the cost of other. So, that was never our plan. So, we have incremental growth in all the regions and that we will continue unless until we see there's a big change.

Palash Kawale: Okay, sir. Thank you for that. And sir, what was the contribution from partnership model in this quarter and what was the contribution in Q1 FY24?

Sanjay Gandhi: So, we have given that detail as well. So, partnership factories are contributing around 21% in Q1 and 79% in house . So, this is in terms of the volume.

Pallab Banerjee: Overall, Yes, this particular quarter you see that a little bit of higher contribution from the partnership factor because we experienced a growth in our numbers and as we adjust our production lines to grow. So, yes, this particular quarter we have a slightly higher number of partner factor y contribution.
Palash K

awale: And sir, how do you, how should we model FY25 volume number since the volume growth is so high in first quarter? So, are you confident of maintaining this trend?
Sanjay Gandhi: I think what we have said for the three -year period from -- in our meeting last week and we continue to be that, overall on an annual basis we are saying 12 % to 4% (wrongly said, kindly read it as 14%) of revenue CAGR is something which we are confident of achieving over a period of three years. I think to be in line with our strategy it is better to keep that model in place.
Of course, there will be some positive surprises if it comes in any quarter.
We'll be happy to communicate periodically. But to really look at from the long -term perspective, we would like to keep our guidance of 12 % to 14% CAGR in revenue growth and EBITDA of 10 % to 12% by FY28 if we will -- we are optimistic about achieving that.
Palash Kawale: Okay, sir. Thank you for that. And so my last question is how is seasonality for Pearl since we have both knit and woven. So, quarter wise, how do we see the seasonality?
Pallab Banerjee: So, Pearl manufactures seven different categories, right from outerwear, knits, woven, tops, bottoms, children wear. So, when we talk about the seasons of outerwear to the Western countries, then the dollar wise, you will see a little bit of jump might hap pen because the FOBs are much higher compared to the spring -summer seasons. But I think in general, we don't see a huge swing in our total consolidated numbers.
Normally, for the spring -summer region, like India region becomes much stronger. For the fall holiday region, when the outerwears are high, they tend -- Vietnam or Bangladesh where a lot of denims and bottoms happen, that summer. So, more or less, it compensates each other. Maybe a little bit of variation that you might have, but not a major.
Palash Kawale: Thank you, sir, for your detailed answer. That's it from my side. Thank you.
Moderator: Thank you. The next question is from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking . Please go ahead.
Bhavya Gandhi: Yes. Hi, sir. Thank you for the opportunity and congratulations on a good set of numbers. A couple of questions from my end. One with respect to what was the revenue contribution from new customers in this quarter? And how are we seeing these numbers move from last maybe three, four, five quarters? If you can throw some light on that ?
Sanjay Gandhi: Yes. You're looking at, sorry, just to understand, your question is less than five -year customer and more than five -year…
Bhavya Gandhi: Yes, that is what I meant.

Sanjay Gandhi: For us, you know, the real yardstick to measure this number is for the full year basis. If you recall, our last presentation, we mentioned in FY24, we had 44% of the revenue coming from less than five years, and more than five years is 56%. Now, what will h appen over the period of this year, where Financial Year ‘25, some of the less than five years will get converted into more than five years, because they have been with us for now almost four, four and a half years, as when we mentioned in the last time.
So, gradually, there will be shifts. But at the same time, we are working on additional new customers, so that will happen. But it's a journey which takes over a period of 12 months’ time period. So, we would like to mention that last year, at the 31st of March, for the full financial year, less than five years, we're contributing 45 %, 44%. And more than five years, we're contributing 56% of our group revenue. As we started this journey, this 44% is gradually becoming, migrating to the more than five years.
But we will see the real picture coming up at the end of the five years as to how the overall numbers look like. It's better to look at a full-year basis.
Pallab Ba

nerjee: So, conceptually, I can explain a little bit more. You know, what happened was in 2019 onwards, as we built up the strategy to take Pearl towards our goal of growth and achieving the number that we have stated. So, we had introduced and we had approached a lot of new customers at the same time. So, that bunch of customers gave a good run now. And some of these customers are

becoming much more strategic.
So, that means they are becoming very sizable and maybe like top two or top three customers of ours. So, that part will continue to grow. And then over this last couple of years, two or three years, again, we have introduced some customers who may not be going into the strategic level. But will continue every year, we continue to add, like we see the map of all the customers across the globe, who are the customers who are doing financially strong .
And where we can definitely add value to them and they can be a good partner to us. So, that process is on. But this huge jump of or an infusion of new customers that happened in 2019 - 2020, that is now overall, like as Sanjay just explained, will go beyond five years now. So, that, we'll see a little bit of fluctuation out there, but this number would, I think, be in this region, more or less, going forward as well.
Bhavya Gandhi : Let me ask you in another way. I get your point, b ut how big can this customer base be? I mean let's forget about 4 years, 5 years or 7 years. The new customer addition that you've done after 19-20, how big can they become? I mean in terms of revenue it would be closer to INR1,500 crores, INR1 ,600 crores on an annualized basis. So can it be like INR7,000, INR 8,000 crores or we will pea k out at INR2,000 crores 3000 crores i f you can throw some light on t hat in terms of absolute number?
Pallab Banerjee: So in terms of individual customers like if I talk about so there are what we do, we always introduce customers like who could be in my top five. And by top five I mean that eventually they should have a runway to do about USD100 millio n. So, that mean s 100 million would be how much INR 800 crores. So that would be I think is a fair estimate. Of course, there are a few

like Walmar t and Target who can be even USD200, USD 300 million dollars also if we can service them well.
But at this point of time our target is to have this top three or four customers which should be in the 100 million mark a nd then my second tier of customers should be in the range of about 40, 50, 60 in that range, USD 40 million to USD 60 million range. And then comes the tactical customers who should be in the below USD 20 million as you say.
So that's how like we classify our customers. We always try to have when we're infusing some new customer we want to see like over a period of maybe 4 years or 5 years, what is the runway? Can we be a USD 50 million customer for us or can we be a USD 100 million customer for us? That's how like we go through this process. So we do have identif ied like who those three would be, who could be more than 100. Who are those five or six who should be in the range of 50 and then, of course, there's always the bottom of the pyramid where we'll have anywhere between 0 to 20.
Bhavya Gandhi : Got it. So, let me again I'm just trying to understand how directionally we'll be moving. So that the three customers of USD 100 million that you are saying, what is the current size as of now? Are they like a USD20 million customer or already they've reached 50 million?
Pallab Banerjee: So one of them has touched 100. The second one is about to touch 100. The third one is crossing at this point of time, maybe around 55 -60 mark move towards 100. So like that similarly the one which will be crossing 50 -60 wherein one of them is at least around 40 at this point of time. Some of them are in the range o

f about 35 -40 in that range. So, yes, that's the kind of mix we always maintain in terms of a strategy.
Bhavya Gandhi : Okay. And in terms of percentage of their total procurement how much would we be as a part of their total procurement cost? I mean because I believe they might be working with at least 25 - 30 vendors and they would n ot allow you to penetrate within?
Pallab Banerjee: So, that you see like from their sourcing or procurement point of view they would maintain us in the single digit of their share. So r arely it goes into double digit, b ut ye s there could be either high or low single digit.
Bhavya Gandhi: So we have some room to p enetrate in terms of percentage?
Pallab Banerjee: Of course.
Bhavya Gandhi: Yes. Okay. So, I mean, if we extrapolate all these numbers putting together so we believe, I mean 12% to 14% would be on the lower side of revenue guidance? I believe we can even grow at a faster pace than this. I mean I'm just indicatively asking that we have the ability to do it. Whether we may do it or no is a different thing.
Pallab Banerjee: Yes. The opportunity will definitely I would say, exist like how we play our cards and how we strategize ourselves like overall in terms of our infrastructure, in terms of our strength, in terms of our serviceability. We do not want to go for a very aggres sive growth and then may not be able to service them. So that also is very important in any industry.

So, yes that's how like we have planned in that range, b ut yes like if it's a couple of percent more or maybe like 4%-5% more possible we s hould not lose that opportunity, b ut yes we will not go for a very high aggressive and over commit and under deliver. That's the situation that we would like to avoid. I think at this point of time the market is in such w hat I'm seeing, yes, anywhere 12 to 14 or maybe a few percentage higher is possible easily.
Bhavya Gandhi : Got it. And sir are we seeing any consolidation.
Moderator: Sorry to interrupt you sir m ay I request you to rejoin the qu eue for your follow -up question.
Bhavya Gandhi: Perfect.
Moderator: Thank you. The next question is from the line of Pa rth Patel from Unifi Capital. Please go ahead.
Parth Patel: Yes. So, congrats on a strong number. So our question is when you look at this Bangladesh situation what is happenin g and I think in the last Analyst D ay which you did in February, you gave a plan of around INR500 crore s capex over the next 2 to 4 years. So can you explain strategically this INR500 crore s capex which you're planning for next few years in which geographies it will go?
Because if I say Bangladesh is around 50% more than 50% of our capacity today. So this incremental capex are there any strategic changes which you are thinking of doing of this capex not in Bangladesh and other geographies going forward?
Pallab Banerjee: Between Bangladesh and India are our major contribution as of now. In India we realize that we are in places which are more expensive. So we have to move some of our factory or add factories in the lower cost region. So that 's definitely would be an important part of the capex. Bangladesh being the largest contributor a lmost about anywhere between 40%, 45% expectation is that it will continue to come from Bangladesh. So that will draw some capex as well there.
And then, of course, followed by Vietnam, Indonesia, and Guatemala. So we are definitely spreading our capex across all the locations. In terms of I would say is there any immediate change reacting to what has happened in Bangladesh in the last couple of w eeks? No, we haven't. At this point of time, we are keeping a close watch on that. We are seeing a good traction in terms of see Bangladesh if you look at overall the readiness for the industry is much higher compared to the other countries who are

there i n this particular industry.
So I don't see a huge change that will happen, b ut yes Bangladesh also will undergo some kind of consolidation of players for sure. As the country regroups itself there will be a little bit of economic ups and downs. So during this period the smaller players or the weaker players will move away. The stronger will become much more stronger. So that's what normally happens. That's the kind of trend we have seen in Sri Lanka, in Pakistan and in other third world countries as this ki nd of upheavals comes once in 5 years, 10 years. We have seen that. In fact, India also has undergone it in the past.
So that's something I think is something like we will h ave to have a very close watch a nd we will definitely any investment that will happen from our side will be completely based on the

ROI. So we do a very rigorous analysis in terms of what kind of ROI is possible, what we have seen and how fast we can achieve that .
So that's something is a criteria for our decision making. So we will continue to evaluate, we will continue to analyz e this and then take the steps, b ut yes so far we didn't have any major plans in Bangladesh. That whatever plans that we have in terms of a growth in number of lines, or incremental addition in terms of production capacity that we are continuing.
Parth Patel: So, just to understand your near term perspective, in FY25, where are you adding the capacity?
Sanjay Gandhi: In FY25?
Parth Patel: FY25, where are you adding the capacity? Which geographies?
Sanjay Gandhi: FY25, see our plan was, is, one is in India, we are adding capacity in Bihar, and the second is in Orissa, in partnership factory, in collaboration with the existing factory, which is infrastructure, which is existing there. The second is, you know, in terms of adding capacity, it will be in Bangladesh, and India also, in Madhya Pradesh. The commitment to capital expenditure will happen in this year, the capacity addition may spill over to the next financial year.
So, the commitment will happen in this financial year in Madhya Pradesh, in India, and Bangladesh also, we are exploring a good opportunity and at the right time and the right price, I think those commitments will also follow. So, that's under evaluation a nd continue to be under evaluation.
Parth Patel: Okay, so the concrete plans currently are in India only, right? Okay, now that, in terms of EBITDA margin, I think the long term guidance is to move to a double digit kind of EBITDA

margin. But if I see this quarter, if I include the ESOP expense as operat es, okay, then the EBITDA margins are the most flat, Y-o-Y right? So, how can, so what outlook on the EBITDA margins going forward in the next nine months and FY26?
Sanjay Gandhi: So, I think the way this year is, is, is coming up with respect to the capacity and utilization and efficiency and order intake. I think as we go into summer and spring season, we are optimistic about hitting a double digit EBITDA, I guess by the end of th is year, and the next year should be in line with those double digit as well. Here, I'm talking about a double digit EBITDA, adjusted EBITDA, which is, you know, I think we should be, we are optimistic about achieving it by, you know, by the end of this year.
Parth Patel: Okay, fair enough. The last thing on a…
Moderator: Sorry to interrupt you, sir. May I request you to rejoin the queue for your follow up question?
Parth Patel: Okay, thank you.
Moderator: Thank you. The next question is from the line of Kaushik from AK Investments. Please go ahead.
Kaushik: Yes, thanks for the opportunity. I have a specific question to Bangladesh and a broader question. So, on the Bangladesh front, what makes you very bullish? I understand it is a larger exporter,

but there are also, because I think the margins are sustained because of the tariffs and the low cost expenses, right? Employee cost expenses. So, once there was also news from the European countries that tariff will be moved out, then how does it strategi cally fit in our company?
That is my first question. And the next question is basically, if you see that there is also a lot of push happening in India, that you want to have a global sourcing partner from India from moving from 5% to 15%. So, how do you want to grab this opportuni ty?
And how much time it would take if you want to put up any additional capacity, suppose out of the world, right? If suppose something again happens in Bangladesh, right? Because we do not know about the geopolitical region, it can be anything. So, for you as a company to mitigate the risk, how fast can we add the capacity anywhere or it will take time? Can you throw some light on these three?
Pallab Banerjee: So, first is about tariff arrangement in Bangladesh. So, they have, Bangladesh has got LDC status and because of which they have a GST benefit for the European countries and UK. So, that benefit they would have till 2029, if nothing changes. If they get an extension, then it will go beyond that. Initially, there was some conversation of not extending it, but I think with the current situation that has evolved, the chances of getting it might go a little bit better. So, anyway, so let's not speculate that.
As of now, our strategy is to definitely make sure that all our calculations are on basis of it till 2029. Beyond that, when we make a project of capex and all, we take it like, you know, we take this part as a given. And beyond that, we don't take it in o ur calculations.
So, that is the first part of your question that you had. In terms of strength of Bangladesh, as I said, like, you know, Bangladesh has got a population which is hungry, which needs to be fed. That's the country where the food cost or the food expenses will always be higher compared to a country like India or other places where we have a lot of farming and a lot of things, variety that we can do.
So, in general, what happens economy -wise, like, you know, that segment of population which would need that work would always be there. And that's something like what we have seen when we compare the workforce in various countries. We find that, you know, Bangladesh or to a certain extent Indonesia is definitely the stability and the kind of, you know, the output that we get is much, much better.
Absenteeism, attrition, the loyalty, all these things are definitely scored much, much higher compared to the other countries like India or Vietnam or other places. So, that's something that's important for the industry. And we are very much cognizant abou t the fact and our decision - making or our analytics, as I said, would always be taking into consideration of all these trends.
Bangladesh, as of now, is close to about $50 billion. Most probably they will cross that. But as I said, I personally believe that that particular country, the number of players would fluctuate. The smaller players or, you know, the fly -by-night operators or something like now may not be very serious or do not have a good connection of customers and all might reduce the business or

might go out of the business. So, the stronger player will continue to become stronger and stronger. So, that's something will happen.
And that's the kind of trend that has been over my last 30 years of in -depth, you know, analysis

of the industry and my career. So, that is what continues to happen in Bangladesh. And I think we will be closely watching that. And we will be making use because we are in business of making money and doing business ethically. So, if this kind of criteria is being met, then why shouldn't

we do that?
Compared about India, India is a large country. Like, I think what will happen to this particular industry of ours, of garment industry, the southern part of India, like where we have like states like Karnataka, Tamil Nadu and all, if you see the factories that we are running there, a huge amount of pop ulation of the workforce started coming from the North, from states like Bihar, Odisha, UP. So those are people like, you know, migratory labor that we see very often out there. So I personally believe that a s the industry should move into their home states, that would have a bigger run.
If you see like, you know, even the geographic location or geographic area or the population, if I have to compare even Bangladesh with Bihar or Bangladesh with UP or Bangladesh with Odisha, that is possible. So definitely what kind of policies, what kind of things that comes up, how government is showing lot of, at this point of time, lot of interest. But fundamentally, if you look at it, Bangladesh, it's much simpler in terms of the calculation and doing the projection because you pay a workforce their sa lary, their overtime and they have a pension fund s. Whereas in India, there would be a much number of other things that you have to take care of. So the complication goes up, but that doesn't mean that we can't do it in India. So, yes, there is definitely the DA revisions and the wage revisions that is continuing to happen in India and that's, we have to see. Like, today, if I look at it, India is not very, very high compared to Bangladesh, but in terms of productivity, Bangladesh has proven to be much better. The efficiency, the productivity, the middle man agement, the whole ecosystem is much, much stronger because they're so much bigger. So, these are some of the factors that we always look into as we plan.
The other question that you had in terms of capacity, normally to set up a factory, if I have a building or if I have a shed, to operate a factory, it should take not more than five to six months. To build a shed, maybe about a year, maybe 14 months. So that's the kind of timeline that is needed to start from scratch.
And what we do have is definitely, we continue as a company, we continue to have a capacity built up for much more compared to what my requirement is. So if you see, like our utilization at this point of time is varying between 68 % to 75 % in that region. And countries like Bangladesh and Vietnam, we can also utilize the outsourcing model on basically like a partnership factory where we take dedicated lines from other factories and we run it.
So that's something also is possible in these two countries. In India and all that ecosystem still doesn't exist. So, Yes, over the years, most probably our endeavor would be to develop this kind

of ecosystem in India as well. Till that time, definitely we will see Bangladesh and Vietnam giving a much better performance compared to India.
Kaushik: Thanks for very elaborative answer. So you are saying that basically...
Moderator: Sorry to interrupt you, sir. May I request you to rejoin the queue for your follow -up question?
Kaushik: It's not follow -up, just reconfirming.
Moderator: Okay.
Kaushik: So what I'm saying is basically you're saying till 2029, whatever the economics of Bangladesh are very strong. I mean, for Indian companies to compete with Bangladesh would be really tough. There is an ecosystem enhancement that is needed here. And for the new capacity, whatever you want to build, it would be easier for you to build in Vietnam if suppose anything happens in Bangladesh rather than in India because of long process or whatever it i s. Is my understanding correct?
Pallab Banerjee: No. A little bit of correction out there. India also like we are, as Sanjay just mentioned, like we are already going ahead with all

our plans and we just started -- the plan started last year. So
Bihar, Odisha and Madhya Pradesh, we are going ahead and building up our capacities out there. So part of it would be ready and operational this year and part will be operational next year. So definitely that will be a sizable capacity that we are building up because these are the places where we also intend to do much larger capacity to building it up and which is happening. Bihar, I think, is maybe a quarter or two away. Odisha, we have started in a small way already and that's growing. And Madhya Pradesh, we have to build. As of now, the construction is going to start. So India is definitely on the cards.
What I meant was Bangladesh has the advantage of tariff at this point of time, which India

doesn't have. And second, the higher productivity and efficiency because of the whole ecosystem in Bangladesh that exists, which is existing in Vietnam as well. So, yes . So I think every place has got their own strength and we will continue to utilize each location as per their strengths for our strategy of building up a much bigger business and better bottom line.
Kaushik: How many million per pieces you are adding the capacity? That's my last question.
Pallab Banerjee: So we can give that -- so we have already, in India, like all these three locations, once fully operational, would give us almost about 5,000 to 6,000 machines per day. So that's quite a significant amount of capacity which we built up.
Kaushik: So any ballpark number? Because I see it is 46 million some -- you have the figures, right? I mean, capacity -wise from India. So how would it be increas ed? I mean, 26 million, I think, yearly…
Sanjay Gandhi: So we have already given that. So, already, if you look at our plans to go to 130 million , 140 million and let's talk about 10,000 machine additions, I think there will be machine added in a calibrated manner. There will be phase one and phase two, which will get added. Overall, we

are looking at almost 3,000 machine s getting added in India in the plan which we have discussed. I think a number of this is a calculation we can share with you later in case you would like to know more details. You can please…
Pallab Banerjee: And if it comes from two shifts , it's going to do about 5,000.
Moderator: The next question is from the line of Varun Gajaria from Boring AMC. Please go ahead.
Varun Gajaria: Hi Sir, Than k you for the opportunity and congratulations for good set o f numbers . How is your order book filing up right now? How is that?
Pallab Banerjee: Order book is as per our plan. I think we are on track, thoroughly on track.
Varun Gajaria: Okay. So, what would be your guidance for '25 or target ?
Pallab Banerjee: So, we have already stated that we are looking for a growth, at least minimum of 12 % to 14% year-on-year and with a better bottom line, double -digit.
Varun Gajaria: And what is the cotton yarn supply in Bangladesh at this point? Because we have heard some commentary from some of the yarn players that some of their orders were stuck in the last month. So, how is it panning out there?
Pallab Banerjee: I didn't get that part. Like you were saying that some of other places you have heard that… What was it that you have heard?
Varun Gajaria: That the orders that they are exporting to yarn , cotton yarn to Bangladesh, they were stuck because of the crisis. So, how is it panning out there?
Pallab Banerjee: No, we haven't faced any kind of problem in terms of logistics, of moving inward raw material or exporting. After 5th, everything has been very normal. After 6th, sorry.
Varun Gajaria: So, the impact in this quarter will be relatively minimal, I'm assuming?
Pallab Banerjee: There will be some impact, as you said, because of higher costs and loss of that couple of days of productiv

ity. But ye s, not a very big impact.
Varun Gajaria: Okay. And how is the India export market panning out? The inventory issues and everything else is behind us, I'm assuming?
Pallab Banerjee: So, India, the last two months have been quite good. If you look at the total exports of India has been double digit growth. I think overall for the year is still about I think 1% or 2% growth compared to last year. I think India should grow. I personally believe that India should grow by at least about a single -digit high number this year.
Varun Gajaria: Okay. And how long do you think it will take for India to recover to its earlier export numbers or just as a market overall?
Pallab Banerjee: No, I didn't get that question. How long India do?

Varun Gajaria: How long do you think India will take for India to recover to its earlier numbers? You know, we have been doing pretty good volumes from India also, overall ?
Pallab Banerjee: So, this is a general question. This is not about Pe arl or you're asking specifically about Pe arl?
Varun Gajaria: No, this is on industry news, just on industry basis ?
Pallab Banerjee: Industry. So, India has been exporting and the highest export that India has done is about $16 point some billion. I So, this year looks good to become a better number. I don't know how much it will be finally. But ye s, it should be in the higher. But yes, like if you see the concern that if you're talking about what's happening in other countries like China or Bangladesh, who would be a lot of forecast is there, they should certainly lose some market share. I believe C hina is

definitely lo sing market share.
Bangladesh may lose a couple of percent this year or may gain. I don't know how the rest of the year would pan out. But ye s, India, like to grow by about 10 %-15% would need a sizable amount of capacity.
So, we are doing our bit. We definitely are increasing quite a lot in terms of our capacity over the next two years that you will see. I'm sure like the other players also planning something to take this advantage of pro -India at this point of time.
Varun Gajaria: Okay. And how is the capacity …
Moderator: May I request you to rejoin the queue for your follow -up question?
Varun Gajaria: Yes, sure. This is just a follow -up question. This will be the last question.
Moderator: Okay, sir.
Varun Gajaria: Yes. Just wanted to get an update on the facility augmentation. How is that panning out?
Sanjay Gandhi: Would you mind repeating the question? You're saying capacity augmentation?
Varun Gajaria: Yes, yes. How is the capacity addition panning out, the whole plan?
Sanjay Gandhi: The capacity addition, see, one is augmentation. When you say augmentation is, you know, the existing facility in Chennai, which we already completed. It is under stabilization phase. And then comes the capacity addition, which is a completely set ting up a new plant . So, which is also, we mentioned, is underway in India and then a couple of locations, states, which you just mentioned. Third one, the capital expenditure commitment will start happening in the next two, three months time period.
And also for in a country like Bangladesh, after the evaluation, we will be looking to commit towards the capacity addition. The real capacity addition , commercialization will take time. But Yes, commitment towards that, I think should happen in the next two, three months time period.

Moderator: Thank you. The next question is from the line of Pulkit Singhal, from Dalmus Capital Management . Please go ahead.
Pulkit Singhal: Thank you for the opportunity and congrats on a good set of numbers. First question is on the capacity utilization. I mean, if you're going at 35% Y-o-Y volume front and commentary is stronger

for the second half, are you already reaching peak utilization in some of the geography or expected to reach in two or three quarters?
Sanjay Gandhi: So, if you extrapolate the number, which is coming up, right now, I think we will be looking at somewhere around 80 %, 82% of the capacity on what we had in 83.9 million pieces as on 31st March, '24. Just simple, continuing with the same trend if you take it that way. So, there is a good headroom available still for us to really, grow within that number also.
Pulkit Singhal: But that number includes Indonesia and Vietnam, their utilizations are lower. So, if you see Bangladesh, you're already at 80% utilization last year. India is at 65%. If you want to grow 35%, that could be…
Sanjay Gandhi: Yes. So, our blended utilization last year was 68 %, 69%. With this growth, we see that, you know, overall, we should be looking at blended utilization in excess of 80%. That's where we seem to be really heading with the revenue.
Pallab Banerjee: From the benchmark that we had from last year. Yes, from the last year. But at the same time, like I just mentioned, we are enhancing capacities in this point of time. So, I think we are solidly in our plan. So, we don't have any concern as of now.
Pulkit Singhal: Understood. And secondly, on the whole Bangladesh review front, I mean, last 15 years, Bangladesh has grown quite well in a certain regime or environment with certain stability at the helm and certain policies in place. Now, with the new uncertainty coming up, our customers, because while for you it is 50% of your, revenue, but I'm presuming there are certain customers who are heavily dependent on Bangladesh for the requirement.
When you're talking to some of these, are they, I mean, talking about, you know, having to diversify away from Bangladesh over the next three to four years, because I would presume that stability of sourcing would matter more to them than costing.
Pallab Banerjee: So, fortunately for us, like we don't have any customers who are very heavily exposed to Bangladesh. So, there were certain Australian customers who have been working with us to diversify. And very successfully, we have done that over the last year with th em.
Apart from that, the US customers that we have they had quite balanced exposure across all the geographies. So, that's something like I'm very closely involved with my customer strategy teams as well. So, I don't see any immediate threat. Yes, there are a few customers, if you're talking general, who have been very heavily exposed in Bangladesh and they would be moving out. So, that will give me more opportunity in the other countries. So, I'm seeing it as a win -win from both sides for us.

Pulkit Singhal: Okay. Just very last quick question on finance cost. It's roughly around it's been hovering around INR20 crores to INR23 crores per quarter. I'm just trying to understand which is roughly INR90 crores a year. In your plan, when you think of it three years out, does this finance cost come down? Does it grow because your revenues are going or does it remain sluggish? What is the direction for this?
Sanjay Gandhi: The finance cost as a percentage of sale is, I think, roughly around 2.2%. I think as we go and incur capex also there will be some debt will be taken. So, but we will follow the very prudent norm of 30 to 35 equity and 65 debt. And then plus the rest of the thing the factoring per se will continue.
That means if the receivables and the top line keep on increasing the receivable financing will be expanding. So, in absolute amount those numbers will keep on increasing. However, with the interest rate getting softened, let's say two, three, four quarter down the line that will have a positive impact on the finance cost coming down.
Plus, we have also done some repayment of long

term loan, we have sold in India known core
asset, which because of which we have an exceptional gain of INR5 crores reflected in our profit and loss account. The realization from that has been largely utilized towards the repayment of a long term loan, which were at a high cost of nine and a half to 9.75% in India. So, approximately INR15 crores that long term repayment has been paid, which will help us in terms of reduction in the cost.
So, this opportunity of optimizing the interest cost, we are very clearly looking at it and as and when this opportunity exists, we will definitely work on it in further reduction. But overall, in terms of our strategy of doing factoring of our receivable having a non-recourse financing that will continue. And we will definitely look at an optimization of the working capital requirement given the cash which will be generated from the operation to really see how best we can optimize our finance cost.
And wherever there is a non core asset realization as we happen this year, we will definitely use the proceed for this dischargement of a long term loan so that our interest cost and the leverage also get balanced in the process.
Pulkit Singhal: Wonderful. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Palash Kawale from Nuvama Wealth Management. Please go ahead.
Palash Kawale: Thank you for the opportunity again. Sir, my question is again on Bangladesh. So, if I have to imagine a worst case scenario where a situation doesn't normalize and clients are pushing us, so how confident are you then to reach to your vision 2028?
Pallab Banerjee: So, if you seek out $50 billion of exports from Bangladesh, so then that $50 billion has to go to some other countries, like if I have to hypothetically take your situation. So, yes, then I think there could be good opportunity for all the other manufactur ing regions that we are. So, ye s, it's a hypothetical question that you're talking about.

So, I think we are well poised. So, we are present at this point of time in multiple geographies and not heavily dependent on only one geography as a company. So, I think that gives us that advantage.
And yes, like I think I personally, as I said like Bangladesh, I don't see will go away so quickly at this point of time maybe like even like let's say in $50 million even you talk about 10% is $5 billion. So, that $5 billion if comes to India then I'm ready, we're ready to go for it. Similarly, like in Vietnam or Indonesia, I think there's still an opportunity. So, we can definitely take it up. Myanmar and other places I'm not very confident of . Central America would always be as very small. Yes, there would be some movement might happen in the North African countries like Morocco, Tunisia and on but not a big change that will happen in the industry.
Palash Kawale: Thank you for your answers and all the best for the future.
Moderator: Thank you. The next question is from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking . Please go ahead.
Bhavya Gandhi: Yes, hi. Thank you for the second opportunity. And I just wanted to understand that how long does it take to add a new customer? And what is the time frame? I mean, is there any entry barrier where other players also can add new customers? Or if you can throw some light on that?
Pallab Banerjee: See, internationally, these kind of customers, they do have their own supply chain. There are two kinds of customers. Let's talk first of all of an established organization like a big like Gap

or Walmart or Target. So, these are big businesses you have. So, they have a very well established supply chain for themselves. So, generally, the entry barrier into this kind of customers is very high.

So, they would only change either if they have a strategic change, like

for example, like we have been discussing what happens to Bangladesh and if they have to move something out of Bangladesh. So, any of these customers has got an overexposure in Banglad esh and they have to move to India. So, then that could give an opportunity for a new entry to come out.

Otherwise, generally, if they are getting into a new product or something like where they have made a strategy into their product and they are looking for a particular kind of product to enhance that line. So, then they would go for the kind of design and product which that is the reason for which company like Pearl, we have our design offices in the respective countries so that we closely continu e to work with these customers.

Generally, apart from that, if a new player comes in today, if somebody starts an export house or a company, so then the barrier is quite high because definitely for a new player to entry at this point of time would cause a lot of problems. And to start from any customer is not easy. And of course, there is an issue of getting into the social co mpliance, technical compliance.

So, the whole process at times to take a new factory, like if I put a new factory as I said, it might take about 1 year to construct and another 4 months , 5 months to make it run properly. But to get to a compliance process also, this approval process of this international customers might take anywhere between 2 months to 6 months. So, these are some of the barriers that we plan for as

we go for our growth or strategy planning or business planning. Am I able to answer your question?

Bhavya Gandhi: No, actually, my question was on a different tangent. So, what went right in 19 -20 that we were able to add so many customers simultaneously? So, let me ask you in that way. I mean, because the same entry barrier is for us as well, right?

Pallab Banerjee: Yes. So, you see, we came into the market by saying that we are a global player. When I came into Pe arl, definitely the other regions like Indonesia, Bangladesh, India, Vietnam. So, they were operating, they had some customer base that when we did the evaluation of all the customer base, we found some of them may not be financially strong, may not exist, maybe three or four, like some kind of downturn, if it comes in the Western m arket, they might get wiped off or get into a financial situa tion.

So, that's the time that we overhaul our customer strategy at that point of time. So, it's not that we got a lot of new customers just like that. It's like basically, we wanted to target certain customers, we started approaching them, we give them the strategic solutions that they were looking for into their diversification into strateg y.

And of course, that's the time China plus one was playing an important role. So, those are two or three things which really helped us to develop into this new strategy. And that's the reason for which if you see at Pe arl, we are in five different locations, providing a global supply chain solution to our customer.

Second, we are providing them in -country design services. That means my design teams are working with their own design team at real time in their offices or in their locations. Similarly, we are a supplier which is not giving one or two kinds of products, but we are doing sev en different kinds of products.

So, if somebody starts with one, for them the cost of sourcing or cost of livening and working with us is much more efficient, because we are providing this multi -country, multi -product kind of thing. So, that's the kind of strategy that we built it up at that point of time. And we went ahead with all these customers and added some of them to our team.

Maybe in the past, Pe arl was known to them. They have not worked together, but we could bring them up successfully and then continue to grow with them ve

ry successfully in the last 4 years or 5 years.

Bhavya Gandhi: So, what was the timeline to bring them on board? That is what I am trying to under stand?

Pallab Banerjee: So, once a customer is convinced, we do definitely tell the customer, okay, these are the advantages if you work with us. So, then if they have a need, then things can move very quickly in 2 months to 3 months time as well. But if they don't have a need, then the right opportunity has to be wait for at both the sides. So, that might take years sometimes and sometimes more than a year.

Bhavya Gandhi: So, have we added any new customers in last 2 years, 3 years? I am not talking about 4 years , 5 years, 19 -20. I am just talking about last 2 years , 3 years.
Pallab Banerjee: Yes, we have added and some of them are growing significantly with us.
Bhavya Gandhi: Okay, fair enough. And last thing, if I can squeeze in, are we seeing any early signs of consolidation happening in Bangladesh? I am talking about ground level consolidation. I understand philosophically, it may happen that we will see consolidation in years to come. But as of now on ground level, are we seeing any consolidation, early signs of consolidation happening on the vendor front?
Pallab Banerjee: Not after the change of government, but it has been going on for maybe a year or so. But yes, it might accelerate now.
Bhavya Gandhi: So, in the customers that we cater to, is there any consolidation taken place as of now?
Pallab Banerjee: Yes. So, I can give you one example. One of our customers did acquire more brands and become from a financially weak company to a much stronger company at this point of time. So, we are definitely looking forward to g row with them very well.
Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.
Sanjay Gandhi: Thank you very much. In case of any further queries, kindly reach out to us or Strateg ic Growth Advisor o ur Investor Relations Advisor. Thank you very much.
Moderator: On behalf of Pearl Global Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

PGIL/SE/2024-25/76

Date: November 20, 2024

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Sub: Transcript of Conference Call

Dear Sir/Madam,

In continuation to our letter no. PGIL/SE/2024-25/75 dated November 13, 2024, please find enclosed herewith the transcript of the Conference Call held with Investors / Analyst on November 13, 2024, to discuss Company's financial results for the quarter and half year ended September 30, 2024.

You are requested to take the same on your records.

Thanking you,

Yours faithfully,
for Pearl Global Industries Limited

(Shilpa Budhia)
Company Secretary & Compliance Officer
ICSI Mem. No. ACS-23564

“Pearl Global Industries Limited
Q2 & H1 FY '25 Earnings Conference Call ”
November 13, 202 4

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 1 3th November 2024 will prevail.”

MANAGEMENT : MR. PALLAB BANERJEE – MANAGING DIRECTOR –
PEARL GLOBAL INDUSTRIES LIMITED
MR. SANJAY GANDHI – GROUP CHIEF FINANCIAL
OFFICER – PEARL GLOBAL INDUSTRIES LIMITED

Moderator : Ladies and gentlemen, good day and welcome to Pearl Global Industries Ltd Q2 and H1 FY25 Earnings Conference Call. This conference call may contain forward looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of fut ure performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participants' lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Pallab Banerjee, Managing Director of Pearl Global Industries Ltd. Thank you and over to you, sir.
Pallab Banerjee: Thank you and good morning everyone. I welcome you to our Q2 and H1 FY25 Earnings Conference Call. Along with me we have our Group CFO, Mr. Sanjay Gandhi and SG A Investor Relations Advisors. I hope all of you have had a chance to go through the investor presentation uploaded on the Exchange and our company website. I am pleased to announce that our growth momentum persisted in the first half of the fiscal, resulti ng in our highest ever consolidated half - yearly revenue, adj usted EBITDA and profitability.
During the first half of the fiscal, we saw a 21.6% increase in consolidated revenue. Led by the sales growth in Bangladesh, India and Vietnam, due to strong order book and healthy growth in sales volume. We have touched almost INR200 crore s adjusted EBITDA on a consolidated basis in H1 of FY25. Once again, this is a proof that our strategies are working well and a testament to our competitive advantage as a global manufacturer.
Our consistent growth is fueled by capitalizing on our key strengths, a multi -country presence, diverse product categories, in -market design expertise and the strategic customer relationships. This growth has been largely driven by the increased orders fro m existing customers, enhancing our relationships and by expanding the wallet share among customers we have acquired over the past 5 years. Let me share an overview of the industry and our business outlook.
Global retailers are sharing positive outlook on both inventory levels and overall demand trends. The global inventory de -stocking cycle has concluded, leaving retailers with optimized stock positions. In their recent updates, they indicated lower inventor y levels driven by stable demand.
The US retail demonstrated a resilience in 2024, with estimated monthly sales reaching $17.7 billion in September, a 1% increase compared to September of 2023. We anticipate that the purchasing activity will remain healthy and stable throughout the rest of the year. Annually, the US market has been growing 2 %-5% over the last few years and I think this trend will continue through this year.
We may end anywhere between 1 %-3% growth. As of August 2024, year -to-date apparel imports into the US have declined by nearly 4% year -on-year with improvements that we expect

in the second half of the year. Most retail brands were out of the situation of a reduced buying due to overstock situation after the summer season, which was up to the import of month of March of this year.
Most US retail industry leaders held a cautiously optimistic outlook thus far and that is due to majorly because of the election year. With the Trump government coming in with a focused approach towards the US economy at its centre and the MAGA movement, w e anticipate a positive outlook going forward. Moving on to the UK retail situation, this marke

t grew last year
by almost 5% and year -to-date we have seen a trend of 2%.
As of August 2024, year -to-date apparel imports into the UK have decreased by almost 11%. Though improvements are anticipated in the later half of the year, the Christmas sales seem to be gaining momentum this month. We are seeing positive trends from our customers.
The apparel imports into the EU have decreased by approximately 3% year -to-date as of August 2024, whereas for Japan it has decreased by almost 5%. However, we have seen positive traction in both these markets with our wallet shares with our customers grow ing somewhat significantly.
We have received positive response from our Australian retailers as well.
As we continue to improve our market shares with customers across all the above markets, our order book business share with our US -based customers is trending towards 67% and the non - US being at 33%. Non -US customers are from EU, Japan, Australia, UK and C anada in that

order. However, please do note that most of these customers do have stores across the world and thus our numbers for ship -to-country will be somewhat different.
Moving on to the logistics, the Red Sea crisis and elevated logistics costs continue to drive up the transportation expenses for the retailers in the US and UK and some of the other Western countries. However, our costs remain unaffected as all our shipmen ts operate under FOB terms. Our priority is to accelerate delivery timelines as customers expect shipments at least a week earlier to accommodate this particular time which is needed for vessels to reroute around the African continent.
This has been the norm for now. Further challenge in recent months is also the cost of and availability of the containers for our vessels. This has started to ease off. Our manufacturing facility in Guatemala with a transit time of USA just over a week continues to attract increasing interest and inquiries from our customers. However, the overall capacity of Central America and even for us, it remains limited and is only a fraction of what we have in Asia. Now moving on to Bangladesh, Ba ngladesh underwent a period of unrest followed by a change in government and had faced a curfew shutdowns for almost six days of July and the early August.
Since then, our facilities have been running at full capacity. We noticed good opportunities to gain market share as some of the bigger vendors were forced to scale down their operations due to financial irregularities and stricter regulations from the ban ks and the interim government.
We experienced a 97% plus attendance immediately as we restarted after the curfew was lifted.

This further improved as we moved on. Our business in Bangladesh is at all time high. Following the disruptions in July, we achieved our highest shipments volumes ever in August and with zero delays in our deliveries.
Our customers are now confident on our ability to deliver on time from Bangladesh facilities and having a strong backup. We have witnessed good growth coming from customers based in Europe, UK, US and Japan in our Bangladesh factories. We are pleased to sh are that our order book is currently full with strong visibility for the fiscal year and beyond.
We do take pride in highlighting that our ability to navigate the crisis both financially and operationally remained resilient enabling us to achieve our best ever performance from Bangladesh. It is the second largest exporter of apparel just next to China . Through the recent turmoil, it is driving some consolidation within the industry and companies with strong balance sheets like that of Pearl Global are in a position to thrive and capitalize on this trend.
In fact, we are seeing a greater willingness amongst our partners' factories for even greater collaboration. Our European Union and UK customers are ke

en to strategically guide and
support us in this journey. This country still has advantages of lower cost , higher efficiency, productivity, availability of skilled workforce and a well -experienced middle and lower level management staff along with the favorable trade agreements with important markets of EU, UK, Canada, Australia and China.
It continues to improve its logistics infrastructure. This will continue to keep them ahead of the competition from other geographies. Moving to our presence in Vietnam, we have seen strong growth from this country in this quarter and we are confident in maintaining this upward trajectory.
Going forward, we will continue to expand in this geography at a steady pace while providing exceptional service for our high -end customers. Indonesia is set to regain its performance levels after a decline over the past 2 years. Our new factory is now ful ly ready and we have got good response from our existing and new customers. We will continue to ramp up the production lines and output over the next two to three quarters steadily. Again, our endeavor is to service our high-end customers from this geograp hy as well.
Coming to our performance in India, we have witnessed good growth from our Indian operations which grew by 31.4% year -on-year for quarter 2 of this financial year 2025 and 18.3% on year -on-year if looked at for H1 of Financial Year 2025. On the margin fron t in India, we still have opportunities to grow significantly. We added newer capacities in our existing facilities in metros of Gurgaon, Bangalore and Chennai over the last 8 months and are in process of adding newer capacities in the second -tier cities o f Muzaffarpur, Bhubaneswar and in Indore.
As this production lines with diversified product and customers, they are still in a ramp -up phase, thus leading to temporarily higher costs. We expect this to improve in the next few quarters. We already have and we foresee good order book for upcoming sp ring and summer season products in H2 for India. Historically, quarter 2 and quarter 3 have been slower quarters for us due to

limited product offered and we believe that we are on the right path to mitigate and lower this risk going forward.
With above actions, we are confident of improving the margin trajectory from the year 2025 onwards even in India. We do observe an active interest from our customers to have bigger presence in India, especially who feel they are overexposed in Bangladesh. However, they are used to the cost structure of Bangladesh. On a cost comparison, the Tier 2 and Tier 3 cities of India are closer to the cost structure of Dhaka and there is availability of steady workforce. However, we need to quickly ramp up the ecosystem and train this workforce to be efficient and compete with the Bangladesh countries. For now, our customers are confident of our strength across both sides of the border. Let us partner even more. In summary , all our initiatives are progressing well. We will continue to develop our relationships with customers who are strengthening their positions in the global market.
Our focus remains on consistently breaking previous records in revenue, capacity and efficiency, which will directly contribute enhancing our bottom line profits. We are solidly on target with our forecast of top line and bottom line for the year and the s trategic goals of 2028 we have shared with you earlier. Now I will hand over to Sanjay Gandhi, our Group CFO, who will walk you through the Q2 and H1 Financial Year 2025 financials. Sanjay, over to you.
Sanjay Gandhi: Thank you, Pallab. Good morning everybody and welcome to our Earning Calls for Q2 and H1 FY25. I will now take you all through our financial and operational performance. Starting with consolidated financial, we are happy to report that on a consolidated ba sis, the highest eve

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quarterly revenue and half yearly performance in terms of consolidated revenue, adjusted EBITDA and profitability. Revenue increased to INR1,201.9 crores in quarter 2 FY25, a notable increase of 25.1% year -on-year.
For H1 FY25, revenue increased by 21.6% year -on-year to INR2,254.7 crores. The growth in revenue was led by sales growth in Bangladesh, India and Vietnam due to strong order book and healthy growth in sales volume. Adjusted EBITDA for the quarter Q2 FY25 increased to INR98.8 crores, reflecting a growth of 24.4% year -on-year. Adjusted EBITDA margin s tood at 8.2% in quarter 2 FY25.
We are happy to share that we have almost touched INR200 crores consolidated adjusted EBITDA mark in H1 FY25. Adjusted EBITDA increased by 21.6% year -on-year to INR199.2 crores in H1 FY25 with adjusted EBITDA margin at 8.8%. The EBITDA growth year -on-year is in line with the revenue growth. Please note that adjusted EBITDA exclude ESOP expenses of INR2 crores in Q2 FY25 and INR4.2 crores in H1 FY25.
PAT for quarter 2 FY25 increased to INR55.6 crores reflecting a growth of 42.8% year -on-year whereas for H1 FY25 PAT increased by 36.2% year -on-year to INR117.6 crores. If you look at PAT after minority interest this increased by 47.4% year -on-year to INR5 8.5 crores in Q2 FY25. For H1 FY25 PAT after minority interest increased by 41.1% year -on-year to INR123.8 crores. PAT after minority interest margin stood at 4.9% in Q2 FY25 and 5.5% in H1 FY25, witnessing a growth of 80 bps year -on-year in quarter 2 FY25 and H1 FY25, respectively.

Please note that quarter 2 FY25 had an exceptional expense of INR4.2 crores whereas H1 FY20 had an exceptional gain – net exceptional gain of INR1.4 crores. Exceptional items include gain on the sale of non -core assets and QIP expense for H1 FY25. Coming t o standalone financial, for Q2 FY25 revenue increased to INR287.1 crores representing a 31.4% increase year -on-year whereas revenue for H1 FY25 increased by 18.3% year -on-year to INR563.2 crores.
Increase in revenue due to growth in business with existing as well as new customers. Adjusted EBITDA witnessed a decline of 54.7% year -on-year and stood at INR4.2 crores in quarter 2 with adjusted EBITDA margin at 1.5% for the reason which has been outlin ed by Pallab. For H1 FY25 adjusted EBITDA witnessed a decline of 40.7% and stood at INR17.5 crores with EBITDA margin at 3.1%. EBITDA margin as stated is impacted due to lower gross margin on the new style and customer addition during the quarter and year and higher manufacturing costs incurred during H1 with continuation of ramping up of factory in Chennai and one factory in Gurgaon.
PAT for quarter 2 FY25 grew by INR9.7x to INR11.6 crores. For H1 FY25 PAT grew by 115% year-on-year to INR27.5 crores. Please note quarter 2 FY25 has an exceptional expense of INR3.5 crores on account of QIP expense whereas H1 FY25 had an exceptional gain of INR2 crores. Our strong performance at the group level is reflected in our strengthening balance sheet. Cash and bank balance excluding cash earmarked for LC payments stood at INR337 crores as of September 2024. Gross debt stood at INR498 crores. Net de bt to EBITDA stood at INR0.28

times in H1 FY25.
As of September 2024, net working capital debt stood at 37 days. On a steady state basis with growth in the business and the customer base we believe that net working capital days of around 35 to 45 should be a stable state for us going forward. On a capit al expenditure side our capex commitment plan across geography for FY25 is approximately INR125 crores. Total fixed asset capitalized during H1 is INR63 crores across geographies. In India it is largely Chennai factory expansion, building plant and machine ry. In Bangladesh it is washing facility expansion, replacement of plant and machinery.
In Guatemala it is largely in expansi

on, addition of few lines and buying of plant and machinery.
In Bangladesh, as Pallab mentioned earlier, the industry is witnessing consolidation and a growth in order book for vendor -supplier with a stronger operating matrix. For us, we had the best ever performance from Bangladesh region due to the reason which we have highlighted. Looking at the situation, we will evaluate opportunity for Greenfield, capex/ acquisition, respectively.
However, we would wait and watch the stability and situation to normalize further.
Till such time, we will continue to expand via asset -light model i.e., partnership facility to cater to the strong inflow of order from existing as well as new customers. In Bihar, total capex commitment will be in the range of INR30 -INR35 crores in two phases which will be a combination of debt and equity. This will be committed in H2 of this financial year.
As you all are aware, we have a stated dividend policy in place with respect to the same. The company has declared an interim dividend of INR5 per share with dividend distribution amounting to INR22.9 crores which is 19.5% of consolidated profit after tax.

Just to summarize, we have witnessed a strong performance in the first half of the fiscal year. This coupled with a strong and diverse customer base, geographical presence, we are well positioned for a strong performance in the coming years and are on well track to achieve our stated guidance for this year and towards our FY'28 goals.
Thank you. We shall now open the floor for question and answer.
Moderator: The first question is from the line of Palash Kavale from Nuvama Wealth. Please go ahead.
Palash Kavale: Thank you for the opportunity and congratulations on a good set of results. Sir, do you see operating leverage kicking in for the second half of the year? Yes, that is the only question which I have.
Pallab Banerjee: Sanjay, you will take that?
Sanjay Gandhi: Sure. So, we are seeing the volume growth in H1 and we believe that this volume growth and value growth should continue in H2. And yes, by the end of this year, we should see that leverage kicking in.
Palash Kavale: Okay, sir. Thank you. Thank you for your answer. That is it from my side.
Pallab Banerjee: Normally, if I have to add to what Sanjay is saying, definitely the second year is the spring -summer season for the western markets and we are seeing a good traction in terms of our order book. So, naturally, this volume will continue to go up and that wil l give some kind of leverage benefit to us. That is why, like the kind of forecast that we have been saying, we think that we are solidly on track on that.
Palash Kavale: Thank you. Thank you for your answer, sir.
Moderator: The next question is from the line of Pranav Shikhare from Navneet Family Office. Please go ahead.
Pranav Shikhare: So, my question was, what are your capex plans going forward and what is the capacity utilization we could see at all the three facilities, which is in India, Bangladesh and Vietnam and what kind of capacity expansion also we could see at these three facil ities going forward?
Pallab Banerjee: So, I will let Sanjay speak specifically on the capex part. But what we can tell you about in terms of the trend of business that we are seeing in India, definitely, as you just heard from us, that we are seeing quite a significant uptrend. And even in Ban gladesh, I think the utilization would be very high because the kind of order interest that we are seeing from our customers are significantly higher out there.
So, in India, our capacity utilization will improve. Bangladesh, I think most of it will cross and that's where we will be adding some more partner capacity. And Indonesia, as I just mentioned, that it will, the new facility that we have started, that will be ramping up to the full capacity over

the next two to three quarters.

And Vietnam, we are experiencing a steady growth again. So, in all the locations, we will be seeing a better utilization of the capacity that we have published. Of course, in geographies like Bangladesh, we have to expand some of the capacity as well. Sanj ay, over to you for the capex part.

Sanjay Gandhi: Sure. So, as I mentioned earlier that we are looking at a INR125 crores of capex commitment approximately in H2 of this year. And this will happen in Bangladesh and India. We are also looking at an opportunity, some strategic opportunity, which may effectify in the second half of this financial year. So, that may entail addit ional capex of INR20 -INR25 crores rupees.

Pranav Shikhare: So, what is the split between all the capacities for the capex?

Sanjay Gandhi: Sorry, if you could repeat your question, I couldn't hear it.

Pranav Shikhare: What will be the split between all the three capacities, the capex?

Pallab Banerjee: Three geographies you mean? India, Bangladesh and Vietnam. I think that's what the question is.

Pranav Shikhare: what will be the split of the capex? Yes, between all three capacities.

Sanjay Gandhi: Sorry, there is some voice disturbance. So, I could not hear you. Split? Yes. So, the split in terms of, so we are looking at INR35 to INR40 crores in India in H2 and INR70 to INR80 crores in Bangladesh and INR20 to INR25 between Vietnam and Indonesia.

Pranav Shikhare: Okay. So, my second question is, what kind of traction are we seeing from US retailers? Like there is in terms of imports now and what are the inventory levels and what is the update with the de -stocking which has happened? So, has it normalized now?

Pallab Banerjee: Yes, I think US what we are seeing is in terms of the high stock level that we had experienced for the last one year. I think that part is over from the spring -summer buy. That was getting over in this holiday season, which is currently in store, which is getting sold.

So, this holiday ship actually was shipped much earlier. So, if you see like now from spring - summer onwards, the numbers that have been coming in have been quite normal. So, if you even look into the month -wise imports of US, like where January was minus 1 6% of this year, whereas if you look into the recent months, it's hovering at a very low negative percent or like in the positive.

That means like they are buying much, much more. And again, as we are now the shipments will start going for the summer season now and then followed by the fall and holiday, which we think fall and holiday of next year. That means the goods which will be s old in the period of August to December. I think we should be back on track with that normal. So, if I talk in terms of number last year, they had done about INR78.8 billion dollars worth of imports, US. I think this year it will cross that number.

And again, for the next year, the number would start growing up. So, from that point of view, I think this economy, if you're talking about with the election over now and we have a clear

majority, I think that was one thing that was disturbing everybody, whether there will be a clear majority or there will be chaos. So, I think with that thing now behind us, I think we should be looking into a good growth in the US market. There are certai n policies which are being debated and all, but I think still overall the consumer sentiments and all things could improve.

Pranav Shikhare: And also, sir, what are the top five clients contributing to the total revenues currently?

Pallab Banerjee: So, if we look at our top five customers at this point of time, top five or six, I think the number is quite significant. We are closing to almost about 67% plus, 68%, 69% in that range is com

ing
from the top five customers. And I think these are the custo mers who are also in regular conversation with us in terms of their strategy over the next two to three years. So, I think we are in a very comfortable position from that point of view and getting that visibility from these guys.

Pranav Shikhare: Also, sir, you mentioned that we will only focus on value -added products, which will increase the realization for us.

Pallab Banerjee: So, you see, we are operating across seven countries. We are also, in our mix, if you look at it, we have all sections of the market. So, we are supplying to premium customers or the premium brands. And then we are also supplying the bigger kind of stores or the big box retailers. And we are also supplying to the discounters, if you talk of US market.

Similarly, for other markets also, we have always targeted all the three segments. I think by focusing on the three segments and having a separate strategy for all the segments, it does mitigate the risk of the economic downturn or upturn. So, that's somet hing I think we are stably on that path. And we are not looking to change that.

But, yes, if you are talking specifically of value items or the premium segments, we do quite a lot. And that's significantly growing both across our Vietnam and Indonesia. And the demand is going up at this point of time. And also, we are servicing that k ind of clients from Guatemala as well.

India and Bangladesh, we have a section linked to this kind of premium customers. And also, we have a larger section in these two countries, which is catering to the other two sections of the market. That is your mass market retailer as well as the discoun ters. So, that's something that we have been following. I hope that answers your question.

Pranav Shikhare: Yes, one last question. Can you also give a break up of what is the average selling price for our product in India and in Bangladesh and Vietnam and Indonesia etc?

Pallab Banerjee: So, we have so far been talking about an overall average price. I think we have given you a forecast of 2028. So, we calculated on an annual average of our realization price that was done in the last year.

So, from there onwards, what we are seeing is that as the market improves and the premium segment is definitely going up, then there will be a minor change in the overall business of this unit value realization that you are talking about. But depending on the kind of customers and

what is the split across all these geographies, we have not been publishing so far. So, Sanjay, do we give some kind of visibility in terms of individual market -wise FOB's?

Sanjay Gandhi: See, we have been mentioning about that our average realization should be around INR600 rupees and that is where our strategic plan has been built up. This will of course have a range where in a market like Vietnam and Indonesia, our FOB price can go anywh ere between the range of $20 to $25. And the rest, Bangladesh and India of course will be on the lower side. On an average blended basis, we will be looking at $7 dollars, $7.1 dollars. That is how the blended average is. We have been discus sing largely.

Pranav Shikhare: Thank you, sir.

Sanjay Gandhi: Thank you.

Moderator: The next question is from the line of Pulkit Singhal from Dalmas Capital Management. Please, go ahead.

Pulkit Singhal: Thanks for the opportunity and congrats to Pallab and team for a good performance. My first question is on Bangladesh itself. So, the revival that you have seen and the kind of operations that you are running in Bangladesh, is it reflective of the local i ndustry experience or is there something different that Pearl might have been benefiting versus other players in Bangladesh?

Pallab Banerjee: So, if you speak about Bangladesh, Bangladesh is a very big market and there were many

major players out there. What we have seen in these last few months is that certain big players have definitely started scaling down their operations as they are getting investigated for financial irregularities in terms of their leverage, in terms of their loans and all. So, I don't know, that could be politically motivated or they had the support of the earlier political regime that was there in Banglad esh.

So, whatever is the reason for that, as a result, what we are seeing is a certain kind of consolidation or shift that is happening in Bangladesh. It's not that only Pe arl is gaining, but there are many other players in Bangladesh who are definitely gaining a lot of traction at this point of time.

We are also seeing the players, the external players like the Chinese and the Koreans and the Taiwanese are also moving into that market and acquiring business facilities out there. So, yes, it's an interesting change that is going through in Bangladesh at this point of time. If you ask me, overall exports may fluctuate a little bit, may not grow as aggressively as it was growing earlier, but it's not going to go aggressively also. You will not see a very big difference in terms of the total volume in terms of Bangladesh.

If you see this particular year, they have been gaining market shares in the US steadily. Europe overall has been going relatively slow compared to the last year. So, that’s definitely is being compensated by the US business that has been steadily growing in Bangladesh.

So, overall, I think the market will continue to make a major change. But yes, the players might change. Some of the players have gone out of business or is going really, really from a big player

to becoming a mid -size or a smaller player. So, that kind of internal change and consolidation is definitely happening in Bangladesh.

Pulkit Singhal: That is an interesting change. Right. So, when existing big players...I mean, if there's a change of hands between those running operations and you've been in Bangladesh for a long time, isn't...

I mean, rather than Chinese and Koreans acquiring capacities there, shouldn't it be our strategy to go... to acquire capacities there and capitalize on this opportunity?

Pallab Banerjee: Yes, that definitely is on the card. So, definitely, we are continuously evaluating the situation. So, whether to acquire some kind of business or to go for Greenfield to grow, have some kind of growth. Yes, what we have been talking about, you have been w ith us for some time. As you have seen, we have the growth that we forecast, 15% -20%. So, that much of additional capacity or partnership capacity is always we have. So, what we are witnessing now is that that capacity is getting completel y full.

And the demand is even more. So, it's a good time to invest. So, we are evaluating it. There were a little bit of the turmoil or unrest that we all have been reading in the newspapers. And also, I think now we are seeing much more steadiness, both in terms of government and in terms of the business environment in Bangladesh. So, we'll continue to watch that.

In terms of acquisition, you know, the complexity is that always there is a history. Like, what kind of finance they had taken, which bank, how much was clean or how much was not a political investment and also to know that. So, that's something is a littl e bit more complex, I would say. So, we are evaluating both.

We had some opportunities of acquisition earlier, which we held back due to this unrest. But at the same time, some Greenfield opportunities are coming up, which we are evaluating very, very seriously. And we will, in fact, take some steps within the next period, as just mentioned by Sanjay.

Pulkit Singhal: Understood. Secondly, I mean, being a… I mean, having presence in India and Indonesia, is there…I mean, since you men

tioned that some of those players are looking to diversify, are you getting some benefit of being that player who can offer them Bangladesh or India, whichever they choose and basis whatever situation arises in the future? Are you able to capitalize on that as a player? Right now…

Pallab Banerjee: Yes. I mentioned that. I see what's happening is that we have a significant kind of capacity both side of the border. if you talk of India and Bangladesh. And the difference is that, we are… Factories were in the metro cities at this point of time, where t he cost difference still is significant. But if I go to these tier two cities and tier three cities, like, especially in the eastern zone, like Bihar and Odisha, something is a focus at this point of time. And that also gives a lot of comf ort.

The people who had a little bit of overexposure, for example, the Australian market, which had a trade benefit earlier with Bangladesh, and there was a huge exposure of Australian customers in Bangladesh. We see some kind of diversification for them. And i f I can offer capacities both

in Bangladesh and India, that's definitely very attractive for them. Same thing what we are seeing in the European market.

So, people who doesn't want the time to take that financial hit by giving higher price in India or in Vietnam or other countries, but who have a backing from us that, okay, yes, if there is any problem, we can always ship the business to India with the sam e fabrics immediately can be sourced and can be shifted. So, those kind of benefits is giving a lot of confidence to these players. There are a few categories like bottoms and which have been really the strength of Bangladesh.

And it's so that's something some of our US customers also have said that, okay, if you they are asking us to diversify the product in India and build up the capability for those products as well. So, which we are looking at and building up those kind of c apabilities in our factories as well. Same is the case that we are finding from our Japanese customer.

So, what they are finding is that the advantage that the Japanese brands have, especially in China and also China and Bangladesh still have a link to China, India. So, that's something also being capitalized by keeping the same program, let's say, going to the other markets from India, but for China, it goes out of Bangladesh. So, those kind of leverage is definitely playing in our advantage at this point of time quite well.

And that has been the strategy that has been our footprint of our strategy and our company in the last five years as we have been talking repeatedly about it. So, we are seeing that benefit. Thank you. Thank you for highlighting it. Yes, definitely it is w orking in our favor at this point of time.

Pulkit Singhal: Yes, just lastly, on the tier two cities, I mean, given your current experience, are you able to clearly see that these can be big centers for manufacturing in the future or you still need certain amount of experience there to be able to call it out?

Pallab Banerjee: Yes, whether it will become, Bihar will become a Karnataka overnight? No, it may not because Karnataka has been having this industry for a very long period of time. But if you look at the

workforce, especially in Bangalore or in Chennai or in Gurgaon, you will find a significant amount - a significant portion of it is coming from Bihar. So, our experience so far in Muzaffarpur has been quite good. So, we are just starting at this point of time. And the kind of interest that we are seeing fr om the workforce is encouraging. And we do plan to shift operation out.
Similarly, from Orissa also, we find a lot of workforce which has come into and our Chennai plants. Again, like we are in Orissa, we are finding the workforce to be quite stable. But yes, both these places, what we find is

that the new population that is c oming into the work stream,
we need to train them up. The old people who have been already in the industry and have worked in Bangalore or in Gurgaon and all, certain things metro gives is definitely more overtime. Because when these workers come to these centres, they tend to find out all opportunities to earn more, which is a good and a bad practice, I would say.

So, as we go into these tier 2 cities and tier 3 cities, we would like to make the industry much more disciplined, rather than this overtime culture or this only working for money kind of culture. That is something that has to happen, I would say. That discipline of working without, I would say, uninformed absenteeism and other things. We need to discipline them and train them up for a higher productivity culture that we have already in Ban gladesh.
So, these are some of the things that we are working on as of now. So far, experience has been good, both in Orissa and Bihar. Whether it can be scaled up immediately, but it cannot be. It might take a few years to get to that level of Karnataka or Gurgaon or Tamil Nadu specifically. But then, I think we are on the right path. I am not meaning Pearl Global only, but as a country, I think we are on the right path.
Pulkit Singhal: Got it. Thank you and all the best.
Pallab Banerjee: Thank you.
Moderator: The next question is from the line -up. Srinjana Mittal from RatnaTraya. Please go ahead.
Srinjana Mittal: Hi. Thank you for the opportunity and congrats on the good execution. A couple of questions. One is on the India business. You mentioned that the gross margins were a little bit on the lower side because we added new customers. So, I just wanted to underst and. Is that the newer customers that we have added, the nature of the customers and orders are a little bit lower realizationally and lower margins? Or is it just because currently it's in our trial phase? Yes.
Pallab Banerjee: It's a combination of both to a certain extent. As you see, we are growing - we have intended to grow in this tier 2 and tier 3 cities where we are starting our operations. So, that operation is not fully established as of yet. It's just starting. And we h ad or we have opportunities at this point of time from certain customers who are migrating a part of the business, let's say from Bangladesh and all and needs that very price -sensitive customers I'm talking about.
So, those kinds of customers can be developed in this tier 2, tier 3 cities. So, as this particular quarters are normally been low quarters, so we didn't restrict ourselves from booking the business and executing it, getting the teams ready both in the tie r 2 cities and some of these quantities were also executed from our metro cities factories as well. That's hitting that margin. But I think this is more of that ramp -up period what we'll see which both in terms of getting a new customer, understanding their requirement and executing it and then executing it to match them to the right factory where the cost could be low. So, both th ese are under the process at this point of time. So, that's the reason for which we said that maybe like what you can see there's a separation of the margin because of these facts. But as we make it much more well -oiled and much more experienced at this po int of time with the movement of time, the next couple of quarters, you'll see a significant advantage.
Srinjana Mittal: Understood. That’s right.
Pallab Banerjee: I hope that answers the question now.

Srinjana Mittal: Yes, it does. My second question is, it might be a little bit naive question, but I wanted to understand the seasonality of our business. Like you mentioned for India business, the Q1 and Q2 are slower quarters. Likew

ise, for other regions like Vietnam, Bangl adesh, which quarters
are bigger and which are relatively slower quarters? If you can just get some color on that.
Pallab Banerjee: Yes. See, India typically, Pearl has been making a lot of woven tops and blouses, the fashion

segment. So, that was very much focused on the spring -summer. So, naturally, for fall and holiday seasons for the western markets, this business, these numbers used to be down. Comparatively, it was lower. That's the reason for which we have been focusing on markets like Australia and all, which could come late.

But not to the extent that, the size of US market versus size of Australian market, you can understand. It's a big difference. So, those are the challenges that we had in India. So, of what we talked about today, as we see this opportunity of both tier 2 a s well as the new categories. So, we are diversifying our product. So, we are growing our capacity in the knits area as well as in the bottoms area.

Pearl was not manufacturing in India to a great extent, which was more, I would say these knits and wovens were more in Bangladesh with the denims. Typically, what we do in the outerwear, we have been focusing the synthetic outerwear. Majority of it was co ming from Vietnam and Indonesia. Now, the seasonality we were talking about, so definitely for the western markets and the northern hemisphere market, the outerwear seasons is more towards the Q1 and Q2. That's where, like, the maximum shipping, shipment a ctually produced and shipped. Q2 is, I would say, would be the maximum shipment, but even Q1 gets a lot of shipment.

Whereas, for the top, it would be more of Q3 and Q4. So, that's how the seasonality matters. But if you see at Pearl, we have been talking in terms of seven different product categories as verticals, in which we would design, we would see the market, we ha ve identified the customers, and we are marketing that product. So, that ups and downs of the seasonality, like, we would try to cover up. I think we have made good progress in that direction. And that's something, as you can see, the difference between th e seasons would continue to be lesser and lesser.

Srinjana Mittal: Right. Thank you. That's very clear. Just one last question. So, on the tax rate, you have mentioned some detail on the presentation, that also helps. But just one clarification. So, our India business, the effective tax rate is around 20 -odd percent, like , adjusting for the dividend income, which comes from the subsidy. And, like, for the subsidies, the entities that are outside, what would be the tax rate there?

Sanjay Gandhi: So, every geography entity has a different tax rate applicability. In Hong Kong, there are two entities, onshore and offshore, as a structure where it is 16.5%. And then, in one entity, it is – there is no corporate tax – profit tax there. In Vietnam, it i s 10%. In Bangladesh, it's come effectively anywhere between 15% to 18%. Indonesia is 22%.

So, that's how the tax structure is, if they are across geographies. So, our blended tax rate, you know, on normal basis, we say that, take around 13% to 15%. Now, it will vary quarter to quarter, depending upon which origin is making the highest shipment , which geography is making the

highest shipment, and which geography is making what kind of a style, as a fun combination of that. So, on a blended basis, we say, you can presume around – somewhere around 15% for us to be effective rate.

Srinjana Mittal: Right. Makes sense. And India would be around 20%, 25%.

Sanjay Gandhi: India rate is 25.15%. This quarter, particularly, because there is some -- when you look at a book profit and the tax profit, there's certain calculation which has to be done. So, on the book space of it, it is coming around 22%, yes.

Srinjana Mittal: Thank you so much for taking my que

stions and all the best.

Sanjay Gandhi: Thank you.

Moderator: The next question is from the line of Mohnish Ghodke from HDFC Mutual Fund. Please go ahead.

Mohnish Ghodke: Hello, sir. Thank you for the opportunity. So, this 33% volume growth which we have in H1 of this year as compared to last year, has this been broadly similar for our factory locations, particularly Bangladesh, or is it higher for some geographies?

Sanjay Gandhi: It is largely for Bangladesh – the higher for Bangladesh and then accordingly slightly lower than Bangladesh for other geographies.

Mohnish Ghodke: Okay. And so, what is driving this growth? I mean, if we see the volume growth is outpacing the revenue growth now. So, is it – so, first of all, the 33% volume growth, what were the key drivers? Is it like new category, new customers? And at the same time , what is the reason for lower realization as compared to last year?

Pallab Banerjee: Yes. So, see, like, you know, in terms of the customers, like, as I said, like, across the seven categories, we have things like outerwear, which is at a higher FOBs. And if you talk of the knits, which is being supplied to the big box retailers or the major mass retailers, that will be at the lowest price range.

So, the average would be because of that. So, season -to-season, maybe, like, you might see a little bit of a fluctuation when we see that average across all the categories and all the locations,

but we are not seeing a significant trend in that.
Mohnish Ghodke: Okay. So, as outerwear, what would be the growth in outerwear category as compared to last year?
Pallab Banerjee: So, we are seeing, general traction from our customers, the wallet shares. Like, what we do is that for every customer, we track whether it's an up trending customer. First of all, are they doing good in the market? Will they be existing in five to 10 years' time profitably or not? And if we find that a customer is going on the right path and will be very or getting stronger every year, so we try to invest mo re with that particular customer. We try to deepen our relationship and grow our ma rket share with that kind of customers.

So far, the kind of mix that we have in the top five, all of them are doing quite well in the market. And if I look at the top 20 to top 25 customers that we have been focusing upon across all our geographies, we don't see any risky customer at this point of time. So, that's why one of the policies that we also have been talking about is that all our customers are properly, like, you know, risk mitigated.
So, either we have some kind of factoring or some kind of insurance against each one of them, and that gives me the measure. Now, in terms of whether each having a particular, price points or particular product, we try to get maximum wallet share of each o f these customers if they're doing well across all the seven categories of product. So, that's been our strategy so far. So, when you're asking, just like, keeping this in mind, can you just narrow down your question exactly what you want to know from us?
Mohnish Ghodke: No, I was saying, I mean, the 33% volume growth, I mean, what were the key drivers for it? I mean, is it, like, a particular category, like, outerwear, or is it a new customer which we added? So, just wanted to understand some, you know, granular details.
Pallab Banerjee: So, we are growing. In fact, if you see, most of these customers across all the geographies have been very positive need tracking with us, and we are experiencing growth in most of them. There are a few customers, like, which used to be in my top five, lik e, Macy's and all, who have not been doing so well in the market. So, definitely, we have decreased our exposure as well as the business, but, yes, we are just keeping a watch and maintaining the relationship. So, that con

tinues.
In terms of growth in a particular category, I think what we have seen is that Wovens have been tracking quite well in the last few quarters, and so we think that there could be an opportunity that Knits might come back, but that's depending on the custome r's end as well, like, what goods they are selling and what they are buying more and more.
Certain categories that we have not been doing, let's say, in India, like, bottoms category, we have grown significantly, which would give a slightly higher FOB value. We have grown the sleepwear category quite significantly, so that's not a high FOB value compared to an outerwear or a bottoms, but, otherwise, it's a very steady business, because sleepwear is always needed across the year.
Similarly, Knits, so, if any particular region is getting a little bit more orders, then you'll see a little bit of dip in the FOB’s if I'm doing it with the mass retailers, but at the same time, we have got customers at the higher end, like, Chico's or PVH , Tommy Hilfiger's and all, so their Knits prices are also significantly good.
So, yes, we are not tracking exactly, like, which particular category is going up or down season by season, but, yes, we have a strategy for each of our categories over a longer period of time, and that helps us to gain the wallet share of each of the cust omers. So, I'm sorry, like, I may not be exactly specifically able to reply to your question about which particular category has tracked up in this particular season, but we can come back to you and give some more details on that.

Mohnish Ghodke: No, no, sir, this gave a detailed idea as to where we are standing. Sir, one bookkeeping question. So, in our quarterly P&L, so there is purchase of stock in trade of INR138 crores, so does it mean, is it, like, our purchase from our partner factories?
Sanjay Gandhi: Hello, it's not, yes, it is inclusive of that. Yes, So, yes, the partnership factory is included in this also. The job work, what we do is definitely a part of it.
Mohnish Ghodke: Okay, Thank you, sir.
Sanjay Gandhi: Thank you.
Moderator: The next question is from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking

Limited. Please go ahead.
Bhavya Gandhi: Yes, hi, thanks for the opportunity. Couple of questions from my end. So, first thing on the subsidiary structure, because we have couple of step -down subsidiaries, so is it not possible to consolidate it and maybe have a region subsidiary altogether so that it becomes a simple structure altogether on the corporate front? Any thoughts on this?
Sanjay Gandhi: So, the structurally, if you look at it, every entity is catering to certain geography or certain customer. Specifically, if you look at Vietnam entity or Bangladesh entity, there are certain tax benefit which are available for setting up the manufacturing unit there. And therefore, they become, the entity has to be incorporated in those particular geographies there.
Within Hong Kong, there are there are three entities which are onshore entity and the three entity which are offshore entity. Now, offshore entities are largely driven from the requirement coming from consolidated supplier from a retailer. That's the one.
Secondly, the other subsidiary which we have in Hong Kong was largely to consolidate the procurement from, let's say, China or elsewhere else and catering to the needs of, need for Bangladesh and Vietnam. So, there is a specific purpose for which this enti ty got created so that the value can be captured there.
Now, when we have all these consolidated entry entities in Hong Kong, our banking limit also take cognizance of all this requirement and hence the bankers are comfortable in terms of looking at overall position rather than looking at it on a piece basis. And they also want to have a specific the limits which is

attributable to the specific segment which we are operating.
If you go to further down, Dubai, it's a different geography altogether. We got to have a separate legal entity there and in Dubai also there is a free trade zone where you have to incorporate the entity if you want to avail certain tax benefit which are g iven by the country as per the rules and regulation of that law of the country.
So, I mean, what I am saying is that, you know, in terms of the structuring which has happened is largely to really keeping in mind the requirement which is there from our retailer buyer perspective, keeping in mind the requirement from the banking limit c onsolidation and also to

really see the optimise the our tax incident so that the maximum valuation can be there for the shareholder.
Bhavya Gandhi: Got it, sir. And with respect to INR125 crores capex commitment that you said for H2, can you just provide what is the asset turnover because historically we have been telling that our decision would be based on ROC. So, I am looking at for region wise ROC and asset turn for the further capex.
Sanjay Gandhi: So, I mean, when we look at a net fixed asset basis, the fixed asset turnover we like to target around 3.5 to 4 is what is our direction and in terms of the return on capital employed we are looking at, , threshold of 18% to 20% as the factory, as the cape x gets stabilized. These are the threshold level for us to really look at an opportunity and for any brown field expansion or even for the green field for that matter. In the interim there can be a situation where the ROCE may be suppressed but eventually, with all the plans - the strategy plan, this is what the direction we are really looking at.
Bhavya Gandhi: Okay. And also in the consolidated capacity utilization, what is the consolidated capacity utilization for the current quarter because we said that our order books are already full. So, just wanted to understand.
Sanjay Gandhi: So, the H1, when we look at H1, the shipment number of pieces which has been shipped, we are looking at a blended utilization around 80% and then as we highlighted in our earlier commentary that there are opportunity for getting partnership factory associa ted with us because of the consolidation or the wallet share getting shifted within Bangladesh with the manufacturing facility. That is another one which is will also enhance our capacity without incurring immediate capex. However, we do hav e a plan of committing the capex in H2 of this financial year where the capacity will be added in India and Bangladesh.
Bhavya Gandhi: Sir, for the quarter, for the current quarter, if you can throw, how much is the blended capacity utilization and where can it peak out along with partnership factory that we are planning for?
Sanjay Gandhi: See The capacity utilization on a quarterly become little bit, we will not be able to track it and we will not be able to make a meaningful conclusion out of it. What happens is that every style is a different, every style will have a different minutes which is re quired to produce that. If, you know, if the product style changes, the number of pieces which can be produced from the same factories also changes.
So, that is why I mentioned the H1, we are looking at a blended capacity utilization as for H1 of this financial year around 80%. I think we have a sufficient space even the order book is full.
We should be able to, meet and grow for the rest of the year without falling on the capacities -

without facing any capacity constraint for the rest of the year as well.
Bhavya Gandhi: Okay. What would be the order book number if you can throw some light on it and when can it be, what is the timeline to fulfill that order book? Is it like three four months or you can throw some light on that as well?
Sanjay Gandhi: Generally, we do

not… Yes, Pallab , go ahead.

Pallab Banerjee: Yes, I can give a general answer Sanjay on that because, see, in our industry, the orders, most of the orders are booked with about, for the next three to four months. Of course, like when we are talking about category wise, certain categories like bottoms or the outerwear where the lead times are generally slightly longer. So, that goes up to about five to six months or seven months also in some cases.
So, that's where the kind of booking that we get. But at the same time, the advantage that we can provide to our customers is a faster timeline. So, we have certain customers like Inditex Group, these are the ones of the world.
So, they try to decrease it to even lesser. So, they try to work with about, you know, 60 days or 70 days kind of turnaround time as well. So, depending on which customers, like our best customers that we would see is like the Japanese customers or certain other workwear customers that we have.
So, those are the ones like who give a longer lead time. And the fashion customers, like specifically they talked about Zara or Mango and all, they give the least of the turnovers. So, if I have to talk on an average, I would say about four months, three t o four months is an average that we see as an industry.
Bhavya Gandhi: Got it. And can you throw some light on the absolute order book number, if that's possible?
Pallab Banerjee: So, this particular year, like we had told that we will be increasing our top line. And we have been talking about CAGR of at least about 12% -14%. But then, if you talk of the current order book, I think it's higher than that compared to last year. So, thi s year would be a better year compared to 12-14% I already saw that in India, we have talked about 31% growth in this particular quarter.
Overall, you are seeing the 21.6% growth that we have seen in terms of shift quantity. Now, in our industry, what happens is there will be a lot of WIP also is there. So, that means either goods which are partly manufactured and partly yet to be manufactur ed. And there are goods which have been manufactured but not yet accounted for in terms of sales, which we call it as in transit or let's say handed over but not yet shipped.
So, those kind of all these numbers. So, if you look at annual level, that's why Sanjay was saying that tracking it at a quarter by quarter level would be a little difficult. So, we talk about only the total revenue. That means what the sales that we can t alk about in our books. So, that number you are seeing this growth. I think overall, this particular year, we will be definitely moving to a much healthy number. Sanjay, any forecast that we can give in these calls?
Sanjay Gandhi: So, Pallab , as a practice, we don't go quarter on quarter order booking. We look at full year. And as you rightly mentioned that we have given a guidance of 12% to 14% growth in the next three - year time period. Some year will show a higher growth than 12% to 14%. Co mpounded annual is what we are looking at to grow with that business. And our capacity is getting built up in line with that. This is how we look at these numbers.

Bhavya Gandhi: And if you can just throw some light on the capex for FY'26, because INR 125 crores you mentioned for the second half. But if you can throw some light for the future capacities for FY'26?
Sanjay Gandhi: So, FY'26, so we keep looking at opportunities. You know, there are two, three process which happens along with that. You know, while we are looking for a capex, there is a customer expansion. There is a wallet share expansion. There is a product design, s ampling, marketing.
And then basis that you keep on adding the capacity, right?
At least some traction has to be there. In any

case, if you look at our three -year plan which we have shared and which we keep working internally on a rolling basis, there is a plan which we say that as the market develops up, FY'26 will be the year where the balance of the capex which we plan to do towards FY'28 should get committed.

Bhavya Gandhi: Okay. Let me just ask you in another way, what would be the customer addition for the quarter? I believe because we add the customers first and then we add the capacities. That's the right thinking or it's the other way around?
Pallab Banerjee: So, what we do in that, in this particular one is we have our pipeline of customers, new customers and the existing customers, what kind of wallet share that we would be gaining from them or year-on-year. So, that's a due diligence we continue to do on a d aily basis, I would say. So, on that, if you look at it, the traction is happening and we have certain new customers which we have acquired this particular year whose business will also significantly grow over the next two years or next th ree years.
And the ones that we have been working in the last five years, we can forecast what kind of growth that would be there. So, when we talked about this 2028 forecast, this is a number that we have calculated and this is a number that we have forecasted which has been in detail, it has been worked out.
So, both your questions in terms of getting the customers and then getting the capacity. So, capacity we told very specifically to get to that number of 2028, we would be adding equivalent to 10 factories of 1000 machines each, which would be approximately around INR500 crores of total investment. So, as you can see, most of it has already been - a significant amount has been done already or being committed within this next quarter or so. And similar, I think, would be the numbers for the next 2025 -2026 als o, you will see.
Bhavya Gandhi: Okay. So, this last thing would be US tariff and Japan FTA, if you can throw some light on that because are we seeing any increased traction from Chinese markets to any of our regions because the US is about to put in tariffs on China, that is the broad na rrative out there. So, are we seeing any increased traction from our customers who are already wanting to shift or is it just a hoax?
Pallab Banerjee: That's a very deep question, long answer. I can try to answer it as much as I know. The new president was talking about 60% additional duty.
Bhavya Gandhi: You are not audible.

Pallab Banerjee: Hello?
Bhavya Gandhi: Yes, yes, yes, you are audible now.
Pallab Banerjee: Sorry, I don't know. Let me just repeat. So, the 60% duty that I was talking about, that Trump has spoken about may not be legally possible, but there will be a significant jump, I think, and the team that he is talking about that we are hearing in the new s today, definitely I think this is the direction that this team, the new government will follow.
So, whatever it is, most of the big retailers have significantly moved away from China. What has happened is that that particular hole that got created in terms of the capacity that China had for US market is getting filled in two different manner. One, th e Xi'an and the Timor and all that, the way they were doing direct shipping to the customer. So, I think, again, for that, they are going to come back with a law which will, direct to customer, will be definitely affected. The de minimis rule will definite ly be revised very soon.
And the second part that was happening from China is the importer business. So, there were people like who are the Chinese big players, they were importing the goods and stocking in US and then supplying to the big box retailers. And while importing into t he U.S., they were definitely manipulating the prices. As a result, that you see that the average import cost of

an
item had gone significantly down.
So, as US is way lower than even a Venezuela import that comes compared to like what is coming from China. So, those are the things I think is known to all of us, but there was not much action that had happened in this last one, one and a half year. So, wh ich I think we will see some good movement, maybe like within the next few months.
So, that means opportunity will be opened up for migrating further business from China, the importer kind of business. And also, it will put a little bit of pressure in terms of the cost, even after the manipulating the cost that some of these players have been doing. So, these two both are positive results.
So, both this should give some benefits to real benefit to the China plus one and countries like India should benefit along with Bangladesh and Vietnam and Indonesia. So, that's something definitely on the card. It looks like. So, specifically, sorry, like , you had a second part to your question or this is exactly what answers your question.
Bhavya Gandhi: If one were to export directly from China, let's take a INR500 gold realization, FOB price, 500 INR, I'm talking and one were to export from Bangladesh, assuming everything is constant, what would be the landed cost after applying duties? One exporting fro m Bangladesh, one exporting from China?
Pallab Banerjee: Yes, as of now, let's say as typical cotton product would land about 25% to 26% is the cost of

transportation and duty, duty about 17% and then transportation, another transportation insurance and everything, another 10%. So, so that particular cost like Chin a is at this point of time paying a penalty of another 10%. So, as they import from China, the difference is about 10%.

Now, Trump has been talking about increasing that to maybe a 60%. So, I don't know like what will happen may not be 60%, but some other percentage might happen. At the same time, Trump also spoke about that any other country from where the goods are gettin g imported, including like Bangladesh, Cambodia, Vietnam and all this, he's talking about additional 10% to 20% of duty.

Again, whether it will happen or not, we don't know. But significantly in his talks, he didn't mention India or the India name was little less prominent in terms of this penalization. So, let's see like what happens. These are things that are completely gr ay, I would say.

One thing, if I look at the team that he's talking about, definitely there will be impact on China to a certain extent. Now, how the this INR500 goods that you example that you spoke about, how the importers used to do is that they didn't declare it as INR 500.

So, they would declare it as, let's say, INR200 or INR300 and pay a lesser amount of duty, which a big retailer who is taking an FOB shipment from India or Bangladesh or Vietnam would never do it. But an importer, China's proxy importer, maybe in US would have done that. So, definitely there was a little bit of tug of war was going on.

So, US were continuously blacklisting some of these companies, but it still continues. So, that's where the game was getting played. If this additional duty comes, even that manipulation activity also will slow down. That's what I assume.

Bhavya Gandhi: Got it, sir.

Pallab Banerjee: Did that make sense?

Bhavya Gandhi: Yes, perfect.

Moderator: Sorry to interrupt you, Bhavya, due to time constraint. We'll take this as the last question.

Bhavya Gandhi: Just last, second part on the Japanese FTA, because I think that's a great opportunity for us. If you can throw light between India and Japan FTA, what is the FTA agreement between Japan and Japan?

Pallab Banerjee: India and Japan FTA has been existing. Yes. So, it has been existing for some time. But Japanese customers are very process oriented, very different kind of process. The processes a

re very different compared to how a US market would operate. The Japanese people are Japanese and Koreans and all. So , within the community, the trust is very high. So, outside the community, it takes time to build up that trust level.

And second is the quality. So, they don't… See, most of the other US retailers, they have a statistical method of doing the quality inspection and taking the goods, which they call it as AQL. So, that thing doesn't apply for Japan. So, they go, most of the customers like Muji or, you know, Uniqlo and all, they believe in zero defect kind of policy. So, we have a significant business with Muji, where they talk of almost zero defect. That means 180 defects are allowed for a million garments.

So, that particular practice for Indian exporters have not been so successful. Somehow, we have been working with them for more than five years now, and we are seeing a significant growth. As one after the other, our factories are getting trained in that w ay of operations of Japan.

So, we believe that we will continue to grow in the Japanese market. So far we have been focused on only one customer, and it's almost a significant amount of our business, almost like 7% to 8% of our total turnover is trending towards this market and this customer. So, in general, for India, it has been a struggle. For us at Pearl, like, it has been one of our focus areas. So, we are seeing a good success. After India, we have started with Bangladesh, and we're talking of starting in Indonesia and other pl aces as well. So, yes, there is definitely a good opportunity.

Australia is another, just one small extension to your answer. Australia is the other country, like, where the FTA happened. So, earlier, Bangladesh had that advantage, but now India is also on equal footing. So, we are seeing clearly an interest from Aust ralia as well. The UK FTA has been more like a mirage. It has been like, you know, both at government level, politics, ministry level, and all.

We have been hearing about it, but we don't know when and how it will get done. So, yes, these

are the three major ones. The other treaties that we have at this point of time with Kuwait and
other markets are very insignificant. So, we don't see much of tr action there.
Moderator: Thank you. Ladies and gentlemen, we'll take this as the last question. I now hand the conference over to the management for closing comments.
Sanjay Gandhi: Thank you. In case of any further queries, kindly reach out to us or Strategic Growth Advisor our Investor Relations Advisor. Thank you.
Moderator: On behalf of Pearl Global Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2025

PGIL/SE/2024 -25/99

Date: February 18, 202 5

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Sub: Transcript of Conference Call
Dear Sir/Madam,
In continuation of our letter no. PGIL/SE/2024 -25/95 dated February 12, 202 5, please find enclosed herewith the transcript of the Conference Call held with Investors / Analyst on February 12, 202 5, to discuss the Company’s financial results for the quarter and nine months ended December 31, 2024.

You are requested to take the same on your records.

Thanking you,

Yours faithfully,
for Pearl Global Industries Limited

(Shilpa Saraf)
Company Secretary & Compliance Officer
ICSI Mem. No. ACS -23564

“Pearl Global Industries Limited Q3 FY25 Earnings Conference Call”

February 12, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 12th February 2025 will prevail.”

MANAGEMENT : MR. PALLAB BANERJEE – MANAGING DIRECTOR ,

PEARL GLOBAL INDUSTRIES LIMITED
MR. SANJAY GANDHI – GROUP CFO, PEARL GLOBAL
INDUSTRIES LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Q3 and 9-month s FY25 Earnings Conference Call of Pearl Global Industries Limited.

This conference may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call . These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Palla b Banerjee - the Managing Director of Pearl Global Industries Limited. Thank you a nd over to you, sir.

Pallab Ban erjee : I will start from the beginning. Good afternoon. I welcome you to our Q3 a nd the 9-month Financial Year '25 Earnings Conference Call.

Along with me, we have our Group CFO – Mr. Sanjay Gandhi and the Strategic Growth Advisors, our Investor Relations Advisors. I hope all of you have had a chance to go th rough the results and investor presentation uploaded on the exchange and our company website.

I am pleased to report that the growth momentum we built in the first half of the fiscal year further carried forward in Quarter 3, helping us to achieve the highest consolidated Quarter 3 and the 9-month s revenue, adjusted EBITDA and profitability.

During this 9-month of Financial Year '25 , we experienced a 28.1 % increase in our consolidated revenue driven by healthy growth in sales volume across all our geographies. We also achieved a 25.5% increase in the adjusted EBITDA on a consolidated basis for 9-month s of Financial Year '25. This success showcase s the strength of our leadership and the operational efficiency, reinforcing our position as a prominent global manufacturer. Our consistent growth is attributed to our ability to leverage key strengths such as multi -country footprint, diverse product lines , in-market design proficiency and strong customer relationships. Our performance for the quarter has been largely fueled by strong volume growth from the existing customers and growing the wallet shares with the clients acquired over the last 5 years.

Now , let me present an overview of the industry landscape and our business outlook :

The textile and apparel market are showing signs of recovery after the challenges faced in the 2023 and part of 2024. The key factors driving this rebound include improving consumer sentiment , steady rise in the demand for casual and athl eisure wear and using up of supply chain disruption. Although the recovery is still cautious, it points to a promising outlook for the industry. The US apparel stores showed notable resilience in 2024 with estimated sales hitting

$29.5 billion basis of 2024 December numbers, which is 6% higher on a year-on-year basis. We expect consumer spending to remain robust and steady throughout this year ahead. Over the past few years, the US market has experienced an annual growth rate of 2%-5% and this trend is likely to persist in the next f ew years.

As of Novemb er 2024, the year-to-date apparel imports into the US has risen by a percentage point compared to the previous year that stood at $73.9 billion. This growth is largely fueled by an optimistic outlook of the inventory levels and the overall demand trends. Recent updates from retailers highlight reduced inventory levels indicating consistent and stable demand in the market . The year-to-date apparel imports into the European Union has also risen by a percent ag

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point a s of November 2024, while UK and Japan have experienced declines. We have started seeing an improvement in these markets and we anticipate further improvements here. We are servicing brands and retailers from UK and Japan who have strong international presence and have been growing. Our shares of business from these two countries are increas ing steadily and strategically.

For European Union, as I stated in earlier calls that Bangladesh presented us a significant jump in our presence through the Inditex group of brands. As we expand , our market presence across these regions, our order book share from US based customers versus non -US based customers is trending towards 65 -35. You may recall this was 85 -15 three years back. Among the non -US customers, the largest segment s are from EU European Union, followed by Japan , Australia and UK, and then finally Canada. However, since ma ny of these customers have global store networks, our ship to country data may vary.

Now , coming to our manufacturing centers :

Starting with Guatemala, we continue to attract increasing interest and inquiries from our customers as the transit time to US is just over a week. However, the overall capacity of Central America and even for us in Guatemala remains limited and is only a fraction of what we do out of Asia. During the quarter which has gone by , we did see some impact in the regions performance as we have incurred additional cost in operations at Gautemala facility as we have increased our production lines up to 12 lines now , which is operational, which further demands additional manpower , employing business heads , training cost , etc. Looking ahead, we expect a significant improvement in this Gautemala facility by next year with a cash breakeven point anticipated. The two key factors driving this positive outlook are one , appointing of an experienced professional to head this operation . Earlier, our minority partner was duplicating this role. And the second point is onboarding of a marquee customer whose production has started already is a year round by that this customer is doing with us and we have seen significant greater initia l results.

Now , moving on to the next country, Bangladesh :

In the initial part of last quarter, Bangladesh underwent a period of unrest followed by a change in government and had faced a curfew shutdown. Those of you tracking the apparel export

figures of Bangladesh may have noticed that it is forecasted to be anywhere between flat to last year or -7%. Despite the political unrest that ensued in 2024 till the month of August, we continue to witness the highest shipment volumes during this period from our factories and with zero delays in our deliveries. We are happy to share that their growth momentum continued in Quarter 3 as well. We have reported a robust performance from our Bangladesh operations and our order book continues to be very strong. We are confident of improved performance from this region in the coming quarters as well.

Currently, all our facilities are running at optimum utilization, and we are seeing a greater willingness amongst our partner 's factor ies for even greater collaboration with us. Our European Union and UK customers are keen to strategically guide and support us in this growth journey. This country of Bangladesh still has advantages of lower cost, higher efficiency , productivity , availability of skilled workforce and a well experienced middle and lower -level management staff along with the favorable trade agr eements with important markets that of European Union, UK, Canada, Australia and China. It continues to improve its logistics infrastructure. This will continue to keep them ahead of competition from other geographies and continues to be an attractive destination for the international brands and retailers for apparel .

We are actively
evaluating value accretive capacity expansion opportunities to tap on th is growth opportunity that we are facing in Bangladesh.

Moving to our performance in Vietnam :

We have seen strong growth from this country in this quarter as well. We are confident in maintaining this upward trajectory. We have entered into a new partnership factory, and we expect to see growth in Vietnam next year as well . We will continue to expand in this geography at a steady pace while providing exceptional service for our higher -end customers.

Talking about Indonesia :

Indonesia is on track to recover its performance levels following a decline over the past 2 years. Our new factory is now fully operational, receiving positive feedback from both existing and the new set of customers. We will steadily scale up production lines and output over the next couple of quarters. This recovery is expected to drive a 20% plus growth in both volume and value in the coming financial year . Supported by strong customer demand , additionally we remain committed to serving our higher -end customers from this region as well.

Talking about India :

We have reported a robust performance in India, which grew by 49.5% year-on-year in Quarter 3 Financial Year '25 and 26.1% year-on-year i n the 9-month of Financial Year '25 . Our adjusted EBITDA margin stood at 3.7% in Quarter 3 Financial Year '25 . On the margin front in India, we still have large scope to grow significantly. We augmented our capacities in our existing facilities in metros of Gurgaon , Bangalore and Chennai over the last 10-12 m onths and we are further in process of adding newer capacities in the Tier-2 cities of Muzaffarpur in Bihar as our own factory and in Bhubaneswar as a partnership factory. A lso, a s highlighted in the last earnings call, the Madhya Pradesh facility will be launched once we a ssess the progress of these factories in the Tier-2 cities in the Eastern part of India, Muzaffarpur and Bhuvneshwar. So, from India, we already have and we foresee good order book for upcoming spring and summer seasons products . Historically , Q4 is generally the best quarter for Indian operations . We again foresee this year. Our goal is to first work towards achieving high single digit EBITDA in India and we are making significant efforts to march towards the same.

In summary :

All our initiatives are on track and progressing as planned. We continue to strengthen our relationship with key customers, particularly those expanding their presence in the global market. Our focus remains on consistently surpassing previous milestones in revenue, production capacity , and operational efficiencies, which will directly contribute to enhance our profitability. We are confident that we are on track to meet both our topline and bottomline forecasts for the year while staying aligned with the strategic objectives we have set for 2 028 as shared with you in our earlier calls.

Now , I will hand it over to Sanjay - our Group CFO, who will provide a detailed overview of the Quarter 3 and the 9-month s financials of financial year 2025. Sanjay, over to you.

Sanjay Gandhi : Thank you, Pallab. Good afternoon, everyone. Welcome to our Quarter 3 and 9-month s FY 25 Earnings Call.

I will now walk you through our financial and operational p erformance for the Quarter and 9-month s ended 31st December 2024.

Starting with our consolidated financial :

We are pleased to report the highest ever Quarter 3- and 9 -months performance in terms of consolidated revenue, adjusted EBITDA and profitability. In Quarter 3 FY25, our revenues reached INR 1 ,022.5 crores, making a substantial year-on-year increase of 45 .3%. For 9-month s, FY25 revenue grew by 28.1% year-on-year to INR 3 ,277.2 crores. The revenue growth was driven by strong sales performance in key market across

geographies supported by robust order

book and healthy growth in sales volume Adjusted EBITDA ex cluding other income for Quarter 3 FY25 increased to INR 92.6 crores reflecting a growth of 35.1% year -on-year. The adjusted EBITDA margin for the quarter stood at. 9.1%.

We are also pleased to share that we crossed the INR 250 crore mark for consolidated adjusted EBITDA in 9-month period . Adjusted EBITDA increased by 25.5% year-on-year to INR 291.8 crore with an adjusted EBITDA margin of 8.9%. This growth in EBITDA is in line with our revenue performance. Please note that adjusted EBITDA excludes ESOP expense of INR 1.3 crore in Quarter 3 FY25 and INR 5.4 crore in 9-month s FY25. We have witnessed certain onetime costs, such as in Gautemala, w e are increasing our production line and in India we are

scaling up our Bihar facility . Excluding this one -off, t he growth would have been better than what is currently reported.

Profit after ta x for Quarter 3 FY25 grew to INR 48 .2 crores r eflecting a growth of 42.6% year-on-year. For 9-month s FY25, PAT increased by 38% year-on-year to INR 165.8 crore s. Happy to share that adjusted PBT and PAT has almost touched t he level of financial year 24 in the 9-month s period itself. If you look at PAT after minority interest, it increased by 57.4% year-on-year to INR 56.3 crore s in Quarter 3 FY25 and by 45.8% year-on-year to INR 180 .1 crores in 9-month s FY25. The PAT after minority interest margin stood at 5.5% for both Quarter 3 and 9-month FY25. Please note that 9-month FY25 included an exceptional gain of INR 1.4 crore s, which is on account of gain of sale of non-core asset and one -time QIP expenses. We have reported a strong EPS at Rs. 12.52 in Quarter 3 FY25 compared to INR 8.25 in Quarter 3 FY24. For the 9 months FY25, we have reported EPS of INR 40.07 compared to INR 28.47 in 9-month s FY24.

Turning to our standalone financials for Quarter 3 FY25 :

Revenue increased to INR 235.5 crores, a robust 49.4% year-on-year increase . Revenue for 9-month s FY25 grew by 26.1% year-on-year to INR 798.7 crores. This increase in revenue reflects growth from wallet share expansion from existing customers.

Adjusted EBITDA excluding other income for Quarter 3 FY25 improve d to INR 8.6 crore compared to the loss of INR 0.8 crore in Quarter 3 FY24 with a margin of 3.7%.

For 9-month s, however, adjusted EBITDA declined by 9% to INR 26.1 crore s with a margin of 3.3%. PAT for Quarter 3 FY25 grew by 18.3% to INR 4.2 crore s. For 9-month s FY25, PAT increased substantially by 93.8% on year-on-year to INR 31.7 crore s. Please note that 9-month FY25 include d an exceptional gain of INR 2 crores . We have reported EPS at INR 0.93 in Quarter 3 FY25 compared to INR 0.82 in Quarter 3 FY24. For 9-month s FY25, we have reported a strong EPS of INR 7.04 compared to INR 3.7 7 in 9-month s FY24.

Our product portfolio in India is heavily oriented towards summer and spring season with quarter 4 expected to be the strongest quarter. India has considerable potential for growth with capacity utilization projects to rise. We a re fully prepared for th ese expansion opportunities. In India, as we have highlighted in our earlier call as well, we are investing INR 35 crores approximately in total capital expenditure in Bihar with approximately INR 22 crores allocated to Phase-1 which will be capitalized by March -April. The facility c urrently operates 100 machines and an additional 300 plus machine will be operational by March -April.
Our Bangladesh operations continue to demonstrate strong performance with all our factor ies running at optimum utilization. A strong order book in hand, we are confident of continued improved performance of the region in the foreseeable future. We are actively evaluating value accretive capacity expansion opportunities. We ar

e receiving many queries from partnership in
the region , and we are actively evaluating the opportunities. Once the diligence is completed,

we will be evaluating the final CAPEX requirement by end of quarter 4 of the coming quarter 1 FY26. As communicated, we have already committed INR 21 crore for Indonesia acquisitions. This incremental inv estment is likely to yield ROCE of 20% plus from F Y26 onward.
In Vietnam, we have entered into long -term arrangement with existing partnersh ip factory. This further fortifies our relationship with a partner factory for long periods. Please note that such arrangement has been done to secure good capacity for long term and it also opens up more collaboration opportunities. For 9-month s FY25, our sales volume has reached 53.8 million pieces compared to 39.8 million pieces in the same period of FY24. Our average realization per piece continue s to be around Rs. 600 per pie ce. Please note average real ization is a function of product mix, customer mix . Looking ahead to the next quarter, we expect volume to rise, bringing us to a capacity utilization rate of almost 20% adjusted of the SAM . By the end of this year, we expect to reach around 90 million pieces of installed capacity . By FY26 , we anticipa te this figure will rise to 105 -110 million pieces and by FY27 , we expect to reach 125 -130 million pieces. This growth trajectory position s us well to achieve our target of growing our topline to Rs. 6,000 crore s by FY28 with double digit EBITDA growth being an attainable goal.
We are happy to share that our long -term credit rating has been upgraded to ICRA A stable from ICRA A- stable, whereas our short -term credit rating has been upgraded to ICRA A1 from ICRA A2+. The rating upgrade was on the back of a couple of factors such as healthy performance in H1 F Y25, c omfortable return matrix, multinational presence and improved debt to operating profit ratios , etc. This result into lower borrowing costs and easy a ccess to new credit lines.
To summarize, we have delivered a robust performance in the 9 -month s FY25, combined with a strong endeavors, customer base as well. As our broad geographical presence, we are well positioned for continued growth in the year ahead. We can now open for question and answers. Thank you.
Moderator: Thank you, sir. We will now begin with the question -and-answer session. Anyone who wishes to ask a question may press '*' and '1' on their touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question comes from the line of Bha vya Gandhi from Dalal & Broacha Stock Broking. Please go ahead.
Bhavya Gandhi : Thanks for the opportunity and congratulations on a good set of numbers . So, just wanted to understand what is the overall capacity utilization because you mentioned that 90 million is the installed capacity for the year , so are we peaking out at 90% capacity utilization b ecause if we bake in for the fourth quarter, we are very close to 90% capacity utilization , just w anted to understand on that ?
Pallab Banerjee : Thank you, Bhavya . So, first of all this capacity what we publish, we publish the existing capacity that we have as an organization on 31st of March every year. So, last year, when we calculated the capacity, that means all the factories that we had, what is the maximum potential

capacity that we could have run those factories that was coming out to be 83.9 million, almost 84 million pieces a nd our utilization, this number of pieces that we had shipped and built to the customers was approximately about 56 -57 millio

n around that. So, this year we are seeing
already like our order book is crossing , I think about 74 million odd numbers. So, definitely , you see, like that u tilization will become better if we are talking about the existing capacity that we

had at the beginning of this pa rticular year. But as the year continues, we continue to invest , so wherever we see, there is an opportunity to add capacity or a new facility like the Bihar that is coming up, so whatever number that we will be publ ishing on this 31st of March 2025 will be a significantly higher number compared to last year because our goal is to cross that number that we have already given to you by 2028 and continue our journey to be a much bigger approximately , so that is what the journey that we are in . Sanjay, you wan t to add something on this?

Sanjay Gandhi : Yes, Mr. Bhavya, you mentioned about 90 million pieces, as y ou said 90 million plus pieces around 31st March 25 . Our capacity utilization will hover as I mentioned adjusted to stand around 78 %-80%. So, there is a continuous addition of the capacity and then there is a utilization which is what we mentioned in our call.

Bhavya Gandhi : Right. Got it. And sir, because on the lower base on a Y-on-Y basis, we have seen big volume growth of 66% , but next year onwards, once the inventory gets rationalized, when it comes to US markets also, so will we still maintain like a double -digit sort of volume g rowth here on also ? I understand that we are building capacity, but from a demand perspective, if you can throw some light?

Pallab Banerjee : See, ho w we are creating demand is increasing the wallet share of our existing customers that we have added earlier like till date , whatever customer that we have . Wherever we see that the customer is going strong , we are definitely trying to grab more and more wallet share of the customer. And at the same time, we are also finding out the new customers like who we think are the players for the future . As we become a growing company, we look forward to the growing customers like who are financially sound and have a good strong future w hat we see from our understanding in terms of how they are capturing the market or how they are performing. So, that exercise continues parallelly . So, definitely we are not into like typically commodity marketing, which depends on the market size, how it grows and how it shrink s. Ours is more strategic driven with targeting customers across the globe .

Bhavya Gandhi : Got it. And just one last thing , if you can just help me tally the 15 million incremental capacity where exactly in terms of pieces are we going to add , piece wise if you can just help me understand in terms of million pieces? Maybe if you can just throw some light on Bihar, Indonesia and Vietnam , number of m illion pieces that we are going to add ?

Sanjay Gandhi : So, we have even at the group level , the capac ity which is anticipated is 105 -110 by end of FY26 and by FY27, 125-130 million pieces. So, as per the geographical mix is concerned, as I mentioned earlier, there are many opportunities which are under diligence. The main criteria is to really see how to maximize the return on capital employed. And if that is in Bangladesh or

Vietnam or Indonesia or India will be accordingly evaluated and i mplemented . As soon as we keep committing CAPEX in across geography, we wi ll keep updating as we mentioned at Bihar, we have done here, Indonesia, we are acquiring the stake, it will have an incremental impact not on the capacity, but the earnings growth will be there which will be accretive to the shareholder and to the PGI L. And so like that we will keep updating you on the capacity as it get added . It is a geographical split….

Pallab Banerjee : See, if I have to give you a little bit broader idea in term

s of which geography will be bigger than the others, then yes, the maximum growth you will s ee is from Bangladesh, India or Bangladesh , India, these kind of countries followed by Viet nam and then Indonesia. So, that is the kind of preference that is there .

Bhavya Gandhi : Great, sir and thank you and all the best. That is it from my end. I will be back in queue.

Moderator : Thank you. The next question comes from the line of Arna v Sakhuja from Ambit. Please go ahead.

Arnav Sakhuja : Thanks for taking my question. So, I just wanted to know, so was there any impact of the r upee depreciation for our company? If so, how does this impact us?

Sanjay Gandhi : So, we have entire export from India. We are not importing any fabric in India. I mean it is a very miniscule level. So, the depreciation of currency it only benefits us in improving the topline and the bottomline. We have a hedging strategy, but we are taking a hedging forward cover in a very calibrated manner a nd we take some 20 %-30% of the order book get hedged . The rest because of the depreciation in the currency is kept open which result in a higher realization for us and hence a higher exchange gain and everything. So, it is only a favorable impact as far as the rupee depreciation is concerned for us.

Arnav Sakhuja : Thank you. And I was also noticing that we had a year-on-year fall in the gross margin. So, what was the main reason for this? Was it for just a product mix or something along those lines?

Sanjay Gandhi : So, I guess you are referring to quarter number?

Arnav Sakhuja : Yes, Quarter 3 .

Sanjay Gandhi : So, the gross margin is a mix of a product mix. If you see if the gross margin is coming down that is the only case, the manufacturing costs also come down. So, the resulting EBITDA remains almost at the same level , or it improves only. So, overall, when we look at a product, one is a gross margin , then the gross contribution , I would say , so the gross contribution has come down from 56.68 %-50.50%. The gross margin, which is after the manufacturing gross has remained the same because t he manufacturing cost has come down because the product mix has changed the number of minutes are required to produce a style has really come down, hence the lesser manufacturing cost. So, we got to see the gross margin level , not at the g ross contribution level

when we look at a product mix and everything. But yes, it is a function of the product mix , the gross contribution which is reflected in the gross profit margin gets changed accordingly.

Arnav Sakhuja : Thanks for answering my question.

Moderator : Thank you. A reminder to all participants, please press '*' and '1' to ask a question. The next question comes from the line of Vignesh Iyer from Sequent Investments. Please g o ahead.

Vignesh Iyer : Thank you for the opportunity. S ir, my first question is on the line of expansion that we are seeing from 90 million pieces to 130 million pieces . So, I want ed to know what is the total estimated CAPEX that we need to incur over the period of next 2-3 years to reach this 130 million pieces. And does this 130 million number include the tie up that like we have done in Vietnam recently with factories So, I want to know how is it exclusively our capacity that you are going to put?

Pallab Banerjee : Thank you, this is a good question . So, what we did is 2024 February, we presented a plan that where we will be by 2028 financial year end. Of course, this is just a sn apshot of one particular period . We continue, our aim is to grow further definitely , but just to give a horizon like 2028 financial year end where we should be . So, on that basis what we saw that our capacity by that year end should be in that range of about 130 million pieces across the globe. So, that is the snapshot that w e had prep

ared. And since then like anything that we are doing , like all the expansion, whether in the existing factories , also what we are doing is in terms of additional factories, both are part of that journey itself . And the Vietnam collaboration that we have done is part of that strategy itself.

Vignesh Iyer : Any number, maybe you might not be able to give the number till 130 million pieces, but any number for this quarter 4 plus FY 26 on the CAPEX side?

Sanjay Gandhi : So, on the CAPEX, qu arter 4, we mentioned that we have already committed one CAPEX of Rs. 35 crores p lus we are also, I am talking about a growth CAPEX right now. There are other CAPEX also which are being incurred like we are doing CAPEX for renewable energy, solar energy setup in India about close to a million dollar . That I am not mentioning as of now . In terms of the growth CAPEX Rs. 35 crores is what is committed here. And t hen, we have committed certain commitment amount with the partnership factory in Vietnam. There are CAPEX under evaluation in Bangladesh . I mentioned in my commentary that by end of this quarter or early next year, first quarter , April or May we should be able to crystallize the final amount of CAPEX , which will be committed for implementation. As I mentioned, if you look at the installation, the capacity, ho w it is increasing, it is expected that large part of CAPEX will be committed in FY26 which will take us to 125 -130 million pieces capacity .

Vignesh Iyer : Just one question from my side. So, I wanted to u nderstand what is our total FOREX gain that we made in Quarter 3 FY25 and wanted to know is it accounted as part of adjusting the finance cost because if I understand it right, in other income you have not reported the same, right?

Sanjay Gandhi : So, FOREX gain can get reported in other income only. It is not included in EBITDA . That is point number one. As far as the FOREX hedging accounting, there is a principle which follow whereby there is a detailed accounting standard we are following it up, so the FOREX gain has two legs, one it goes into sales figure , the secon d, which is not directly relatable, cannot have a direct contract with the sales realization , it goes as a part of other income , so the scale which is coming in the part of other income only.

Vignesh Iyer : Sir, what is the number, total number because there notes to Number 5 only highlight the dividend that you have received from your foreign subsidiary in other income , the other breakup was not given, so that is why ?

Sanjay Gandhi : Yes. So, there is a realized and unrealized which is there . I think we can take it offline to really make use explain you where the numbers are lying, then that can be added. But our annual report, with complete no tes to account, has all the details, which is , how much is the gain coming and where it is lying in that way. We can explain your number a little later also as a complete our accounting on FOREX exchange gain and FOREX exchange trans mission as well. It will take

little time to explain all the entire accounting process and w e can discuss that offline. You can reach out to us. We can surely explain that.
Vignesh Iyer : Sure. Thank you, sir. Yes, that is all from my side. I will get back in the queue .
Moderator : Thank you. A reminder to all participants, please press '*' and '1' to ask a question. The next question comes from the line of Saurabh Kumar from Scientific Investing. Please g o ahead.
Saurabh Kumar : Hello , sir. Congrats for the good set of numbers and I think a few years back we had a 4-year vision where we looked for good revenue growth rate and also the margin improvement , I think somewhere around 12% EBITDA margin. This year, the results are great, but we have not seen much improvement in the margin if we take that 12% number

. So, are we still sticking to it and
what would lead to cover this gap and how you plan to achieve it if you can?
Sanjay Gandhi : So, thank you, Mr. Saurabh for this question. Our plan to reach a double -digit EBITDA remains intact. We are very clearly heading in that direction where double digit EBITDA w ill be there . What we have stated is that between 10 %-12% by F Y28 and that is our target remain is there and we are heading in that direction . Coming to the current year margin , there are two function s, one we have to look a t it. I will first answer on the percentage of EBITDA . As we have mentioned that current quarter EBITDA got impacted because of the ramp up of the operation in Guate mala and Bihar . If we add all those one -off cost, I think will be coming close to slightly higher than what was reported in the last year before which was 9.74%, we should be around 9.8% kind of EBITDA. Now, the second part, which I would like to just men tion is that when we are looking at the growth in revenue, I think return on capital employed also become very important parameter to decide on the growth . So, as the absolute amount of growth of EBITDA is growing, our return on capital employed also keep growing in that proportion . As we speak for the full year , though we have a target of having a 20% plus, but the full year we have been able to sustain at 25% plus return on capital employed. So, these two criteria will play an

important role while we are deciding on revenue growth . Definitely , the EBITDA as a percentage is also very important target for us to achieve a 10% plus excluding other income and foreign exchange gain. So, that is what we are working towards it. However, our decision making , when we look at revenue growth opportunities, the return on capital employed also plays an important role while we are looking for business expansion. So, both the metrics will play an important role in our decision making for the growth as well as profitability improvement going forward . In any case even if the EBITDA as an absolute amount is increasing , our EPS and our book value keep on increasing while we keep working on , so as and when t he double -digit EBITDA kicks in that will further improve our pro fitability.
Saurabh Kumar : Amazing, sir. Two more questions, one on Bangladesh side , like last quarter, we know that Bangladesh is integral part of our growth strategy, but you were li ttle kind of you needed more time to come back on the long-term plans on Bangladesh and we continue to do well , the numbers are really good. So, is it like all the issues which were there in Bangladesh , they are over and we can expect things to be smooth from here ? That is one and second on the US side. So, the last cycle inventory issues which happened , COVID was a onetime phenomenon, may be people were doing a lot of shopping and companies were building inventory. So, is this a typical cycle in US market or like how the US inventory cycles behave i f you can give some idea of that from your last 10 -20 years of industry experience ?
Pallab Banerjee : Thank you. I will take that. First of all, the Bangladesh growth strategy, Bangladesh, definitely we are a strong believer in Bangladesh as we have been speaking in all our calls and our performance in Bangladesh over the last 3 quarters has been really good and we also look forward to continuously growing this market . Yes, when we spoke about, let us say , 6 months back and we were really looking into the opportunity of growth. That is the time Bangladesh was undergoing some significant changes. So, there were lot of good factories or other assets , I would not say a business , but more of an asset was available and we were almost finalizing. Then what this turmoil taught us is that the links b ecause in this kind of country, like

, where the
money came from and lot of financial irregularities that surfaced after this change of regime , so that made us much more cautious about going for a rea dy asset. So, our banking is done through most of the international partners. We have a local partner as well an d we go very conservative on the local in Bangladesh. And that is one of our pillar of success in Bangladesh and despite all this turmoil and all we have been performing very well and very secured both from customer point of view and from the workforce point of view as well as financial point of view. So, that is somet hing we wi ll continue t o maintain. We have n ow changed that strategy of acquiring ready factory rather than going in that direction that we are going in the other direction , so that we have to make and so it slows down a bit, but I think we are solidly on targe t on that. That i s

why Sanjay is saying that within the next 3-4 months, you will hear from us about our investment plans in Bangladesh and some of these facilities that will be adding up. Then , whether it is smooth, yes, we feel that the country is doing quite well , in fact in my just now the speech wh at I talked about that this particular year , it is some people are guessing it is -7%, some people are talking about flat , but BGME their authorized website is talking about already the growth happening from $35-$38 billion. So, they are showing growth . We don't know like this is all we verified , the n umbers will get verified over the next weeks and months. So, we should be

knowing that. What I am trying to say is that this also proves that Bangladesh has lot of thing left in it and it will continue to grow. It is s till an important destination for all the international retailers. Working is becoming more and more smooth. There were few big players who w ent under and because a lot of financial irregularities were found by the new regime and that affected some of the working in certain spots of Bangladesh like Ashulia and all. Fortunately for us, none of our factories were in those areas and where we have been working like there have been no disturbance and working h as been very smooth and v ery strong. So, that is what is about Bangladesh. The second part of your question was the US inventory. I have been working in US for more than 30 years now and this is the first time post pandemic what we saw what happened . So, normally what happened with US retailers , there is a heavy markdown that market believes in heavy markdown and clearance of inventory. They never used to store the inventory. Now, this particular year of 2 021-22 was a big exception. At that point of t ime, the logistics time was very high. The goods shipped even from China, which normally takes only about 18 -19 days or 20 days, was taking as high as 75 -100 days and so is from other countries like India, Indonesia, Vietnam, all these places, Bangladesh. So, because of such a high lead time , the goods were not in the store and the stores were doing extremely well because consumers were spending money. So, naturally, the merchants thought that they could buy more and they bought really aggressively at that point of time. And by the time these goods were reaching US, the war had started in Ukraine and it affected the petroleum prices and the whole world was experiencing inflation. So, that really killed the sentiment of the consumers and that is how by the time the goods were reaching, there were no sales that w as happening in the stores . So, that resulted in lot of inventory which they didn't go for a clearance. They stored those inventory for 1 full year or 1-1/2 years at US and various locations and also th e goods which were yet to ship from the factories and the vendors they we re hold at the vendors. So, that i s how this whole inventory situation got created

in the first place in that year, and which got I think now fortunately cleared,
and I don't see this is such a exceptional, I would say event that I saw in 30 years. I don't think it will be happening so soon again. Does it answer both of your questions?
Saurabh Kumar : Yes. Thanks for such a detailed and candid reply, sir and wish you all the best.
Pallab Banerjee : Thank you.
Moderator : Thank you. A reminder to all participants, please press '*' and '1' to ask a question. The next question comes from the line of Kunal Bhatia from Dalal & Broacha. Please go ahead.
Kunal Bhatia : Thanks for the opportunity and congratulations on a very good set of numbers. S ir, I just had one question in regards to the previous participant , what was the volume growth in case of Bangladesh at this time ? And how much of it would you consider it as a one -off because of the unrest a nd what is a more sustainable volume growth in case of Bangladesh, we could do?
Pallab Banerjee : So, Bangladesh as a country, I was saying that the numbers are getting published from January to December. You see, like Bangladesh, we all knew where in the $45 billion mark till year before last and then, interestingly, what happened was in Bangladesh, the bank said where is this $45 billion ? We didn't receive the money . If the country has exported that much of goods then

that much of money would have come in. So, that is how like all these things started happening in Bangladesh and now that number got revised that m eans the incoming of the money was set that $35 billion in 2023, officially by Bangladeshi authorities. So, this year, if you go to their website, if you go to the bgme .com, you will see that number, they are p ublishing is 38 billion . So, that means they are claiming that the overall number of the country has grown , despite this turmoil that has happened, political turmoil, as we have seen in Bangladesh . In regards to Pearl, what we are seeing is we have grown significantly, like if I look at the numbers, it will be like high 30s that we are growing. So, that is because of the two factors , one as a foreign player like we are very well disciplined and well organized out there and run by very professionally and second part is that there were s ome of these big players, really big players , the biggest of the players in Bangladesh who had financial irregularities and had to shut down their o perations are

significantly went down. So, the customers, mainly the European customers who get the GS P
benefit, they had a choice either to move out the business from Bangladesh and take to other
countries which are other countries. If they go to Cambodia, they get the same GSP benefit that
means 10% duty when they get goods land in the European countries or UK country whereas if
they come to countries like India or Vietnam, they pay other extra duty of 10 %. So, naturally
their choice was to place the business with some other vendor, which are much more stable
vendor and that is where like people like us got the benefit and similarly not only us, there are
other benefits, people also have gone grown significantly this year in B angladesh . So, that is
what has happened. So, yes, in nutshell, our business has been up m ore than 30 plus and a high
30s I would say.
Kunal Bhatia : And s ir, this would be more volume driven, right?
Pallab Banerjee : Volume of course, like volume means number and dollars forth .
Kunal Bhatia : And sir, how much of this you expect to continue, from n ext year do you believe that there is a
higher proportion of one -off in this quarter or do you believe now this is a new normal?
Pallab Banerjee : So, that is something like our overall strategy as I just mentioned earlier. So, we are talking of
wallet share with existing customers and also we are inputting newer customers and

then
aggressively growing with them. The virtue of our design strength like we have a design , strong
design presence in countries like Spain and Europe and UK. So, we are definitely capitalizing
on that. So, because of this, we will be also adding new customers and growing the wallet share
of the existing customers . So, that i s independent of what is happening in the country or what is
happening as what you call macro factor in those regions . So, we definitely are putting all our
strategies in place to have that growth. So, that is why we will continue to have a growth , it may
not be this kind of significant jump , but there will be continuous growth. So, that if you
remember like always, we say that all our strategies have be en built on a cumulative growth of
at least the topli ne should be going in the rate of 15% plus growth.
Kunal Bhatia : And thank you so much for this and how much will be the 9-month s growth for Bangladesh?
Sanjay Gandhi : You a re referring to Pearl numbers ?

Kunal Bhatia : Pearl, yes.
Sanjay Gandhi : So, this is what Pall ab mentioned in high of 30 that is what the volume growth has been there.
Kunal Bhatia : Thank you.
Moderator : Thank you. The next question comes from the line of Saurabh Dhole from True Beacon
Investment Advisors. Please go ahead.
Saurabh Dhole : Thank you so much for the call and congratulations . I just have one question. I think when you
talk about CAPEX, you also included some or other earmarked some f unds for acquisitions. So,
I just want to know what characteristics do you typically acquire for is it like client relationships
or other any s pecific manufacturing capabilities that you are looking to add to your portfolio?
Pallab Banerjee : Yes. So, like when we talk about acquisition , so we are not talking of acquiring a business so far
like that is something like we are not actively looking at. We have the customer relationship, or
we have the ability to acquire new customers and t hat we have proven in the last 3 years
repeatedly. So, that is something is not the priority. But yes, like if something very attractive
comes in, for example, one of the areas like I always talk about the four supply chain areas of
the globe. One of them is the Mediterranean region where we don't have. If I get a good attractive
business proposition, we may look into that. But apart from that, l ike the most common
acquisition that we w ere looking at or we are still looking at is a good facility, a good factory or
a good set up, but not as a business but more as asset, more as infrastructure. So, that is how we
have been thinking, and we have been working upon.
Saurabh Dhole : Great. And also when you talk about your F Y27 aspirations are going to close to 1 30 million
pieces , to what extent are you also factoring inorganic addition to the facilities in this particular
capacity addition?
Pallab Banerjee : So, this is the normal strategy that we are talking about 15% growth of our acquiring new
customers , growing with our wallet share of the existing customers and in the geographical
region that we are. So, any other opportunity comes in that will be addition.
Saurabh Dhole : Yes, that will be an addition . So, thank you so much.
Moderator : Thank you. The next question comes from the line of Pul kit Singhal from Dalmus Capital
Investment. Please g o ahead.
Pulkit Singhal : Hi. Thank you for the opportunity and congrats on a good set of numbers. First question was on
Bangladesh itself , you mentioned that there is a kind of vacuum created for good suppliers in
the country. What is your strategy to increase your capacity t herefore, because is it going to be
more linear or what could be the growth rate in our capacity there to cater to this opportunity?
Because I thought this would be created more near term and therefore one w

ould have to act
more immediately ?

Pallab Banerjee : So, thank you for the detailed question. This is like definitely one level deeper. So, as you know that we work on both models in country like Bangladesh where we have our own facility and the partnership facilities. So, in the short term, definitely we are not losing any opportunity. We are capitalizing on the p artnership facilities that are available to us. In fact, as this turmoil happened and as this financial liabilities comes out more and more like coming out the c upboard, I would say so naturally a lot of the partners that we work with where we b ook our capacities, they we re more secured with us and overtime as they got to know that this is a better safe haven, a safe player to bet on , so they have been giving us more and more capacities and attractive rates. So, that is something that we could capitalize in the short run. And in the long run, definitely what happens is we take the business like certain European brands who are also in problem , they are more flexible at this point of them . They are partnering, but at the same time, they are taking promises from us that we will build the infrastructure for having this business long term with us . So, that is how it goes hand in hand . So, we get the assurance , we get the business and then we can invest. That is the luxury that we had in this case.
Pulkit Singhal : Are their contracts in place that allow you to kind of build factories and do it more linearly over the next 3 -4 years , is that something or just a verbal commitment?
Pallab Banerjee : From the customers, yes the customer basically , see it is depending on the relationship. Normally , a customer very rarely would give a written contract, but once we are in terms of strategically giving them the benefits or understanding their need and servicing it that commitment starts coming in, not a legal contract, but more of the relationship contract that we continue to get. So, the forecast for the next 3 years is available to us. The kind of programs that will be coming is available to us. Those are the thin gs on which places of which we can take this call much more securely.
Pulkit Singhal : Understood. And secondly, on the capacity front, you are talking about 125 -130 million in 2 years from a 90 million base that translates to al most a 40% kind of growth over 2 years in terms of capacity 40% plus, is that the kind of growth rate you are expecting for the business as well, so that the utilization remains at the same level?
Pallab Banerjee : Yes. The only difference , only point that I will add out here is 2028 is a not end goal. So, 2028 31st of March, we would have a runway with us of a capacity of 135 million . So, that 135 million will be encased on the next few years. Because what we did was we are keeping that assumption, whatever capacity that we have in hand will continue to use about 80%, which is currently what we see is the healthy balance that we are seeing repeatedly . So, we are forecasting on that number basis and also the second part of this capacity is that the majority will be our own and some would be the partnership.
Pulkit Singhal : Right, thank you a nd all the best.
Moderator : Thank you. The next question comes from the line of Bhav ya Gandhi from Dalal & Broacha Stock Broking. Please g o ahead.

Bhavya Gandhi : Thanks for the opportunity . Sir, I just wanted to understand why are we not going all in for partnership model because it is asset light also and it is ROCE accretive also, so just to scale because we see immense demand coming in from a couple of other countries plus from the existing players as well , so just to fast track, why are we not going for a partnership model throughout? Are t

here any loopholes or maybe a missing out something on partnership front?
Pallab Banerjee : Yes. See like partnership, as we have stated earlier also , we would like to keep about 15% approximately and can jump up in the short run maybe 25% as well. Th at is the kind of opportunistic approach that we want to keep. We are in a business of manufacturing on our own mostly and whatever the partnership also what we are doing, we are completely responsible for those factories, their compliances, their manufacturing. I t is just not subcontracting or just not sourcing. So, that is a different business model that other businesses may have, but not us. As a result, the kind of customer base that we are working with, 80% of our customer base also wants to see that complete ownership amongst us. So, both this thing goes hand in hand . So, that is the place, those are the customers they could pl ace the premium or relative premium I would say in the market where we can maintain margins .
Bhavya Gandhi : And just one more thing on the European and the Japanese market, you mentioned that it is not seeing any healthy growth on the market per se, overall market. So, what is the USP that we are able to increase our market share because there might be some existing suppliers also in the market who are supplying to them. In fact, the market is not growing and we are increasing the

penetration wallet share. So, what is allowing us , any USP or anything on that front?
Pallab Banerjee : Yes, I can talk a little bit more about that. See Japan , there are two big companies. I think most of us know about , one is Uniqlo and the other one is Muji. Now , these are the brands which have grown significantly in the international market. So, Japan is their primary market, but they have a significant presence all over Asia and also in the West, both in Europe as well as US. Now , these are the companies that have been growing significantly . Of course , Uniqlo , today is a very large company, more than $24-$25 billion they ha ve already gone into the top line a nd Muji is the other one whi ch is growing very fast. So, these are the kind of customers that if we are talking about , so then naturally, like our growth would be much bigger or faster than the Japan market as a whole how i t is growing as only Japan. The second challenge is that it is not easy to service Japan because of their quality norms . Now these are the brands which looks after almost like 0 defect, whereas the Western countries they have a statistical method of taking the quality inspection and doing the quality inspection wher eas this country, like Japanese brands and all, so they are completely on 0 defect. So, that is also one of the reason that, despite the treaty that we have from India and Japan , still, India doesn't export too much of garments to Japan , so anyway, like we have focused on that and that is where like a significant growth has come in and this particular brand is we are approaching almost good growth, we will be walking towards at least 50 million over the next one or two years. That is the path that we had c hosen. And the UK market also similarly there are brands like Primark or Next and all which are like international brands. They d on't sell only in UK, but all over the Europe and Primark has gone into US a s well. So, our association with those brands definitely allows us to continue to grow. As they grow and also like as we grow from one or two categories to all the seven categories

that we are supplying to them or more and more categories you want to bring out under the umbrella and more countries. So, that is why, like strategically we are working with this kind of customers who are having international presence. So, if you look at our customer profile, most of the customers you will find have international presence.
Bhav

ya Gandhi : Fair enough . Thanks for the elaborate answer . Just one more thing on the Indian operations if you look at our peers, they are not facing any struggle in terms of the EBITDA margin, especially when the demand is shifting from ot her geographies. So, I just wanted to understand on a broader level, is it because of the product mix that we are struggling or is it something else that we need to do to get the Indian operations right? I understand on the console level things , we are doing better, but India most of the operations you could explain.
Pallab Banerjee : I will be transferred on that also, see that is more of a legacy , like when we came on board in Pearl and we have been doing the strategy and the growth expansions and everything , India has legacy of doing mainly the blouses , top skirts and blouses kind of segment for Pearl in India. So, that particular one is more o f a seasonal business . So, Q3-Q4 becomes very big and Q1-Q2 are slow. So, some Australian customers like Southern Hemisphere customer comes in those seasons, but still its volume is not in com parison to the Western market . So, to do that, as we have said in other calls also we are expanding in other categories in India, building up those kind of manufacturing lines and marketing. Most of the customers that we are working with also knew that Pearl India does only blouse, so as we are acquiring the new customers and newer products so that is one strategy that we have worked upon. And the second strategy that we have worked upon is that our factories were limited to only in the metropolitan cities like Gurgaon , Bangalore and Chennai, so diversifying into other locations like the Tier-2, Tier-3 cities of Muzaffarpur, Bhubaneswar and then buying land in Jetapur near Indore . So, this is the strategy that we are working upon , so that our cost also can be mitigated. Now, when I am talking I can also sa y that, factories were quite small, so it was definitely the scale was not kicking in India. So, that also now I think some of you have visited some of our factories, n ow we have skilled it up to 12 00 because that is the sweet spot where we find that under one roof, if we have 1000 -1200 machines in India that I think is the best . So, these are th ings like strategically, we have been doing these things, so that is why we are saying that if we need maybe another 3 or 4 quarters to get to that level of double digit EBITDA from this region also. So, we are working on that part.
Bhavya Gandhi : Great, sir. A ll the best. Ye s, that is it from my end. T hank you so much.
Pallab Banerjee : Thank you.
Moderator : Ladies and gentlemen, that brings us to the end of the question -and-answer session. I would now like to hand the conference over to the management for the c losing comments .
Sanjay Gandhi : Thank you very much. In case of any further queries, kindly reach out to us or Strategy Growth Advisor or Investor Relations Advisor. Thank you.

Moderator : Thank you. Ladies and gentlemen, on behalf of Pearl Global Industries Limited, that concludes this conference. You may now disconnect your lines.

Call: May 2025

PGIL/SE/202 5-26/17

Date: May 2 7, 202 5

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Sub: Transcript of Conference Call
Dear Sir/Madam,
In continuation to our letter dated May 2 1, 202 5, regarding submission of audio recording of the Earnings Call held with Investors/ Analyst on May 2 1, 202 5, to discuss Company's audited financial results for the quarter and year ended March 31, 202 5, please find en closed herewith the transcript of the aforesaid Conference Call.

You are requested to kindly take the same on your records.

Thanking you,

Yours faithfully,
for Pearl Global Industries Limited

(Shilpa Saraf)
Company Secretary and Compliance Officer
ICSI M. No.: ACS -23564

“Pearl Global Industries Limited Q4 FY-25 Earnings Conference Call”

May 21, 2025

MANAGEMENT : MR. PALLAB BANERJEE – MANAGING DIRECTOR , PEARL GLOBAL INDUSTRIES LIMITED
MR. SANJAY GANDHI – GROUP CHIEF FINANCIAL OFFICER , PEARL GLOBAL INDUSTRIES LIMITED ,
MR. SHISHIR GAHOI – HEAD OF INVESTOR RELATIONS , PEARL GLOBAL INDUSTRIES LIMITED
SGA – INVESTOR RELATIONSHIP ADVISORS

Moderator : Ladies and gentlemen, good day, and welcome to the Pearl Global Industries Limited Earnings Call for Q4 and FY '25.
As a reminder , all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Shishir Gahoi – Head of Investor Relations of Pearl Global Industries Limited. Thank you, and over to you, sir.
Shishir Gahoi : Thank you very much. Good afternoon, everyone, and I am delighted to welcome you all to this Earnings Call for Q4 FY '25 and Financial Year '2 5. I hope you all had an opportunity to review our Press Release and the Investor Presentation , which are available under the Investors section of our website, and the same are also accessible in the BSE and NSE websites.
To discuss our Results , we have with us our Managing Director – Mr. Pallab Banerjee , and our Group CFO – Mr. Sanjay Gandhi. They will take you through our Results and Business Highlights , after which we will proceed for the question -and-answer session.
Before we start, I want to highlight that this call may include forward -looking statements based on the Company 's current views and expectations. Actual results could be different as future performance is uncertain and involve risks that are hard to predict.
I will now hand over this call to our MD – Mr. Pallab Banerjee. Over to you, Pallab.
Pallab Banerjee : Thank you Shishir. Good afternoon, everyone. I welcome you all to our Quarter 4 and Financial Year 2025 Earnings Conference Call. Since we came out of the pandemic years of COVID, our group has remained sharply focused on driving operational efficiencies and enhancing our overall profitability. This strategic focus has resulted in continuous growth for over the last 16 quarters and translated into our best ever financial and operational performance, both for Quarter 4 and for the full year of 2025.
We have implemented a series of measures aimed at strengthening our execution, optimization of our costs , and improving our productivity across the board. We will continue this journey that is to grow, to improve our operations, become more green in our ESG initiatives and resilient to potential macro factor shocks , and thus , delivering as per our objectives and the promises that we have made to all of you.
In Financial Year 2 025, our consolidated revenue reached INR 4,506 crores, marking a robust 31.1% year -on-year growth and reflecting a CAGR of 31.9%. This growth has been accomplished by a significant improvement in operating efficiencies.

Our adjusted EBITDA has risen to INR 411 crores and a PAT after minority interest adjustment reaching to INR 248 crores. Thus, our adjusted EBITDA and PAT have grown at a CAGR of 61% and 94.7%, respectively. This clearly highlights the impact of our strategy, our business model and the governance and efficiency -led approach that we have adopted.
Our return ratios have also improved dramatically. ROCE has surged to 30.5% and ROE has climbed to 20.1% this year, again, demonstrating our improved capital efficiency and the value creation.
Operationally, Financial Year 2 025 was also a standout year as we recorded our highest ever shipment volume of 74 million pieces, a significant jump over 57 million pieces the prior year. The performance reflects not only the strength of the customer strategy, but also our ability of enforcing manufacturing capabilities and the supply chain resilience that we have. Aligned with our commitment to delivering shareholder value, we continue to adhere to the disci

plined
dividend policy, where the Company declares a dividend of at least 20% of consolidated PAT annually. For Financial Year 2 025, the total dividend payout is INR 52.7 crores (wrongly said, kindly read it as 52.8 crores) , representing a 22.8% payout ratio (wrongly said, kindly read it is as 22.9% payout ratio) .

Now let's talk about the industry , our business model and our markets .

Over the past 3 years, or ever since the pandemic, the global landscape has remained highly volatile, marked by a series of macro factor challenges. We have witnessed inflationary pressures in all the developed markets, shortage of freighters and container s, local conflicts becoming a full-fledged wars, under and over -inventory situations in countries like U.S., fast -changing geopolitics , and all of these has resulted into significant amount of continuous disruptions in the global supply chains.

As a result, and finally, when the business seemed to be stabilizing and growing in the last few months of 2024, we now got hit by the imposition of reciprocal tariffs by the U.S. administration. In such a dynamic environment, our key strength of multi -geography presence has enabled us to remain resilient, and we continued delivering strong performance.

Our biggest market, U.S.A., if I speak about it, specifically on the recent U.S. tariff development, while a 90 -day pause has been announced, an additional baseline tariff of 10% is active from all the countries, which is exporting to U.S.

China has an additional 20% of so -called fentanyl tariff, and this is added to the baseline of 10%, totaling to 30%. All countries which are trading partners to U.S.A. are now engaged in negotiating a bilateral trade agreement or a free trade agreement wit h the U.S. administration. It continues to be a dynamic and evolving situation, and we are fully prepared to adapt as things progress.

We are confident that the structure of our business model with a diverse geographic footprint, supported by a strong customer relationship and a robust order book positions us well to navigate such uncertainties and continue to perform effectively. Irrespe ctive of the changing tariff regimes, significant proof of the customers' preference in our business model is being proven time and again.

I am also happy to share that last week; we were recognized as “Vendor of the Year ”. This award was given to us by a prominent U.S. retailer who is also amongst our top 3 strategic customers. Such an accolade normally was always going to the global giants from South Korea or from Taiwan. We are now one of the first South Asia or Indian s ubcontinent region vendor to get into this hall of fame.

Recognition was for our contribution as a global vendor with multi -country, multiproduct, execution, excellence and beating the expectations in partnering with this retailer in their supply chain strategies. This recognition does boost our confidence and brings more customer interest in our operations.

Now talking about the European Union :

As a consolidated market, this is one of the largest market in the world today. European Union is engaged in an FTA discussion, Free Trade Agreement discussions with India, and we expect to conclude this within the next 2 quarters. Countries like Banglades h, Cambodia, Turkey and Vietnam already enjoys this free tariff benefits , either full or in partial.

We are currently engaged with customers from Spain and Denmark. As you know that we have a design showroom and are actively engaged with our Spanish customers very closely. Inditex is one of our top 3 strategic customers from Spain. We do expect a lot from this market and other EU states in the near future once this FTA is signed.

Moving on to United Kingdom :

India and U.K. have recently finalized a Free Trade Agreement, eliminating up to 12% of duties on Indian garments, w

hich is entering into the U.K. market. This makes us significantly more
competitive as a country, putting India at par with other countries like Bangladesh, Cambodia, Vietnam and Turkey, which already have been enjoying this duty -free access to U.K.

With nearly 50% of the U.K.'s apparel imports coming from China, Bangladesh and Turkey. And if you notice, the China's share has been continuously dropping from 35% in 2020, it has dropped to almost 21% by early 2025.

We are well positioned to gain more market share amid this global shift away from China. India is well positioned to gain this market share as it moves away from China. The U.K. market contributes around 5% of our total business at Pearl Global, primarily serviced from Bangladesh. We now look forward to significantly growing our share from India as well. We forecast that

U.K. revenue from India will grow minimum 3x within the next 2 years. As you already know, we have an office in London servicing our U.K. customers, and we have been engaging post this FTA scenarios with our existing and the new customers.
Moving on to Australia and Japan as markets :
On the Eastern front, we continue to increase our market share steadily with Australia and the Japan customers. Please remember that for both these countries, India enjoys a free trade agreement.
Japanese customers also need a very good quality, almost a zero defect quality standard and thus significantly improves our manufacturing standard as well. The market dynamics in Japan are very different as compared to the Western markets. And this adds to our expertise and the skills to tackle to a diversified customers from diversified markets. We expect a significant growth in both these markets over the coming years.
To give you a perspective of the market -wise share :
Our last 3 years, we have significantly reduced the dependence from the U.S. market. It used to be more than 86% of our top line in Financial Year 2 021. Now by the end of 2025, this number has come down to 64% of our total business share for U.S. European Union approximately adds to about 16% of our total revenue, followed by Japan, around 7%. Australia and U.K. are around 5% each; and Canada, approxi mately 3%.
Although our U.S. -based customer contributes to 64% of our top line, however, significant amount of goods are shipped and sold outside of U.S. These brands, which are taking from us the goods, U.S. -based companies, but their sales are happening outside of U.S. as well. So when we look at this number, what is the number that is moving into the country of U.S.A., that number is standing between 46% to 50% of our total revenue and not 64%.
Now, let me speak about our manufacturing basis :
Let me begin with India :
We are pleased to report an improved performance for the Financial Year 2 025. Our stand -alone India revenue for this year reached INR 1,196 crores, reflecting a year -on-year growth of 25.4%. This solid top line momentum has been complemented by a significant turnaround in profitability. India EBITDA stands at 10.2% for this Quarter 4 of 2025. On the infrastructure front, we have already added capacities and multiproduct capabilities in our existing facilities that are located in the metros of Gurgaon, Bangalore and Chennai over the last 2 years.
Our India revenue :

So this India revenue of INR 1,196 crores , and we already have built up a capacity to execute more than INR 1,600 crores, thus giving us the preparedness to accelerate the India business as the Free Trade Agreements of U.K. and potentially from European Union and U.S. are signed within this year. Further incremental capacities are getting added, but across the Tier 2 cities of India. Our Bihar factory is operational now, and we will be scaling it up within this financial year. We have a

lso secured additiona l capacity through partnerships in Orissa and Andhra Pradesh.
Moving on to Bangladesh :
We are now in the 4th quarter of operations since the unrest and the government transition that happened in Bangladesh last year. It has consistently delivered exceptional results for us. We recorded our highest shipment volumes in Quarter 4 with zero delays and with very robust operational performance and a healthy growing order book. We remain optimistic about further improvements in the coming quarter.
All our facilities are running at optimal capacity with growing collaboration from partnership factories. European Union and U.K. customers remain strategically engaged and reinforcing our growth path.
Once again, let me reiterate that Bangladesh continues to benefit from several structural advantages, including competitive cost, high productivity, skilled labor, experienced operational management and favorable trade agreements with the key markets such as European Union, U.K., Canada, Australia and China.
Now all these trends position Bangladesh as a consistently competitive player in the global apparel industry. Bangladesh has started its talks intended for a Free Trade Agreement with U.S.A., which could be an important step forward for a trade between tho se 2 countries. To harness the growing demand, we are actively pursuing value -accretive capacity expansion opportunities. We are also assessing potential acquisitions in Bangladesh.
Now shifting our focus to Vietnam :
The country remains bullish on its manufacturing, actively engaged with the U.S. administration for the potential FTA or a bilateral trade agreement, has already become a member of

comprehensive Trans -Pacific trade pact in December 2024, thus adding 9 -plus countries with zero tariff access, including major markets like Canada and U.K. We recorded a strong growth from Vietnam this quarter, and we remain optimistic about sustaining this momentum.
We added one of our fastest -growing retailer in the premium segment that is headquartered in out of Canada and is growing very fast in its market share in the U.S.A. as well. A new partners hip factory has been established, laying groundwork for future expansion. We anticipate that this move will drive meaningful growth over the next year as well. Our focus remains on growing

steadily in this market while consistently delivering a high -quality service to our premium customer base.
Moving on to Indonesia :
Our new factory is now fully operational and receiving strong interest from both existing as well as new customers. We plan to scale up the production over these coming quarters, positioning ourselves towards a significant increase in volume and value in t he next financial year. Strong customer demand and continued focus on premium clients support this recovery very well.
And finally, about Guatemala :
Customer interest in the Central American operations continues to grow, largely due to the reduced transit times to the U.S. just over a week and with Zero WTO tariff.
While these are the clear advantages, manufacturing capacity in this region, including ours, remains modest compared to our more established Asian operations. In Guatemala, we expanded rapidly from 3 to 12 production lines, which brought short -term operati onal challenges and required significant investment in staffing and training. However, with the appointment of a new CEO, it has led to a notable improvements in efficiency and the shipment performance.
Despite these initial setbacks, our focus on reliable service ensured the continued customer trust in Guatemala, which is now translating into a repeat business with a productivity which has to improve, like which currently has improved up to 45%- 46%, 47%, and we are aiming to achieve about 70% to 75% very soon. We are confident of a strong turnaround and ac

hieving a cash
breakeven within this coming year.
So now, I will hand it over to Sanjay – our Group CFO, who will provide you a detailed overview of our Quarter 4 and the Financial Year ‘25 numbers. Sanjay, over to you.
Sanjay Gandhi : Thank you, Pallab, and good evening, everyone. Welcome to our Quarter 4 and FY ' 25’ Earnings Call.
I will now walk you through our financial and operating performance for the quarter and year ended 31st March 2025 :
Starting with our Quarter 4 FY '25 consolidated financials :
We are glad to report our best ever consolidated performance for both Quarter 4 and full year FY '25, setting new records across all key financial indicators, revenue, adjusted EBITDA, profitability.
In Quarter 4 FY '25, our revenue reached INR 1,229 crores, making a substantial year -on-year increase of 40.1%. Adjusted EBITDA, excluding ESOP expenses, came in at INR 119 crores, up by 41.7% year -on-year, with margin at 9.7%. Excluding for losses in operation at new

facilities, Guatemala, Bihar, adjusted EBITDA for Quarter 4 FY '25 stands at healthy double - digit 10.5%. PAT, after minority interest, stood at INR 68 crores, marking a growth of 32.9% year-on-year. We have reported strong EPS at INR 15.1 in Quarter 4 FY '25 compared to INR 11.82 in Quarter 4 FY '24.
Coming to consolidated performance for FY '25 :
In FY '25, our consolidated revenue reached highest ever of INR 4,506 crores, grew by 31.1% year-on-year compa ny achieved sales value and volume growth across geographies. Adjusted EBITDA crossed INR 400 crore mark, rising to INR 411 crores, up 29.8% year -on-year. Excluding ESOP expenses, our EBITDA reflects sustained financial strength. PAT after minority interest stood at INR 248 crores, up 42%. For FY '25, we have reported EPS of INR 54.96 compared to INR 40.26 in FY '24. Please note that FY '25 includes an exceptional gain of INR 5 crores due to gain on sale of noncore assets.
Operationally, FY '25 was also a standout year as we recorded our highest ever shipment volume of 74.3 million pieces, a significant jump from 56.9 million pieces in FY '24. This performance reflects not just the strength of the demand from our customers, but also our enhanced manufacturing capability and supply chain resilience.
Turning to our standalone financials :

For Quarter 4 FY '25, revenue touched all -time high, closing at INR 397 crores, a robust 24.2% growth year -on-year. Revenue for FY '25 grew by 25.4% year -on-year to INR 1,196 crores. Adjusted EBITDA, excluding ESOP expenses for Quarter 4 FY '25 nearly doubled to INR 40 crores compared to INR 21 crores in Quarter 4 FY '24, which is strong 96% year -on-year growth. Notably, India operation alone are now delivering a double -digit EBITDA margin of 10.2% in Quarter 4 FY '25. For FY '25 adjusted EBITDA stood at INR 66 crores, a 34.9% robust growth on a year -on-year basis with a margin of 5.6%.

PAT for Quarter 4 FY '25 grew by 95.2% to INR 23 crores. For FY '25, PAT increased substantially by 94.4% year -on-year to INR 55 crores. We have reported EPS at INR 5.14 in Quarter 4 FY '25 compared to INR 2.74 in Quarter 4 FY '24. For FY '25, EPS stands at INR 12.15 compared to INR 6.5 in FY '24.

Key financial indicators at group levels are :

Net debt-to-EBITDA has reduced to (-0.4x) [wrongly said, kindly read it as (-0.04x)] for March '25 from 3.43x in March '21, indicating a strong financial position and higher ability to cover debt. Cash and bank balance, excluding cash earmarked for LC payment is INR 513 crores as on 31st March '25.

Net working capital days are 38, well below our targeted number of days. Increase in inventory is in line with an increase in revenue. Inventory number of days are 57 and are in line with our estimates, considering sale plan for coming qu

arters.

Trade payable s are in line with the credit terms in respective geographies. Return on capital employed improved from 28.2% in March '24 to 30.5% in March '25 due to prudent capital allocation policy, strong profitability at a group level and efficient working capital ma nagement.

Other key highlights of the year :

The Company has received a credit rating upgrade, reflecting its strong financial position and continued operational resilience. ICRA has assigned long -term rating A stable and an A1 rating for short -term obligation, reinforcing the Company 's credibility and ability to meet financial commitment efficiently. Enhanced Board strength with the induction of 2 independent directors, Mr. Rahul Mehta Narendra and M rs. Jyoti Arora , reinforcing governance excellence and strategic oversight.

The Company has appointed Deloitte Touche as its statutory auditor for Pearl Global Hong Kong Limited for FY '25, '26, '27, strengthening financial transparency, regulatory adherence. Ernst & Young actively oversees internal audit for India, Bangladesh and now expand its role to Vietnam for FY '26, enhancing compliances in key markets.

Update on CAPEX:

Year under review, that is Financial Year '2 5, the Company has incurred CAPEX of INR 135 crores, which includes INR 75 crores towards capacity expansion, sustainable laundry capacity expansion in Bangladesh.

Capacity expansion is across geographies, whereas the laundry capacity expansion is in Bangladesh. INR 22.5 crores towards the land acquisition in Bangladesh for future capacity expansion, INR 12.5 crores in Vietnam towards securing partnership capacity. T he remaining CAPEX is for replacement and efficiency improvements.

It's worthwhile to note the land acquired in Bangladesh can add factories having capacity from 2,500 to 3,000 machines. We have earlier updated regarding leasehold land in Madhya Pradesh, India, where we can set up a factory for capacity up to 1,500 machin es. With this, we have opportunity to expand capacity in India and Bangladesh simultaneously.

For FY '26 CAPEX plan, the Company plans to incur INR 250 crores for the year, out of which INR 130 crores for capacity expansion in Bangladesh and India: on Bangladesh of INR 110 crores and India INR 20 crores, respectively. INR 90 crores is for sustainable laundry capacity expansion in Bangladesh, INR 5 crores for solar power installation at all the factories in India. Remaining CAPEX is for replacement and efficiency improvement.

The capacity expansion CAPEX , which is highlighted above, will lead to enhancement of capacity by approximately 8 million pieces; 5 million to 6 million in Bangladesh, 2.5 million to 3.5 million pieces in India.

In-house laundry capacity expansion, as mentioned above, will reduce the washing cost significantly and also reduce the water consumption, leading to sustainability in CAPEX , generating a return on capital employed of 18% to 20%.

All CAPEX projects being undertaken by the Company across geographies are with the highest

standard of sustainability by optimizing water and energy consumption, minimizing environmental impact and supporting green initiatives.
In brief, we have delivered an exceptional performance in Quarter 4 FY '25, reinforcing the strength of our business model , backed by a robust and diversified customer base and a well - established global footprint. We are strongly positioned to build on this momentum.
Looking ahead, we remain confident in our ability to accelerate our strategic milestone for FY '28 and unlock sustained value for our shareholders.
Now, we can open the floor for question and answer.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking. Please go ahead.
Bhavya Gandhi : Yes

. Hi. Thanks for the opportunity and c ongratulations to the Management on a great set of numbers. Sir, my first question is regarding the revenue potential for the full year basis for Indonesia and Vietnam and Guatemala. Assuming maybe like 85% capacity utilization, what could be the full year revenue potential from these 3 geographies?
Pallab Banerjee : So, if you see like in Indonesia, the capacity that we have built up, we should be able to cross $30 million, $35 million easily. It might go up a little bit more over the next 2 years. Similarly, Guatemala as of now is a smaller capacity. We should be doing about $10 million to $15 million is the maximum potential that we have, what we are foreseeing. And then which is a country you said, Indonesia and Vietnam. Vietnam, we are almost nearing $100 million. We should be comfortably crossing that mark in Vietnam .
Bhavya Gandhi : $100 million, right?
Pallab Banerjee : Yes.
Bhavya Gandhi : Okay. Okay. And sir, just if you can provide some ground -level feedback with respect to how are the purchase order s being placed by retailers, especially after this 10% tariff introduction, some ground -level feedback on how things are happening.

Pallab Banerjee : So especially about U.S. market then you are talking about. So in U.S., what we find is that there was a lot of confusion , because with the U.S. administration coming in bits and pieces, initially, they put 10% and then they said that they will put the reciprocal duty, which was put for a day and then was taken off for 90 days.
And again, China was implemented with 145% tariff , and then it has been taken down to 30%. So a lot of moving parts in U.S. at this point of time. So when the tariff was high, for example, China at 145%, which definitely brings in a lot of these goods, which are sold in the holiday season. That means all the Christmas gifts, Christmas items, decorating items, a lot of accessories and all. So those kind of was a big concern for most of the retailers and which has been now avoided by decreasing the tariff to 30%.
Now as these moving blocks were happening, there was definitely a conservative approach from the retailers. So they were trying to save money from here and there to make sure that even some product of Christmas and all should be there in the store.
Now with this moving away from this 135% tariff, 145% tariff, it gives a good relief to the U.S. customers. So far, we have not seen a big trend difference like a reduction on order booking and all. We are not seeing that. Yes, the press had come out with lot of numbers and figures of consumer sentiment coming down and there could be a situation of empty sales. So far, nothing of that we have seen.
April has been a good month of sales in U.S. And May also beginning, we saw that the sales have been started well. Let's see how the whole month of May goes. So far, most of these retailers are getting sales as per their target. So there should be open to buy, which is normal. So let's see. They were a little bit conservative in terms of placing the holiday numbers, but not a big change as of yet.
Bhavya Gandhi : Fair enough, sir. And just one last thing. What would be the customer addition for the quarter and the full year, if you can provide any new customers added on the retailers or the brand side?
Pallab Banerjee : As a group, we are continuously adding customers like we are approaching new customers. As our name is more well established among the customers across the globe that we are a global supplier with multi -country, multiproduct , and doing well with the very reputed ones. So we are able to move in with the new customers. As you know that in this industry of ours, the entry barrier is high
Normally, it's very difficult for a vendor to acquire a customer. But so far, at Pearl Global, we have been able to maneuver through this

quite well. And even in the last 5 years, we have added a significant amount of business from the new customer base th at we have been building up. And this exercise is on. Even like in this year or so, in this last year, 2024 -'25, at least 2 very significant customer has got added to our list. And so we expect more to do in this year. By significant, I mean, like somebody who has a potential to do more than $20 million, $30 million.

Bhavya Gandhi : Fair enough . That is from my end. Thank you. I will get back in the queue
Moderator: The next question is from the line of Ashmita from Electrum Capital. Please go ahead.
Ashmita : Yes. So just a few questions on my side and thank you for the opportunity . So just wanted to know that with the tariff that is now in place , and that we are expecting some margin impact, what would be the share of added cost that we would be absorbing versus passing on to the brand? So just wanted to know that.
Pallab Banerjee See, as the tariff got added, most of the retailers were looking into opportunities of mitigate this tariff. One of the methods that some of these retailers followed is to ask the vendors to burden share the tariff. That means the tariff burden that they h ave got, a portion of it can be shared by the vendors. And that's the negotiation that was happening, and you may have heard about that. Now that doesn't mean that each and every vendor has come back with this kind of request. And this is not the only formula that is working. So as a Company , Pearl Global, we have been engaged with these customers. So one of the method is, yes, some kind of burden share.
The second method is as they are mitigating their risk to move from a country like China, which was slapped with about 145% duty and they needed an emergency other help, so we could come to the action and do that.
And in some cases, like there have been ways that their costs are high when they take the goods and land them in U.S. That means I am talking about freight , insurance, logistics handling, blah, blah, blah. So that portion, like if we can land the goods for them in U.S. and mitigate some of those extra costs from them without affecting our bottom line. So those are all the 3 methods that so far we have used , and a few more in terms of negotiations with the raw material suppliers and other things. So all this combination is something that we are operating.
But if specifically you are looking for what kind of discounts or burden share that these customers have been asking, that was varying from anywhere from 1% to 4%. For us, like wherever we have agreed to, it's not more than 2%, 2.25% is something that we have agreed to in some of the cases, not in all. And as I mentioned, only about 45% to 50% of our total turnover is landing into U.S.A., where this thing was valid. So I don't see a big impact on this. So that is why it's not a major feature for us.
Ashmita : All right. And my second question would be now with the India blocking the RMG transshipment that we have seen. And I think the lead times would be increasing via Bangladesh, right? So like how is Pearl impacted in terms of supply chain efficiencies and delivery time lines, if you can just help.
Pallab Banerjee : So what I know that India has limited that the Bangladesh garments can be brought into India, not through the land route, but can be done only through the sea ports of Kolkata and Mumbai. So that means the retailers in India, when they are buying goods fro m Bangladesh, they have to

bring the goods out of Kolkata port or from the Mumbai port, which means that their transit time goes up by a couple of weeks.
Now this particular ruling doesn't impact us because none of our production of Bangladesh was coming into India in any way. So we are not in any kind

of impact or effect on this r uling for us.
Ashmita : Sir, my last question is...
Moderator: Sorry to interrupt, ma'am, but I may request you to rejoin the question queue.
Ashmita : Sure. Sure. Thank you.
Moderator: Thank you. The next question is from the line of Dhwanil from iWealth Fund. Please go ahead.
Dhwanil Shah : Congratulations on a good set of numbers. Sir, first one on the industry side, right, now with the U.K. FTA coming in, right? And sir, as we are present in the other geographies also, right , so if you can just give us some understanding, how do you see the overall India demand shaping up? And in terms of cost also now, sir, against Bangladesh, how would we be placed?
Pallab Banerjee : So U.K. FTA is a good news for India overall. India, if you see like out of the $16 billion, close to about $15 billion to $16 billion of apparel exports that India does, almost about, I think, between $1 billion or $1.5 billion is going to U.K.
Now, I think that number will grow significantly, because we had a 10% to 12% extra duty that our goods have been paying as it was entering into U.K. So that definitely for the retailers or the brands, it was not a good proposition to import out of India. So only the goods, which were like something unique for India or something very fashionable with the other countries cannot do was only coming into India.

Now that this level flying field is there , where we will not be charged this duty. So naturally, the Indian manufacturers can compete much more than along with this Chinese or other big players. China was having a big share, almost 35% is a drop to almost 21%. That's because of the anti - China fill ing or basically like more of decoupling from China. But that market share India also can gain quite a lot. Initially, it was going to other countries like Bangladesh, Cambodia and Turkey. Now India also can compet e in that sphere. Now if you are talking about India versus Bangladesh, Bangladesh will continue to be cheaper , because of all the other factors that I just mentioned, whilst...

Dhwanil Shah: Employee would be the main in that?

Pallab Banerjee : Yes. Cost of manufacturing, the efficiency level, everything is better in Bangladesh. So still like apples -to-apple comparison of same product if I am shipping out of Bangladesh factory and from my India factory, Bangladesh would be cheaper by almost about anywhere between 5% to 7% might be cheaper. But earlier, that 5% to 7% plus this 12% duty, it was impacting by about 17%.

So now that number comes down significantly. So yes, there should be some significant growth, even like some of our Tiruppur vendors and some of our low -cost center factories in the Tier 2 cities and all, we should be able to compete with Bangladesh.

Dhwanil Shah : Okay. And on the other geographies, sir, Vietnam, Indonesia, so now India would be on the level playing field ?

Pallab Banerjee Yes. So see, U.K., the Vietnam got the benefit only by December 2024. So there is not a significant business of U.K. in Vietnam. So definitely, now India and Vietnam would be more like simultaneous we can grow. And Cambodia and Bangladesh had a major share. So those are the ones like we should be competing now, and we have a m uch more level playing field, including Turkey and all. So Turkey still enjoys the faster transit , because from Turkey to U.K. is hardly about a week and all. So that's the advantage that Turkey will still continue to have. But otherwise, like India is in a much better place to compete.

Dhwanil Shah : Okay. And sir, my second question was on the overall capacity now, right? So I think Q4, we were at 88% utilization. And going ahead, sir, with the overall expansion plan, right, I think we would be adding close to 8 million pieces this year. right? So which is kind of 8%, 10% of capacity extra we are doing, right

?

So in terms of our, sir, overall vision, which we had and with the 130 million, 140 million capacity expansion, by when do you think, sir, that will happen? And what kind of CAPEX broadly, sir, we would be needing? And in terms of geographies, the incremental capacities will go there, which of the countries?

Pallab Banerjee : Yes. So first of all, like one thing to make clear that we had given you a snapshot of where we wanted to be in 2028. So we said that we want to export, or we want to ship 100 million pieces by 2028.

Now to ship that 100 million pieces, and that's not the last year of our operation, and that's not the final goal. We want to be a much bigger organization. So we continue to invest in our capacities every year. So by 2028, or we had a plan, or we still have that plan that our capacity should be in the range of about 130 million pieces by that time. And we still should be comfortably shipping 100 million pieces.

Now how does it correlate? Capacity means that we build the infrastructure. And as we ramp up those infrastructure by hiring the full strength of people, that takes a little bit more time. So as we make an infrastructure of, let's say, 130 million, to use that 130 million might take about more than 1 year or 2 years to get to that full capacity. But our capacity will be ready by the 2028 , when we will be shipping 100 million. So that is the reason for which you will always see that our utilization is about 80% or 79% or 81%. That will always be like that , because continuously, we are growing the capacity for the demand for the future.

Now last year, for example, in India, we continue d to grow, although like everybody else was shutting down the factory because there was an over -inventory situation in U.S. and the order book was less. But we knew that, okay, this is the year that things would be happening and we would needing this capaci ty, so which we continue. So as a group, we continue to expand on our capacities, keeping in mind the future strategies that are going to be enacted by us. So that's the capacity front.

In terms of where this capacity will be allocated or created, that will depend on the business ROI and ROCE and ROE. Like these are things like which Sanjay and his team continuously continue to monitor. And that drives our investment in the locations. So, so far, it seems like Bangladesh

is a very competitive country.
India is getting a good potential because of this potential FTAs, which we have to encash upon.
Vietnam, Indonesia are more specialization on higher end of the product. So naturally, it will be lesser than the India and Bangladesh, which is more of a mass merchandise and the mass market that we cater to. And Guatemala will be very, very restricted because that's just more of a showing a feather in our cap to our customers , because that's a very expensive country and not so efficient country. But yes, becaus e of its location and all, we have to showcase that to our customer that we have a presence out there. That's the kind of overall plan.
Dhwanil Shah : So sir, for the next 2, 3 years...
Operator : Sorry to interrupt, sir, but I may request you to rejoin the question queue for follow -up questions.
Dhwanil Shah : No, it was just on the continuation of what sir was saying. Okay, I'll come back.
Operator : The next question is from the line of Rudraksh Raheja from ithought PMS .
Rudraksh Raheja : Congrats on good set of numbers. My question pertains to our customer acquisition. We already cater to big players like Walmart, Target , etc. Let's say, if you want to start a new engagement, could you help us understand the time line and different stages in between acquiring a new client and reaching a sizable commercial scale of orders?
Pallab Banerje e: So yes, first of all, a little bit of correction. When you say Walmart and Target, for

both these,
we are not catering to U.S. market. We cater to Target of Australia market and Walmart for Canada and Mexico market as of now. But yes, like in terms of acquisition of a new customer, yes, it depends on both the customer and us, like how we are positioned. For example, Walmart or a Target kind of customer, it's very, very difficult to enter those kind of customer base , because there are many, many players from across the globe who are always vying for it, and they have a huge waiting list in terms of adding to their base.
But yes, this kind of when such a, I would say, disturbance that happens or basically the whole resetting due to the tariff and situation like this comes up, then there is an opportunity at that point of time. It definitely opens up. So that might speed up the process even for a customer like

Walmart and a Target. Otherwise, like what we do, we are in touch with many good customers where we think there is a different potential where we can serve them.
And what is that particular category, what they are looking for or the region that they are looking for where they have, I would say, a white space or a gap or a hole. So if I can strategize and pitch myself on that front that, okay, I can immediately provide you a solution that you are looking for, then that speed up the whole process.
Otherwise, like if I just go, okay, I am a vendor in India and I have a factory in India and please give me an opportunity, it can go on for years without getting an entry. So you see like there are not a simple answer to the question that you have asked. If you can really know the strategic intent of that customer , and the category that they are looking for, where there is a white space and you can fill it up, then it's like very smooth, like a knife on a butter, and it can go very quickly. So I don't know if that answer satisfies you or not, but that's how it operates.
Rudraksh Raheja : Sir, just hypothetically, how quick are we talking about like 6 to 12 months or even lesser than that?
Pallab Banerjee : Yes. We have experiences in which we could build up a significant amount of business. For example, I mentioned in my speech about a very good, fast -growing customer of Canada -based and retailing in U.S. Now that particular customer had a need. So once we s tarted speaking, within months, we have started shipping to them. So that's because they had a particular need and we could fulfill that, and we were absolutely prepared. We have been watching them.
We knew that as soon as this opportunity comes, then we would start speaking to them. So as this thing started happening, so from the first date of communication to execution and order happened very, very quickly. And there have been cases like another customer in U.S., which we are trying to rope in and they have g iven us the confidence that they want to work, they find that our factory good and product good and all. But this conversation is going on for more than a year. We haven't seen a conversion as of yet. So again, like it varies.
Now, if I have a one country kind of factory and a general factory or a traditional factory, then I have to prepare the factory, I have to prepare the systems, process and all. For a Company like Pearl, where we are located in multi -country and awareness of the customers' need because we do cater to more than 30 top line customers across our countries.
So we do have that preparedness and the readiness level, which is very high. That's one of the reasons that you have seen like some of our competition in India and all have to acquire a Company to add customers, whereas we can approach a customer and develop the business. So there's different strategies that each of us play to get a new customer.
Rudraksh Raheja : Understood, sir. Sir, my second question is on our U.S. business. An Indian textile servic

e
provider with a very good reputation has grown in U.S. in last 2 years. So are we seeing any increase in competitive intensity there?

Pallab Banerjee : You mean that Indian vendor ha s gone to U.S. and taken a position? I didn't understand your question.
Rudraksh Raheja : Yes, yes. Indian player, a very good player with stellar reputation in global markets. They have expanded their businesses in U.S. for last 2, 3 years. So are you seeing any increase in competition in the U.S. markets?
Pallab Banerjee : See, U.S. market is always a high competition , because the volumes are big. It's an attractive market , and English -speaking customers and all. So definitely, there is always a competition.
The major players in U.S. are the South Koreans, the Taiwanese, the Chinese. I am not too sure about India, like India has a very small segment among all the U.S. customers. So if 1 or 2 Indian vendors get added up, I don't think it makes a big difference , because the big players still belong to these oth er countries. And we find our main competition is against them.
Rudraksh Raheja : Understood, sir. Understood. Thank you.
Operator : The next question is from the line of Parth Patel from Unifi Investment. Please go ahead.
Parth Patel : So, thank you for the opportunity , sir. And again congratulations to Pearl Global team for consistently delivering over the last, 2 quarters, right, good growth. So my first question is, so can you give us a broad sense in terms of the top 5 or top 10 strategic clients of Pearl Global? So what is the revenue contribution from those clients in FY '25?
Pallab Banerjee : Thank you, Parth. First of all, you are asking me about the top 10 customers and what is their market share that they have?
Parth Patel : What is the revenue contribution from top 5 clients?
Pallab Banerjee : So basically the top 5 should be about now around 60%...
Sanjay Gandhi : Yes. The top 5 should be 60% and the top 10 will be around 78% to 80%...
Pallab Banerjee : 78% to 80%, yes.
Parth Patel : Yes. So my second follow -up question to that is, okay, what would be Pearl Global ’s wallet share in those top 5 or top 10 clients?
Pallab Banerjee : So for those, let's say, I am talking about top 3, let's talk about. So I have a customer like Kohl's, where I belong to almost in the ir top 3, basically, from their side, normally, their exposure in one particular vendor would be in single digit, maybe about 5% to 7% maximum in the top 3 vendors that they have. So my share for them, like I would be only about that much of percentage. Then I have got, let's say, PVH Group. So that also belongs to one of our top 3 customers.

So similar number, maybe like a little higher percentage. Whereas we also supply to Inditex Group a significant number. They are in our top 3, but they are such a big customer, big volume that they buy. I may not be even 1% or 2% for them.
So depending on the size of the customer, our goal is that the top 3 or top 4 should be in the $100 million range. And then the next year should be in that about $50 million range. So like that, we have classified how we will approach them.
Parth Patel : Okay. Fair enough. And then my second question, so the last annual report, you have mentioned that you have an in -house design team, right, across the 4 different locations of around 75 members, right? So can you just explain how the in -house design team helps in the core business, or the design team is more working towards kind of a new ventures like Pearl Unlimited in U.S. for the brand licensing business?
Pallab Banerjee Yes. So we have designers in across all the locations where we are manufacturing , so that we continuously design and show the product as per our strength. And also, we have design teams in the bigger

markets, markets like U.S., U.K., Spain. This is where we have a design team and our own showrooms, where we can engage ourselves with the customers' design teams, and we can co -create the product together or always know what is going on in their mind and be prepared much, much more. So that's t he intent that we have.
If you see like how do we do our planning and manufacturing, almost about 70% to 80% of our business, we would like to have more of an auto mode , where we have these top clients, as you just heard, like these top 10 clients. So they are the ones like where we are talking about strategic and long -term vision that we have. So more or less, there is some kind of guaranteed business , which we can expect that will come season after season or year after year. So that's something is we have to secure ourselves.
And then there is another that could be, let's say, even if 65% to 70% of our business is like that.

And that another 15% to 20%, we should be continuously showing them the design and make sure that this capacity is completely full. So that's the reason fo r which we continue to give the design inputs to our customers. And we are proud that, okay, almost about 40% to 50% of what we finally manufacture comes from our own designs.
Parth Patel : Okay. Fair enough. Fair enough. That's it from my side.
Moderator: The next question is from the line of Pulkit Singhal from Dalmus Capital Management. Please go ahead.
Pulkit Singhal : Thank you for the opportunity. And c ongrats to the management team for a good set of numbers. The first question is regarding capacity expansion. Your commentary is largely positive, driven by various FTAs and whatever you are seeing on the ground. And we have grown volumes at 15% CAGR over the last 5 years.

Now, given that we are already operating at an optimum 77% utilization, one would assume that even for a 15% volume growth, you have to add easily 14 million, 15 million pieces every year. But somehow, you are adding only 8 million. And I am just wondering why is the capacity addition lagging growth figures?
Pallab Banerjee : First of all, thank you, Pulkit. See, when we talk about the capacity addition, or this capital allocation, it is more of the investment that we are directly doing. Keep in mind that always we have a combination. We have certain capacities that is , we are investing upon and directly making it, and there is some partnership. So the partnership is always a flexibility that I have, which I can grow as per the need that I have.
And if you see like we have done 74 million pieces this year, and we already have with us 93 million, which is ready. And we would be going comfortably much above than 103 million that we have planned from 93 million to 8 million, that will be 101 million. But yes, also I mentioned in my speech about certain partnerships that we are doing even in India, along with Bangladesh and Vietnam. So there will be some other further additions to it. So this will be the directional that which we can see and we are sur e of, because we are investing this money.
Sanjay, you want to add something on this?
Sanjay Gandhi : Yes. So from 74 million pieces, if you take, let's say, 15% also growth, we will be looking at 85 million of shipped pieces. With the current capacity, 93.1 million and the rest 7 million, 8 million getting activated during the year, we will be comfortably placed to have those numbers achieved during the financial year as we are saying that 12% to 14% volume growth even in this current financial year FY '26, which we are pretty confident. And during the year, we said there are other projects also which are under discussion. As of now, we have done this active evaluation and zeroed on this project, which will be starting implementation, but the rest of the opportunity will come.
And during this commenta

ry also, we mentioned there are some outsourcing facilities in India, which are also under evaluation. So even if we take 93 million, I think there is a good headroom for us to really cover in the next 12 months' time period. But th ere will be addition which will happen during the year also, which will take us to a number which is higher than that. And from 130 million is what we have stated by FY '28, I guess we should by early part of FY '28, we should be looking at this 130 millio n pieces capacity.
Pallab Banerjee : And if I may add, like I think the last 3 or 4 years, we have done much, much better than 14% growth. And yes, our plan is definitely have a stable growth of a CAGR of 14%. But yes, we are always ready even to do more 25% to 30% also. And you have seen tha t time and again.
Pulkit Singhal : Yes, I was referring to volume growth actually. Value growth is definitely higher. My second question is on margins. I mean, last 2 years, if I look at it, our business has grown 50% broadly , but margins have gone from 8% EBITDA to 9%.

And in fact, even last year, despite a 30% revenue growth, 9% has remained flat. So I am just wondering, with scale, one typically assume s some kind of margin expansion, but then there's an element of mix , etc. So how are you seeing things in terms of margins? I thought that we would have achieved double digits, but it seems to be a bit elusive so far.
Sanjay Gandhi : So, Pulkit, if you look at our Quarter 4 financials, India, we are at 10.2%. And if you look at the group number also for Quarter 4 , excluding the new facility losses, we are at 10.5% at the group level also.
So clearly, with this revenue stream and once our new facility stabilizes, we are already at that mark of double -digit EBITDA, which means that after doing this demonstration, in the medium term, we are pretty confident of achieving this 10% plus. It can b e higher also between 10% to

12% is what we have stated in the medium term to achieve this.
Why we specify this range is because there are multiple levers which we are working on aggressively. 3 or 4 levers, which we can mention is Guatemala losses, which should be converting into the breakeven and then generating a profit.
Indonesia full capacity utilization with U.K. FTA, another FTA with India coming in, the capacity ramp -up in India. I think these levers will materialize at different point in time. And once the conversions take place of all these levers, we are definitely looking at much ahead better than 10%. So that's why we have given a range of 10% to 12%.
So just to mention that in the medium term, we are pretty confident of achieving this double -digit EBITDA margin. We have very well demonstrated this. I think this can give us a cue in terms of the leverage which potential which is available even with the existing operation as of now.
Pulkit Singhal : What is the expectation this year?
Sanjay Gandhi : So as I mentioned that there are multiple levers. We are working on it. And I think in the medium term, we are looking at a double -digit EBITDA margin.
Pulkit Singhal : Understood. Thank you and all the best.
Operator : Thank you. The next question is from the line of Prerna Jhunjhunwala from Elara Capital. Please go ahead.
Prerna Jhunjhunwala : Congratulations, sir, on a strong set of numbers. Sir, I missed the U.S. commentary. The question that I had on U.S. was how are the clients talking about in terms of volume growth and in terms of tariff sharing during this 90 -day pause and we saw that.

Pallab Banerjee : So volume growth, if you look at U.S. market over the last 4 to 5 months, the volume growth is quite good. In fact, even in the first 2 or 3 months of this year, you can see that the U.S. imports are on the double -digit increase.
So I think tha

t should have continued, a little bit of skepticism and all this is coming up , because of this tariff uncertainty. But I think overall, the market is not suppressed as of yet. So let's see how things go. News are very different every morning . We have a President like who speaks quite differently between the morning and evening. So I think so far, people are accepting him, and I think the life continues.
In terms of this tariff, which is a baseline additional tariff of 10% that has been implemented. So there have been trials from the customer side or basically the retailers and the brand side to increase the price tickets. So if somebody is doing it public ly, they are getting reprimanded by the President and his group. But still, ultimately, some balance will come up.
In the short run, for this quarter, which is taken by surprise, so some of the retailers did come back with kind of what kind of alternate solutions can be done. As I just mentioned, some people ask for some kind of burden share , others ask for some logistical solutions. The third group of customers wanted help. So they thought that if we can share that kind of help, then it is good enough for them. So all combinations are going on.
So it's not that we are like really stuck and we have to give a very hefty discount , and that we cannot manage and it will go to our bottom line. So we don't foresee that kind of challenges as of yet. And whatever the challenges would be for this quarter where we have done the costings , and already orders were in place , in which like we have to give a small discount and all. So it's more of a tactical negotiations and discussion that is going on, but not a huge speed bump or, I would say, a big impact on bo ttom line or other things as of yet.
Prerna Jhunjhunwala : Okay. So we don't foresee any major hit on our profitability , because of the tariff as of now, at least in the medium term.
Okay. Sir, my second question is on profitability again. You mentioned that you always keep on investing into new capacity also. And some of the capacities will definitely be lying idle , because you are investing ahead of demand. So reaching double -digit margin, near 12% would definitely require something more than just higher utilization. Can you just help us with some of the levers that could play eventually , which time to improve your margins?
Pallab Banerjee : Yes, absolutely. Absolutely. Sanjay, go ahead, yes.
Sanjay Gandhi : Yes, yes. So Prerna, as I just mentioned in answer to the previous question that there are levers which are already existing, which can really play out in addition to the demand, you rightly mentioned about additional in volume growth.

Let's say, Guatemala starting from that, we are currently in a stabilization phase. So there are losses in the operations, and we are pretty confident of turning it around in the near quarters. So that will help in terms of the improvement, assuming other things remain constant, there will be improvement in EBITDA.

Second, the facility utilization in Indonesia is at 50%. The overheads and our structure is prepared to deliver double the volume what we are doing in Indonesia. So that's another lever operating leverage will kick in. Third is we mentioned about the India also the capacity, which is we have in terms of the revenue is around INR 1,600 crores plus. Currently, we are doing only INR 1,200 crores. Now that ramp -up can definitely bring in.

And it is well demonstrated , if you look at Quarter 4 number of India, where we have done INR 397 crores and delivered 10.2%. It clearly demonstrates that as we scale it up , and bring efficiency improvement across the factory, the targeted EBITDA in double digits can be met in a very medium term. So the foundation across the group has been set to really achieve double - digit EBITDA margin on a sustained basis onc

e our new facility and the operatio n stabilizes.

Prerna Jhunjhunwala : Understood sir. Thank you for your responses . I will come back with questions. Thank you.

Moderator: Thank you. The next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer : Thank you for the opportunity, sir. And c ongratulation on great set of numbers. So I got 2 questions from my end. Firstly, to get a broader idea, last month, there was a certain restriction placed on import of yarn from India. So I wanted to understand what has been the impact on the industry in terms of lead time in procurement of yarn and how well are we placed at the moment?

Pallab Banerjee : Import of yarn from where, sorry, I didn't understand.

Vignesh Iyer: So basically, there has been a restriction placed on import of yarn from India to Bangladesh in last month through road route, if I am not wrong. And dependency of Bangladesh textile is big on import of yarn from India. So on that matter.

Pallab Banerjee : So, so far, we have not seen any impact. None of our business has been impacted out there. In fact, you have seen that our business in Bangladesh has significantly grown. We are already experiencing almost about a 35% growth year -on-year in Bangladesh at t his point of time. So we have not seen any impact as of yet. And I think there are enough stockists and enough other routes of yarn into Bangladesh. So we are not seeing any impact, in fact.

Vignesh Iyer : Right. Got it. And sir, could you share the number when it comes to utilization only for the Quarter 4 for the Indian unit as well as the Vietnam unit?

Pallab Banerjee : Sanjay, you would take...

Sanjay Gandhi : Yes. So Quarter 4 , India unit utilization has been almost 90% plus. And Vietnam, generally, H1 is higher utilization , because product category in Vietnam are largely outerwear, which are for fall and holiday season. In Quarter 4 , the utilization in Vietnam will be around 65% of the available capacity.

Vignesh Iyer : Yes. That's all from my side. Thank you.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, this would be our last question. I would now like to hand the conference over to the Management for closing comments.

Sanjay Gandhi: Thank you all the participants. In FY '25, Pearl Global showcased strong resilience and strategic focus, delivering record shipment volume and robust financial performance. Our ongoing infrastructure investment across all regions supported by expansion ref lect our commitment to long-term capacity building and position us well for future growth.

Backed by strategic partnership and a clear vision, our FY '26 CAPEX plan aim s to enhance efficiency, advance sustainability goals and reinforce our leadership in global apparel manufacturing.

As we look ahead, we remain focused on delivering sustainable value, strengthening global competitiveness and driving continued success that drives portfolio and strong momentum.

Thank you very much.

Moderator: Thank you. On behalf of Pearl Global Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 21st May 2025 will prevail.”

Pearl Global Industries Limited
CIN - L74899DL1989PLC036849

Call: Aug 2025

PGIL/SE/2025 -26/41
Date: August 14, 2025
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G- BLOCK, BANDRA - KURLA COMPLEX,
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MUMBAI - 400 051

NSE - PGIL

Sub: Transcript of Conference Call
Dear Sir/Madam,
In continuation to our letter dated August 08, 2025, regarding submission of audio recording of the Earnings Call held with Investors/ Analyst on August 08, 2025, to discuss Company's un -audited financial results for the quarter ended June 30, 2025, please find enclosed herewith the transcript of the aforesaid Conference Call.

You are requested to kindly take the same on your records.

Thanking you,

Yours faithfully ,
For Pearl Global Industries Limited

(Shilpa Saraf)
Company Secretary & Compliance Officer
ICSI Mem. No. A23564

Encl: as above
SHILPA
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by SHILPA SARAF
Date: 2025.08.14
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“Pearl Global Industries Limited
Q1 FY '26 Earnings Conference Call ”
August 08, 202 5

MANAGEMENT : MR. PALLAB BANERJEE – MANAGING DIRECTOR –
PEARL GLOBAL INDUSTRIES LIMITED
MR. SANJAY GANDHI – GROUP CHIEF FINANCIAL
OFFICER – PEARL GLOBAL INDUSTRIES LIMITED
SHISHIR GAHOI -- HEAD OF INVESTOR RELATIONS --
PEARL GLOBAL INDUSTRIES LIMITED
SGA – INVESTOR RELATIONS ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Pearl Global Industries Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shishir Gahoi, Head of Investor Relations of Pearl Global Industries Limited. Thank you, and over to you, sir.

Shishir Gahoi: Thank you very much. Good morning, everyone, and I am delighted to welcome you all to this earnings call for Q1 FY '26. I hope you all had an opportunity to review our press release and the investor presentation which are available under the Investors sect ion of our website and the same are uploaded on the BSE and NSE website.

To discuss our results, we have with us our Managing Director, Mr. Pallab Banerjee and our Group CFO, Mr. Sanjay Gandhi. They will take you through our results and business performance, after which we will proceed for the question -and-answer session.

Before we start, I want to highlight that this call may include forward -looking statements based on the company's current views and expectations. Actual results could be different as future performance is uncertain and involve risks that are hard to predic t.

I will now hand over the call to our Managing Director, Mr. Pallab Banerjee. Over to you, Pallab.

Pallab Banerjee: Thank you, Shishir, and good morning, everyone. I welcome you to the quarter 1 financial year '26 earnings call. Along with me, we have our Group CFO, Sanjay Gandhi , our Head of Investor Relations, Shishir Gahoi; and Strategic Growth Advisors , our Investor Relations Advisers.

I am pleased to share our consolidated revenue of quarter 1 financial year '26, it reached INR1,228 crores, reflecting a 16.6% year -on-year growth and marking the fifth consecutive quarter of INR1,000 crore plus quarterly performance. Adjusted EBITDA also grew by 13.4% on a consolidated basis with margins at 9.3% during the quarter.

If we exclude the impact of operational losses at our newer facilities and the tariff -related costs, which we incurred, our adjusted EBITDA margin stands at approximately 10.7%, thus continuing the trend of double -digit margins for the second straight quarter. The performance underscores the strength as a leading global manufacturer.

Now as we all know, the U.S. White House under the leadership of President Trump has announced reciprocal tariffs across all countries, and all major garment manufacturing countries are at the receiving end of either 19% or 20% additional tariff. This is in addition to the pre - existing customs duty under the harmonized tariff system or as we refer them commonly as MFN tariffs.

So this can be perceived as some amount of certainty to our U.S. customers over the uncertainty that was prevailing since April 2. However, unfortunately, India is currently at the center of geopolitical storm and discussions are still open, and it seems t hat we are at its worst point with 25% reciprocal and a 25% penalty tariff on top of the HTS tariff or the MFN tariff that we have.

With so much happening from the U.S. side, still a lot of specific details and definitions are awaited in the written documents. One example is the definition of transshipment. This is still not very clear, apart from what we know now that 40% value add ha s to happen in the country of shipping to avoid the transshipment tariff. This has naturally led to growing diplomatic efforts and lot of legal scrutiny across the globe.

Meanwhile, the U.S. retaile

rs and the brands has been experiencing good sales in the first half of 2025 and are ready to place the spring/summer 2026 business to their supply base, which is for us the quarter 3 or the quarter 4 sales. We are seeing a posit ive momentum from these U.S. customers for our Vietnam, Indonesia, Bangladesh and Guatemala region.

Remember, Guatemala is net 10% baseline tariff only, and they do not have any MFN tariff.

And on the other hand, India has suddenly come under a lot of pressure in this last one week.

Our business model rooted in a strong geographic diversification, deep customer relations and a solid order book, which gives us the resilience and the flexibility to navigate through these current uncertainties. We remain confident in our ability to adapt swiftly and continue delivering the consistent performance that you ex pect from us.

Let's take a closer look at the progress and the operational highlights across each of our geographies. Let me start from Vietnam. Vietnam got a n additional tariff of 20%. This quarter, we recorded a very healthy revenue growth from our Vietnam operations.
Here, the sales grew by 75% year -on-year, reflecting the success of the strategic decision and of us securing the capacities well in time. This also translated into a higher realization, driving the healthy demand and strong customer engagement for the res t of the year as well.
Vietnam proved to be an important manufacturing hub for U.S. and has secured one of the earliest deal with Trump administration. The early clarification of trade policies has paved the way for market confidence amongst the customers and enabling us to tap into the emerging opportunities much more effectively. We are well positioned to sustain this momentum in the coming quarters as well.
Moving on to Indonesia. Here, again, the additional tariff is at 19%. Indonesia has demonstrated an impressive growth for us, approximately 50% on a lower base, although a lower base compared to last year. And we continue to regain the business after the r elocation of our factory, as you all know. This is another country where we are witnessing early resolution of tariff deal with U.S. and a very positive momentum. We are seeing a lot of migration from China continue to happen both in Vietnam and Indonesia . So we are confident to carry this momentum in the coming quarters as well.

Speaking of Guatemala, it continues to be at a net reciprocal tariff of 10% baseline tariff, which Trump administration has announced. And there was no WTO or MFN component of the tariff. So the customer interest naturally is high in this region.
And also, it is driven by the logistical advantages being the proximity to U.S. So we are gaining strength as we steer through the early challenges of a new country that we have established. So as you know, like we incurred some losses in the last financia l year. So we are looking forward to improve on them and then grow this business.
Now moving on to Bangladesh. Here, the U.S. tariff -- additional tariff, reciprocal tariff has been defined as 20%. This decision got delayed and was announced on 30th of July. Post this clarity, we are witnessing a very positive momentum from this geograp hy as well .
Following the last year's remarkable growth, our facilities are currently operating at optimum efficiency. Bangladesh plays a pivotal role in our long -term vision because it offers various advantages, the existing free trade agreements or due to its LDC s tatus to countries like European Union, U.K., Australia, China and its overall competitive costs, higher productivity, skilled labor and a matured ecosystem of an experienced leadership. So all these things definitely helps us to really leverage the streng th of Bangladesh.
We continue to scout for new opportunities in Bangladesh should the right prospects arise. Th

e
lower tariff rates compared to the competing markets like India and China strengthen the conviction that we had to expand our footprint in this country. This ali gns well with our broader strategy and reaffirms our confidence in Bangladesh's long -term potential as a key garment manufacturing hub.
We remain committed to our earlier announced CapEx plan towards capacity expansion and sustainable laundry capacity expansion. This expansion is expected to add additional capacity of 5 million to 6 million pieces in our Bangladesh capacity.
Now finally, talking about India. We delivered an encouraging performance in India with an adjusted EBITDA increasing almost 47.2% year -on-year and the margins improving 250 basis points to 7.3% in our quarter 1 of financial year '26, up from the 4.8% last year due to change in our customer mix and product mix and some productivity gains. We continue to see significant potential to further expand margins in the India business.
On the flip side, U.S. has recently announced a 25% tariff on the Indian exports, which is applicable from 7th August and an additional penalty tariff of 25%, which is applicable from 27th of August.
Now these deadlines offer scopes for negotiations. However, if the situation remains unchanged, we should make our plan, and it will prompt a strategic shift in Pearl Global's manufacturing and marketing approach.
In response to these trade barriers, Pearl Global plans to prioritize its other manufacturing hubs such as Vietnam, Bangladesh, Indonesia and Guatemala for fulfilling the U.S.A. orders and to maintain the cost efficiency and the timely deliveries. Meanwhil e, the India's manufacturing

operations will pivot to focus on the non -U.S. markets, where India produces or India products remain competitive in quality and also in price.
However, while we are working out this realignment, the near -term challenges to India operations remains. India constitutes approximately 25% of our top line. And last year, we had more than 60% of this 25% business in India from U.S.A. This year, due to t he growth in our other markets, this trend is now just above 50% .In this context, also, we must say that the India - U.K. free trade agreement is a promising opportunity for Indian exporters.
Pearl Global has a well -established office and customer relations in the U.K. market, mainly servicing from our Bangladesh manufacturing and some in India. Now this is poised for growth as the Indian shipments will get a duty advantage from 2026 onwards. At the same time, we are experiencing a growth in our business with the Japan and Australian customers.
Now to provide an update to our Bihar facilities, 500 machines have already been installed and the remaining 300 will be added in a phased manner. Depending on the demand, we plan to operate in 2 shifts. Overall, our order books are looking healthy. Despit e the global challenges, we are confident of our moderate growth plans that we have highlighted earlier. A recent situation does provide some unusual challenges and simultaneously some significant growth opportunities for Pearl Global. And I'm proud to sa y that Pearl Global is ready to face them.
With that, I will hand over to Sanjay, our Group CFO, who will provide a detailed overview for the quarter 1 financial year '26. Sanjay, over to you.
Sanjay Gandhi: Thank you, Pallab, and good morning, everyone. Welcome to our quarter 1 FY '26 earnings call.
I will now walk you through our financial and operational performance for the quarter ended 30th June 2025.
I'm pleased to share that we have delivered yet another strong quarter with top line revenue exceeding INR1,000 crores. In quarter 1 FY '26, our consolidated revenue stood at INR1,228 crores, representing a 16.6% year -on-year growth. This growth was led by enhanced contribution from Vietnam and Indon

esia, fueled by strong order book and healthy sales volume despite ongoing tariff related uncertainty.
Adjusted EBITDA for the quarter came at INR114 crores, a growth of 13.4% year -on-year with margin at 9.3%. Adjusted EBITDA margin, excluding the impact of operational losses at new facility, Guatemala and Bihar and tariff costs of INR11.75 crores stands at approximately 10.7% in quarter 1 FY '26. Continuing the trend of double -digit margin for the second consecutive quarter. PAT in quarter 1 FY '26 grew to INR66 crores, a growth of 5.9% year -on-year basis.
Excluding exceptional item in quarter 1 FY '25, PA T registered a year -on-year growth of 13.5%.
Now turning to our standalone financial performance. In quarter 1 FY '26, our revenue stood at INR267 crores, a marginal decline of 3.4% on a year -on-year basis. Historically, our performance in the second half has consistently outpaced the first. However, tariff imposed by U.S. do pose challenge to this trend. As highlighted above, we are working aggr essively on realignment of our strategy for our India operations.

Adjusted EBITDA rose to INR20 crores, up by 47.2% year -on-year. Margin also improved by 250 basis points from 4.8% in quarter 1 FY '25 to 7.3% in quarter 1 FY '26 due to change in customer mix and product mix. PAT for standalone business grew to INR26 crores, a growth of 62.6% on a year -on-year basis.
As we recalibrate our strategy to adapt to this evolving trade dynamics, it is pertinent to note that U.S. revenue from Indian entity in FY '24 -'25 stands at 16% to 18% of the group revenue, while profit from this business is between 4% to 5% of the group profit. We believe such recalibration strategy a s highlighted above, should help in maintaining the profitability.
During the quarter, we received a total dividend of approximately INR18 crores from NorpKnit Industries Limited, Bangladesh subsidiary and Pearl Global Hong Kong, Hong Kong subsidiary, in line with the fungibility of cash across group entity. The company has been consistently declaring dividends from subsidiary company in B angladesh and Hong Kong since FY 2022.
Despite global headwinds and tariff uncertainty, our operational performance remained steady year-on-year. Number of pieces shipped rose to 17.2 million in quarter 1 FY '26 from 16.7 million in quarter 1 FY '25. Our average realization for the quarter is h igher because of the increased share of Vietnam and Indonesia in the group.
We have successfully commissioned solar panel installation across 3 key units in Gurgaon manufacturing facility adding a cumulative capacity of 722.2 kilowatts of clean renewable energy to our operation. Another 2 plants will be commissioned in quarter 2. When we look at our CapEx plan, while we have not committed new CapEx this quarter due to ongoing tariff uncertainties, we have continued to progress with strategic investments. Going forward, we will

await stability in tariff environment before pursuing additional CapEx in our respective geographies.
In summary, we have delivered a good quarter of growth while sustaining our margins despite the challenging environment. As we move forward, we remain confident in our strategy and execution capability. Thank you. Now we can open the floor for the question and answer.
Moderator: Question is from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking.
Bhavya Gandhi: Congratulations on a good set of numbers even in a challenging environment. Sir, my first question is regarding the realizations. Sir, how sustainable are these realizations? Because historically we've been guiding for INR600 sort of realizations. And in Q1 FY '24, we had seen this kind of realizations like INR715-odd levels. And then again, it started dropping to INR650-odd levels. So what would be the average realization one should walk out with?
Sa

njay Gandhi: So Q1 in…
Pallab Banerjee: Go ahead, Sanjay.
Sanjay Gandhi: Yes, Pallab, please go ahead.

Pallab Banerjee: No, no, I was just talking about the seasonality because Q1 definitely has got more of outerwear, which goes to the Western market, the jackets and all. So it is trending a little higher. But please add on to it and further explain Sanjay.
Sanjay Gandhi: No. Yes, Pallab, this is in line with what I was about to add that this fact that due to seasonality, Vietnam contribution in quarter 1 is always more. And as such, the average garment realization in quarter 1 will be higher than the quarter 3 or quarter 4 of the financial year. In this particular year, in this quarter, since Vietnam contribu tion has even outpaced the previous quarter, the realization has gone high.
So when you look at quarter -on-quarter comparison year -on-year going forward also I think this kind of a level will be sustainable. However, for the full year basis, we have already stated the assumption what we need to take around INR625, INR650. That level, I think, is something which we still would like to hold on.
Bhavya Gandhi: Fair enough, sir. And sir, second question regarding -- yes, yes, sir, go ahead.
Pallab Banerjee: No, just a small addition is that we are now making outerwear even in other locations as well. We have just experimented with one order in India. And Indonesia also will improve on the share of making outerwear. So as this goes up, so there could be a tren d. But yes, it's still not a definite forecasted number as yet. As Sanjay said, like we have to see the overall annual average.
Bhavya Gandhi: Fair enough, sir. And sir, if you can share the capacity utilizations at Indonesia and Vietnam, that will be really helpful.
Pallab Banerjee: So as you know, Vietnam, we do both our in -house facility as well as the partner factories. So that we have utilized them. And Indonesia, as we re located the factory, so that was still not at 100%. That's I think we are ramping up as of now. Sanjay, any numbers that you have in your, any numbers that you can share.
Sanjay Gandhi: So you're right, Pallab. And I would just like to add that Indonesia is in a ramp -up phase. It still was operating at only 50% of its capacity last year. The growth is, say, on a low base. So there is still ample opportunity for us to grow to the level of 90%, 95% utilization. At that level, on an annualized basis, we should be achieving a sale of $32 million to $35 million. So currently, there is a scope for further utilization in Indonesia. Vietnam, yes, we have reached almost 95% utilizati on in quarter 1. But every quarter we'll have this own opportunity to bring it up.
Bhavya Gandhi: Fair enough, sir. Really helpful. And just one more question, if I can squeeze in. Sir, this is regarding how much of the India production gets landed in U.S. Just wanted to understand how much is directly imported in U.S. out of the India region? Or I may rephrase this, how much is the exports from India to the U.S. out of the total top line, which gets landed on the U.S. coast.
Pallab Banerjee: So if you look at the math, like India last year did about 25% of our total top line and close to 60% of India's shipment landed in U.S. So about I think that means total number would be coming around close to 15% of our total top line.

Bhavya Gandhi: 15% of it. And sir, if we were to shift this because we are truly multi -geography, right? So if we were to shift this, we have only Indonesia, which is slightly underutilized and somewhat you can ramp up in the Vietnam as well. But if we were to fulfill th is demand, do we have additional capacities because Bangladesh is at 90% capacity utilization, if I'm not wrong. So how can we transfer those goods to ot

her geographies…
Pallab Banerjee: So both in Bangladesh and Vietnam, we have expandable capacity because we have been growing. And we have the partner facilities where we can add more lines. And these facilities are already approved by our customers.
Moderator: The next question is from the line of Kishore Kumar from Unifi Capital.
Kishore Kumar: First, I have a question on the strategic shift that we're going to make actually. If we look at actually, we are shifting production from India to Bangladesh or Vietnam or Indonesia for the U.S. customers and vice versa for the other geographies.
So I understand that each of these geographies have expertise in certain product categories, like cotton -based in the South India and ASEAN countries actually have expertise in the man -made fabrics. If we shift this way, the cost of production will go up, isn't it? And also, is it feasible to actually shift this way because you need to like train the employees on those garments as well as sourcing also needs to be figured out?
Pallab Banerjee: Good question. It's not that simple to shift overnight or without any preparation. So you see there are 2 things that comes into play. Something which is very short term, like that means this current, which is in order or just getting placed in terms of or der. So that's a short -term fix that we need to have to maintain the market share of -- or the customers' wallet share that we have. And because most of these customers, the top customers, we are in a growth phase, so we do not want to hindrance them. And their expectation is also that we can support by shifting the product. If you look at India and Bangladesh, there is a lot of similar ity because Bangladesh also majority of the production is on cotton base. And if I look at Indonesia and Vietnam, we have that readiness.
So in Vietnam, if you talk about or in Indonesia if you talk about, the 2 quarters, which is your Q1 and partly Q2 or end of Q4 this is the phase where we make a lot of synthetic outerwear and activewear at this point of time. And then comes the quarter 3, quarter 4, which is more of supplying goods to the summer of these Western countries when cotton takes a precedence, cotton and cellulosic fiber.
So it's not that these particular facilities cannot handle cotton or cellulosic. They are ready to handle. But as this , we are navigating through these geopolitics and this tariff war. During that time we have to see what are the best options that we have.
The one of the key decision -making factor for these shifts at this point of time would be the availability of raw material. In case these raw materials are available from the India region or the cotton, then it makes sense to move to some of them to Bangla desh for a short term.

For the long term, then we can plan from beginning, like where do we source the raw material, how do you develop the raw material, the whole market, whole ecosystems can be developed. So there are 2 phase to it to summarize. One is immediate response for t he next immediate 2, 3 months and then the longer term. So both we are working upon as of now.
So it's not that we will be shifting 100% of it. We are hopeful that there would be a resolution between India and U.S. hopefully soon so that early decision can be taken then this production can be made in India as well. So at this point of time, the readiness is very important and the swift action to gain and to maintain the confidence of our customers is the most important thing. And that I think Pearl is capable of doing. H opefully I have answered your question.
Kishore Kumar: Yes, yes, pretty much. And on the second question, actually, sir, earlier the deadline was actually on July 9. So given the significant growth in the Vietnam and Indonesia, is there any front - loading of shipments happened to the U.S. actual

ly?
Pallab Banerjee: Not much , because this particular -- like, for example, like other markets was more important at this point of time because of the fall and holiday goods are lower season for the India market. And as this extra tariff comes in at a phase where whatever our last goo ds of fall and holiday, which are into production, so we are trying to do that and move it up, but not a huge massive number.
Kishore Kumar: Understood, sir. Understood. My last question is on the guidance actually. Is our guidance on the volume, 12% to 14% is still intact? Or any change on that? And what is the full year guidance, sir, if you can give that on the margins and revenues?
Pallab Banerjee: Sanjay, you're going to take that?
Sanjay Gandhi: Yes…
Moderator: The next question is from the line of Riken Ramesh Gopani from Capri Global.
Riken Gopani: Congratulations on a good set of numbers under this condition . Sir, first thing I wanted to understand is, if we look at our overall capacity, about 20 million is the capacity that we have in India, correct? Or the current production. So of that, you are basically saying about 15% is what goes to the U.S. Is that how we should read this?
Sanjay Gandhi: No. I think 24.5 million is a capacity in India, 15% -- 16% to 18% or 15% is a group revenue

which goes to U.S.A.
Riken Gopani: Okay. So from India specifically …
Pallab Banerjee: India we are clocking almost about 50%.
Riken Gopani: Okay, about 50% of India…
Pallab Banerjee: We are clocking at 50%, yes. As of now, we are clocking. So naturally, like at this point of time, our immediate response would be to fill up because see, with 50% tariff, most of these American customers will try to avoid paying this 50% tariff because then that will re nder their product to

be too expensive to be sold to a customer. Certain customers can, certain product will still be there, but it will be a very insignificant portion, I would say, a very small portion would remain. So naturally, our focus would be to fill up this 50% as much as possible through other business from other markets like Japan, Australia, local Indian manufacturing. So this will be the immediate response that most of our capacity has to be dedicated to. S o that's why I said the challenge would be in terms of this, making sure that the smooth transition and a quick thing that happens.
Of course, on a longer term, this is already in works. So we are not concerned. But for a short term, for the next immediate 1, 2 months or 3 months, that's something that is somewhat of a challenge that we need to navigate through if this thing is not res olved by the Indian government along with the U.S.
Riken Gopani: Right. So any which way, the worst -case scenario here is that 15% of group, therefore, about 7.5% of group revenues effectively would be what will be impacted, what is coming from India, right? That's how it should be said?
Pallab Banerjee: Didn't get that number, Sanjay…
Riken Gopani: So basically what I was saying is that at the group level, how much of this impact will be there because of the India business to U.S.
Sanjay Gandhi: So let me just reframe the answer. So the number, 16% of the group revenue is under the discussion for realignment. So your understanding about 16% of group revenue, which goes to U.S. is under the group realignment strategy, which is what Mr. Pallab has j ust mentioned about that.
Riken Gopani: Understood. Okay. That is the one which will be to sort of redirect and from other countries. That's the -- got it. Got it. And second point is, you did mention that the -- while the revenue contribution is about 15%, the profit contribution is only 4%, is it?
Sanjay Gandhi: Yes, you're right. I mean profit contribution, if you look at overall India contribution to the group profit, operational profit is also

minimal for the reason we have highlighted in our previous calls, which we have been working to improve in India. So as the figures stand at INR24 crore, INR25 crore, that number is 4% to 5% for the group profit after tax.
Riken Gopani: Understood. Understood. Got it. It's very clear. Sir, the second question which I have is with regards to the performance for this quarter, what would have been the impact? Because we did mention that initially part of the tariff increase we had absorbed a t our level and then effectively then passed it on to the client thereafter. So what kind of impact did you have to the gross margins in this quarter because of taking that impact? And how will that change going forward?
Sanjay Gandhi: So I can mention you the number in quarter 1. Quarter 1, as I mentioned in my speech, is INR11.75 crores, roughly 0.9% of our group quarter 1 revenue is what has been impacted the EBITDA in the quarter 1 itself. Going forward strategy, I request Mr. Pallab to really add onthat.

Pallab Banerjee: So as I had mentioned earlier also, this is more of a negotiation process. So when the 10% additional tariff was implemented by U.S. administration, most of these U.S. customers had to immediately absorb that 10% additional tariff and reach out to the supply base and asked to burden share. That means share this extra 10%, whatever amount that we can. They were asking for 50 :50. And of course, most of the suppliers -- supply chain negotiate.
Our negotiation was mainly in the range of 2%, as I said, at that point of time also. Over -- almost 50% of our total revenue was in U.S. And I think we are clocking more like that. There are certain customers where we could avoid the burden share. Certain customers, we didn't give any of these discounts. And to certain customers, we had to give up to 2% or a little more in 1 or 2 cases. So that's how these negotiations was done.
Now as the clarity is coming from the U.S. more and more for other regions, this is coming to an end. So there are certain customers who said that, okay, do share this burden for maybe a

couple of more seasons. So this is a negotiation tactics that most of the customers are -- or some of the customers are still using. So we will navigate it accordingly.
But the fortunate thing is that now costing is done quarterly. Most of the costing is done on a quarterly basis. So as we have to -- how we do the negotiation and how we build up some of these costs into our -- as we are quoting the prices. So that's a gen erally that will continue to happen. So there's no definite percentage that can be forecasted, but it will start going down from here.
Riken Gopani: So we can say effective on a progressive basis over the next 3 or 4 quarters, you could recoup this 0.9% impact that you have had in the Q1 numbers?
Pallab Banerjee: Yes, to a certain extent because whatever, like how the geopolitics and Trump administration is playing. So I don't know, like maybe like it seems that, okay, it will be more of a buyer's market for some time, but sometimes it looks like more of a supplier 's market. So it will depend on how the things are. Things are moving very fast.
And depending on the negotiation power that the supply base would have, this effect will get minimized. Now with the scarcity that is getting created in the other markets, if suddenly like one of the country is put at a 50% tariff, so then definitely, the suppliers will have an upper hand to negotiate. I hope you understand what I'm trying to say.
Moderator: The next question is from the line of Dhvanil from iWealth Fund.
Dhvanil : Sir, just on the -- to understand the whole tariff now, right? So broadly, sir, U.S. retail market is growing at 3%, 4 -odd percent. And what we are also reading, hearing that the inventories and also are -- they had already prepared for that, ri

ght?
So how are you seeing now, sir, the overall H2 shaping up with the minimum 20% in the other geographies and 25 -odd or 50% in India, what should happen to, a, the volume growth; and b, the incremental margin rate we might have to take? I know, sir, you trie d to explain it in the earlier question. But just to understand now from 10, now 20 has been the baseline with the overall market not growing there. So this has to be passed on to the whole ecosystem, right?

Pallab Banerjee: Yes. Very interesting question and very valid question at this point of time. See, this is a question that most of the economists and most of the news channels, U.S has been trying to address. Everybody felt that with this kind of tariff, there would be a reduction in the sales and there would be some kind of problems that can be visible in the U.S. economy.
But somehow till now, till the month of June numbers that came out and even like early expectations of July that we saw was that the retails were not facing this particular kind of projection that a slowdown or the inflation that would come in. So one of t he theory was that they have enough inventory in the retail to sell through at the old price.
So normally, this season -- as the season changes because what we saw is definitely the purchase -- as you're seeing in our business, we didn't see any reduced buy for the outerwears from our customers that we have serviced from the countries like Indonesi a, Vietnam, and other places.
So that -- we have not experienced that as of yet. But yes, this is something like most economists and most news channels were saying that as this will be passed on to the U.S. customer, there will be some kind of reduction in business. So that definitely is still a question mark how and in what shape it will come through.
Generally, if you see a 20% additional tariff that these goods are attracting as it lands in U.S., from my experience, if you talk of average retailer like the common names like Gap and Kohl's and all that we service and PVH and all. So anywhere around 50% or 55% of the final retail realization that they do in the store is the cost of goods.
So that means the goods, which we ship out what we get payment from them and the cost of logistics and tariff. Now that particular cost is going up by 20%. So your normal math will say that, okay, like to absorb this 20%, the retail price should go up by 1 0%. That means 50% of it has to be passed on to the customer.
So then basically, all other costs remaining same, if they just improve the price ticket or increase the price ticket by 10%, then they can mitigate it. Or the other option that these retailers would have to decrease some of their expenditures, expenses an d absorb some of these costs.
And let's say, the supply chain also absorbs some of these costs. So this is -- this 10% will be the play. So there could be a pressure on their side to minimize the expenditure. They might put a pressure to the supply chain to do it depending on which sid e of the -- as I said, like it will be a supplier market or it will be a buyer's market.
So then that's how the negotiations will go through. Like I'm just hypothizing and expanding the thoughts as you were asking the question. So this is how this will be played out as of now.
So naturally, when suddenly a $6 billion market is taken out, I foresee that it will become more like a supplier's market. So let's see how that goes. With that situation, definitely, we may get

some added advantage and added opportunity in the whole deal.
In terms of market getting shrunk, U.S. market have been expanding at a rate of anywhere between 2% to 5% annually for the last few years. This year, in fact, this week only we saw that

CNN article in which they said that 60

% of the immigration that used to happen annually, the number has come down by 60%. So it's anybody's guess like what will be the population of U.S. and how the market size will grow or not. So let's see, all of these are like still good interesting questions.
But our strategy, now coming back to Pearl's strategy would be to play with the players or the retailers and the brands who are in a growth mode, so who are gaining market share in the U.S. and so that we continue to grow with them and stay away from those people like who are losing market share or like our dependence to those kind of people like who will be -- there will be definitely a shakeout in the U.S. market as well.
So that our path is clear that we should be -- we are still on a growth path, and we will do everything. We'll keep our antenna, all our analysis, all our inputs ready so that we are on the right side of the market. So that's the endeavor. That's the goal and that's the objective that we're working with. Got long answer, I hope it made sense.
Dhvanil : Got it. No, it made sense. So basically, sir, just to summarize what you told me, that what we ship from here is that broadly our ASP is at INR600, INR650, and the retailers there will be selling at about INR1,500 to INR1,800, 2, 2.5x over our price. So to mitigate this 20…
Pallab Banerjee: No, no, no. 50% is the landed. So once they have paid the duty, that is 50%, and the other 50% is their all the SG&A expenses, their marketing expenses, rent, depreciation, everything is their balance 50% after the goods are landed. So not the INR650 we are talking about. INR650 lands at about -- used to land about 1.3. Nowadays, it will be landing at 1.5. And then you…
Dhvanil : So around INR1,900 to INR2000. Got it. So…
Pallab Banerjee: That will be the minimum, yes, retail price.
Dhvanil : Minimum. And to mitigate this 20%, they will have to take this -- they have to take 10% of price increase broadly.
Pallab Banerjee: Yes.
Dhvanil : Got it. And sir, on the H2 now, right, the last year, our volume growth was very healthy, right? So how are you sensing, sir, with the orders? I mean I think it's a little early, but you…
Pallab Banerjee: So like now the current quarter, we have the order book. That's like we are maintaining the trend. There are 2 things that happens in the quarter -wise because now as we are growing in the other markets like Japan, Australia and all, so they do not go as per the U.S. time line. So certain times, like we have to produce in one quarter, the shipment goes in the other quarter. So there will be some kind of minor shifts here and there that we may see. Like as of now, it has been working with quarter -on-quarter. So there could be a little bit of a shift here and there. But overall, we are seeing a positive trend.
And as I just mentioned, like the market has not shrunk so far. So the indication that we got from the U.S. also, like which is, let's say, 50% of the market, we saw that they were ready to place

the spring/summer business, knowing very well that there's a 20% hike in the tariff. We didn't see, like from the customer that we are servicing, we didn't see any significant drop in the numbers as they were projecting it.
Now with this 50% tariff in India, there is definitely a shift and exercise that is going on at this point of time, how much it will be possible to shift and all those things, they will be working out. So, so far, we haven't seen a huge shift in the U.S. m arketing trend or buying trend.
Other markets, if you see the number, the import that has happened in Japan or in U.K. or in European Union in the first 5 to 6 months of this year, it has shown a significant growth, anywhere between double -digit growth if you see all these 3 markets that have experienced. U.S. experienced a single -digit growth, almost about 7% i

f you see the stats.
With those things, it looks like the kind of fear or the kind of conservatism that was prevailing in the market due to the wars and all are slowing down. So this tariff thing is definitely a B2B kind of problems, but the markets are still not shown the kind of slowdown at the consumer end.
Moderator: The next question is from the line of Chirag from MS Capital.

Chirag : Just 2 questions actually. One, the base erosion, the BEPS norms that came into effect in April, that's not applicable to us yet for the Hong Kong entity because of scale. Is that correct? Or is there any other color on that, if you can provide? And what i s your sort of overall guided tax rate from that perspective, if you can start with that.
Sanjay Gandhi: Yes, sure. Thank you so much. Yes, you're right. The base erosion is not applicable as of now to Pearl Group. We still have to reach the threshold limit. Our effective tax rate, we mentioned that as of now we'll be at 15%. Under base erosion also, it leads to a 15% as per the current rules. But we are, I think, a couple of years far from that, reaching that limit, and we'll see that at that point in time. So yes, this is how the limits will propose and work.
Chirag : Understood. And that's very helpful. The second question is on the realignment of the capacity and the India operations. So obviously, we understand that the India operations currently are below the average EBITDA or the average profitability of the group.
Given that there might be more volume impact here, does that make sense then to assume that there will be -- there might be some replacing back to sort of a loss -making kind of position in the India entity? Is that possible? Is that something which is on t he cards? That's the second question.
Pallab Banerjee: So in the short run, that means the immediate 1, 2 months, how do we react, if this penalty tariff is prevailing. So then as we just spoke about that some of this U.S. business would be moved out to the other locations, and that capacity has to be filled w ith something else. So we have so far seen a significant growth from our Japanese customer and an Australian customer. So whether it will be completely able to fulfill the vacuum that may get created if this is not resolved, that is someth ing to be seen.

So naturally, like we are at this point of time, we will be looking into options of any and every other options if this has to play because if I move out to the other region, at least the current business, which I have a sight into, I will not be losing on the margins and the market share of that.
So that's prudent to move, definitely. If something remains in U.S., the customers would come back for a burden share because this additional 25%, 30% of tariff, if we are shipping from India, would pinch any customer. So they will definitely force us to b urden share. For this immediate business, which is like supposed to have been placed either end of July or beginning of August. So this only portion, a temporary thing that we need to tackle through and walk it out.
But yes, fortunately, for us, the exposure is very small. At a group level, it is, as we just discussed, is at hardly about 15%. So that's something we have to quickly tackle. And we are working definitely full time so that this negative impact doesn't com e through. So we have to manage the cost as well as this allocation very swiftly and smartly.
Chirag : Understood, Pallab. That's very clear. If a number is -- this is a follow -up of this question, if the number is readily available, could you share also as a percentage of the overall OpEx what does the India entity contribute? So it's 4% of profitability f or this piece. But what is it on the OpEx side, if that's available readily or I can take it offline?
Sanjay Gandhi: Yes, I can understand you in a bit mo

re detail about this offline, I think we can discuss that.
Chirag : Okay. Perfect. Last question, just Pallab, you alluded to the fact that given all the uncertainty and the shakeout, possibly what's going to happen is that there are going to be certain customers in the U.S. who are going to sort of go through their own fi nancial trouble or their own operating trouble, and we are kind of steering clear of that.
Could you help us just with what are the broad things that you look at because even a big chain can go through trouble ? Just scale will probably not defend someone from the kind of uncertainty that is going on right now ? So what are the kind of things that you look at, at a customer end to ensure that ongoing business is protected and they're not going to -- you're not going to get into any receivables or any other related problems, if my question was clear.
Pallab Banerjee: No, very clear. And that has been the, one of the foundational structure of our financials prudence that Sanjay had brought in. In fact, as you know, that almost every customer of ours, we have a nonrecourse factoring or a very strong insurance company bac king it up. So we do collect a continuous input from them about the health of the customer. That is one way of keeping track.
The second way that we do is that, as we have repeatedly said, that we identify these customers and really invest on them, either myself, our Vice Chairman, Pulkit Seth, or one of our CEOs from Bangladesh, Vietnam, all these locations, we have deeper relat ionships at the senior or the senior most level of this company so that we have a regular communication with them to understand how they are doing the business and how they're planning the business.
So that also like is always is a route to understand like what's happening to their company, what kind of broad decision that they are taking. So this is something is key as we laid our foundation

for the growth and our objective to be one of the bigger global player. So I would say that we are fairly strong in that journey at this point of time.
And fortunately, the network that we have been able to establish from my past experience and my network and the other CEOs network from each of the locations, we do have a very robust process in which we continue to do this risk mitigation.
Sanjay, like would you like to elaborate more on this in terms of the process that…
Sanjay Gandhi: No, I think -- yes, I mean you have broadly covered the process of various financial discipline which are existing, and this is how it works out. And at the time, there are strategic decision also to be taken and combination of all that drives the entire process, whether it's OpEx, CapEx or any other financial decision which are being taken.
And there is a continuous review and monitoring on the credit risk side as well. So any new customer which is getting onboarded, any increase in the wallet share of the existing customer, the entire validation process has to be run through and is continuou sly reviewed and monitored on a more regular basis. So that's on the process side.
Chirag : Understood. Perfect. Just a follow -up on this. And these analysis are at a group level or at a buying division level? Is there a need to do it at that level or at a group level sort of you are safe enough -- sorry, not aware of what the internal dynamics l ook like in those big players. But I don't know if that question was clear. But what I'm trying to understand is, is it enough to do it at a group level?
Pallab Banerjee: Yes. This list is regularly reviewed on a monthly basis and sometimes even twice a month if the situation is tight, if we feel. So that's something that is a very robust process that we have in Pearl, including at the Independent Director level as well.
Chirag : No, I meant at the customer side, is it enough

to review their financials at a group level? Or do you need to go down to the buying division, look at cash flows there? Or is it enough that at a group level, things look good and then everything else sort of slows down on its own?
Pallab Banerjee: No -- customer -- no, customers would be -- sorry, like if I'm understanding the question correctly, their financial teams. So we do -- like, for example, I have one customer who wants to increase the business at this point of time. And so we are getting o ur part of the process like the kind of insurers and all. If they're not getting publicly listed information, so then we reach out to the top level and meet with their financial teams so that this information is complete. Make sense to you ? Am I -- able to understand -- yes, yes.
Moderator: The next question is from the line of Pulkit Singhal from Dalmus Capital Management.
Pulkit Singhal: Congrats on a good set of numbers. It's the diversified business model is clearly coming to the fore at this point. Just a few questions. One is that I understand you talked about first half in the U.S. being good, but we were also coming from the backdrop of there was over correction of channel inventory in the previous year and some bit of that was also coming back.

But if tariffs are going to come across all products in the U.S. and it's going to be inflationary, wouldn't that have some level of impact on overall apparel demand? And I'm just thinking that 20%, let's say, baseline tariffs translate to 6% to 7% at an M RP level for the customer purely on apparel.
And obviously, for all goods, they will be paying some higher level of MRP. This is provided the entire thing is transferred to the customer. So in your experience, whenever goods are -- whenever apparel prices have increased so much, what has been the kin d of impact?
Pallab Banerjee: But I think overall what you're asking is about the U.S. apparel demand and if the -- yes, yes, it's -- is my -- can you hear me? Can you hear me, what I …
Pulkit Singhal: Sorry, your voice is cutting, is getting cut, Pallab, at my end.
Pallab Banerjee: Maybe there is connection problem at my end. But I understood the question about the U.S. retail price as well as what could be the appetite in terms of the demand. So 2 things out here. U.S., one is like we are seeing some changes, like some of the retail ers did change the price ticket where they increased the price ticket, but majority of them have not touched the price ticket as of yet, but decreased the markdown that was prevalent in the market. Hello? Am I audible?
Pulkit Singhal : Yes. Yes.
Pallab Banerjee: Okay. So yes, like your understanding is correct, like anywhere between 6%, 7% to 10% kind of increase would be needed to absorb this 20% if everything has to be passed through to the

customer. The U.S. retailers have got 2 tools, either they have to change the price ticket or they have to do the average markdowns that they do in the market, like while selling the goods. So that has to go down. So that the realization goes up by this many percenta ge. So that's the obvious math tells us that. How it will pan out, only time will tell.
So far we have seen, the customer that we are shipping to, they have increased their prices, not on all products, but on certain products, certain percentage of the products, almost like about 30% to 40% of the products the price ticket has started changin g or markdowns have started changing already in this season, last season. So I think as they do it, as they have the sell -through, their confidence will go up.
Everybody was very skeptical in the beginning. They were not changing their markdowns or the price ticket and was -- initial reaction was to pressurize the cost from the supply chain. But I think now people are experimenting and getting some data on that. Of

course, like I'm not privy
to the 100% of the data so far. But yes, what I can see is that the projection that they had given to us for spring/ summer season, that showed that confidence in their numbers. We didn't see a major drop.
Now this projection as it is finally placed to us, I think we are in the middle of the placements. So I think over the next 2 to 3 weeks, we will see the numbers are changing or they are maintaining it.

Pulkit Singhal: Okay. And secondly, since you're already -- yes, yes. Sir, the second question is because you already have 20% tariffs in other countries, except India, how has been the sharing of -- what has been the expectation of how much burden will be shared by the s upplier because 20% is a huge number. I mean, is there some data you can share? I understand because India is now -- they have held back on India, so they're probably not being asked to share as much. But suppose India also settles at 25%, then almost all countries are at 20% to 25%. So in that case, our supply is expected to share…
Pallab Banerjee: Yes, the USP, like when this 10% had come in, that's the time almost all the U.S. retailers have started -- yes. I will take this -- answer this in -- so when the first 10% -- am I audible?
Pulkit Singhal: Yes, Pallab, please go ahead.
Pallab Banerjee: Yes. So as the first 10% was implemented by U.S., we had a reaction from almost all the U.S. customers to do a burden share. And the negotiation or the discussion that went is that when the final numbers of the liberation day will come through.
So that's the time like we cannot take this. But yes, it is still it is 10%. We offered like whatever, 1%, 2% kind of thing that we had offered as a supplier. Now that when this final number has come in, this is now almost about a week old or just over a w eek old, we have not heard anything from the customer as yet.
When the India thing came up of 50% and everybody else at 20%. So that's the time only in the last 24 hours, we have heard from 1 or 2 customers that what will happen, either you move it out or you take this additional 25%. So our answer has been clear tha t, okay, we would, first of all, move it out because absorbing a 25% doesn't make sense.
And naturally, they're also speaking about like they can't take this 25%. So they will be counter - costing it in some other country. So that's the kind of first reaction, but it is like too soon to say or to establish an answer to your question because it's just about 24 hours, like only yesterday was the day that this thing started happening. So I don't think everybody has reacted for the specific to India.
But the last 7 days of the all over tariff that has been declared, we have not heard back from any of the customers of any additional burden share.
Moderator: The next question is from the line of Prerna Jhunjhunwala from Elara Securities.
Pallab Banerjee: No, let's finish this, if I may. Pulkit, like what is the extended question that you're asking?
Moderator: Sir, he has left the queue. Pulkit has left the queue. The next question is from the line of Prerna from Elara.
Prerna Jhunjhunwala: Congratulations, sir, on good resilience shown in these tough times. I just wanted to understand what helped you to maintain this kind of margins? And what cost control initiatives did you take to really get over this difficult burden sharing thing that ha s been initiated by the U.S.

Pallab Banerjee: So if I have to answer that, we have been on the journey of reducing our cost and making the efficiency better. So that's a regular process. I would say that, yes, it does take a momentum as the challenges become more. So that definitely played on our side . But at the same time, the negotiation that happened, like most of thes

e customers came back with a 50% burden share kind of thing.

To reduce that to maybe a 1% or 2% also is something like you are in the position of negotiating it because you're not totally reliant on only one market, I think also played in our favor. If the situation had happened 3 years back or 4 years back, then th at would have been a different challenge for us, where our dependence on the U.S. market was almost 90%.

Fortunately, as the growth happened, we accelerated the growth in the other markets. So that gave us some kind of negotiation power. And because of our diversified presence, and I think the customers also realized that it is prudent to go with a vendor lik e us who can juggle around. This they experienced during the pandemic time.

And with this sudden tariff war situation that we are in country by country. So that readiness is definitely giving us some extra advantage to do this negotiation. So I would say like both sides played equally. One is that the continuous improvement of our efficiency and reduction of cost. And on the other hand, the ability to confidently negotiate as an organization.

Prerna Jhunjhunwala: That's fantastic, sir. Sir, in terms of expanding revenues from other geographies, I think U.K., Japan are one of the most attractive ones right now given the tariff situation there is, like we have an FTA with them eventually with the U.K. also. So in cur rent scenario, just wanted to understand whether India's cost structure would still give us decent profitability to service U.K. market given Bangladesh is at a very strong position in the U.K. market given the cost structure.

Pallab Banerjee: So if I have to say like U.S. is definitely an attractive market because of the size and the opportunity of the various brands where the profitability can vary to a good extent in our favor. So that's why like U.S. continues to be an attractive market. I t hink after U.S., we find Japan as an attractive market where we see that the quality, like if you can get to that 0% quality defect , then it's an attractive market, which is definitely a barrier in the beginning.

So now we have an experience of almost 6 years of supplying to the Japan market. So that is the reason, for example, like you see that our exposure in Japan has been steadily increasing in the last 1 or 2 years. So that, I think, is definitely a feather in our cap. And after that comes the Australia and the U.K. market.

Now Japan, if I'm talking about these brands like Muji, Uniqlo and certain other brands who are at this point of time experiencing a global growth and we want to -- like, of course, Uniqlo has already achieved it. We are more with Muji, which is at this po int of time is a growing brand.

Similarly, if you look at the -- compared to this, the kind of volumes that you get from a U.K. market or from an Australia market is significantly smaller. U.K. is almost about 1/5 or 1/6 of the size of the U.S. market as of now. So naturally we have a pr esence in U.K. market. We have been executing the business from Bangladesh.

And some of them , because this FTA was under discussion for a long period of time, so there have been the interest to expand in India. So we had started the India business a couple of years back with some of these U.K. retailers. Now they are poised to grow in India as well.

Same thing we are experiencing with the European Union. Now if you talk of the EU market as a whole, that is almost comparable to the U.S. Of course, the EU means like brands from many, many countries. And individually, the brands would have smaller volume s compared to a brand of U.S. or Japan. So this is how it is getting played.

So we definitely are focused to have this footprint, a global footprint. As a result, Japan, Australia, U.K., European Union. And we are keeping a watch on the CIS or the Russian

market as well. So let's see how that plays and what's the geopolitics that happens. So these are all the important market.

India, we have been shying away so far because of the cost structure of the Indian or the expectation of the Indian retailers. But I think it will be prudent to have a footprint in India as well now. We have started with 2 small customers out here. We may grow that as well. So that's how we are looking at the diversification as of now.

China, we have not started as yet. But some of these brands are U.K. brands, U.S. brands, so especially U.S. and Japan brands who are significantly present in China, we are servicing them already. So, yes, Prerna, like I have expanded your question to all…

Prerna Jhunjhunwala: This was really helpful. So just one more question. Are the U.S. customers also diversifying their delivery locations given that they have multi -country presence so that this tariff…

Pallab Banerjee: We have not heard as of yet after this tariff reaction, if we are really putting them more marketing and more diversifying out there. But most of these brands that we are servicing, like Calvin

Klein, Tommy Hilfiger, Gap, these are the kind of brands like who have a global presence, American Eagle, Abercrombie & Fitch. So they have more like a global presence as of now. What we are seeing is that department stores, like if you talk about Kohl 's and all, they are more limited to U.S. only. But the brands that we are servicing, they have a global presence. So naturally, for example, if you talk of Gap , Old Navy and all there is a significant business which goes to Canada and Mexico, apart from U.S.A.

And the brands like Tommy, Calvin and all are all over the globe, American Eagle. So these are all over the globe. So that has been an advantage. So although one of the numbers I give you, that our U.S. customers are almost about 65%, but the goods that is going into U.S. is less than 50%. So that's how it plays.

Moderator: The next question is from the line of Vikram Suryavanshi from PhillipCapital India.

Vikram Suryavanshi: I need a clarification on Bangladesh capacity addition because already we were planning to add 5 million to 6 million pieces capacity in Bangladesh, and there was in opening comment to add 5 million to 6 million. So will that be on top of the existing capa city addition what we are looking at?

Sanjay Gandhi: So, yes, the CapEx we have…

Pallab Banerjee: Go ahead, Sanjay.

Sanjay Gandhi: Yes. So quarter 4 we announced the CapEx that we'll be adding a capacity of 5 million to 6 million in Bangladesh. And this is what was referred right now. So no new CapEx has been committed in the current quarter. So what ever CapEx was committed in the la st quarter is what is under execution right now.

Vikram Suryavanshi: Okay. Understood. And how will be the Guatemala play out going forward given the tariff situation for the U.S.A. because it is relatively small in terms of overall our capacity. So can we scale up to significant going forward for Guatemala for U.S. market or it will remain at a smaller capacity in overall scheme of things?

Pallab Banerjee: We have made some capital expenditure as we took over the existing factory. And at this point of time, the priority will be to breakeven and make it profitable. So as we do that, then we will go for the next expansion or planning of that expansion. As of n ow, it is . There is definitely a demand from the U.S. market. It's a new country for Pearl Global. It's not an easy country. It's a smaller country, but yes, the work culture, the efficiency levels.

So as we master that, that, I think, would be prudent to really put in more capital for growth at that place. So as we had declared that at this point of time, our level would be to break even, reduce the kind of the loss that we had last year and

then tak e it up maybe in future. So this is the first step that we would like to go through and there are enough opportunity.

Of course, Guatemala has only 10% tariff if the goods are made out of the raw material from that region. And that I think is also has to develop because the raw material in that region are limited. As this more and more investments from other parties we ar e seeing is going into it, if the raw material as it becomes more and more easily available out there, then we can think of the next level of growth. So not immediate. So that's why we have not planned it immediate in the short term.

Vikram Suryavanshi: Understood. And last -- yes, understood. I think that was quite helpful. And last question on, probably we have seen sudden U- turn with the U.S. opportunity, but probably we can see Russia may emerge. So currently, who are the major countries supplying to Russia and how that opportunity can play out in future at all?

Pallab Banerjee: So Russia is a somewhat smaller market, but there are about 4 or 5 big brands and retailers are there. So we have been studying them. We did a little bit of third -party with some other customers that we spoke to, and we have explored. But there's always a risk because of this geopolitics that we don't want to get associate with supplying to Russia and all.

But yes, it's better to keep an eye and observe because of the fast -changing world at this point of time. And let's see how that moves. So overall, it will not be a big market. It will be something similar to, I think, Australia market, maybe in terms of s ize, but yet to come, like yet to know more and we have to really explore that.

Vikram Suryavanshi: Understood. So can we put it like because EU is an important market for us and you may not like trade with Russia, so it's better to ignore Russia and focus on EU kind of a thing?

Pallab Banerjee: I would say that Russia is a market, but I think it's too premature at this point of time to really speak about it because we are not actively focused on that market. It got split from the EU. Earlier it was part of -- like most of these European Union bra nds were selling in Russia. Now after the Ukraine war, it has stopped. Now there is a huge amount of effort that is going on globally to stop this war. And I think that's where, like if you see like India also came into this focus suddenly.

So if this gets resolved -- if this war gets resolved in the next few weeks or months, then maybe like that could be an opportunity that how it shapes up in the geopolitical scenario, then we can look into it. But that doesn't prevent us from studying it. So we are definitely studying China and Russia, and all those markets also will continue to study.

Moderator: The next question is from the line of Kishore Kumar from Unifi Capital.

Kishore Kumar: Sir, actually, given the tariff deadline of August 27 and there will be some kind of front -loading can happen. What is our full year guidance on the volume? So earlier we guided for 12% to 14%. But in Q1, it was only 3%. So can you give us the guidance on volume, revenues and margins as well?

Pallab Banerjee: Sanjay, will you take that, or should I?

Sanjay Gandhi: Yes. So I think the yearly volume growth is something which we still stick to our guidance which we have given. We said 12% to 14% CAGR is something which we are confident as we started this financial year. I think given the trend where it has gone in the quarter 1, we have seen the realization going high. So it will be a combination of the volume or the realization going high as it seems.

But yes, to answer your specific question on the volume front, as we speak, with all the recalibration strategy which is being looked after, which looked at, I think we are on course to achieve those kind of a CAGR, 12% to 14% volume growth, which we

have stated earlier. So

as we get into the H1 of this year and beginning of H2, I think we can give you much more clear guidelines on that.

Pallab Banerjee: And if I may add to that.

Kishore Kumar: Yes, please. Yes.

Pallab Banerjee: The add that I can only do is that Pearl Global is ready to take if some opportunity comes up. As we discussed earlier in this call, like this kind of scarcity is being created suddenly in short term. So that gives an opportunity in the other regions. So t hese are the kind of readiness that Pearl has, and we will take that opportunity. Last year, the situation in Bangladesh gave us a good opportunity, and we were ready to take it. This year also, if any opportunity comes up, we were ready t o take that.

Kishore Kumar: Got it, sir. My second question is on the tariff impact of INR11.7 crores that was earlier mentioned. So is it only the discount or on the freight cost as well? I understand that we do FOB method actually of delivering goods. Does that amount include the freight cost as well?

Sanjay Gandhi: No, it does not include freight costs. It's all FOB model, as you rightly mentioned. So far, most of our shipment from all the countries are on FOB basis. So that's the tariff discount. No freight cost is included in that.

Moderator: Due to time constraints, we will take this as the last question for today. I now hand the conference over to the management for their closing comments.

Sanjay Gandhi : Thank you very much. As we reflect in quarter 1 FY '26, Pearl Global has continued to demonstrate resilience and agility amid tariff challenges and global uncertainties. Our ability to navigate a dynamic and often unpredictable global environment reflects the strength of our diversified business model, strategic foresight and o perational adaptability. Thank you very much.

In case of any further queries, kindly reach out to us or Strategic Growth Advisor, our Investor Relations adviser. Thank you.

Moderator: On behalf of Pearl Global Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

PGIL/SE/2025-26/58
Date: November 18, 2025
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BANDRA (E),
MUMBAI - 400 051

NSE - PGIL

Sub: Transcript of Conference Call
Dear Sir/Madam,

Please find enclosed herewith transcript of the Conference Call held with Investors/ Analyst on November 12, 2025, to discuss the Company's un-audited financial results for the Quarter and Half Year ended on September 30, 2025.

You are requested to take the same on your records.

Thanking you,

Yours faithfully,
For Pearl Global Industries Limited

(Shilpa Saraf)
Company Secretary & Compliance Officer
ICSI Mem. No. A23564

Encl: as above

"Pearl Global Industries Limited
Q2 and H1 FY '26 Earning Conference Call"
November 12, 2025

MANAGEMENT : MR. PALLAB BANERJEE – MANAGING DIRECTOR –
PEARL GLOBAL INDUSTRIES LIMITED
MR. SANJAY GANDHI – GROUP CHIEF FINANCIAL
OFFICER – PEARL GLOBAL INDUSTRIES LIMITED
MR. SHISHIR GAHOI – HEAD OF INVESTOR RELATIONS
– PEARL GLOBAL INDUSTRIES LIMITED
SGA, INVESTOR RELATIONS ADVISOR

Pearl Global Industries Limited
November 12, 2025

Moderator: Ladies and gentlemen, good day and welcome to Pearl Global Industries Limited's Earnings Call for Q2 and H1-FY26. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone.

Please note that this conference is being recorded. Before we begin, please note that this conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Shishir Gahoi, Head of Investor Relations of Pearl Global Industries Limited. Thank you and over to you, sir.

Shishir Gahoi: Thank you very much. Good afternoon, everyone, and I am delighted to welcome you all to this earnings call for Q2 and H1 FY '26. I hope you all had an opportunity to review our press release and the investor presentation, which are available under the Investors section of our website and the same are uploaded on the BSE and NSE websites. To discuss our results, we have with us our Managing Director, Mr. Pallab Banerjee; and our Group CFO, Mr. Sanjay Gandhi. They will take you through our results and business performance, after which we will proceed for the question-and-answer session.

Before we start, I just want to highlight that this call may include forward-looking statements based on the company's current views and expectations. Actual results could be different as future performance is uncertain and involves risks that are hard to predict. I will now hand over the call to our MD, Mr. Pallab Banerjee. Over to you, Pallab ji.

Pallab Banerjee: Thank you, Shishir. Good afternoon, everyone. In quarter 2 financial year '26, we reported another quarter of encouraging performance. Our H1 of FY '26 revenue crossed INR2,500 crores mark with an improved profitability. This is despite a little bit of uncertainty and volatile geopolitical environment that we are all living in today.

For H1 financial year '26, consolidated revenue stands at INR2,541 crores. It grew up by 12.7% year-on-year, driven by improved product mix and higher realization from our country of origin of Indonesia and Vietnam. Our adjusted EBITDA, excluding the ESOP expenses, grew 18.4% year-on-year to INR236 crores with an EBITDA of 9.3%.

Now if we exclude the tariff expenditures that we incurred and a little bit of losses that we had in our new facilities of Bihar and Guatemala, we would have standing at 10.6% EBITDA. Our strategy of geographical diversity has been working well for us, and we have been able to make a notable footprint across various markets of Australia, Japan, U.K. and EU, apart from the U.S. And from a strategic standpoint, we are broadening our client base even for India into the countries of Japan, Australia and the U.K., which is supported by favorable trade agreements and a growing retailer interest in these particular markets. India, European Union FTA

negotiation is yet to finalize the deal, hopefully, by this year-end, which may provide a strong uplift to India's export categories, including the ready-made garments.

Additionally, the U.K. FTA, which has already been concluded and would be implemented very soon, will position Indian exporters to a benefit and with tangible gains, which are expected from financial year '27 onwards. We remain positive to capture this increased demand. Our diversified model, strong customer relationships, solid order book is providing us the resilience and

the

flexibility, reinforcing our confidence in sustaining this consistent performance over the next few quarters as well.

Let me now share some updates for each geographies. I will start with the Vietnam operations. So here, our momentum has continued. We have a revenue and volume growth during this quarter, reflecting the success of strategic foresight and the investment that we have been making out here.

Also, it is supported by the favorable tariff regime across U.S., European Union, U.K., etcetera, and having strong trade linkages. Vietnam continues to enhance our competitiveness in major markets. It is encouraged by the strong customer traction, and we plan to explore additional capacities in Vietnam to further deepen our customer engagement and increase their wallet share.

Similarly, like for Indonesia also has delivered good robust growth in both volume and revenue for this quarter, complemented the strong performance, which came from Vietnam as well.

Following the successful relocation of our factory from the water side to the interior, we are steadily regaining the business and meeting the rising customer demand by consistently delivering the value. The migration of sourcing out of China is definitely helping Vietnam and Indonesia to further strengthen our positions and giving us the confidence to sustain this momentum in coming quarters as well.

In Guatemala, our Central American operations continue to gain customer interest from U.S. especially. It is supported by the reduced transit time to the U.S.A. and only 10% reciprocal tariff with Zero FTN duty or MFN duty. So while the initial setup phase involved certain challenges and losses last year, this has narrowed this quarter, and we are expecting to decline further in the second half of financial year '26, thus improving the traction and driving gradual recovery for us in this market.

Bangladesh continues to be a strong growth driver for PGIL, benefiting from the already existing FTAs due to their LDC status, the least developed country status. And this is across key markets of European Union, the U.K., Australia and China. So naturally, this country has still a lot of horsepower and advantage in garment exports. So we continue to leverage Bangladesh's tariff advantages. We have sustained strong customer demand and competitive pricing.

Our capex plan remains firmly on track, targeting an additional capacity of 5 million to 6 million pieces, which will drive efficiency, improvements and reinforce our leadership in the sustainable manufacturing through upgraded washing facility as well. In India, where our stand-alone revenue is at INR531 crores in the first half of financial year '26. Adjusted EBITDA, excluding

the ESOP, stands at INR30 crores which is a margin of 5.7%. Excluding the impact of tariff and the related costs of Bihar, this will stand at 7.2% EBITDA

Now driven by the capex and the strong global network, Pearl Global is well positioned for sustainable growth and further robust order book across all our regions, and it is coupled with the disciplined execution, reinforcing our ability to deliver long-term value and maintain this momentum. With a robust order book, continued focus on the strategic execution and a diversified geographic presence, we feel that we are very well positioned to sustain this growth momentum and deliver long-term value to all of you.

Now I will hand it over to Sanjay, our Group CFO, who can provide the detailed overview of the quarter 2 and the first half of financial year'26. Sanjay, over to you.

Sanjay Gandhi: Thank you, Pallab. Welcome to our quarter 2 and H1 FY '26 earnings call. I will now take you through our financial and operational performance. H1 FY '26 revenue crossed INR2,500 crores milestone, reaching INR2,541 crores, a 12.7% year-on-year growth driven by high value-added product sales

in Vietnam and Indonesia. Adjusted EBITDA, excluding ESOP expense stood at INR236 crores, up by 18.4% in H1 FY '26 at margin of 9.3%. Adjusted EBITDA margin, excluding tariff cost of INR21 crores in H1 and loss at new facilities, Guatemala and Bihar stands at 10.6%. PAT in H1 FY '26 grew to INR138 crores, a growth of 17% on a year-on-year basis.

Quarter 2 FY '26 for group results. For quarter 2 FY '26, total revenue stood at INR1,313 crores, an increase of 9.2% year-on-year. Adjusted EBITDA, excluding ESOP expense, came in at INR122 crores, up by 23.6% year-on-year with margin at 9.3% improved by 108 bps year-on-year. Adjusted EBITDA margin, excluding tariff costs in India and loss in new operations stands at 10.1%. PAT rose to INR72 crores, making a 29.4% growth year-on-year.

Now talking about the stand-alone financial performance. H1 FY '26 revenue stand at INR531 crores. Adjusted EBITDA stand at INR30 crores grew by 72.7% year-on-year. Adjusted EBITDA margin at 5.7% grew by 258 bps year-on-year. Adjusted EBITDA margin, excluding tariff cost of INR8 crores stand at 7.2%. PAT stand at INR41 crores compared to INR27 crores in H1 FY '25.

Quarter 2 FY '26 revenue stand at INR264 crores. Quarter 2 FY'26 adjusted EBITDA stands at INR11 crores, EBITDA margin at 4% and PAT stand at INR15 crores compared to INR12 crores in quarter 2 FY '25.

Our strong performance at the Group level is reflected in our strengthened balance sheet. Net worth as on 30th September 2025 stood at INR1,271 crores compared to INR1,146 crores as on 31st March 2025.

Cash and bank balance, excluding cash earmarked for LC payment stood at INR416 crores with an additional INR128 crores investment in mutual fund and fixed deposit totaling to INR544 crores as on 30th September compared to INR513 crores as on 31st March 2025. Working capital days stood at 33 days as on 30th September 2025. ROCE improved by 375 bps to 29% in H1 FY '26 from 25.2% in H1 FY '25.

Other key highlights, despite global headwinds and tariff uncertainty, our operational performance remained steady year-on-year. We shipped 19.9 million pieces, highest in quarter 2 series. Total number of pieces shipped rose to 37.1 million in H1 FY '26 from 36 million pieces in H1 FY '25. In line with our stated dividend policy and commitment to shareholder return, the Board has declared an interim dividend of INR6 per share for H1 FY '26, representing a 20% payout ratio with respect to Group PAT and 120% of face value.
PGIL Holding Company received a total dividend of approximately INR32 crores in H1 FY '26 from our subsidiary company, Norp Knit Industries in Bangladesh and Pearl Global HK Limited from Hong Kong. This is in line with fungibility of cash across Group entity. The company has been consistently declaring dividend from subsidiary company in Bangladesh and Hong Kong since FY '22.
We have upgraded to eFlow Nanobubble technology, replacing traditional water-based washing in Bangladesh. This advancement enables up to 32% water saving, 9% reduction in power consumption and 20% improvement in time efficiency. Also with solar projects installed in India, the renewable energy consumption has increased substantially to 35%.
On the capital expenditure front, we are progressing well in line with our plans with a committed outlay of INR250 crores for FY '26 of this INR134 crores has already been utilized towards capacity expansion and technology upgrade, ensuring timely execution to support our future scalability.
Construction of the apparel manufacturing unit in Bangladesh is in full swing and is targeted for completion by quarter 2 FY '27. Out of INR110 crores allocated, INR65 crores has already been committed. In India, Bihar capacity expansion with an allocation of INR20 crores has been fully completed and the project is now in the process of commercialization.
Const

ruction of laundry facility in Bangladesh is in full swing and is targeted for completion by quarter 2 FY '27. Out of INR90 crores allocated, INR33 crores has been committed. Other planned capex of INR25 crores for replacement and efficiency improvement of INR11 crores has already been committed.
In summary, we have delivered a resilient quarter of growth, maintaining healthy margins despite challenging macro environment. As we look ahead, we remain confident in our strategy, execution capabilities and long-term value creation. Thank you.
With this, I now hand over to the moderator to open the floor for questions and answers.
Moderator: Thank you very much. The first question is from the line of Kishore Kumar from Unifi Capital. Please go ahead.
Kishore Kumar: Congrats on showing the resilience and good set of numbers. Sir, my first question is on the volumes that we have done for Q2 and Q1 -- I mean, H1. there's a moderation in volumes. Is it because of postponement by the U.S. customers? And how are you seeing the volume trend going forward? Because India contributes a sizable portion of the H2 business for the spring and summer season. What's your plan here, sir?

Pallab Banerjee: This particular quarter normally is a little slow in terms of shipping and number where the volume builds up and then starts going on during the spring/summer from India. So I think that is not a big, I would say, a needle mover as of now. What we are finding is that the order books are robust. Yes, there has been a shift because the U.S. customers who are still -- who have placed business and are still placing business in India, they have been asking for some mitigation between this extra penalty tariff and the higher tariff compared to the other countries.
So I think there is definitely a less interest for us also to book that business because it will not give us that kind of margin. And the alternate markets are yet to fully kick in. But yes, there are good traction that we have seen from markets of Japan, Australia. Even the European and U.K. markets are also opening up. So those are the things that we will see will continue to happen.
In terms of India specific numbers, if you see, we are almost there. It's like a little bit of negative, I think you saw in this particular quarter. But again, that plus/minus up/down depending on how much of inventory in hand, which -- like sometimes we hand over the goods, but it is not shipped out, not cleared, so we cannot call it as inventory shipped. So we haven't seen any big switch or a big variation in terms of numbers of manufacturing and shipping.
Can you repeat the second part of the question once again?
Kishore Kumar: The India business, because from Q3 and Q4, we do a sizable volumes from India to the U.S. for the spring and summer seasons. Given the tariff still going on, what's your plan here? Are we going to do it here or move it to Bangladesh and other countries?

Pallab Banerjee: So for us, like if some of it is moved to other countries, then our bottom line would get better, definitely because India, normally, we are forced to give that tariff advantage to the customers. But certain products which have capabilities in India and we would like to maintain those minimum lines and all, we are still continuing to do it in India. So this is something Q3 numbers are -- as I said, the order books are looking fine. Q4 also, like the booking will be happening now.

If there is a good announcement from both the countries of U.S. and India in terms of some tariff agreement and a settlement, which too much news is coming up, but we haven't seen the actual results. If that happens, I think then we will see a surge in demand. Otherwise, I think as you see like the number growth at this point of time with this negative margins is not advisable. So we'll not push for the number gr

owth at this point of time, unless until this tariff thing is clear for the U.S. market. For all other markets, we are aggressive, and we will continue.

Kishore Kumar: Got it. Sir, my second question is on the tariff impact in Q2. Sir, we can see some marginal impact in the business due to the ongoing tariff. Could you please help us understand how much was actually given as a discount by Pearl and how much was actually passed on to the value chain and the remaining would be taken by the brands right?

Moderator: Ladies and gentlemen, the line for the management seems to be disconnected. Kindly hold while we reconnect them. Ladies and gentlemen, the management is back in line with us. Thank you for holding. Sir, please go ahead.

Kishore Kumar: Can you hear me?

Pallab Banerjee: Yes, we can hear you.

Kishore Kumar: Sir, I was asking about the impact of tariff. Actually, in Q2, we see a marginal impact that is lesser than what we had in the Q1. How much discounts we gave it to the brands and our customers? And then how much was passed on to the value chain? Could you please help us understand that math?

Pallab Banerjee: So it is depending on the kind of negotiation and business understanding that we have. So most of the U.S. customers are asking for mitigating the 25% penalty, which on an FOB value or the first cost -- first sale value works out to be approximately around 14% to 15% discount to mitigate that 25% tariff. So this is the ask from most of the U.S. customers.

And then comes the negotiation and what kind of other services that we are providing to them. So on that basis, we try to negotiate. So this is the current status. So yes, there are at least about 3 of the customers are not -- sizable, big customers where we are not giving any discounts. And the others, we are giving discounts depending on the negotiation that we could manage to have with them.

Kishore Kumar: Understood, sir. And one final question before I move to the queue. Can you expect similar margin impact in the coming quarter as well on tariffs, if that sustains for a full quarter?

Pallab Banerjee: See, the strategy for the company is like if I look at last year, at this point of time, almost about 60% plus exposure was there to the U.S. market from India. So this year, I think that proportion has changed. So we have already reduced the U.S. exposure. And now it is just below, I think, 50% at this point of time, out of which also we are trying to move out some of the customers where we don't have to pay the tariff discounts or the kind of advantages that they're asking for. So that is our effort. As it continues, then the impact will continue to get lesser and lesser going forward. In the meantime, like if a deal is struck between both the governments, then definitely this will be behind us. So only time will tell what happens. But yes, for our business, our business strategies are in place so that we don't have to really depend a big time on the U.S. market and continue to grow our business as we have promised to all of you.

Moderator: The next question is from the line of Sahil Sharma from Dalmus Capital Management.

Sahil Sharma: So sir, like you mentioned that we have reduced our revenue contribution from the U.S. to approximately 50% from 86% in FY '21. So I just wanted to understand your thoughts on how do you see this development in this geographical mix next 3 to 5 years down the line? And if we are to reduce our concentration of the U.S. markets, so which are the markets we are looking to expand into?

Pallab Banerjee: So we had given a road map for Pearl Global to do INR6,000 crores by 2028. So we,on that, what are the strategies that we had put in place that is continuing. Rather than depending on only one major market, we had taken a call to diversify our market base. And yes, like each of the markets, we do try to bu

ild our expertise upon depending on what are the forecast of that

particular market, how the sentiments are, whether the market is experiencing any growth or not. So those are things that plays into our strategy as we push where we need to push more and where we need to push less.
At this point of time, as U.S., there were a lot of economists who are forecasting that there could be some impact on the tariff. And what we also saw the sentiment in most of our retailers is to buy conservatively and keep their open to buy for a later date as much as possible. So keeping that in mix, definitely, we were accelerating much more in the other markets. So that's the result that we are seeing as of now.
Now if you are talking about 3- to 5-year horizons, what I'm finding is due to various geopolitics and fast-changing economic scenario and the macro factor changes that's happening in our world now, I think it will be too long to focus for 3 to 5 years about each of the market where it will be very deterministically. I would say we will be flexible.
We have a good share and good understanding of all the markets. So wherever we find opportunity and sustainable opportunity, we'll continue to push for that. So today, across the markets of Australia and Japan and Europe and that is Spain and U.K., we have got captured some sizable brands and will continue to grow their wallet share.
Sahil Sharma: Understood. And so just continuing from this volume -- lower volume growth in the first half of FY '26 of around 3%, whereas it was around 30% last year. So I just wanted to check with you whether is it a constraint on our capacity, which is limiting this volume growth?
Pallab Banerjee: No. Our capacities we have built up. We are ready to do more depending on how the markets are reacting. So I think I just answered the first gentlemen to Mr. Kishore also, like in terms of -- we don't haven't seen a huge decline in the number. But yes, like the growth which we are talking about is slower at this point of time because of some of these macro factors. But we are still continuing to grow. And you will see that growth happening in the second half as well.
Sahil Sharma: Okay. And one last thing. What would be our capacity currently at the Group level?
Sanjay Gandhi: So our capacity at the group level remain at 93.6 million pieces, plus there is a production which is under -- the construction of new facility in Bangladesh is undergoing. Bihar has just started the commercialization. So as the ramp-up happens, that capacity will keep on adding with the commercialization of the full installed machine. So we'll keep updating on that installation.
However, what we stated with the capex committed, we are -- we will be in excess of 100 million pieces in terms of installed capacity and with the high value add and partnership, I think by mid of next financial year, we would be ready to ship almost 100 million pieces by middle of H2 -- H1 end of FY '26, '27. So that's what our trajectory was, we have mentioned and we are in line with that.
Moderator: The next question is from the line of Shradha Agrawal from AMSEC.
Shradha Agrawal: Congratulations on a great quarter despite macro challenges. Two questions. How are we looking at demand in the U.S. when retail prices start to move up? Because what we understand is currently retailers are holding back pricing on the inflation to the end consumer there.

Pallab Banerjee: Yes, that is correct. What we have seen is what was expected that more and more price ticket will change. That has not yet happened. There have been -- surgically, most of the retailers are trying to increase the price ticket wherever they are finding that they can get a better price only on those styles or those programs, they are increasing the price t

icket. So yes, this change, I
think, in terms of price points will be slow in U.S.
So that means most of the retailers are still holding on to their core and basic price points by pressurizing the supply chain and absorbing some of the cost themselves. But still like -- I'm not seeing that they are aggressively buying also. So they're just maintaining the number. They're keeping certain open to buy close to the season because they're just like waiting and watching kind of scenario that we are seeing in the U.S. more.
Shradha Agrawal: So in that context, how do we look at the order book number for the next spring season across geographies? I mean across our manufacturing capabilities
Pallab Banerjee: Yes. So you see like what we have -- as Pearl specifically how we are doing, we have been growing the customer base also. So we have been targeting as always, like which are the customers who are growing or who are able to gain market share, we are trying to gain more wallet share from them. And if we are not working with them, then we are making an entry to work with them. So with addition of new base, new kind of customers continues at Pearl.
So we are not looking forward to a big challenge in terms of getting our numbers. So that's why order book is as per our plan across the geographies. In India, specifically, like because of the

high tariff and the high discount situation that comes in, we are not aggressively pushing for U.S. market business.

Shradha Agrawal: Right. And sir, just one basic understanding question. You indicated that to mitigate the 30% reciprocal tariff -- incremental reciprocal tariff impact of India, a 15% discount on FOB is sufficient. So I didn't get the math. So how is 15% offsetting the 30% incremental reciprocal tariff?

Pallab Banerjee: So it is not for 30%. It's for the 25% penalty. So like -- if you see like a $10 garment, when it lands in U.S., you have to pay the tariff. So that 25% tariff means $10 will land at $12.50 penalty, which is there. So that will make it to $12.50. Now if we decrease this $10 to, let's say, what, 15%, which would be about $8.5, then it will -- with this penalty tariff, it lands at $12.50. So that's where the math works out that you have to give approximately 15% of discount in your first cost to get to the same price point. That's how it works out. It can work it out by math.

Shradha Agrawal: Okay. And from countries like Vietnam and Indonesia, what has been the extent of tariff sharing that we've done with retailers? Any quantification -- broad quantification also would be helpful.

Pallab Banerjee: So when this 10% tariff was implemented, that time most of the retailers had asked for some partnership, which I think was impacting us almost about close to -- just below 2%, close to 2%. Some of these are still continuing and they will be -- I think they tried us to -- requested us to anniversary that.

So if I look at when the 10% became 20%, 19% to 20% because that's the time the negotiation of the customer was weak because everywhere they could go to source, it will be a similar kind of tariff. So we didn't see significant growth when the tariff went from 10% to 20%.

So I think we are continuing in that approximately 1% to 2% in the other market, which we are seeing now would slowly like as we go into the next season or the new season, we try to build up that cost into the cost. But that's the kind of understanding with the customer so far.

Shradha Agrawal: Right. So if assuming this tariff situation were to continue for another quarter, so the full impact of tariff would be felt in 3Q. So in that sense, 3Q would be the bottom and hopefully, by 4Q, things get resolved. So can we expect margins to go back to the pre-tariff structure? Or structurally, do you see a lower margin profile given pricing negotiations that would continue, at least on the

new 20% tariff, which has become the base now?

Pallab Banerjee: As I just said, like when it becomes 20%, and if you know it, before booking the business, then you try to factor in that kind of in your costing. So our style -- when you see when the tariff was implemented, we had already an order book from the customer. So the customers came and said, okay, now we have placed the business. We didn't factor this tariff. So give us a discount so that we can mitigate that tariff.

Now when the new season comes and if the customer says, okay, give me a 2% discount even before finalizing the cost. So that's where as a supplier, we do have a little bit of leverage to build up that kind of costing in our costing. So that -- I would say that risk goes away, reduces. But for India, where the penalty is still there and the numbers are too big, there, it will continue to have an impact whatever business of U.S. that we do in India. Sanjay, would you like to add?

Sanjay Gandhi: So I mean, on the margin perspective and the tariff impact, which is more from India business in quarter 3 and quarter 4, we are pretty confident despite the tariff impact, which is there on some of the sales, which is happening from India to U.S. The overall margin profile of the company should remain in the similar range what we had last year. We do not foresee any kind of challenge in maintaining or maybe making all our efforts to improve that.

Moderator: The next question is from the line of Tejas Gutka from Electrum Portfolio Managers.

Tejas Gutka: Very heartening to see the results from the current environment. A couple of questions. I go back to that flattish volumes. Volumes are flattish, revenues have grown. So clearly, there is some realization bump up. So if you could just give some color on that?

Sanjay Gandhi: Yes, sure, Tejas. So the revenue growth of H1 is around 12.7%. So as you rightly noticed, there is a 3%, 3.5% of quantity increase. The rest is a price increase. And one of the reason for increase in the sales is that the high value-added products in Vietnam and Indonesia have grown faster compared to the decrease in sales of the lower value addition.

Overall, the composition of the customer mix and the product mix have gone favorably towards a higher realization and which is sustainable as we go in future year as well. And that's what has led to growth in revenue.

Tejas Gutka: So fair to assume that as the tariff overhang kind of come off, if and when, then this would also improve our margin profile?
Sanjay Gandhi: Sure. I mean you rightly observed it. Fundamentally, if you look at the construct of the business, which we have stated as one of the commentary that if we remove the reciprocal tariff, we would have been looking at more than 10% consecutively for these 2 quarters in this financial year and also quarter 4 of last financial year. And so as the tariff situation improves between India and U.S., definitely, we are already poised to double-digit EBITDA margin business-wise constructively, and then it will improve further from that level.
Tejas Gutka: The second question was the INR6,000 crores target by FY '28, if we continue at the current pace looks like very easily achievable. So is there -- do you think there's a need to revisit that target, maybe target moving higher?
Sanjay Gandhi: So I'll just add a couple of points. You rightly said the point on acceleration. So as I earlier mentioned about the capacity reaching that in excess of 100 million pieces by mid-FY '26, '27, which means the shipment number of pieces can definitely be accelerated against what we stated by FY '28. So we are on a path of capacity additions.
We do have capacity leverage available in India as well. And elsewhere, the capacities are also getting created. So we will be well positioned to capture any such opportunity, which will be ther

e, assuming this tariff situation goes off and there are other FTAs with India also gets materialized from an implementation perspective, while we continue to grow in the rest of the geographies.
Tejas Gutka: Great. And the last bit was the aspiration towards 12% margins. Assuming have seen changes on the tariffs, does that aspiration still continue?
Sanjay Gandhi: Yes, Aspiration is there, 100%. We are definitely working towards it and seeing how the business has become more and more resilient and can withstand any such challenges while we still maintain our target of 12% EBITDA.
Pallab Banerjee: So we have identified all the levers and one of the levers is definitely getting slowed down because of this tariff on India. Otherwise, I think all the levers are still in some kind of action.
Moderator: The next question is from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking.
Bhavya Gandhi: Congratulations on a very good set of numbers. Sir, my first question is regarding if you can mention the exact capacity addition we are planning for FY '27 year closure because when you mentioned about 100 million getting crossed by FY '26 or mid of FY '27. If you can provide some capacity numbers for FY '27 and '28, broad numbers is also fine.
Sanjay Gandhi: So FY '27 with all the capex, which is already undergoing, we should be in excess of 100 million pieces. Plus there are other capex opportunity or the partnership opportunity are being explored in overseas location as well. With that, we should be inching towards 110 million approx. number. We need to really do the math about timing of when this partnership facility gets

materialized. But we should be looking at 110 million - 115 million by end of FY '27. And for FY '28, I think we can update you as we go into the next quarter and reach year-end FY '26. And once the Board approves all the capex plan, I think I'll be in a position to add more on that. However, as we stated earlier, by FY '28, our endeavor is to have partnerships plus in-house capacity of 130 million, 135 million pieces. We are still working in that direction. That's what the direction we have internally, and we are working towards it.
Bhavya Gandhi: Perfect, sir. And with respect to the overall mix of Vietnam and Indonesia increasing, can we expect that the overall realizations would gradually start inching towards INR700 mark on a consol basis on a full year basis as well?
Sanjay Gandhi: Full year basis, see, H1 is always where we have much of the business, but the construct of the business is always evolving both in Vietnam and Indonesia as well. So there is definitely a possibility of improvement in overall realization for the full year. Now whether it reaches INR700 or remains INR675, INR680 or INR705, that is something we -- if the business situation keeps evolving, we'll keep updating on that.
As we look at number of H1, we have close to INR700 realization at H1 of this financial year, which is largely because of the value addition products, which are being sold in Vietnam and Indonesia. So yes, we are definitely improving it. Now how much improvement leads us to INR700, that is something we will keep you updating as the strategy keeps evolving.
Bhavya Gandhi: Got it. And sir, how much maximum capacity utilization can we reach, say, for example, even for FY '27, if we are closer to 110 million pieces, can we touch like a 90% capacity utilization mark or 80%, 85% is something realistic to work with?
Pallab Banerjee: The new facilities normally full operation takes a couple of years. So that's where I think the number is slightly low, maybe 85% is the highest, I think, would be possible at any point of time. If there are new facilities getting worked. Otherwise, if the facilities are continuously

running, then achieving 90%, 95% is not difficult for us. That's how it plays out

. Because we
were continuously growing, that's why we said that we were keeping a target of at least 120
million plus capacity to achieve 100 million of shipment. That's how we had planned it.
Bhavya Gandhi: Got it, sir. And just one last thing on the Bangladesh laundry facility. If you can just quantify
how much margin improvement can we see because of that on the overall numbers on a consol
basis, maybe in a year or a 2 time frame?
Sanjay Gandhi: Yes. So if you refer to the commentary which is mentioned on the capex, return on capital
employed, we see that internal return on capital employed by way of saving in washing costs
and other efficiency should be 18% to 20%. Now the capex amount, which is mentioned here is
around INR90 crores. So I guess you can just do that mathematics around where it will lead to
in terms of the margin improvement once the capacity gets fully functional.
So we should be like H2 it gets commercialized. So I think by all probability, FY '27, '28 should
be the full year for us to reap that cost advantage and the economics -- economy is there. And
so the reflection will be there. But the exact number, we'll work it out and share with you maybe

in the next earnings call as we reach closer to the capitalization of the plant and
commercialization.
Bhavya Gandhi: Sure, sir. And just on the India business, we've added some new customers, if you can name
them, who have been targeted, if you can provide some qualitative or quantitative data as well.
Pallab Banerjee: No point going into that kind of detail as of now. Yes, India, what we have done is we have
opened up some domestic brands as well as adding other customers internationally. Now as we
add customers, initially, the traction is low. First of all, it's more of a trial order that they give us
and we execute it and then we build up the relationship and confidence and then start giving
them the design on which gets picked up.
So normally, our observation is that to add a new customer, it takes at least about 5 to 6 months
to really start moving on our traction. And then yes, once the delivery has happened, that means
that after the first year, we see acceleration as we try to gain the wallet share of that particular
customer. So we continuously are on the plan of adding customers. We don't publish in the
beginning, but the top big ones, the top 6 or 7 or 8 that we have been sharing with you always.
Moderator: The next question is from the line of Prerna Jhunjhunwala from Elara Securities.
Prerna Jhunjhunwala: Congratulations, sir, on strong set of numbers despite the tariff headwinds and stuff. Just wanted
to understand that you have let go some volumes and also some realization. So if these actions
were not taken, what would have been your revenue this quarter?
Pallab Banerjee: Sorry, Prerna, I didn't get your question. Why should we let go off our revenue.
Prerna Jhunjhunwala: No, no. I'm just saying that some volumes were let gone because some business you did not want
to do in the U.S. with lower...
Pallab Banerjee: Let me clarify to that. See what happens is India has been a tariff. So the customers are there
with us. Customers are strategic and customers have been working with us. It's not like they're
just coming and going kind of customers. We have stable customers. So rather than executing
the program in India, if you execute it outside of India, then we don't have to pay for this penalty
-- my customer doesn't have to pay for this 25% penalty tariff.
So if we execute in India, they will request us to compensate that penalty tariff. So that is why
sometimes it's prudent not to execute from India and to execute it from the other countries,
wherever possible. It's not every case, it is possible. But under no circumstances, I think it's
prudent to let go of a business, which is a customer is coming to buy from it. So that

's the
correction I would like to make.
Prerna Jhunjhunwala: Okay. That clarifies a lot. I thought that there's some volumes also that you would have forgone
this quarter to some extent, maybe a small quantity. So you mentioned that there is a 15% odd
impact. So is it prudent for us to understand that this revenue could be higher by 15% if the
tariffs were not there?

Pallab Banerjee: Yes, that's for sure because most of the retailers are still asking to compensate for this extra
penalty tariff. So that means most of -- not only for Pearl, but anybody who is exporting out of
India has this challenge. So yes, wherever we can compensate, we try to compensate in terms of
our cost or in terms of some other benefits that we try to give to the customers. But yes, that's a

challenge that most of the players in India, including Pearl has at this point of time for U.S.
So if this tariff goes away, then definitely that advantage comes in. And then as you said, like
India region, then we can book more business and more aggressively. The customer also comes
to India and Indian manufacturers can aggressively book also from the U.S. So these two factors
will start playing much more if the tariff goes away.
Moderator: The next question is from the line of Kishore Kumar from Unifi Capital.
Kishore Kumar: Sir, I just wanted to understand the country mix for this quarter. We did about 50%. How much
went from India to the U.S. and from the rest of the country? And could you please quantify the
other geography mix as well?
Pallab Banerjee: So overall, as a company, U.S. is contributing that means the goods which is moving into U.S.
is just below 50%. What we saw is about 48-point-some percentage going into U.S. And I think
it's pretty much similar for India at this point of time. For countries like Indonesia, where the
exposure to U.S. is high, in Vietnam also it's slightly higher. Bangladesh and India, I think it
compensates so that overall, it comes down to 48%, 49%.
Kishore Kumar: Other geographies?
Pallab Banerjee: Other geography means other markets.
Kishore Kumar: Yes, sir. Japan, Australia, U.K., Europe.
Pallab Banerjee: Yes. So basically, like if you talk about Spain and Japan are the next big ones that we have,
which should be around, I think, anywhere between 15%, 17% and then followed by the
Australia and U.K. and rest of the world.
Kishore Kumar: Sir, on the volume guidance front, you actually mentioned about the margin sustainability. On
the volume front, H2, can we -- because the last H2 was a higher base. Can we expect similar
volumes?
Or should we expect higher volumes as the business comes back?
Pallab Banerjee: So we are seeing a good robust order book, like whatever we had done last year, we have already
crossed that number in terms of our order booking and all. So that way, I think we are
progressing.
last year, our overall number grew almost close to about 30%. I don't think this year would be
such a high growth, but it's an upward trend. We will be growing the business.
Moderator: The next question is from the line of Pulkit Singhal from Dalmus Capital Management.

Pulkit Singhal: Congrats to the management team for navigating the situation fairly well. I have just one
question. I'm just trying to understand in the process of navigating through this kind of trade war
and the kind of experience that we are going through. What is the kind of learning or what is the
kind of inference or experience that we are gaining that is helping us shape our strategy for the
next 3 to 5 years?
Sometimes these situations throw in certain kind of understanding that we get either from the
customer side or we end up taking something on the cost side, which helps us benefit even in
the future, whether the situation stays o

r not. So if you could share certain learnings that has
come across.
Pallab Banerjee: Yes. So you see that the core basics, like basically, the core basis has to be strong. That means
the manufacturing expertise that we are bringing on to the table, that has to continue to grow
because we are ultimately manufacturer and we are competing across the globe. And I think that,
as a company, we are continuing to invest upon.
Then comes the second one is the diversified market. I think that was both in terms of
manufacturing base as well as the customer base. I think that's something -- you have been
tracking Pearl for quite a long time, and you had a lot of conversation with us. And I think you
had that visibility that we have been always talking and strongly believing in that and which is
giving us the result at this point of time, which we are seeing.
So these are the 2, I think, is definitely. And then, of course, the other things that we had built
up as our strength is helping us. Sanjay, do you want to add those?
Sanjay Gandhi: Yes. I think the learning on the capital allocation discipline and the policy, which we consistently
have applied for the last 3 years have been really a great learning for us and pave the foundation
very clearly that we should be continuing and while strengthening and making amend wherever
it's required. And then being open to look at an opportunity as and when the industry offers that
which we saw in last year in Bangladesh growth, Having the good sound balance sheet and the
financial discipline really help in terms of capturing those opportunities, which...
Pallab Banerjee: Every disruption will give us.
Sanjay Gandhi: So I think we have kind of made that financial discipline and governance and capital allocation,
which will kind of be ready in a situation as and when the opportunity comes, keep on
accelerating growth. And diversification, which Pallab mentioned definitely is there.

Pallab Banerjee: I think you already saw that diversification, strong in design presence across all the markets and of course, the manufacturing expertise that we are bringing on to the table to our customers. So these 3 things followed by all the discipline will definitely help us.
Pulkit Singhal: While we have been more diversified versus some of our peers, I think even still the top 5 clients tend to be still a heavy portion for us. So I'm just trying to understand that in the next 3 years, are you able to, therefore, force a higher level of diversification now given that some of your clients would definitely probably be wanting to work with you having -- given that you have a more diversified sourcing model and they may want a partner like that. So are you able to push

that agenda a lot more to be able to say that I can now steer it in a way such that makes it the top clients, I mean, I can further diversify it a lot faster than the trend that has been.
Pallab Banerjee: Yes. So you see one of the things to make it more efficient, I would always keep my 50% of the business approximately in the top 5 because where much more strategic approach can be done by both the sides. Of course, this 5 can change depending on their financial strength and their marketing strength. So if a company is growing, if my top 5 is growing, then I grow. So that's something is important. So this top 5 may change.
But I think that what we call concentration or consolidation of the top 5, at least about 50% of the total business would always help in terms of bringing in much more efficiency for the organization.
And then the balance 50% is a place where always there will be a dynamic change, who are the performers who are growing market share and their wallet shares among their clients are the ones that we would always be interested in so that it's always a healthy combination at both sides.
Pulkit Singhal: Okay. Okay

. So in the balance 50%, are we aiming to have, let's say, a lot more clients in, say, next 3 years than we currently have?
Pallab Banerjee: Yes, that I think as we grow on strength, definitely the diversification is happening.
Moderator: The next question is from the line of Manjubhashini from ASK Wealth Advisory.
Manjubhashini: Congratulations on good set of numbers given the uncertainty in the business side. Sir, my first question is on the volume side, a lot of people try to understand what is constraining the volume growth. I think this is coming from the fact that if you see the first half of last year, there was a very good growth on an average first half of last year delivered close to 40-odd percent growth, and that continued in Q3 as well.
So now that we are at an average of 3% volume growth for the first half of FY '26, so how should we take things in the second half as you think in the second half? Is it going to be flat compared to the second half of last year? Or you think there is still some growth visibility that one has as of now?
Sanjay Gandhi: Yes. So let's look at revenue growth. I think there are some technicality around the minutes which are getting produced vis-a-vis number of bases. So we are looking to grow in H2 as well basis the order book visibility we have, looks strong for the H2. So yes, there should be growth. Talking about the growth number at this point in time, I think...
Pallab Banerjee: I can try to explain this to you like because we are in a fashion and not absolutely a basic commodity kind of business. So the number of pieces may vary up and down, but our capacity is getting fulfilled. That means if my machines are making a 20-minute garment or they are making a 25-minute garment. So that my productivity and my earnings or my growth of sales revenue that will continue to grow. It will depend on what kind of order opportunity that we are getting and what kind of business fashion trend that we are catering to.

So yes, maybe like you saw a 3% growth, but I don't think like you should be too much focused on that. You might see a bigger number in the second half, depending on how it is. Sometimes like if you're getting a huge amount of big order size of a jersey order or a basic T-shirts order, then the number will significantly show a growth. And sometimes like if it's a jacket or outerwear or pants, which are growing compared to a T-shirt, then the overall number may not look so healthy. I think overall, we are in a growth path. So we are not seeing any change in that.
Manjubhashini: Understood, sir. And second -- first half, we grew by 12-odd percent on the top line front. So should this be -- should we aspire to grow higher than this number in the second half or a similar run rate of growth should we assume?
Pallab Banerjee: No, no. Our aspiration is definitely high.

Manjubhashini: Got it. And just one more thing on the -- some of the capacity getting shifted away -- I mean, before I go to that, sir, earlier, I think what we had indicated was 15% to 16% of your overall consolidated sales is what goes into the U.S. geography. Is there any change to that?

Pallab Banerjee: Yes, about 3 years -- 3 to 3.5 years back, like we were at almost 80%, 86% plus exposure in the U.S. market. That as this growth has happened, we have very diversified into the other markets. That's why the U.S. goods, which is shipping into the U.S. is around 49% as of now, as I was just mentioning. But there are certain U.S. customers who are based out of U.S., but are global brands. So naturally, if I have to talk in terms of those customers, then our exposure is almost about 60% plus.

Manjubhashini: This is from the U.S. customers on the overall customer base. So some of the U.S. customers may take the delivery of the orders in non-U.S. regions as well, correct?

Pallab Banerjee: Yes, yes.

Ma

njubhashini: So now I'm trying to understand from the sales mix in currency terms, how much of it gets landed into U.S. geography?

Pallab Banerjee: Around 49% of our total turnover as of now.

Manjubhashini: Okay. So 49% of overall...

Sanjay Gandhi: Sorry, just to add that, I think 15%, 16%, which you mentioned was India export to U.S. That's what was captured in earlier.

Pallab Banerjee: That is yes, if you talk of India, which is doing about 25% of the total turnover and there almost 50% to 60% of it was going to U.S. So in the total turnover the U.S. component from India works out to be about 15%. I think that's the number if you are mixing up with. Does it make sense to you now?

Manjubhashini: Yes. So let's say, first half of INR2,500 crores sales, 15% of INR2,500 crores lands with U.S. That is how I should understand it, right?

Pallab Banerjee: From India. Globally would be out of this INR2,500 crores, almost about INR1,250 crores would be -- just below INR1,250 crores would be landing into U.S.

Manjubhashini: And on the incremental capacity additions that is happening from Indonesia, Vietnam and Bangladesh, let us assume the tariff situation doesn't ease out and things continue on a status quo basis. So can incremental volumes which could have gone from India be supported from the other geographies?

Pallab Banerjee: Yes, 100%.

Manjubhashini: And even if the situation continues status quo, you are guiding for a flattish EBITDA margin in FY '26 vis-a-vis FY '25. There may not be any reduction in the EBITDA margin even if the tariff situation continues, that is the commentary we take, I guess, sir.

Sanjay Gandhi: Yes, as we mentioned that we are very confident of maintaining the same EBITDA margin, and we are making all our efforts to make an improvement. As we have seen the improvement in H1 numbers, we are definitely trying to see for H2 also improvement compared to last year numbers. For the full year, we are either at the same level or...

Pallab Banerjee: Slightly better. Yes.

Sanjay Gandhi: That's what our endeavor is.

Moderator: Thank you very much. Ladies and gentlemen, due to time constraint, that was the last question. I would now like to hand the conference over to management for closing comments.

Sanjay Gandhi: Thank you to all participants. In H1 FY '26, the company delivered strong performance despite a challenging and uncertain environment. Our diversified multi-country manufacturing model has been instrumental in driving the growth, and we remain optimistic about sustaining the momentum through our strategic capex initiative. In case of any further queries, kindly reach out to SGA, our Investor Relations advisor; or Shishir, our Head of Investor Relations. Thank you.

Moderator: Thank you very much. On behalf of Pearl Global Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

Pearl Global Industries Limited
Regd. & Corp. Office: Pearl Tower, Plot No. 51, Sector -32, Gurugram – 122001, Haryana (India)
Tel: +91 -124-4651000 I E: info@pearlglobal.com
CIN: L74899HR1989PLC140150
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Ref: Transcript of Conference Call

Dear Sir/Madam,

Please find enclosed herewith transcript of the Conference Call held with Investors/ Analyst on February 07 , 202 6, to discuss the Company's un -audited financial results for the Quarter and Period ended December 31, 2025.

You are requested to take the same on your records.

Thanking you ,

Yours faithful ly,
for Pearl Global Industries Limited

(Shilpa Saraf)
Company Secretary and Compliance Officer
ICSI M. No.: ACS -23564

“Pearl Global Industries Limited
Q3 FY '26 Earnings Conference Call ”
February 07, 202 6

MANAGEMENT : MR. PALLAB BANERJEE – MANAGING DIRECTOR –
PEARL GLOBAL INDUSTRIES LIMITED
MR. SANJAY GANDHI – GROUP CHIEF FINANCIAL
OFFICER – PEARL GLOBAL INDUSTRIES LIMITED
MR. SHISHIR GAHOI -- HEAD OF INVESTOR RELATIONS
-- PEARL GLOBAL INDUSTRIES LIMITED
SGA – INVESTOR RELATIONS ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to Pearl Global Industries Limited Earnings Conference Call for Q3 and 9 months FY '26. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assis tance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shishir Gahoi, Head of Investor Relations of Pearl Global Industries Limited. Thank you, and over to you, sir.

Shishir Gahoi: Thank you very much. Good morning, everyone, and I am delighted to welcome you all to our earnings call for Q3 and 9 months FY '26. I hope you all had an opportunity to review our press release and the investor presentation, which are available under the I nvestors section of our website, and the same are uploaded on BSE and NSE websites.

To discuss our results, we have with us our Managing Director, Mr. Pallab Banerjee; and our Group CFO, Mr. Sanjay Gandhi. They will take you through our results and business performance, after which we will proceed for the question -and-answer session.

Before we start, I just want to highlight that this call may include forward -looking statements based on the company's current views and expectations. Actual results could be different as future performance is uncertain and involve risks that are hard to p redict.

I will now hand over the call to our MD, Mr. Pallab Banerjee. Over to you, Pallab ji.

Pallab Banerjee: Thank you, Shishir. Good morning, everyone. I welcome you all to our Q3 and the 9 months of financial year '26 earnings call. We continue to deliver growth in top line and bottom line despite the challenging and uncertain macro environment, driven by our f ocused execution and a multi - location presence. Our 9 -month revenue stands at INR 3,711 crores, grew by 13.2% year -on- year, and the EBITDA stands at INR 333 crores, which grew by 14% year -on-year, EBITDA margin stood at 9%. And if we exclude the tariff -related costs and the incremental ramp -up cost, this EBITDA margin is standing at 10.1%. . Here is an update on the key positive developments in our industry.

For an apparel manufacturer like us, the major markets with size and scale are European Union, U.S.A., Japan, U.K. and Australia. All our manufacturing location countries are working to readjust to the new world tariffs and agreements that's happening acro ss the world. A major and long-awaited development was the India -U.S. bilateral trade deal, which reduces the tariff from 50% to 18%, significantly enhancing the India's textile export competitiveness.

Above development is following the recently signed India -European Union Free Trade Agreement and the India -U.K. FTA, which was signed in July 2025. Now India -- if you see, India has concluded the BTAs and FTAs negotiations with all major markets that Pear l Global is selling its products to. These are the European Union, U.S., Japan, U.K. and Australia, with a total market for these countries approximately about $250 billion that we have seen historically.

Bangladesh and Vietnam already has the advantage of tariff -free access into European Union, United Kingdom, Canada, Australia. Guatemala has a 0 tariff access to the U.S.A. and also is a nearshore for our US Markets . Indonesia has a duty -free access to Australia and Japan. And as you can see, with the latest world that we are living in, Pearl Global is very strongly positioned to grow and take advantage as we maneuver through the ever -changing geopolitics.

Now let's speak about the outlook for each geography, starting with India. The 9 months

profitability has improved despite the discounts extended to the U.S. clients for the tariff, and we maintained our strong relationships, this particular move had a te mporary impact on our margins, and this improvement was driven by the cost restructuring.

During the 9 months of -- our India operations were mainly impacted with this U.S. tax -- deal signed. We would leverage...
Moderator: Pallab, sir, sorry to interrupt you. sir, sorry to interrupt you, but we are losing your voice in between. Can we talk from the back up?
Pallab Banerjee: Okay. Is this better? Is it clear now?
Moderator: Yes, sir, it's clear you can go ahead. You can talk from the backup.
Pallab Banerjee: The India business is operating at an annualized revenue run rate of about INR1,100 crores, and we have built up the capability to generate revenues, which can exceed even INR1,500 crores to INR1,600 crores. The current contribution of India revenue is our group revenues almost 22% to 24%. With the U.S. trade deal and the FTAs with U.K. and EU and the existing trade deals of Japan and Australia, we expect higher volumes, increased sourcing from India and growth in our India operations from 2027 financial year onwards.
Moving on to Bangladesh. Bangladesh operation has well consolidated the last year 30% plus growth and order book is showing now further growth. Our capacity expansion plan remains on track for completion by second quarter of financial year '27. This will l ift the capacity by about another 6 million pieces in Bangladesh, positioning us to scale further and deliver sustained value.
Since the regime change, our operations have been very smooth in Dhaka. Bangladesh as a country is clocking a year -on-year growth in garment exports, and we expect it to grow on its strength, and we have a mature operation, which is running. 2 major custom ers just got added in our portfolio in Dhaka, and we expect to continue our growth trajectory. In Indonesia, as I have been updating all of you, we are undergoing a ramp -up in our business volume after the new factory got commissioned. We are confident of this growth in top line and bottom line from our Indonesia operation.
Vietnam as a country experienced a slight degrowth in its garment exports in terms of dollar value. Our operations have only become stronger. Some of the most well -placed brands and the fastest -growing specialty brands of North America have consolidated th eir business with us. Our Hanoi operations have demonstrated strong momentum in recent quarters. With factories

operating at optimum utilization, we are also very comfortable and confident, and we are well prepared for the future growth.
Guatemala, we continue to remain focused to improve the efficiencies and reducing our losses in this new operation. U.S.A. has declared this week that it will waive off even the 10% baseline tariff that Trump administration had implemented on Guatemala in 2025. So that means it will again become a 0 tariff to U.S.A. With a positive outlook, we expect further progress and also better results in the coming financial year.
With that, I will now hand over to Sanjay Gandhi:, our Group CFO, to share the financial highlights. Sanjay, over to you.
Sanjay Gandhi: Thank you, Pallab. Welcome to our quarter 3 and 9 months financial year '26 earnings call. I will now take you through our financial and operating performance, 9 -month financial year '26 consolidated performance. In 9 months FY '26, our consolidated revenu e rose to INR3,711 crores, reflecting a growth of 13.2% year -on-year. This strong performance was driven by high value -added product sales growth in Vietnam and Indonesia.
Adjusted EBITDA, excluding ESOP expenses, stood at INR333 crores, up by 14% in 9 months FY '26. Adjusted EBITDA margin stood at 9%, excluding tariff impact of INR31 crores and

incremental ramping up cost of new operation of INR11 crores , adjusted EBITDA margin stands at 10.1% for 9 months FY '26. PAT in 9 months FY '26 grew to INR189 crores, a growth of 14% on a year -on-year basis.
Quarter 3 FY '26 consolidated performance. For quarter 3 FY '26, total revenue stood at INR 1,170 crores, an increase of 14.4% year - on-year. And this is the highest ever revenue registered in the last 5 years in quarter 3 by Pearl Group. Adjusted EBITDA, excluding ESOP expense at INR97 crores, up by 4.4% year -on-year with a margin at 8.3%. Adjusted EBITDA margin, excluding tariff costs and incremental ramping up cost of new facilities stand at 9%. PAT rose to INR52 crores, marking 6.8% year -on-year increa se.
Now talking about stand -alone financial performance, 9 -month FY '26 stand -alone performance. In 9 months FY '26, total revenue stood at INR777 crores. Adjusted EBITDA stand at INR43 crores grew by 64% year -on-year with margin at 5.5%, up by 220 bps year-on-year, mainly due to cost restructuring. Adjusted EBITDA margin, excluding tariff cost of INR14 crores stand at 7.3%. PAT stand at INR55 crores comparable to INR32 crores in 9 months FY '25, reflecting a robust growth of 72.6% year -on-year.
Quarter 3 FY '26 stand -alone performance. For quarter 3 FY '26, total revenue stood at INR246

crores, a growth of 4.6% year -on- year. Adjusted EBITDA stands at INR12.6 crores, EBITDA margin at 5.1%, improved by 140 bps year -on-year. Excluding tariff cost of INR5 crores, EBITDA margin stands at 7.2%. PAT stand at INR14 crores.
Update on capex . Capacity expansion in Bangladesh. Construction of apparel manufacturing unit is targeted for completion by quarter 2 FY '27. Out of INR110 crores allocated, INR66 crores has already been committed. Capacity expansion in India. Capacity expansion in Bihar is

completed and commercialization is in progress. The entire capex , which was allocated has been already committed -- incurred.
Sustainable laundry capacity expansion. Construction of the laundry facility is targeted for completion by quarter 2 FY '27 out of INR90 crores allocated, INR51 crores has been committed. Solar power installation is completed for all plants in India and -- all 5 plants in India and power generation has started. This will help us in achieving our goal of sustainability. Other capex for replacement and efficiency improvement, these are capex which are incurred on an ongoing basis out of total INR25 crores al located or planned so far, INR14 crores has already been committed.
Other highlights, we are pleased to announce that our Founder and Chairman, Dr. Deepak Seth, Dr. Deepak Kumar Seth was honored with the Global Leadership Award for building the world's largest apparel supply chain company from India for FY '23 -'24 and FY '24 -'25, presented by Mr. C.P. Radhakrishnan, Honorable Vice President of India at the AEPC Excell ence Honors ceremony in New Delhi.
We are happy to share that the company has achieved a notable improvement in its credit profile with a long -term credit rating upgraded from ICRA BBB stable in 2021 to ICRA A+ stable in 2026. Concurrently, the short -term rating has advanced to ICRA A1+ und erscoring our robust liquidity and operational resilience despite the challenging economic environment. In summary, our 9 months FY '26 results reaffirm the strength of Pearl Global diversified business model, which has enabled us to sustain growth even i n an uncertain environment.
With this, I now hand over to the moderator to open the floor for questions and answers.
Moderator: Thank you very much. The first question is from the line of Kishore Kumar from Unifi Capital. Please go ahead.
Kishore Kumar: Thanks for the opportunity, Good morning Sir . I hope I'm audible. Sir, on the ramp -up cost of INR9 crores for Q3, is that pertains to Bih

ar facility or Guatemala facility? Can you give us some sense on this? And is it expected to continue in the coming quarters as well?
Sanjay Gandhi: Yes. Thank you, Kishore, for this question. I'll take this. So this is an incremental ramping up cost. It is for -- largely right now, it is for Bihar, but some part for Guatemala operation is also there. We expect this cost to go down substantially from n ext financial year onwards. We will see a reduction in this cost in quarter 4 and -- but it will come down substantially from financial year '27 onwards.
Kishore Kumar: Sir can you give us some sense on the capacity addition from these facilities as well?
Sanjay Gandhi: Yes. Pallab, would you like to share on that?
Pallab Banerjee: Yes. So Bihar, we have planned for 900 machines. As of now, already 500 is already installed. And we are hiring all the people and trained -- most of the people is already getting trained at this point of time, and we have started the bulk production. So t hat's -- over the next few months,

we should be able to hit the higher number in terms of hiring more people and getting it fully operational.
Kishore Kumar: Got it, sir. Sir, my second question is on the U.S. demand sentiment. I mean now it's actually 20 percentage average tariff across the major exporting countries for the apparels. And what proportion do you think has been passed on to the consumers -- end c onsumers? And is there any variation that you are seeing in the high -end fashion apparels versus general clothings? Also, how is the inventory shaping up with your customers? Hello?
Sanjay Gandhi: Yes. Pallab are you there?
Pallab Banerjee: Sorry, I was on mute. The first part of the question that you asked is about the price ticket increase for the end consumers due to the tariffs. Now this -- what we are seeing is that there is an increase in the U.S. market in terms of price ticket, but it has been done surgically. It is not done across all products across all retailers. So wherever the retailers are seeing that, okay, they can get that price, they have started increasing that price.

And for the rest, for example, some core products and all where they feel that they want to see how the overall all competition is going to increase the price or not. So they still wait and watch. Our game is still going on. So what we see is that there ar e certain products where the prices have started inching up.

The second part of the question was about the inventory. So if the customer -- if these retailers and brands are increasing the price ticket, so accordingly, they are also seeing -- what we are seeing is a slight decrease in the buying numbers. So that the ir overall buying bu dget is still being maintained.

So I think they are assuming that if the consumers are spending a little bit more money, they might buy a slightly lesser number of pieces. Now whether what percentage and how this will play out, that is yet to be seen. But these are the early signs that we are seeing in the behavior of our customers.

Kishore Kumar: Sir, just a follow -up on this. Like for an economy with 2, 3 percentage of inflation, if brands pass through like 7, 8 percentage of the cost to the customers, will it impact the demand in the coming quarters? What do you think on that aspect?

Pallab Banerjee: So as I said, like 20% full pass on, we are not seeing from any retailers as of yet. We are doing it surgically on certain pieces, but not the full 20%. There is always a pressure on absorbing some part of the cost by improving their efficiencies at the re tailers end. And as you have seen, like they had asked for the suppliers also to share part of it earlier.

Now I think it is becoming a norm. So slowly, we will see some increase. And mind you, like if I talk about the cost of goods, the 20% increase should result any

where between 30% of it or up to 50% of it depending on what retailer that we are talking about . So yes, there would be some -- I don't know, percentage -wise, you can calculate like if they have to pass on this 20%, 30%, how much increase they have to do if they have to completely pass it on.

But because we have not seen that entire effect as of now to play in the market, so it's difficult to say. So let's wait and continue to observe how this plays out. But yes, most of the agencies or the surveys are saying that the consumer sentiment has bee n low or decreasing. The numbers have not shown so far. But yes, everybody is cautious at this point of time.

Kishore Kumar: Got it, sir. Got it. Understood. Sir, I have one more question if I can squeeze in. Sir, so far, actually, in the last few years, the growth has been driven by the customer addition in both existing as well as new geographies. And now we are adding almost 10 million pieces in Bangladesh and India together coming up in the next financial year. How are we placed in terms of new customer additions or wallet share increase with the existing customers for these incremental facilities that is comin g up? How are you placed on that aspect, sir?

Pallab Banerjee: Yes. So I think that's the confidence that we have been sharing with you repeatedly. See, we are a growing organization. And the way that we have placed ourselves by having 5 different country of manufacturing, and at the same time, 5 of the major markets that we are catering to. 4 years back, we were completely or almost completely depe ndent on U.S. market.

Today, we have been able to share the -- all the 5 major markets. And plus, we're looking at other markets also. So that journey we continue to do. We always are lookout for the major growing retailers or the growing brands who are gaining their market share.

As I just mentioned that if you talk about these 5 economies, that is European Union, U.S.A., Japan, Australia and U.K., that itself gives us an apparel market of close to about $240 billion to $250 billion. So I think the pie is quite big. Yes, we know th at we have to be aggressive. We have to show our strength and gain market share from our competition. I think that's a journey that we have undertaken very consciously. And so far, as you see that whatever promise that we have made to you in terms of our growth percentage, we are in that range.

So every moment we are seeing like which are the other big retailers who are gaining market shares and if we can start working with them. So that's still continuing. As I just mentioned in my earlier speech that we have added recently to a very marquee ret ailer in our mix. So we'll continue to add that and look for that opportunity.

Moderator: The next question is from the line of Bharat from Dalal & Broacha.

Bharat: Sir, just trying to understand that the Bangladesh capacity that will come up by 2Q FY '27, when can we expect the full ramp -up for that capacity to take place? If you can throw some light on that?

Pallab Banerjee: So you see Bangladesh, what we feel is a much more mature market. And because it's concentrated more in Dhaka and the reasons around Dhaka, I think we have seen that to ramp it up -- is much smoother and much more easier compared to when you start a new fa ctory in countries like India. So this construction should be ready in 2027.

We should be able to ramp it up in the year of 2027, '28 for Bangladesh manufacturing part. And we are also -- as we have shared with you, we have -- we are making one of the washing projects out there that I think should be ramped up much faster.

Bharat: So just to understand that the capacities that we'll add next year in '27 to take up our production pieces to 112 million

approximately, those capacities will take a typical amount of time of how much to ramp up to our optimum utilization levels?

Pallab Banerjee: So in apparel industry, if you see like once you have the factory and the machines all ready, then we start hiring people and then training them. And as we train, if you are taking fresh workers, then they need a proper training. If we have experienced wor kers, then it becomes faster. And then once the factory starts operating, it starts with a low efficiency and then over a period of 6 months to a year, the efficiency continues to grow.

So that's what we have been experiencing. So specifically, like for every project to say, okay, this is the exact date by which it will be working optimally is a little difficult. So for example, like if I talk about these 2 projects, like one is in Bihar, this is something -- is a new state or a new location that we have started. So it's comparatively slower. A project that we are doing in Dhaka will be comparatively faster. So that's how we are seeing it.

Bharat: All right. And just a follow -up on that point only. So do we expect to see operational losses come in, in our mature regions as well? Or is this just a phenomena that we are seeing in Bihar because it's a new region?

Pallab Banerjee: So as Sanjay just mentioned, its operational losses is just because we are ramping it up for this quarter. But I don't think that's a prolonged part in most of our operations. Yes, when we did Guatemala, Guatemala was again a new country. So it took a coup le of seasons or I would say, maybe like more than a year to get a complete handle of it. But Dhaka kind of place, which is a very mature market or a Vietnam place, which is very mature, again, production center, there we have seen or expe rience much faster return. Sanjay, do you have anything to add on that?

Sanjay Gandhi: Yes, sure. Thanks. Just to add that for Bangladesh factory, which will -- garment factory and the laundry, which will get likely to be completed construction completion and commercialization by end of quarter 2 of FY '27. We see a significant contribution should come respectively from this factory in a financial year '27, '28. I think 5 to 6 months should be the time to ramp it up. And generally, we have seen in the past when we started prudent 4 years ago in 2021, in the first year itself, it was at an EBITDA breakeven. And that next year onward, it started contributing significantly to the bottom line and the top line. So we believ e that the same trend and the pattern should follow for Bangladesh, the new factory, which is under construction.

Bharat: All right. Got it. And just, sir, on our margins, just trying to understand...

Moderator: Bharat, sorry to interrupt you. The next question is from the line of Kaustubh Pawaskar from ICICIdirect.

Kaustubh Pawaskar: Sir, my question is on your earlier comments. You mentioned that the trade deal with U.S. and the FTA signing with EU and U.K. will increase the opportunity for us. And you are guessing a market of around $250 billion opening for us. But in that context, we should also be ready from the back -end point of view, like we should have that production capacity t o cater to the demand, which will be opening up in this market.

So I just want to understand that whatever capacity expansion we are doing, is it good enough or you need to add some more capacities in some of your existing markets, especially in India? Because if you are adding clients or if you are getting orders from the existing clients, you should have that capacity with you to cater to the clients. So from that point of view, do you expect capacity addition over the next 2 years? And if it is, then what would be your capex plan going ahead?

Pallab Banerjee: So I can start this and then Sanjay can add the second part of y

our question. See, we do have a continuous growth plan, so which we have been saying that we have a compounded growth of anywhere between 12% to 15%. So that's the growth that we have factored in, in our business. And that kind of capacity addition has been a continuous process for Pearl Global.

As I just said that in India, we were expecting these trade deals and the implementation as much faster. So we have already built up some capacity. That's why I said that even we are doing a business of around INR1,100 crores at this point of time, we do have capacity ready to do at

least about INR1,600 crores.
So as -- the only requirement is to put in the people as and when we start getting the business and maybe a very minor kind of charges like addition of few machines here and there. So that kind of readiness we have in India. Then this is not the end. Defin itely, for the next years or the future years, again, we continue to grow. So that we will continue to update you what kind of projects and what kind of plans that we have. And for the rest of the other countries, sorry?
Kaustubh Pawaskar: Yes. So just wanted to understand this 12% to 15% growth what you're talking about, it is considering the trade deals what we have signed with U.S. and EU is it? Or you're expecting incremental growth?
Pallab Banerjee: Yes. So specifically, if you're talking about India, yes, if India once these trade deals are implemented, for example, European Union deal would be implemented in 2027. And the U.K. FTA is expected to be operational within this financial year, like in the maybe March or April, let's see like when it gets started. And the U.S. bilateral agreement is, I think, operational now. So these kind of -- that's why we said like this particular readiness, we were projecting so that we thought that 2026 should have been the year where we would get a jump, but it got delayed because of various reasons, and we all know that in the news that is coming. So this particular year, we lost that opportunity. But that readiness we already have for India. But definitely, if you talk of the total impact of it, that will be definitely much higher and that we continue to grow.
We do have 2 partner factories already ready with us in India, which we are not considering our capacity as of yet. So that's something that we have continuously, we have been working upon. In countries like Bangladesh and Vietnam, which is more mature mar ket where we can easily work with our partner factories, we have been taking that advantage even before putting our own plants at that rate of growth.
So like this washing plant that is coming up, we have this business already happening with us. So naturally, further growth that comes in as soon as our washing unit is ready within the next

2 quarters, we should be able to immediately make it operational and also expect to breakeven quickly. So that kind of planning we'll continue to do.
There are opportunities that comes in. For example, the regime change in Bangladesh gave us a good opportunity last year. So we saw a major jump in terms of volume. So similarly, like this kind of -- whether it's a trade deal or these other things, like if the sudden jump is required, we try to be at best ready for it. But yes, really to plan in a long -term compounded growth that we have planned around 12% to 14% for our top -line.
Kaustubh Pawaskar: Sir, my second question is on the impact of the U.S. tariff. So this quarter, we have seen it is around INR31 crores. Now since the tariff has reduced to 25%, because 18% would be somewhere from mid -March when actual trade deal will be signed. So this INR31 crores, I believe that in quarter 4, there would be some impact which will be there because the retrospective date is 7th Feb.
So there will be -- that impact will be there. But from quarter 1,

should we expect it to be 0? Or since it is 18%, still there will be some negotiations with the retailer over there and they will be asking you to take some hit on your margins. So just an understanding from that.
Pallab Banerjee: So this 50% tariff that we had was putting us in a disadvantage. Similarly, the European Union and the U.K. FTA, these are some of the disadvantages that India as a country we had. If you compare with the other countries like Bangladesh, Vietnam, Indonesia , neither they had that 25% penalty tariff that India had nor they had this -- they also had some kind of advantage like LDC or comprehensive treaty in these other countries. So they were not -- their goods were not subjected to a tariff i n the European Union and U.K.
So what India has done now is at least from that perspective, like these disadvantages that were there for Indian exports, that is getting removed. Yes, it's happening part by part. And specifically for now for U.S., we have been to maintain the business o f U.S. customers shipping from India, we had to absorb part of this tariff, especially the penalty tariff. So what happens is the immediate effect, this penalty tariff is waived off. So that gives some kind of advantage to our bottom line. And then the re st is more like a competitiveness.
So let's say, if the same goods they are going to source from any other country, which is subjected to 20% -- and maybe for the next couple of weeks, it is 25% in India and then it comes to an 18%. So that will give India as an advantage of maybe like 1% o r 2% better compared to these competing countries. So those are the things that the brands will negotiate from all the vendors across all these countries. So that's the competition game, like who gives the best price and more sustainable price for them. T hat's where they get the business from.
Strategically, when these customers are talking to us, they have invested with us to train us, train

our factories to get that product and that consistency in their products and on. I'm talking about these marquee retailers. So that said, if they would lik e to continue to use those facilities for their own benefit.

So this disadvantage that they had temporarily in the U.S. market and UK , EU that they have been having for a long term, that is getting removed from India. In India, we definitely need to

grow certain other strengths like the variety of fabrics, which are available in other markets and all. So that I think now better investments and all would continue to come in into India to make it much more competitive overall. So it's a good time, I thi nk, for India that is coming up.

Kaustubh Pawaskar: And a question of capex ...

Moderator: Sorry to interrupt you, Kaustubh.

Pallab Banerjee: Yes, sorry. No, no, hold on. capex is something that he asked earlier only. Sanjay, would you like to reply to that?

Sanjay Gandhi: Yes. Sure. Just to very quickly. On the capital expenditure, so as Pallab mentioned, I think your question is specific to India. In India, we do have a capacity ready for INR1,600 crores plus kind of a top line, which is in -house. There are plus 2 partnership factories also, which Pallab mentioned that are also not ready, but not included in this capacity of INR1,600 -plus crores turnover.

Now on the further capex , we keep evaluating and we will do the evaluation. We have got a land parcel allocated to us in Madhya Pradesh. And we have stated earlier also, as we see how the progress on Bihar commercialization takes place, we will be definitely evaluating it and committing the capex well ahead of the time when we have the order in hand and we want to execute it.

So as far as current run rate is concerned, I think we are good for 25% CAGR, but the opportunity may come very fast. So we may have a good growth coming in India in the next

2 years, basis
the FTA, which has been done. We will evaluate the capex at that point in time, and we'll do it much ahead of the requirements. So that's where I would just like to mention to you.

Moderator: The next question is from the line of Prateek Poddar from Bandhan AMC.

Prateek Poddar: Sir, could you just help us -- I mean, you did talk about, but just on India, it looks like if I look at your financials ex -India, the growth has been quite phenomenal. And it is only India, which is dragging you, but with the 3 FTAs which have been signed with U.K., EU and U.S., how soon can you ramp up India operations and get the India margins back to, let's say, company level margins, right?

Because there's a substantial difference between the global company average versus India even on an adjusted basis. I'm not seeing report basis, just on an adjusted basis also. So there's a big drag in India. How soon do you think you can reach the INR1,600 crores kind of a business? That's question number one.

Pallab Banerjee: So definitely, we are seeing a very positive movement in our order books. There are 2 things that was, I would say, if you have to club the problems of India into 2 parts. One was that it definitely had some disadvantages of these trade agreements and the lack of the raw material -- a variety of raw material apart from cotton. So , I think if the trade deals are there, what we have seen in the budget also is positive comments to diversify the fiber base and other things. So I think this is something which should get resolved in India very soon as a country.

For Pearl Global, we also had another drag because all our investments were in the metros. That means Gurgaon, Chennai and Bangalore. So as we have been mentioning that we are now trying to expand to the locations which are lower cost as well as can be ram ped up because the availability of the workforce would be better.

So I think we have started both these journeys right from a country level also and at Pearl level also. So I think these 2 years, we should be able to see a huge improvement and movement in these 2 directions. Yes, proof of the pudding would be the order books and all. We are seeing positive movement already.

Prateek Poddar: Understood. So that's helpful. And the second question, sir, just a clarification. The other segment in the segment reported format, that's Guatemala?

Pallab Banerjee: Yes.

Prateek Poddar: Okay. So sequentially, I see the PBT losses increasing, right? I don't know whether that's the right way or one should just look at Y -o-Y because there's seasonality involved. But sequentially,

I saw the losses increasing. Is that more to do with seasonali ty or something else?
Pallab Banerjee: So you see this season, you have to see because every season is different in terms of what kind of product like winter seasons are always -- Northern market is -- Northern investment market is a much bigger market. So naturally, the outerwear and jackets g oes in the first quarter and the fourth quarter. So that way, like every quarter becomes important. So I think for us, for apparel trade, you should be looking the corresponding quarter of last year versus this year. And Sanjay you can add ?
Prateek Poddar: And it's path to profitability? In that sense that's what's driving...
Sanjay Gandhi: Yes, please go ahead, Prateek.
Prateek Poddar: No, no, I'm just saying, sir, there are 2 big drags in your financials. One is India, and you just talked about that next 2 years, India will be on a healthy growth path. And with growth, obviously, operating leverage will play out. The second was obviousl y Guatemala, where obviously losses are declining on a year -on-year basis. I just wanted to know the path to profitabi lity for the Guatemala division?
Sanjay Gandhi: Yes. So we are working very aggressively

, and we are charting out a plan where Guatemala losses should reduce substantially in FY '27 onwards or it should reach a breakeven in the next financial year itself. Contributing to the bottom line thereafter will be our strategy. Our complete focus right now is to really stem the losses and we bring it to the breakeven point, which we are confident in the next financial year, we should be reaching there.
Pallab Banerjee: Yes. Just to give a perspective on Guatemala, it will be always a small production center. So you see that Guatemala is nearshore, the raw material availability is a constraint there. So there are 2 ways that you can do business in Guatemala. You can impor t the raw material from Asia and manufacture there. That doesn't give the benefit of the tariff advantage for U.S.A. Only if you

source the raw material from Guatemala or that region, Caribbean region, then only you get the tariff advantage. But the raw material is scarce out there.
So that's the reason for which that market has never been a big one. But it's an attractive one because we, for example, since the time that we have taken this small facility in Guatemala, almost every marquee customer wants to walk in. Everybody is having a conversation with us. So that brings a lot of attraction for the nearshore.
But yes, how to make a good amount of profit seems to be a puzzle at this point of time. So we are also watching it very closely. Our main goal is to not to lose money there. And then yes, like if we can make some money, that will be excellent. So that, as Sanjay mentioned, like there's a close watch and control is being put in place at this point of time.
Prateek Poddar: Understood. And just to summarize, essentially, what you're saying is that even though the top line growth will be 12% to 15% because of the movement of this incremental growth coming from India/Guatemala, you will see margin expansion, right? It's just no t top line growth, coupled with margin expansion. And I'm saying adjusted on the base of adjusted EBITDA. That's a fair understanding, right? Normal math s.
Sanjay Gandhi: Yes, ye s. That's a fair understanding.
Prateek Poddar: Okay. Last question, sorry. So see, just Bangladesh, right? Again, on a Y -o-Y basis, we have seen some dip in profitability, not material, but any comments over there?
Sanjay Gandhi: You see you're referring to the segment report, I guess.
Prateek Poddar: That's right. That's correct, sir.
Sanjay Gandhi: Yes. The segment report, as we mentioned that there is a part of the revenue, which is build -to-ship to model as per the contractual terms with the customer, which means the invoicing takes place from the -- our entity in Hong Kong right now. So which means when you look at Bangladesh profit, some profit will be definitely by virtue of following the contractual term will be there in other entity as well.
So when you -- when we evaluate Bangladesh profitability, we added all the things to really see how they are faring compared to the previous year performance. And when we add this, I think they are faring a very stable performance in Bangladesh, and we exp ect them to continue to improve. So that is from the regulation perspective, which we have to really just -- we have to comply with those disclosure requirements.
And if you see the less intersegmental revenue and intersegmental reduction, this is where the necessary transaction between the related party get knocked off. And eventually, you arrive at a total profit, which is there at a group level. So we need to tak e care of those related party intercompany transaction to really arrive at the final number. So that's where it is, whereas the intersegmental will show related party transaction for all the countries.

Prate

ek Poddar: So just to summarize, sir, there are only 2 countries which are below company average in terms of margins today, which is India and Guatemala or even Indonesia?
Sanjay Gandhi: No, Indonesia also have been much below their capacity utilization and the margin profile is also not what they were delivering, let's say, 2, 3 years before. I think there is a ramp -up of capacity as well as improvement in the gross margin and the EBITDA margin in Indonesia. We should -- we are expecting and hoping that it will deliver in next year and year after.
Prateek Poddar: What's the broad Indonesia range today vers us -- I mean, I didn't get that?
Sanjay Gandhi: So EBITDA margin will be still in the single digit. We expect it to be double digit in the next year and year after.
Moderator: The next question is from the line of Sani Vishe from Axis Securities.
Sani Vishe: Congratulations on a good set of results. So my question is kind of a follow -up on whatever discussion has happened earlier. So as you rightly said, there are multiple positives for India's textile industry that are happening, which place India on a cusp o f a golden area going ahead. And Pearl Global especially has taken steps, which will enable them to benefit from it strongly going ahead?
But at the same time, it also means that Bangladesh, which had a competitive advantage against us or many other countries, they are somewhere losing out on it, plus there are some challenges that are going on there in the domestic industry on the raw mater ial side, etcetera. So how does that affect our strategy in Bangladesh? Does that change anything for us? Or what are your thoughts on how you would plan to handle the possible negatives or the risk that comes with this?
Pallab Banerjee: So yes, slightly different from our perspective, slightly different from what you just mentioned. One thing we have to see, first of all, is that India had some disadvantage. India as a country, I think, again, my perspective, was more focused on domestic industry compared to the exports, whereas countries like Vietnam, Bangladesh have been more export -oriented economy, especially like if you talk of Bangladesh, they have really focused on the garment exports.
So the kind of readiness, kind of infrastructure that they have been able to build up in the last 15 years is way ahead. As a result, if you can see the numbers only speaks, like they are close to almost about $50 billion of garment exports compared to a s mall country like Bangladesh compared to India, which is a large resources also, like we are doing only about $15 billion, $16 billion.
So there is definitely a catch -up thing to do. Bangladesh had the advantage of LDC and a lot of investment had come in and a lot of other interest -- large manufacturers of garments have been looking at Bangladesh or Vietnam more positively over the last 2 decades. So as India is coming into all these BTAs and FTAs, plus if they can -- if we can improve certain other things like labor laws or the ease of doing business and other things, then definitely, we should be able to compete with these smaller natio ns, which have been totally dependent on the export economy.

And the other thing that you said is the geopolitical -- or not geopolitical, but I think their own political problems. Now these third world countries always have some kind of disturbance. Like if you go back in the Bangladesh history for the last 2 decad es, yes, that period -- there was a period of about 10 years where we saw less amount of disturbance because o nly one party was ruling there.
But whenever we have seen a party change, if you go back the last 30 years, whenever there has been a party change from BNP to Awami League. There has been a disturbance for a few months or even up to a year politically. But that has not disturbed

the garm ent exports or the industry of
garment.
And the second part of your question is also about the import restrictions or certain other things of raw material that is going on. So that I think you mean that there was a strike that was called and finally called off about the yarn manufacturer, the ya rn spinners in Bangladesh. They were trying to say that if you're importing yarns from India and other countries, then the local industry will get wiped out.
But you see like the bigger revenue and the bigger, more important part of Bangladesh economy is the garment exports. And yarn manufacturing is a very small portion of it. We have been doing business there since 2002. We are not buying any local yarns. So most of the yarns are imported and then converted there for the price competitiveness.

So I don't see a big change in that. So nothing is changing from our side or nothing is changing from the customer side. Yes, the investment that went in for spinning yarn in Bangladesh is facing a little bit of financial issues and also that government is addressing or maybe giving them some kind of incentive to be more competitive locally. So that's how we are seeing this part. I hope I answered all of your questions.
Sani Vishe: Yes, yes. Just one small part. So on the pricing side, you don't assume that we'll have to take some hit to be competitive against India after the removal of the additional duties?
Pallab Banerjee: As of now, Bangladesh is much more competitive than India. And there -- because it's an export - oriented economy, I said, so they are importing goods and raw material and then exporting, they had built up a much more robust and smoother way of function in t hat, which India needs to do a catch -up. And being a small country and only one location, only one port, so definitely, there are certain things that they have done much, much better at this point of time.
So yes, India, we would be -- we look forward to see that improvement as we have done with FTAs and there would be more investment coming in, in all form. So I think we would catch up soon. In terms of Bangladesh, the only risk that I see is many retailers have a very high exposure.
So for example, Bangladesh is today known for the denim manufacturing, denim jeans.
So if I talk of any big retailers of European Union or U.K., they have almost like 90% or 100% of their business coming off from one country. And they were stuck because the price difference was very high from Bangladesh to any other country.

Now in the last few years, like Vietnam has the comprehensive treaty done. India is getting on to these treaties. So they will have more choice for their business in Bangladesh. So that could be an interesting phase to see like which country gains. Histori cally, in the last few years, China Plus One was being talked about. So the countries like Bangladesh and Vietnam really gained out of it, we could not gain. But I think now we are in much better shape to gain more. So let's see how it plays out.
I don't see an immediate impact on Bangladesh, but yes, there will be this competition as these countries like India and all really ramps up there, then definitely, there should be some competition in Bangladesh, but still some time to -- before that.
Moderator: The next question is from the line of Shradha from Asian Market Securities.
Shradha: Congratulations on a good quarter. Sir, two questions. Vietnam, it seems has had some minimum wage hike starting 1st January. So how has that affect our operations and margins in Vietnam?
Pallab Banerjee: So every country will have regular annual wage hikes and so is for Vietnam. So at least it's much more predictable for a country like Vietnam, what kind of wage hike that they have been doing year-on-year. So yes, we -- to compensate or to mitigate that, t here is a con

tinuous effort towards
improving the efficiency. Countries like China, Vietnam and all, we are seeing much more automation, much more robotics that is coming in because the wages are quite high out there compared to countries like Bangladesh and India.
So even at Pearl also, we continue to invest in those technologies and upgradation of our machinery and automation as well as robotics. So that's the only way that we can produce similar kind of -- have similar kind of productivity at a similar kind of cos t in this competitive world.
So we continue to do the same thing. We have continuously invested in automation and robotics in a country like Vietnam. So that continues to happen.
Shradha: But that would reflect gradually in numbers. So in the near term, do we expect margins to take a beating in Vietnam? I mean, on a sequential basis, Vietnam.
Pallab Banerjee: That's what exactly I was trying to say that this is something which is predictable. In a country like Vietnam, we have seen the predictability as very high. And that's the reason for which certain markets like U.S. and all have been really going to -- all these customers go to Vietnam first. So that predictability is high. And so we could plan that out, okay, this is a year like how much of cost will go up and how to compensate that. So that's something like we have been actively working.
We don't see a major challenge here. The overall geopolitics or suddenly some kind of other FTAs happening in other countries and all. So that will continue to happen. I think all of us have to be really nimble at this point of time to mitigate that. But t his -- the local wage hike of a country like Vietnam, that's something which is predictable and planned for.
Shradha: Got it. And sir, another question, which is not related to this quarter in specific. But if I look at our payable days and compare it to our peers, that seems to be almost double of the other peers.
So why is it that the payable days are so high relative t o competition?

Sanjay Gandhi: So our payable days has been around 45 to 50 days, and this all actually follow as per the credit terms, which we have with all our suppliers. So many of them are backed with letter of credit.
So letter of credit allows you to enjoy those credit period. And it is in line with our working capital cycle period.
So in terms of the net working days, when you look at it, we are hovering between 35 to 40 days' time period only, which is, I think, the lowest net working capital days compared to peers in India or internationally. So I mean, you have to look at overall net working capital days to really see the efficiency in managing the working capital.
Shradha: That's true, sir. But I was just a bit curious as to how have we been able to negotiate better terms with our sup pliers versus our competition?
Moderator: Sorry to interrupt you, Shradha. Can you please rejoin the queue for more questions?
Shradha: Yes, i t's just a follow -up question?
Pallab Banerjee: Yes. Sanjay, it's a follow -up question, you can answer that.
Sanjay Gandhi: Yes, yes. So see, there is a long -term relationship which we enjoy with all these suppliers, whether it's a Bangladesh procurement or Vietnam procurement, and there is a much more stability also and they see the volume growth coming over a period of time. So it's a relationship which is built, I think, a number of years. And as the business grows and our payment terms, our payment, we have never delayed payment to any of our stakeholders, whether it's a supplier or employees or any statutory compliances.
I think these all built a lot of confidence and they really then are able to collaborate with us for a symbiotic relationship to really grow business together. And that has been working well for us, and we intend to continue working on those best practices .

Moderator: The next question is from the line of Vishal Mehta from IIFL Capital.
Vishal Mehta: Congratulations on a good set. Most of the questions have been answered, but a couple of questions probably from my side would be, I just wanted to understand a bit on techn ical of the U.S. tariff reduction now that the joint statement for 18% tariff is out, and there's also an executive order for withdrawing all tariffs also, in which it's written that goods shipped probably post 7th of February would be attracting lower duties. So for us no w going forward, all the goods shipped for that, the discounts automatically get withdrawn. So how does it work?
Pallab Banerjee: Sanjay, can you take that?
Sanjay Gandhi: Yes, sure. So on the technicality perspective, I just spoke to before this call in the morning itself to our forwarding and custom agent that any filing which is done after 7th onward, which will be considered as a consumption entering into in America will not attract this 25% penalty tariff.
Now which means that the shipments, which has already sailed will have those pricing, which has the risk of 25%.

But going forward, as soon as we have the proof of the tariff really going out and the burden is not there on the importer, we will be able to get credit of all the extra tariff, which was presumed to be there, but actually, it is withdrawn from the date o f 7th of February. In all our future shipment, we are already engaging with our customer to really make necessary amendment in the purchase order.
Exact nitty -gritty of that is still under discussion. But yes, the expectation and discussion following the earlier understanding has been withdrawal of the same as soon as these restrictions are lifted or the penalty is removed.
Pallab Banerjee: Okay. So when the customer had asked for these discounts, we have said that if the tariff gets reversed, then these discounts also will be reversed. So I think that's something which is coming into effect now.
Vishal Mehta: Okay. But there won't be a further need for doing a second round of negotiations or the disc ounts not probably get reversed?
Pallab Banerjee: Not on these orders. For the fresh order that they are placing, they will continue to be -- they would like to be competitive across the globe. So if Indonesia, Vietnam, Bangladesh, specifically we had that disadvantage. India had the disadvantage so far. So I think now it's more like a level playing ground, of course, India has an additional advantage of 2%. But yes, that's what it is at this point.
Vishal Mehta: And just a clarification on the tariff get discounts till now. In our P&L, we were setting it off against our revenues or realizations or booking it as a separate expense line?
Sanjay Gandhi: Yes, sure. Thank you for asking this. Basically, it's a combination of both. In some part, it is revenue reduction. And in some part, it is going as a part of the other expenses also. So it all depends. As I mentioned that the exact technicality of that wi ll be in discussion with the

customer. The same has happened in the past as well. The way the customer -- the contracts have been drafted, it is -- has been taking -- reflecting in the P&L. So part of it is in sales reduction and part is par t of the other expenses also.
Vishal Mehta: Sir, could you quantify the proportion, how much you s et it up?
Sanjay Gandhi: I will share the detail later offline with you.
Vishal Mehta: Okay. And just the last question, if I can squeeze in is, what is your current EU presence? And how are we ranked on the sustainability aspect as this market is much more conscious about that. So your thoughts here would be helpful?
Pallab Banerjee: Yes. So we have been supplying to EU because we see the presence of our Bangladesh operations, and that has been quite a subst

antial amount. So as I speak, I think our EU -based customers were already 17% plus or moving towards a 20% kind of thing, if I tal k about total import into the country of EU.

So then see this -- most of our production is EU ready. In terms of garment traceability, in terms of the ESG that we are looking for, yes, there are some few changes like countries like India and all, which was low. That also we have been investing and ma king it ready, especially for the water, solar, renewable energy as well as the waste management. So we are, I think, ready in all our facilities to execute EU business.
Vishal Mehta: Okay. So EU was -- is around 17%, 18% of your overall revenues right now? And you're saying that Bangladesh, you have already been EU market ready. India, there are some more investment s to be done, just to summarize?
Pallab Banerjee: India also, we have been shipping to EU. We have been shipping. Now this ramp -up is going to happen. So let's say, out of our 8 owned factories in India, there were already 4 were already approved for EU. The balance 4 also is now getting approved as these numbers are going up. So that kind of thing. So it's a very minor thing, not any kind of major investment or anything is requir ed. So that's why we are ready for the EU and U.K., and some India also. Yes. Bangladesh, Vietnam always was ready. India also now we are ready.
Moderator: The next question is from the line of Sahil Sharma from Dalmus Capital Management.
Sahil Sharma: So sir, like you mentioned that you're targeting about INR1,500 crores to INR1,600 crores from India. Sir, could you also share the revenue target from other geographies as well?
Sanjay Gandhi: So I think we have been mentioning about 12% to 14% revenue CAGR at a group level. We are still maintaining that guideline, and we are always trying to really beat this number. As far as India is concerned, this number become relevant from the capacity readiness perspective. What we mentioned, our capacity is ready, in -house capacity to d o a top line of INR1,600 -plus crores. And with FTA in place, I think the opportunity to accelerate that is there in front of us. So we are ready to have those scale up the revenue from a current run rate of INR1,100 -odd crores to INR1,600 -plus crore s turnover. And that's why the reference came. Overall, at a group level, we are looking at a 12% to 14% revenue growth in the next 2, 3 years. That's what we have stated, and we always strive to really beat that number.
Pallab Banerjee: I must add one thing out here is that like because this India FTA is coming into action, so everything has to made from India, that's not a compulsory thing for Pearl Global. We do have the options of servicing the customer from Bangladesh and Vietnam as w ell in the same free without any tariff. So naturally, like wherever we see that the best advantage is there for us as well as the customer, we will continue to do that.
Yes, India, we are ready today to have that -- to ramp it up to that number. That's the main point. And as Sanjay just said, that we target to beat this 12% to 14%. But yes, that's something that is definitely given that we want to do every CAGR that we wa nt to maintain.
Sahil Sharma: Understood, sir. And sir, on the EU and U.K. FTA, like earlier, if I talk about the India operations, we were competing with Bangladesh, Vietnam. And some of it would have been coming into our pricing as well. So now with these FTAs, do we see margin expan sion Europe

as we'll have to provide lower discounts if I'm shipping to an EU or U.K. geography. Is my understanding correct on that?
Pallab Banerjee: For an Indian vendor who was competing with the Bangladesh competition, they had a disadvantage of this 10% of additional t

ariff to European Union and U.K., which from 1st of
January has become 12%. So this particular year till the U.K. FTA comes into effe ct or the European Union FTA, which is expected to come into effect from next year. So we have an additional burden of 2 additional percent compared to last year, that's because of the finishing of the GSP advantage that we had till 31st o f December 2025.

So that's what is happening. But yes, there is a renewed interest from all the customers and the Indian players to secure business and to get on with it. So yes, if you are asking me like there has to be -- if the retailer wants to be getting the best pric e, then there is a disadvantage of 12% between Bangladesh and India as I speak, expected to move away from U.K. maybe like from April onwards and expected to move away for EU, maybe 2027, January onwards.

So yes, to really like if the customer is insisting that, okay, I need the same price of my landed as Bangladesh, then the Indian vendor have to give that 12% or take a beating of 12%. Now that will depend on the negotiation, the readiness of the customer to take that extra 12% or not to develop a vendor or an Indian supplier to see that, okay, whether we want that business so that we can secure some business for future by takin g this extra hit. So these are all negotiation tactics and the relationship th at we have.

Now specifically for Pearl Global, as I just mentioned earlier also, like we have this choice between these 3 countries. And the other 2 countries definitely have the FTA and the tariff benefit as of now. India is going to have it soon because we have signed the treaty. I hope this makes sense to you what you're looking at.

Sahil Sharma: Absolutely. Yes. And if you could give some color on the volumes from Vietnam and Indonesia and how they have changed Y -o-Y?

Pallab Banerjee: So Vietnam, we are experiencing about, I would say, more than the 15% kind of growth at this point of time. And Bangladesh, we had -- sorry, you wanted only Vietnam or Indonesia?

Sahil Sharma: Vietnam and Indonesia?

Pallab Banerjee: Indonesia, like we mentioned that we are in the ramp -up period because we shifted that factory 2 years back and that we had taken that hit from a $30 -plus million that we had our capacity earlier. It had come down to in the $15 million, $16 million range. So that we are ramping it up.

So this year, you will see a significant growth. And next year onwards, growth plus the bottom line grow significantly higher, as Sanjay had mentioned in the earlier questions.

Moderator: We'll take the last question from the line of Manjubhashini A from ASK Wealth Advisory.

Manjubhashini A: Sir, one question particular to the Vietnam geography. The growth see ms to be very healthy there at 66-odd percent. These numbers I'm talking from the segmental data that has been

disclosed. But the margins for some reason, aren't as positive as the growth is. Any particular reason there?

Sanjay Gandhi: Yes. Thank you, Manju. So in the segmental, as I mentioned earlier, the revenue from Vietnam is also bifurcated between the 2 countries because we follow the build -to-ship model. And all the invoicing for the customer of Vietnam is through Hong Kong entity . So you will see the margin basically a combination of the 2 entities, Hong Kong plus Vietnam to really arrive at only Vietnam revenue.

That is what we do, as I mentioned, for the Bangladesh, same to hold for good for Vietnam and same hold good for Indonesia as well. So purely segmental revenue, when you see it, it is only entity revenue and then there is an intersegmental adjustment, whic h happened below that.

And likewise, on the PBT part also, what you see is what is reported in the local entity. And then thereafter, there are build -to-ship model and there are certain expenses which get incurr

ed in --
on account of the falling the build -to-ship model and the m argin profile of different entity, but pertains to the Vietnam division will be there. So we have to really combine all this revenue to margin to arrive at a total margin profile of Vietnam operation. That may require a certain discussion to arrive it up and which is what we do our internal evaluation when we really work on it.

Manjubhashini A: Okay. So necessarily, you're saying, do not look at the segmental margin on a stand -alone basis, just look at India versus all the other geographies, and that will give us a better picture of how the profitability has moved for the other geographies other than India?

Sanjay Gandhi: Yes, your understanding is correct because here, there are related intercompany transaction, which requires an elimination. So you may not get the complete overview of the specific geography. However, India, since stand -alone accounts are published, you can definitely get a clue about our Indian operation directly from there.

Manjubhashini A: Understood, sir. And just one more question for the 9 months ended time frame, we had these one-off tariff -related plus ramp - up costs accumulating to INR42-odd crores. And previously in the conversation, you did mention that the ramp -up costs will reduce in Q4, but from F Y '27 onwards, only we should assume it to be nil. So in that sense, there is going to be a tailwind of at least, let's say, INR30 crores, INR35-odd crores from the margin perspective in Q4 versus Q3. Is that a correct und erstanding?

Sanjay Gandhi: This is a 9 months number. So yes, quarterly impact will be accordingly is a calibrated one. But yes, it will flow through in the P&L when you look at a complete full year next year compared to this full year next year, there will be definitely the number improvement on account of operational efficiency or setting of the operation, which will happen.

Manjubhashini A: Sure, sir. And are we looking to increase our margin expectations from the group company level? I think earlier you had talked about aspirations of reaching a double -digit EBITDA margin in the India geography, and that will also reflect in the overall grou p level EBITDA margin trajectory. So would you look to increase this number, sir, as we are seeing all the headwinds and trade negotiations, etcetera, are all behind us now?

Sanjay Gandhi: Certainly, our target is to really move to those double -digit EBITDA at stand -alone at a group level. And we are definitely working towards it. And all this FTA and the trade barrier going out and one -off costs also getting cooled down. Next financial year , we are well positioned to achieve this double -digit number. Directionally, we are going in that direction, and we are pretty confident we should be able to accomplish those targeted numbers in the coming quarters.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question. I would now like to hand the conference over to Mr. Sanjay Gandhi for his closing comments. Over to you, sir.

Sanjay Gandhi: Thank you to all participants. We have successfully sustained our growth momentum despite challenging macroeconomic conditions. With positive developments in the industry, more specific from India perspective, we are poised for accelerated growth in our India operations as well as across the globe. I hope we have been able to address all your queries. For any further information, kindly get in touch with Shishir, our Head of Investor Relations, or Strategic Growth Adviso r, our Investor Relations Advis or. Thank you.

Moderator: On behalf of Pearl Global Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

“E&OE - This transcript is edited for factual errors. I

n case of discrepancy, the audio recordings uploaded on the stock exchange on 7th February 2026 will prevail.”

Pearl Global Industries Limited
CIN - L74899HR1989PLC140150

Call: May 2026

Pearl Global Industries Limited
Regd. & Corp. Office: Pearl Tower, Plot No. 51, Sector -32, Gurugram – 122001, Haryana (India)
Tel: +91 -124-4651000 l E: info@pearlglobal.com
CIN: L74899HR1989PLC140150
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Date: May 20, 202 6

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Ref: Transcript of Conference Call

Dear Sir/Madam,

In continuation to our letter dated May 15, 2026 , regarding submission of audio recording of the Earnings Call held with Investors/ Analyst on May 15, 2026, to discuss Company's Audited Financial Results for the Quarter and Year ended March 31, 2026, please find enclosed herewith the transcript of the a foresaid Conference Call.

You are requested to take the same on your records.

Thanking you ,

Yours faithful ly,
for Pearl Global Industries Limited

(Shilpa Saraf)
Company Secretary and Compliance Officer
ICSI M. No.: ACS -23564

“Pearl Global Industries Limited
Q4 and FY '26 Earnings Conference Call ”
May 15, 202 6

MANAGEMENT : MR. PALLAB BANERJEE – MANAGING DIRECTOR –
PEARL GLOBAL INDUSTRIES LIMITED
MR. SANJAY GANDHI – GROUP CHIEF FINANCIAL
OFFICER – PEARL GLOBAL INDUSTRIES LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to the Pearl Global Industries Limited Q4 and FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shishir Gahoi, Head of Investor Relations of Pearl Global Industries Limited. Thank you, and over to you, sir.

Shishir Gahoi: Welcome to our earnings call for Q4 FY '26 and financial year '26. I hope you all have an opportunity to review our press release and the investor presentation, which are available under the Investors section of our website, and the same are also uploa ded on the BSE and NSE website.

To discuss our results, we have with us our Managing Director, Mr. Pallab Banerjee; and our Group CFO, Mr. Sanjay Gandhi. They will take you through our results and business performance, after which we will proceed for t he question -and-answer session.

Before we start, I just want to highlight that this call may include forward -looking statements based on the company's current views and expectations. Actual results could be different as future performance is uncertain and involves risks that are hard to predict.

I will now hand over the call to our MD, Mr. Pallab Banerjee. Over to you, Pallab ji.

Pallab Banerjee: Thank you, Shishir. Good afternoon, everyone. I welcome you all to the full year of financial year '26 earnings call. We continue to sustain our growth momentum in top line and bottom line despite the challenging and uncertain macro environment driven by our focused execution and the multi -location p resence.

In this year under review, we crossed revenue of INR5,000 crores and our EBITDA stood at INR468 crores at 9.3%. Excluding the incremental loss at new facilities of Bihar and Guatemala and the tariff cost that we bear this year stands at 10.3%.

Our installed capacity reached 101 million pieces per annum. With the completion of financial year '26, we feel that we are solidly on track with our vision of FY '28 shared with all of you earlier and all this while we continue to improve on our efficienc ies, governance and ratings.

Now an update on the key positive developments in our industry during this year. As you all know that we all experienced a roller coaster ride with the U.S. tariff in this year of '26. Especially for India, first, a 25% tariff was levied. And on top of thi s, another 25% pena lty was put on to Indian goods.

And both these are on top of the MFN duties already prevalent for U.S. Thus, the total charges went up to the range of 65% to 69% of Indian -made garments out of cotton fabric. After 6 months of this painful situation, a deal between U.S. and India brought this IEEPA tariff down to 18%.

And then, of course, the U.S. Supreme Court declared the IEEPA tariff as not legal. And now businesses in U.S. are starting to file legal cases for refunds, though it may not be so easy as it sounds, and currently, a 10% tariff under the Section 122 is in place till the month of July for all countries exporting to U.S.

Meanwhile, the U.S. retailers got a big respite from the tariff and consumer sentiments have been very positive as seen in their results for the first quarter. Equally important for India would be the FTA, which is signed between India and U.K. and between India and EU.

Although we still await the implementation date, customers have started visiting and are excited about this opportunity to diversify their sourcing into India more and from the overdependence o

n duty -free countrie s like Bangladesh and Cambodia.

Now with these agreements, alongside earlier bilateral and free trade agreements that were already in place, India will have preferential access to all major global markets, which are served by Pearl Global, namely the U.S.A., European Union, Unite d Kingdom, Japan and Australia.

Meanwhile, other manufacturing hubs of ours such as Bangladesh, Vietnam, Indonesia already benefit from this duty -free access, thus ensuring that Pearl Global's diversified footpr int remains

highly competitive.
With a comprehensive market access across geographies, we believe Pearl Global is strongly positioned to continue its growth beyond financial year '28, while withstanding the potential shocks resulting from geopolitical conflicts and ever -changing global macro environment.
Now let me take you through the outlook across our geographies, starting with India. FY '26 profitability marginally improved despite the discounts which we extended to U.S. clients during the tariff period to maintain the strong relationships that we alre ady have, which had a t emporary impact on our margins.
This improvement was driven by our cost restructuring. With the removal of U.S. tariffs, along with the India -EU FTA and the U.K. FTA, we anticipate higher volumes, increased sourcing from India and renewed growth in our Indian operations from financial ye ar '27 onwards, which were impacted last year, mainly because of U.S. tariffs.
We already have a very significant existing business with customers of European Union and United Kingdom who are keen to place business in India as well. By leveraging the expanded capacity and the enhanced capabilities that we have recently established in India, we are ready to play an important role in driving growth and delivering the improv ed profitability going forward.
Moving on to Bangladesh. As a country, this is on track since the new elected government, our operations that we have in Bangladesh are running smoothly. It is witnessing a strong growth in the garment exports with shipments to key markets such as Europe -- U.S., U.K., EU, Spain, of course, Spain comes under EU only and Canada, s howing consistent momentum.

The ongoing capex project is expected to be completed in first half of 2027, it will further expand the capacity by approximately 6 million pieces over the next 2 years of financial year '27 and financial year '28. Driven by recent customer additions, mature operations and upcoming capacity enhancements, our Bangladesh operations are well positioned to sustain growth momentum and strengthen our contr ibution to overall performance.
In Indonesia, we have been updating you about our ramping up on our recently commissioned factory. Indonesia capacity utilization has increased to 47% of its total established capacity that we have there in this year. Last year, it was about 39%. Now this is being driven by the customer demand and continued focus on the premium clients.
We are confident that our Indonesia operations will deliver both top line and bottom line from this year onwards.
In Vietnam, during this year, we witnessed a strong growth momentum in our operations. Capacity utilization improved to 80% plus in the current year compared to 63% of last year. Vietnam has proven to be an important manufacturing hub for the U.S. market a nd continues to enhance our competitiveness acro ss all other major geographies.
Encouraged by the strong customer traction, we plan to have additional capacity in Vietnam, which would further deepen the customer engagement and increase the wallet share. In Guatemala, we remain focused on improving efficiencies and reducing our losses with a positive outlook and further progress expected in the coming financial year.
With that, let me hand over to Sanjay Gandhi, our Group CFO, to share th

e financial highlights.
Sanjay, over to you.
Sanjay Gandhi: Thank you, Pallab. Welcome all to our quarter 4 and full year FY '26 earnings call. I will now take you through our financial and operational performance. FY '26 consolidated performance.
FY '26 was a record year for us where we marked our highest ever con solidated revenue performance de spite geopolitical uncertainty.
Consolidated revenue grew to INR5,025 crores, up 11.5% year -on-year. This strong growth was driven by volume and high value -added products growth in overseas business. Adjusted EBITDA, excluding ESOP expense, stood at INR468 crores, up by 14% in FY '26.
Adjusted EBITDA margin stood at 9.3%, excluding tariff impact of INR36 crores and incremental loss in Bihar and Guatemala, approximately INR13 crores, adjusted EBITDA margin stands at 10.3% for the full year. PAT in FY '26 stands at INR270 crores, a strong growth of 17% on a year -on-year basis.
Quarter 4 F Y '26 consolidated performance.
In quarter 4 FY '26, we achieved our highest ever quarterly revenue with total revenue standing at INR1,314 crores approximately, reflecting a growth of 6.9% year -on-year. Adjusted EBITDA, excluding ESOP expenses at INR135 crores, up by 13.7% year -on-year with a margin at 10.3%, which has been the highest ever EBITD A margin in any quarter so far.

Adjusted EBITDA margin, excluding the reciprocal tariff impact of INR5 crores and incremental loss in Bihar and Guatemala of INR3 crores, adjusted EBITDA margin stands at 10.9% at a group level. PAT rose to INR81 crores grew by 24.6% year -on-year. Now talking about stand -alone financial performance.
FY '26 standalone performance :
In FY '26, total revenue stood at INR1,081 crores.
Adjusted EBITDA, excluding ESOP expense stands at INR67 crores with a margin at 6.2%, up by 60 bps year -on-year, mainly due to cost restructuring efforts done in the organization.
Adjusted EBITDA margin, excluding tariff cost of INR19 crores, stands at 8% for full year. PAT stands at INR69 crores compared to INR55 crores in FY '25.
Quarter 4 standalone performance . For quarter 4 FY '26, total revenue stood at INR304 crores.
Adjusted EBITDA, excluding ESOP expense, stands at INR24 crores, EBITDA margin at 7.9%.
Excluding tariff cost of INR5 crores, adjusted EBITDA margin stands at 9.6% . PAT stands at INR14 crores.
Balance sheet highlights.
Our strong performance at the group level is reflected in our strengthened balance sheet. Net worth as on 31 March 2026 stood at INR1,438 crores compared to INR1,146 crores as on 31 March 2025. Cash and bank balance, excluding cash earmarked for LC payments stood at INR634 crores as on 31 March '26 compared to INR513 crores as on 31 March 2025. Working capital day s stood at 43 days as on 31 March 2026. Return on capital employed stood at 28% as on 31st March 2026.
Other highlights.
In line with our stated dividend policy and commitment to shareholder returns, the company declared a second interim dividend of INR8.50 per share, representing 170% of face va lue for financial year '25 -'26.The total dividend for FY '26 stands at INR14.50 per share, 290% of the face value. This is the highest ever dividend payout ratio by the company, which represents 25% of the group PAT of FY '26. We are happy to share that the company has achieved a notable improvement in its credit profile with th e long -term credit rating upgraded from BBB stable in 2021 to A+ stable for a long term in 2026.
So we have been consistently improving our credit profile for last 5 years. Concurrently, the short -term rating has advanced from ICRA A3+ to A1+, underscoring our robust liquidity and operational resilience despite the challenging macroeconomic environment. Our installed capacity has crossed 100 million pieces milestone, significantly ahead of o ur earlier target of H1 FY '27.

With Bangladesh ongoing capex expected to be completed by H1 FY '27, this will further increase capacity by 6 million to 7 million pieces during FY '27, only from this capex .

Capex update for FY '26, please refer to Slide 8 of the investor presentation. A capex of INR250 crores has already been committed and is expecte d to be completed by H1 FY '27. This timeline is in line with what was declared at the beginning of the financial year.
Capex planning for FY '27. We continue to build capacity and capability across groups, and we are in the process of outlining capex commitment of INR200 crores to INR250 crores for FY '27 across geographies.
We'll update you further on detailed capex plan in the coming quarters. A couple of commitments, which have already been approved by the Board in quarter 1 are as follows. The company through its step -down subsidiary company, DSSP Global Limited, Hong Kong will be acquiring an additional 10% stake from minority shareholder in PT Pinnacle Apparels Indonesia for a consideration of $1.4 million.
Post the acquisition, the company through its step -down subsidiary will hold 99.92% stake in PT Pinnacle Apparels Indonesia. We have also identified a land parcel in Vietnam and are at advanced stage of concluding the purchase. The purchase consideration c ould be in the range of $2.5 million to $3 million.
In summary, we have sustained the growth momentum built in earlier years. FY '26 performance is a testament to the strength of the Pearl Global diversified business model, which has enabled us to sustain growth even in unce rtain geopolitical environment.
With this, I now hand over to the moderator to open the floor for questions and answers.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Bharat Gulati from Dalal & Broacha.

Bharat Gulati: Congratulations on the great set of numbers. I just had a question regarding growth that has come in this quarter. India has seen a sharp degrowth of about 23% and which predominantly is an India -heavy quarter and its overall contribution last quarter fro m 32% has dropped to 23%, whereas the other segment that we report in our audited results, that has shot up significantly on a Q-o-Q and Y -o-Y basis to INR214 crores, which I predominantly understand is Guatemala. So, could you explain where that spike came in? And also, we've achieved profitability in that segment. So just wanted to understand the sustainability of that EBIT going forward?

Pallab Banerjee: Okay. I will start and then Sanjay can add to it. See, what happened in India , we were under the very high tariff from U.S. market of almost 50%. So most of our retailers were pushing us to take out as much as goods from India and manufacture in the other countries. So -- but still, like we -- certain customers like which we are ser ving only from India, we continue to pay the discounts and still continue to have the goods in India.

So that's the reason you are seeing that the India total number has come down for this quarter. Now why in this particular quarter? Because since August of 2025, this tariff was levied. And whatever was the existing orders that we already had at that point in time, that shipped out by -- mostly by about December and Jan.

So that net impact of the U.S. tariff or the reduction of business, specifically in India came in this period of time. Other markets continued. And similarly, like most of the U.S. gain that we have in terms of the customers, the wallet share and other thi ngs that we took that advantage from the other locations of ours. In terms of numbers, Sanjay, do you want to give?

Sanjay Gandhi: Yes. So the first -- There are these 2, 3 points which you mentioned in your queries. First is the growth in overseas business. The growth in overseas business is coming from the volume and the value -added product from -- primarily from Vietnam, Banglades h and Indonesia. So that's the first part of the que stion, which is there.

Second is, I think you mentioned about sustainability of EBIT margin, which has been achieved, how sustainable it will be. So given that we have mentioned earlier in our earlier earnings calls as well that inherently, if you look at the business capability , once we exclude the reciprocal tariff and the initial ramp -up of setup cost in operations like Bihar, we have been consistently maintaining on delivering that 10% double -digit EBITDA margin.

Now having delivered now 10%, having achieved a 10% EBITDA margin for this quarter, after looking at all the strength and addressing the inefficiency, which is there in some pockets, which we mentioned about the losses in Guatemala and Bihar, we are pretty confident at this stage to really maintain 10% EBITDA for th e full year as we start FY '27.

Third question was about the gross margin. The gross margin is largely a function of the product mix. So given the product mix we have, it's also seasonal at quarter 4, if you are really referring to, that is something as a combination of the product mix, customer mix. So given the same consistency of the product and customer mix, we believe that profile will also continue for the same quarter. Every quarter is a different quarter because of seasonality in our business. So that will continue. And I guess t hese were the 3 points which were to be covered. I hope I have addressed all of them.

Bharat Gulati: Sir, it was more specifically related towards the other segment that we report, which is primarily Guatemala to my understanding, that has seen a huge spike up this quarter. So, is that going to be sustainable on the top line and bottom line? Because we'v e delivered about INR85 million in EBIT in that section and about INR214 crores in terms of top line. So is that run rate is going to be sustainable going forward even as India business and everything comes back? Just trying to understand tha t?

Sanjay Gandhi: Yes. So, I would just like to correct here. In our segment reporting, we mentioned Hong Kong, India, Bangladesh, Vietnam and others. So what happened, Guatemala is part of our other segment where we have Indonesia as well. We have Dubai entity as wel l. We have U.S. entity as well.

So, it's not Guatemala, which is bringing the quarter 4 growth. It's -- as I mentioned, the growth is coming largely because of the high value and the volume, which is being driven in Bangladesh, Vietnam and Indonesia. That has been the large part of drivi ng. And as I mentioned that this growth and these numbers are a sustainable number on a year -on-year basis in the same quarter -by-quarter.

Bharat Gulati: So sir, it would be fair to say that this quarter has been a huge spike up in Indonesia revenue, which has aided for the loss in revenues from India. That would be the right understanding?
Sanjay Gandhi: All 3, as I mentioned, see, we follow a build -to-ship-to model. So the Dubai, U.S. and Hong Kong -- sorry, Dubai, U.S. and Indonesia, Guatemala all will be combined in that other segment. So there is a growth of transactions in all these geographies. And the billing, which happened to U.S. and Dubai happen for all the Bangladesh operation, also Vietnam operation and Indonesia operation. So largely, it is a combination of 3 entities, which is really pushing the sale up. And we believe that thi s will be sustainable, yes.
Bharat Gulati: Got that. And in terms of Guatemala, are we still in losses in Guatemala and that do we achieve the breakeven in the start of FY '27 or will that take some time to achieve that breakeven?
Sanjay Gandhi: Yes. So, Guatemala opera

tions, we have reworked on the strategy of operations in Guatemala.
And given that strategy, as we are in the first quarter of FY '27, I see that it is working out, and we should be able to have breakeven in FY '27. We'll keep you updated as the progress has happened during the quarter, but our estimate and our strategy with the way it is devised is to really definitely achieve a breakeven in this year.
Bharat Gulati: Got that, sir. Got that. And just in terms of EBITDA margins for India, excluding tariffs, we've achieved a 9.6% EBITDA in India. Can we expect this EBITDA to go to group levels by FY '28? And just on where do we see this number going forward, given that with such significant degrowth in top line and deleverage, we stil l managed to get this margin in?
Sanjay Gandhi: Yes. So as a part of -- so quarter 4 for India, if you see the last year, we had 10.2% EBITDA. So seasonality -wise, if you look at India, the quarter 4 has always been the robust and will continue to be the robust. And we are pretty confident that India a lso should generate definitely quarter 4, specifically, if I have to mention, in FY '2 7 as well, double -digit EBITDA.
And our effort is to have high single -digit EBITDA for the full year. And for sure, as we accomplish that number in stand -alone results, that will get reflected in the group results as well on the higher side. It should show improvement there.
Bharat Gulati: Got it. Got it, sir. And just on the aim that we set out for FY '28 to have a built -out capacity of 125 million to 130 million -odd pieces. Just trying to understand how much of that capacity that we add going forward from here, which is roughly some 25 mi llion, 30 million -odd capacity would be utilizable in FY '28?
Pallab Banerjee: So if you see like we continue to expand our capacity. Already, we have given you the details of the Bangladesh expansion, which started. And I think those factories, the 2 units that we are setting up, one for washing and one for stitching garments. So b oth will be ready i n the second half of this year.
And that, I think, ramp -up will continue to happen within this year and the next year in terms of the output production. And similarly , like -- as you just heard that we are also looking at Vietnam expansion because there is a good opportunity of business out there. And so we are buying a land and building up a greenfield project there as well.

So all the details of that, what size of capex and all will be told to you as we go through all the details in the next few quarters. In terms of India also, like we have started the Bihar factory, now it's in the ramping up phase. So all these things, if you look at it today, as I speak on 31 of -- looking at 31 of March, where we were, we were at 101 million pieces of our established capacity.
Now all of the factories are not running at full capacity or we haven't hired all the people as yet because it's in the ramp -up mode. And as you know, in garments, like we go line by line. Once the production establishes in one line profitability, then we go into the next. So that's the kind of -- you will always see that we are putting more and more capacity.
So by 2028, what we had foreseen is that we should be having established capacity of anywhere between 125 million to 130 million, and we should be shipping around 100 million pieces to get to that target of INR6,000 crores that we spoke about.
Bharat Gulati: Got it. Got it, sir. And just on realizations, if I can squeeze in one last question. The tariff impact, once it goes out of our business, how much realization gain will that bring us? If you can just clarify that?
Sanjay Gandhi: So there will be a gain, but very difficult to quantify from the point of view of how much the tariff cost will actually translates because every season there will start a fresh ne

gotiation and
the discussion and the fresh cost structure.
So, ideally speaking, if you look at your number, there will be definitely improvement, and that's what is giving us the confidence that in this full year basis, we should be achieving a 10%

EBITDA margin, which really factored into some of the cost which incurred in FY '26 will not be there in FY '27 and the operational improvement, which we just mentioned in your earlier question regarding Guatemala.
So I think these 2 factors, which we really analysed it and looked at it gives us a good confidence of having -- achieving a 10% EBITDA on a full year basis.
Bharat Gulati: So would it be fair to say that realization from here would improve, at least not go down?
Sanjay Gandhi: That's the target realization. We are already at INR635, INR640 per garment. And I think it should continue it should sustain.
Pallab Banerjee: Per unit, it also depends on what kind of ratio that we are ending up between knits and wovens . So that will be always depending on where the need is, what kind of demand that we are seeing from which segment of the customer base. So if it is more of the Primark's and other people like where the FOBs are less, so then that will swing the number to a little bit. So, that's something very difficult to project. But yes, our overall goal is INR600 plus, as Sanjay mentioned, INR630 and all.
Moderator: The next question is from the line of Kishore Kumar from Unifi Capital.

Kishore Kumar: First of all, congrats to the team for delivering such a resilient performance in Q4 and FY '26. Sir, I'd like to start with your comments on energy cost, and its impact on the raw materials and the freight costs that you have mentioned in the investor pr esentation. So as you know, the cotton prices and the polyester prices have increased a lot since the start of the war.
And how is Pearl Global managing this? And is the current pricing negotiation that we are actually doing with our customers reflecting the increase? Plus, given the increasing inflation all around the globe, particularly in the U.S., what are you hearing f rom your customers? And how do you see the demand trend panning out in the coming quarters?
Pallab Banerjee: Yes. So if I go one by one, first of all, the energy impact, 2 parts to it, like whatever is the raw material cost increase that is coming because of this is visible to us as well as our customers. So when we negotiate price, normally, we give that visibi lity, okay, this is the raw material cost and this is our additional va lue addition that we are doing.
So generally, that impact is suddenly like if you have booked the business and after that, some increase happens, then it impacts us. Otherwise, that also at a maximum of about 1 to 2 months. So that's how, like our industry, the impact should be less. But yes, because of energy impact, if manpower is missing or if something happens on that regard, then it will be another problem for us.
What we see as of now, both these things are workable and manageable. In terms of demand trend that we are talking about in U.S. because of the current inflationary environment that U.S. is undergoing, surprisingly, like the resilience that we are seeing f rom the co nsumers and the buying pattern.
So that definitely is quite good at this point of time. If you see like if you compare with 2022, when the oil prices were in the similar range of $110, that time we saw that there's a huge drop in the consumer sentiments. So we have not seen that in U.S. so far. Yes, the expe rts are talking about in the second half of U.S., there could be a little bit of more inflation and more slowdowns. But let's see, as of now, we are not seeing that trend.
Kishore Kumar: Got it, sir. Sir, just a follow -up. So when we actually book a new order, we simultane ously place fabric orde

r with our supplier.
Pallab Banerjee: Yes. So as soon as the order yes, immediately, we place the business. And then the raw material costs are already fixed with the supplier.
Kishore Kumar: Yes, correct. Got it. Got it. Sir, also, you spoke about the incremental capacity that we are actually bringing in, in India and in Bangladesh and the EU and U.K. FTA being the business which actually will come in the coming quarters. But given this actua lly the tariff cost, we actually moved some of the business from India to the other regions. Do you see that coming back to India, which actually can aid in the capacity utilization in the interim?
Pallab Banerjee: Yes. I think both are applicable. One, because of these FTAs, we are seeing a lot of interest, especially from the U.K. and EU customers, like who were earlier, if you see, if you study these

customers, they were heavily penetrated in countries like Bangladesh, Cambodia and all, where because of the L DC status, there was no tariff.
Now that today, like if India opens up as a much more stable country, much larger country,

definitely, their preference would be to have a bigger presence in India. So that trend has already started. Most of these customers, we were already doing business in Bangladesh. They are, in fact, engaging with us to grab som e additional capacity in India.
So that's one thing that we can see already happening. Whether these business of U.S., which was shifted to other countries will come back to India, yes, for the ones that the raw material is easily available in India and is more competitive than the other countries, definitely, it makes sense to produce those kinds of goods in India.
So we will continue to take that call. In terms of our capacity, yes, what we are seeing is today, the order book that we have and the capacity that we have in India, that's perfectly matching.
Kishore Kumar: Understood, sir. Pretty clear. Also, sir, we were actually keeping a target of INR6,000 crores top line in FY '28 and that translate to a 9% CAGR over the next 2 years. Is that the minimum that you are targeting or should we keep actually 12 percentage to 14% that we are guiding for the last year?
Pallab Banerjee: So, 12% to 14% is something like we have been talking about as a CAGR that we have planned. Of course, there are certain years where we get more opportunity to grow the business like it happened last year, we had a reasonable growth in Bangladesh and all. So that's something like compared to that, like this year, because of tariff from U.S. with all the globa l -- all countries of sourcing.
So there was definitely some kind of -- that growth pattern was slowed a little bit. But I think, yes, if the more opportunity comes, then we should be growing at a faster rate, at least we are ready in terms of our capacity. Otherwise, like the goal of INR6,000 crores, as you said, is achievable even with a modest growth of 9% for both the years. So yes, we are quite confident that we should be hitting that target and maybe more.
Kishore Kumar: Got it. Sir, lastly, a bookkeeping question. Given the incremental capacity that we are adding in India and Bangladesh in H2, how much incremental start -up cost should we actually factor in? The 10 percentage that we are guiding for FY '27, does it include the incremental cost? And what is the incremental depreciation that we should keep?
Sanjay Gandhi: Yes. So it does factor into the incremental costs which will be incurred during the stabilization phase. In terms of the depreciation, if you look at our balance sheet, -- the capital work in progress is at INR110 crores. This is largely pertaining to the Bangladesh factory expansion plan. There will be addition -- there are some commitments already done.
Some work is in progress in H1 of this year, which we said by that time

, the entire factory should be ready. So we should have another INR40 crores, INR50 crores adding to that capitalization.
So around INR150 crores will be there as we see it as of now on account of the ongoing capex .

Now if during the year, as we are under -- as we are evaluating the capital commitment across geographies, there can be a further addition, which we'll update you in -- maybe in the next quarter or if we have call any time before. The depreciation will come around on that only.
Moderator: The next question is from the line of Soham Samanta from Motilal Oswal.
Soham Samanta: So just wanted to check one thing. When we were saying INR6,000 crore s target for FY '28. And on the other hand, we are saying our realization is INR630 now. And we are saying 100 million shipping target by '28. So things are not matching. So do we look at realization declining for next couple of years?
Pallab Banerjee: So let me answer that. INR6,000 crores are something that we talked about in 2023. Yes. So that's the time that we gave ourselves this target. And so naturally, what you are seeing today in the last few years, like we have been ahead of that. And if this trend continues, like which we -- as of now, we are quite confident what we are seeing in this particular year. So naturally, it should be like more -- quite more than INR6,000 crores. So that's …
Soham Samanta: Yes, is it fair to assume 12% to 13% is achievable by looking at the current trend?
Pallab Banerjee: Yes. If our global leaders continue to be sensible, I think that's the kind of rate that we have planned for.
Soham Samanta: Okay. And in that case, if it is continuing in that case, so what is the driver? Like is it fair to assume that Bangladesh could be the largest driver in that business?
Pallab Banerjee: So we tend to -- Bangladesh is always in this period of last 3 to 4 years, you have seen Bangladesh was contributing a major part of our total turnover. So at the same time, we have been investing in the other markets. For example, this year, if you look at overall growth, I think Vietnam is more than the Bangladesh, the ra te of growth that we have seen.
So that's -- with that, keeping in mind, we are continuing to invest in Vietnam, Bangladesh and India, like because India, despite the problems, we have not stopped increasing our capacity because we think these are temporary. And at some point of time, it will be better. So that's something like we are encashing upon at this point of time as this demand is coming back. So

we are investing in all the regions, not specifically only to Bangladesh.
Soham Samanta: But if we were to chase the number 12% to 13% in that case, Bangladesh could be more than 20% growth? Are we looking for next couple of years?
Sanjay Gandhi: So, I think we look at a group level. We mentioned that 12% to 14% CAGR is something we are working upon. And given that trajectory, in 1 year, one origin will contribute more. In second year, the other origin will contribute because the capacity commercializ ation has a lag. So, it will keep on happening and every country will contribute significantly. Overall, at a group level, we are looking at 12% to 14% growth to continue.

Soham Samanta: Got it. And sir, the last from my side that you said that double -digit -- lower double -digit margin will continue. So we expect that similar like 10% to 11% margin will continue for full year, for FY '27?
Sanjay Gandhi: I lost your voice in between, sorry.
Pallab Banerjee: I think margin.
Sanjay Gandhi: Your question is about the margin. EBITDA margin. EBITDA margin ?
Soham Samanta: Yes, yes. EBITDA margin for FY '27?
Sanjay Gandhi: So I mean -- so our trajectory is definitely 10% to 12%. So 10% is our first big milestone from the

company perspective, given that the expansion which has been taking place. So yes, I mean, we are looking at a range of 10% to 12% in the coming years, starting with FY '27.
Moderator: The next question is from the line of Abhishek Shankar from ICICI Direct.
Abhishek Shankar: Congrats on a good set of results. So my question was basically, when I see the inventory days, it has moved up a bit. And is it fair to assume that this inventory days movement is basically because of lower shipments in quarter 4 or maybe in the second h alf of the year because of the second half of the quarter because there was a lot of i ssues relating to the shipments?
Sanjay Gandhi: So, I would -- so that's also one way of looking at it. The second way of looking is that it also depicts the higher shipment, which is expected in quarter 1.
Moderator: The next question is from the line of Harsh Dubey from LFC Securities.
Harsh Dubey: Congratulations on good set of numbers and very happy with the results. Just having 1 or 2 questions. So, first is when we talk about Muji, I just wanted to understand we do have numbers for the contribution from our top 3 clients from the perspective of h ow much as a vendor we contribute to that sourcing.
Just from the Muji perspective, since it's going to move from a tactical segment to a top tier. So what is an expectation of Muji contributing to our revenue, and then how much do we currently contribute to their vendor contribution that the supply that we do to them?
Pallab Banerjee: So, Muji is a Japanese brand, as you know. So, they have been working with us for some time. Once the confidence gets built up, then they grew more rapidly in the last 2 to 3 years. We will continue to grow with them. We are -- at this point in time, we a re in discus sion with them to grow further.
So both India and Bangladesh are the 2 countries that we are servicing from, and they are looking at the other country of origin as well potentially as a source. So in terms of total turnover from Muji, we had already crossed about, I think, $65 million, y es. So that will continue to grow. That's why like maybe your question is in the top 6. Yes, it is figuring in the top 6, and we expect it to continue to be there.

Harsh Dubey: Perfect. Sir, just on this, so just when Muji has like let's suppose when they are taking -- they have a lot of vendors. So how much as a vendor we contribute to their sourcing is one of the questi ons that I wanted to understand?
Pallab Banerjee: So, unfortunately, that's not visible to me as yet. As we become more and more important to them and when I get that visibility, I can definitely share with them. Like for some of the U.S. customers, I have already said that, okay, we are at number 1 position or number 2 position or number 3 position. But yes, with Japanese, it might take a little bit more time to get to that level of transparency.
Harsh Dubey: Perfect. Just on this, sir, when we say that we have Muji as a Japanese client, what I wanted to also understand is we said that we are also looking for other Japanese players to be onboarded as our client. Just as an example, is there a plan further to g o with UNIQLO, which is one of the brands -- Japanese brands since they're already working with Muji?
Pallab Banerjee: So yes, Japanese as a market, we are looking at more seriously and what are the opportunities

are there. Specifically, if you're talking about UNIQLO , that's not on the priority because these 2 brands compete with each other to a certain extent. So , that's why, like there are many other brands or maybe like Fast Retailing has got a couple of more brands. So yes, all those are in the scope, and we will be putting all the effort to have a couple of more customers out of Japan.
Harsh Dubey: Perfect, sir. On this, just another question. So, this will be havi

ng 3 parts. First is that we were
saying that we are expecting to add new client in India. So, any update on that as of now? And also the second part to the question is, we do say that we are expecting a pproximately 12% to 14% growth.
Now as per my understanding, all the brands that we do cater to have a growth rate right now of approximately 7% to 8%. So, the other extra 4% increment, will that be majorly through the vendor consolidation? And specifically, how much is Pearl Global expe cted to benefit from this vendor consolidation that is happening?
Pallab Banerjee: So, the addition of new clients, yes, as a group, we continue to add new clients. We go as per the need of the clients, which country of origin they are looking at and what kind of product they are looking at. So yes, anybody -- any -- once we identify, o kay, these are the 2 or 3 clients that we should be working with.
As I said earlier also, like what we do is we look at the growth of the client, their positioning in the market and their financial -- how confident we are about their financials. So these 3 things are the ones like what we consider while adding a client.
So, specifically for India and other country, I think that will be immature for me to say at this point of time. But yes, we are continuously adding clients. Sorry, the second part of your question was in terms of 12% to 14% growth, what specifically was t hat? Can you just repeat?
Harsh Dubey: So, my question was we say that 12% to 14% is the revenue growth that we expect, but major of our clients that we serve to have 7% to 8% of the growth. So are we expecting another 4% to

5% growth coming from the vendor consolidation happening? And how probably we are going to experience that vendor consolidation?
Pallab Banerjee: That's like gaining more and more wallet share of that particular customer by working very closely with them, giving them best of the services, best of designs, -- so it's a variety of factors.
And as per Pearl Global, what the strength that they see is d efinitely a multi -location and multi - category. So, both these factor s also plays as we gain more and more wallet share from the same customer. So, that's why like our growth rate, we expect at least to be better than theirs.
Moderator: The next question is from the line of Bhavya Gandhi from Bajaj Alternative Investments Limited.
Bhavya Gandhi: Congratulations on the good set of numbers. My first question is regarding the entire INR250 crores capex that will it be enough to do capacity addition of 25 million to 30 million pieces or we'll have to spend beyond INR250 crores?
Sanjay Gandhi: So, this INR250 crores will -- see the addition of the capacity, first of all, let me break this question into 2 parts. The addition of capacity has always been and will always remain a combination of in -house facilities plus the partnership facility. Both are under d iscussion at this point in time as we really speak.
Part of it is factored in the capex program, which we just mentioned, about INR250 crores for the next financial year. The one which is underway should add 6 million to 7 million pieces from 100 million. So we should be at 107 million plus additional 20 million, 20 million pieces. That will be capex plus the a dditional partnership facility.
There may be more capex beyond INR250 crores as well, which is outlined for FY '27. But this, we -- as we mentioned that we are evaluating it, this is a ballpark number given. The number of actual capex may be more than that as well. So yes, that's the intent.
Bhavya Gandhi: Okay. Got it. Fair enough. And sir, last 2, 3 years, you've taken various steps to increase the margins. I believe those have played out. Also going forward, are there any further room for margin improvement, all these steps like something like a laundry that you had establ

ished in
Bangladesh and there were various other margin levers that you were predicting. I mean, that would lead to margin expansion over the year. So, are there still room for margin expansion going forward?
Sanjay Gandhi: Yes. So, Bhavya, very appropriately, you captured that point of laundry capex . So that will not have an impact on the top line, but it will improve the EBITDA margin. So there is an improvement coming from that as well. The 10% EBITDA, which we are confident for FY '27 is largely operational EBITDA, which we think we should achieve it, given that the way the business capability as of now has been established and demonstrated across the last 4 quarters

and continue to be.
So therefore, we state that journey of 10% to 12% will be a combination of all these capital expenditure like laundry and there may be other capex as well, which will improve the margin profile of the company. And while we continue to work on the various customer and product

profile to really bring more enhanced and the value addition to overall margin profile of the company.
Bhavya Gandhi: Got it, sir. And for this 25 million to 30 million piece -- pieces addition, h ave we already locked customers or are we seeing any visibility from the customers over the next maybe couple of years or some -- have we engaged with the customers for this new capacity addition that we are planning from a demand standpoint?
Pallab Banerjee: So yes, what we are saying is that we continue to grow with the existing customer and then we also bring in the customers. So whether a customer has committed a number to us for this extra additional 25 million to 30 million over the next 2 years, I had m entioned this earlier also in our other calls that we do have certain strategic discussion with these customers where we get some amount of visibility.
So, whether -- like it is -- everything is perfect and goes as per that, it's not a long -term order that they are placing with us. So, we do strategize with the customers, which category they are buying from us and what are the additional category they wil l be buying from us in future, what is their size and requirement.
So, that discussion continues to happen as we do it with our existing customer as well as when we add a new customer, we look for the opportunity, what is their requirement first. And once we get them on board, then we try to increase our wallet share with them by offering multi - location, multi -category of product.
Moderator: The next question is from the line of Manjubhashini from ASK Wealth Advisors Limited.
Manjubhashini: First on the top line front, now that the tariff situation has eased out and we have also increased the capacity and fairly, the capacity in India has also ramped up in the last few quarters. So in this context, what -- how are the discussions with the clients happening now? What is it that the clients a re looking for now? Is there any improvement in the timeline of orders being placed with us?
And is there some sense of utilization rate improvement that we have over and above what we have achieved ? I know Indonesia, Vietnam, et c., have had a very good improvement in utilization this financial year. But from here on, what is the sense of visibility we have on the volume pickup, sir? Because I think the previous participant's question was also trying to address on the same lines wit h capacities coming up, how quickly do we think we can build the production lines also?
Pallab Banerjee: Yes. So, first part of it, like whether -- what's the trend that we are seeing in India? Because I think India is the country which got affected with the tariff …
Moderator: Sorry to interrupt, sir. There is a background noise going on.
Pallab Banerjee: Manju, if you can mute yourself, I think there's some kind of disturbance coming from your si

de.
Yes. Thank you. Yes, so talking about India, like that's where like we had this 50% tariff and rest of the other countries, as we had noticed that all were in the similar range of 20% or around.

So yes, with this tariff moving away from India, definitely, we are seeing a positive response from the customers. And also added to that are the other European Union and U.K. customers' interest because of the potential FTA implementation in the next few quarters or a year. So, that's -- keeping that in mind, we are seeing a good traction in the order books of India so far, whatever we have se en.
I think that's specifically that you are asking for, like how this Indian capacity is looking at. And if you're talking about the global capacity, that's something, as I mentioned, like we continue to plan and discuss with our customers, what product, what category that they are looking at. So that's an ongoing process that continues.
Manjubhashini : Vietnam is already at 80% utilization. And on the existing capacity, you also talked about how you're looking for land banks to increase further capacity there, et c. But this 80% to what extent -- what would be the optimal utilization level? Is 80% itself an optimal level? Or you think it can stretch up to another 10 percentage points, close to 90% at the optimal level. When we will really look for additional capacity to garner higher, more?

Pallab Banerjee: Yes. So, as you have been talking to us for some time, so you must have noticed that we keep -- try to keep a ratio of about 85 -15 or 80 -20, kind of how much we do in -house and how much we have do it through our partner factories. So, in Vietnam, the situation is that, okay, we have got a good growth of all the capacity that we had offered to the customer.
Now what we are seeing is that a majority part of it is being on the partners' capacity. So, this is a good time to invest there and get in -house capacities. So, that the process that we are undergoing. So, whenever we publish our capacity, especially from India -- from Bangladesh and Vietnam, where we do actively work with partner factories. And when we see that the proportion is going high in the partner factory, that's the time -- the right time to put our own investment and capex . Does that answer your question?
Manjubhashini : Yes. That is helpful. So, you're saying incrementally, you will look to add more capacity to partner facilities rather than give away any business for the lack of capacity. That's the …
Pallab Banerjee: Yes, yes. Because if we are doing like 90% of the order from partner factory and 10% that's like a very skewed up ratio, like the control becomes less. So it should be a balance that has to be maintained. That's how we take the decision.
Manjubhashini: Just one last question from my end, sir. This year, we had called out for INR36-odd crores from the one -off impact from tariffs. And so in a sense, then the adjusted EBITDA, what will become the base for the next year's growth from that perspective, if you see, it will be somewhere in the range of INR514 crores, INR515-odd crores. Is that the correct reading, sir? Or is there any change to that number?
Pallab Banerjee: I think you're calculating 468 plus 36. That's the kind of number you're talking about. So if that's the case, like let me just explain this breakup of the 36, there are -- for all other countries, the tariff was at a lower level. And for India, the tarif f was at a much higher level. So to most of our customers, they came back and say that, okay, what kind of burden share that you are doing with us.

And specifically for India, they wanted to have that 25% of penalty to be borne by us. So, naturally, from India, we had to give more discounts compared to the other countries.

So, some of this tariff is still continuing at 10% level as of now. So, there a re some burden share that we'll continue to do. So, maybe the 36 number will come down significantly, may not be 0 with U.S. specifically.
Manjubhashini: So, is it the right thing to put a number of, let's say, INR5 crores to INR8-odd crores could continue to be the tariff -related costs, which we may have to bear? Is that the right understanding? I'm just lookin g for some quantification there?
Sanjay Gandhi: As mentioned earlier as well, you see there will be definitely some flow since the cost will not be there, so that should lead to improvement in the margin. And every season is new costing, new product. And since the tariff is not there, that will not be part of the costing. So we hope that, that will certainly result into some gain at a margin profile also.
Moderator: The next question is from the line of Shirish Pardeshi from Motilal Oswal.
Shirish Pardeshi: I have just one question on the design and marketing. Generally, design is one of the pillar of attracting new clients. So, what number of people, what number of designs we would have churned in last 1 year? And how this segment will scale up over the nex t 2, 3 years? I mean I understand capacity expansion will happen, but winning the customer tru st will be based on the designs?
Pallab Banerjee: Design and capability both. So, what we do is if you if you follow us then we have been investing in the design stuff and also in the country where the sales are happening. So that means whether it is European countries like Spain and all where w e have a significant exposure.
Similarly for U.S., for U.K., these are the places like we have invested in the design team who work very closely with the customers, what kind of trend, what are the requirements that they have. So, that definitely plays in our favor. Exactly how much of number and all of samples, yes, the numbers are quite significant always, but I do not have an exact number to be shared with you as of now.
Shirish Pardeshi: So, what is the employee base we had in '25 and what is in '26? And what is it that you're looking for next 2, 3 years?
Pallab Banerjee: Yes. Design stuff, if you talk about, yes, we are almost like we used to be in the range of 70, 75. Now it's almost crossing 100. So that continues to grow. Like as we get more clients, depending on their needs, their hand writing , we have to continue to invest in th e design stuff, and we do that.
And also the second part is more than the design stuff is the technology of design. So, there are a lot of technical advantage that is coming through, like, for example, the 3D designs, then AI rendering on those 3D designs, which improves the sales and the adopti on. So, those are also

playing an important role. So, that -- both these investments go hand in hand.

Shirish Pardeshi: Okay. And same question on the marketing investments in terms of front -end staff, in terms of business development, what is the number in '25 and '26?
Pallab Banerjee: So, every region, we have leaders, the CEOs who are working. So what we do at the leadership level, we front -end a couple of customers. So, some would be done by me, some would be done by my Vietnam counterpart or like the Bangladesh. So, that's how lik e the leadership position goes.
And then depending on any customer that we are acquiring or adding and if it's a sizable number. So, definitely, then we try to give them more dedicated service. So, most of the customers, like we built up dedicated teams -- and that's how this game gets p layed. And so if you want to the details, there are a lot of details ou t there.
There would be some maybe design stuff, there will be merchandising stuff, sourcing stuff, sometimes like all the approvals that they allow us to do, technical approvals and all, s

o those
kind of stuff. So, we built it up continuously as we acquire the cus tomers.
Shirish Pardeshi: I got that Pallab . What I wanted to check with you that is there any target that we are looking for adding 2 or 3 or 4 customers in every quarter? There's a lot of work which will happen starting from design capability, showing them how sustainable, how technologically adv anced we are.
But is there any number you can share?
Pallab Banerjee: Yes. So, you see like we already have that the core staff, which is generating the new designs and the new -- which can be shown to every customer or even the new customers also. So, then that part remains constant. As the new customer gets on board, then we start investing in terms of more people dedicated to that particular customer.
We are in conversation with all the ones that we have targeted where we feel that they are doing very well and they are growing, and we should be with them. So, that kind of list is always there.
Now how many of them will be converted in which quarter? Tha t means like how many will place new orders to us or new clients will be o rdering to us in every quarter.
That's more difficult to predict because sometimes this onboarding takes maybe years. A marquee customer like we recently added, we have been at it for more than 2 years. So when that opportunity comes, when they need something different or they need a dif ferent location or a different product, that's the time where they would be entertaining us to start placing the business.
Before that, it's more of a conversation, what we can do, what we can't do, what is their requirement. So yes, so it's very -- to put a number would be difficult, but that's a continuous process that we have. So what we do is that we generally publish like the new addition that has happened in the last 5 years, what is the contribution to our total top line. So that will continue to do.
Moderator: In the interest of time, that was the last question for the day. I now hand the conference over to Mr. Sanjay Gandhi for closing comments.

Sanjay Gandhi: Thank you to all participants . With positive industry development in the future, given the tariff and the reciprocal tariff and the penalty is not there. And we, across the geographies are feeling as a Pearl group, a lot of optimism as we step into the new financial year. Of course, there ar e challenges across , which we are navigating well.
And with a diversified manufacturing base, new capacity additions, ongoing expansion plan and a strong relationship with global retailers, Pearl Global is entering FY '27 well positioned for continued profitable growth. We remain confident of sustaining th is momentum beyond FY '27 as well, driven by our expanded footprint, strengthened capabilities and deeper customer engagement, ena bling long -term value creation.
I hope we have been able to address all your queries. For any further information, kindly get in touch with Shishir, our Head of Investor Relations or Strategic Growth Advisors , our Investor Relations Advisors . Thank you.
Moderator: Thank you. On behalf of Pearl Global Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 15th May 2026 will prevail.”